Capri Global (CGCL)

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Call: Aug 2022

August 17, 202 2

The Secretary
BSE Limited
Pheeroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 531595 The Secretary
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No - 'C' Block, G Block
Bandra -Kurla Complex, Bandra (East)
Mumbai – 400 051
Scrip Code: CGCL

Sub: Intimation p ursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015 , regarding Q1FY23 Earnings Call - Transcript .

Dear Sir / Madam,

Further to our letter dated August 04, 2022, intimating schedul e of the Earnings Conference Call on August 10, 202 2 to discuss the Company's Q 1 FY23 Earnings , we are attaching herewith the transcript of the said Conference Call.
The above is for your information and dissemination to all the stakeholders.

Thanking you,
Yours faithfully,
for Capri Global Capital Limited

Yashesh Bhatt
Company Secretary & Compliance Officer
Membership No.: ACS 20491

Encl.: As above

Indian Num bering System Legend
INR 10 Lakh s = INR 1Mn
INR 1 Crore = INR 10Mn
INR Rs100 Crore s = INR 1Bn
INR 1 Lakh Crore = INR 1Tn

Q1 FY23 Earnings Conference Call
August 10 , 2022

Man agem ent
Mr. Rajesh Sharma
Founder & Managing Director , Capri Global Capital Ltd.

Mr. Ravikant Bhat
Sr. V P - Investor Relations , Capri Global Capital Ltd.

Moderator: Ladies and gentlemen, good day and welcome to the Capri Global Capital Limited Q1 FY23 Earnin gs Conference Call hosted by Go India Adviso Rs As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conferenc e call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ravikant. Thank you and over to you Sir!
Ravikant Bhat: Thank you Seema. Good afte rnoon everyone. Welcome to Capri Global's Q1 FY23 earnings conference call. I will quickly read out a disclaimer before we start with the opening remarks by our Managing Director. This conference call and the discussion herein is for information purposes only and does not constitute any offer or invitation, directly or indirectly in any manner or investment to sell or issue or any solicitation of any offer to purchase or subscribe for any securities of the company or any jurisdiction and no part of it sha ll form the basis of or be relied upon in connection with any cont ract or commitment whatsoever. No offering of securities of the company will be made except by means of statutory offering document containing detaile d information about the company. This earnings call should not be considered as a recommendation that any investor should subscribe or purchase any securities of the company or its subsidiary, connecting with the group and should not be used as a basis for any investment decision. None of the grou p or any of its affiliates, advisors or representatives is accept any liabilities whatsoever for any loss howsoever arising from any information presented or discussed on this call. The detailed updated disclaimer is available on Slide #2 and #3 of our Q1 FY23 investor presentation. With this, I will now hand over the call to our Managing Director, Mr. Rajesh Sharma to present his opening remark s. Over to you, Sir .
Rajesh Sharma: Thank you, Ravi. Good afternoon, friends a nd a hearty welcome to Capri Global's Q1 F

Y23 earnings call. We announced the reviewed consolidated results for Q1 FY23 yesterday evening. I hope you had an opportunity to go through our investor deck. Our results discussion this time happens in the ba ckdrop of filing for our rights issue. Yo u may recall our Board had approved Rs 1,200 Crores rights issue when it m et to approve the FY22 audited results. We took the first step towards the same by filing a draft letter of offer with SEBI on July 2 8, 2022. The s ame had been placed by SEBI in public dom ain on its website. Given this backdrop, there are certain restrictions on forward looking statements and guidance that we can make.

I am aware we had set out certain goals for FY23 in the medium term in this earning s call. I would like to state that we are fully committed to a sustainable and profitable growth. As a rule , we shall refrain from giving any guidance on medium term strategy and shall restrict this discussion to analyzing our results. Please note we hav e made changes to how we report certain performance ratios. This ha s been done to align with the requirement of rights issue related disclosure s in our offer letter filed with SEBI . Such changes have been highlighted at the relevant place in the investor presen tation with a footnote.
I shall now discu ss our earnings performance during Q1 FY23 . We reported a consolidated net profit after tax of Rs461 million, which is flat year -on-year and higher 10% over Q4 FY22 net profit . Although our net income declined 12% quarter -on-quarter , a softer increas e in operating expenses and a sharp 57% fall in credit cost helped us post a sequentially slightly better profit .
Adjusted f or Rs77.5 million one -off income in Q4 FY22 , our NI is flat Q -on-Q. The

one-off gain in Q 4 FY22 was relating to upfront recogn ition of unamortized fees on foreclosed account s. Secondly, we have begun incurring cost to gold loan business while the business is yet to commence operation. We have already on boarded the entire team of about 1 ,000 pe ople there. We incurred about Rs69 milli on overall operating costs to gold loan business in Q1 FY23 . Adjusting for same , our opex would have actually declined 3% quarter -on-quarter. Both these items negatively impacted operating profit by Rs147 million in Q 1 FY23 .
Our net interest income was also impacted by negative carry as we drew down all new sanction facility in April 2022 to the first week of July 2022. This is seen in the bank balances, in balance sheet, which was heavier by 40% by Rs1.4 billion in Q1 FY23 over Q4 FY22 . Since we h ave drawn our new sanctions our MCLR is locked for six months to one year. Our net interest margin computed as a ratio of average net advances was 8.4%, lowest in five quarters reflected the weaker net interest income. We have begun resetting yields on new as well existing loans and it could have a positive rub -off on earnings going ahead. Approximately 55% of our loan book comprises floating rate advances and remaining comprises semi fixed loans that convert to floating rates after initial period of fixed rates.
Our cost-to-income ratio was 51.1% in Q1 FY23 . Adjusting for the operating costs of gold loan, which is yet to contribute to AUM , the cost -to-income ratio compresses 400 basis points to 47.1%. W ith NIMs already at recent quarter lo ws and gold loan AUM yet to becom e meaningful, we belie ve there is a higher probability of the cost -to-income ratio improving than worsening from current

level s. It may also be noted that our earlier cost-to-income ratio target of 40% was set prior to the launch of our gold loan business. As of now, we do not have a specific target in cost-to-income ratio . To reiterate , we firmly believe a strong branch network is essential to ou

r business, therefore we shall continue to rollout
branch es in the traditional as well as gold lo an businesses.
We have continued wi th the write -offs in Q1 FY23 . While we had expected the write -offs to taper off post Q4 FY22 , we fe lt it necessary to continue proactive provisioning and writing off in Q1 FY23 as well. However, the credit cost per se has declined by 57% Q -on-Q to Rs246 million and is amongst the lowest in the trailing five quarte rs We are looking at the credit cost in aggregate irrespective whether it is a write -off or sale provision. Currently our stance is to ensure we provide m ore than adequately. This could be in the form of ECL provisions or if necessary , write -offs. We expect write -offs to re cur in the remainder of FY23 .
Our asset quality declined after showing steady improvement between Q2 FY22 and Q4 FY22 . The Stage -3 as sets in absolute as well as the pe rcentage terms have increased primarily driven by the retail segment. The wholesale segment continues to perform well and GNP As remain close to nil. The consolidated Stage -3 assets were 2.71% up 31 basis points quarter -on-quarter. In absolute terms GNP As increased 18% quarter -on-quarter. Detailed trend and discussion on the NP A ratio s is given in the Slide #23 and #24.
Our standard restructure d assets at Rs1,776 million were 2.6% of the AUM. We have maintained we expect 20% to 25% re structure d assets to slip. Out of the outstand ing restructured assets , around 50% shall be out of moratorium period of Q3 FY23 and the rest equally in Q4 FY23 and Q1 FY2024. Currently standard restructure d assets are classified under Stage -2.
The November 20, 2022 RBI circu lar on asset quality becomes effe ctive Q2 FY23 onwards . However, if we were to adopt the circular in Q1 FY23 , our GNP As would have been higher by Rs145 million and would have added another 21 basis points to our Stage -3 ratio .
Com ing to the business, although it was a slower quarter, we did maintai n a healthy momentum. The year -on-year comparison may not be accurate due to the near stand still we had in the business during the C ovid19 second wave . However, on a sequential basis we expanded our overall business by 5%. Although we are yet to launch our dedicated IT set -up for co -lending, the arrangement has already picked up p ace with the outstanding co -lending

portfolio growing 72% quarter -on-quarter to Rs2 billion. Housing finance too showed a healthy trend increasing 7 .8% quarter -on-quarter . MSME inclu ding co -lending was up by 2.6% quarter -on-quarter. We remain convinced of the strong growth afforded by MSME segments given its substantial 30% plus contribution to GDP. Similarly , affordable housing , as we have said in t he past , will remain a key dr iver of our consolidated AUM . An occasional weak quarter only reinforces our ability to focus on the growth and win the segment.

We are gearing up for formally launching our gold loan business. Currently, we have done a s oft launch and are testing the system s and processes. We have already leased 52 premises as exclusive gold loan branch es. We have budgeted Rs560 million as capex for the vertical for FY23 .

Our car loan distribution business continues to grow from strength to st rength surpassing previous quar ter originating milestone. The vertical achieved Rs11 billion in new car loan originations and contributed Rs186 million in net fees . To offer you a perspective the vertical contributed Rs276 million net fees in the entire FY22 . This is an entirely new income stream tha t has come up in a year in the form of pure fee s and is therefore not subject to any regulatory capital requirements. This has diversified and strengthened our earning s profile.

I am also happy to share that both CARE Rating s and Brickw ork have reaffirmed our long t erm i

ssuer rating. CARE has reaffirmed our A+ rating and Brickwork has reaffirmed our AA - rating. Further both have upgraded the outlook from ‘Negative ’ to ‘Stable ’. This is an affirmation of our strong balance sheet, our consistent and conservative ALM management practices , and robust capital ratio s.

We reported a capital adequacy ratio of 29.9% for CGCL and 39.5% for CGHFL. Since we have already filed offer letter to raise Rs12 billion through a rights issue, we had mentione d in the offer letter that the object of the capital is to augment the long -term core equity capital of the company. Our fast -paced growth in the last one year had led to a con sump tion of about 758 basis in the capital usage in CGCL . However, the right s issue has been time d to support our growth. I would also like to clarify that we are open to exploring inorganic opportunities, but that is something we do not talk about openly and only internally evaluate.

Last but not the least, I cannot conclude without highlighti ng our work to wards digital init iative s, some of which w e continue to share in our corporate presentation. We have an in-house coding team of 20 and additional support

staff of 39 . Our business is evolving very well in the retail segment and our IT initiati ve shall further strengthen our business. With that, I conclude my opening remarks. We shall now take questions.

Moderator: Thank you very much. We will now begin with the question and answer session. We take the first question from the line of Pr ashanth Kumar from Sunidhi Securities. Please go ahead, Sir.

Prashanth Kumar: Thanks for the opportunity. My question is on operating expense side, as it continue d to remain elevated and is it because of the branch expansion and just like you were entering into the new segment gold loa ns so specific branch maybe required , so could you give some colour on this?

Rajesh Sharma: So, one is that our go ld loan vertical where we have already on boarded about 1,000 people and about roughly Rs7 Crores expenses we incurred in the Q1 . That is the one rea son that this is not contribut ing to any earning s but the expens es have been booked . So rather than capitalizing we are booking these expenses in the profit and loss account. Second is that there are 26 new branc hes we opened in MSME also . The branches take some time to get to break even and start becoming profitable . So that is another reason that our cost -to-income ratio is slightly higher . But AUM growth is returning in the rest of quarter . We believe that this shoul d remain now at these levels hopefully.

Prashanth Kumar: Sir, if I think like this is like one -off type of operating expenses so when it will normalize especially on the fixed expenses front, I mean on yearly basis when it is going to be normalized?

Rajesh Sharma: So, I think the enti re year our gold loan branches we will keep opening . We

inten d to open about 200 branches in this year as we have told earlier in the last earning s call. So, these expenses will remain elevated during this year because of the gold loan …gold loan vertical will not contribute because of expansion . As we had told earlier , we inten d to open 1 ,500 branches in three years' time, so first year we have estimated about Rs53 Crores of cost on gold vertical in the capex, so there will be a little contribution on t he income side, so cost -to-income ratio will remain elevated during the entire year . It will not increase from this level, but it will remain around this level.
Prashanth Kumar: I mean the cost will be increased and the realization on the income will be la ter?
Rajesh Sharma: Yes.

Pras hanth Kumar: On the asset quality side it is also increasing sequentially, but the other like financial segment most of t

he, I mean especially on the bank side the asset quality improved at least sequentially and MSME also gett ing traction so recovery is a lso improving so what is the colour if you can give some on this?
Rajesh Sharma: So, if you see , our NPA s in fact were declining until Q4 FY22 in both absolute and percentage terms . This is the first quarter of increase afte r three straight quarters of decline. While I will not comment about whether peers who earlier have done the huge write -offs and all, I would like to reiterate we run a fully secured business, our business is not anything unsecured whether it is MSME, whether it is home loans that is having a collateral security by way of property . And recovery procedure through SARFAESI take s about 18 months to 24 month s' time . As recovery process gets underway, it will also a positive effect on the overall NPA as well as P&L. We shall also for us to look at problem accounts for either provide higher recovery process. Around 3/4th of our standard restructured book of Rs1,776 million to come out on the moratorium this year and the remaining in FY24. Currently , the provision coverage on restructured asse ts is a bout 21% reflecting our loss expectation from the book . If needed, w e shall prov ide higher if required. Our collection efficiency has been improved to about 98% plus since last three quarter s also adds to some comfort . So even though we write -off, that is not a credit loss, the reason being there are collateral and there is a process to recover y. So anywhere in 18 months whatever write -off are happening , we will start showing the recovery and start showing the positive impact in the P&L as well.
Prashanth Kumar: Thank you so much, Sir. That is from my side.
Moderator: Thank you. We take the next question from the line of Shweta from Elara. Please go ahead, Madam.
Shweta: Thank you, Sir for the opportunity. Sir, I have a couple of questions, if I look at your C F as a per centage of overall AUM composition, has so it has definitely increased over the past one year sizably, so is it by design or is it by demand that is question number one, question number two is, you had a recent ratings I mean outlook ungraded from negative to stable rate, so does it give any benefit on the cost of funds previous by how many bps and third is, I was looking at your segmental disbursal momentum, so definitely quarter -on-quarter basis that has slipped, is it because of the seasonality element o r how is it like and what is your guidance on overall growth outlook, these are my three questions?

Rajesh Sharma: So, last year we grew about 37% and that is the result of, of course increase in the demand and there is enough demand in MSME and affordable housing segment, there is a large opportunity for everyone and that is the reason on the back of the demand we are expanding the branch network also . So, to cater this demand I think we are seeing our expansion and resultant A UM growth. With regards to yo ur question on the rating upgrade to a positive whether it is showing some decrease in the cost of funds, it is a basic step for the next rating upgrade because we have seen the positive trend in the company's performance and s tability and everything else . However, cost of fund s has not come down because at the moment , we are seeing rising interest trend and so cost of fund s

has not come down . And the disbursement guidance , as we have stated earlier , it will continue to grow between 22% to 27% . We will maintain the same and that growth moment um we ho pe to achieve.
Shweta: Sir, on the C F front , the composition as a percentage of overall AUM ha s actually gone up siz ably?
Rajesh Sharma: So, overall C F composition in one quarter might have gone up slightly , but overall basis it will remain in the overall range of 20% on a

conservative basis.
Shweta: Sure, thank you, Sir.
Moderator: Thank you, Madam. We take the next quest ion from the line of Jay from Dolat Capital. Please go ahead, Sir.
Jay: Thank you fo r the opportunity. I have two questions, first is how do you see the impact of banks aggressively lending to retail and MSME segments, would it impact margins and pricing f or the NBFC s. And second question is , do you see Fintech s challenging you in the ho using and gold loans segments?
Rajesh Sharma: So, the very reason banks have entered into co -lending arrangement s with NBFCs including Capri is NBFC s and Capri ca ter to the segment s which banks do not cater. That is the reason co -lending partnersh ips are being getting promoted by RBI and by the banks. So , this is an entire ly different segment to which bank s cater to and to which NBFC s cater to. So , if banks are increasing their retail will not going to impact in a larger way to NBFC s because we cater to entirely different segments where customer s are smaller unorganized and do not possess adequate income through paper work. Your second question was can you repeat it, please?

Jay: Yes, Sir. My second question was do you see Fintech s challeng ing you in the housing and go ld loan segment?
Rajesh Sharma: So, I think Fintech s are going to become originator s. They still do not have that balance sheet . Fintech s may become origination partner s in some point of time, but in no way Fintech s are going to become a large vendor in this segment . So far in gold loan , we have seen that the Fintech s are only originating . We are not sure whether they can generate large volumes or not . We are going in a brick-and-mortar model. We are going to open the branch network exclusive to the gold loan branch netwo rk this year 200 and overall, in three year s, we inten d to do about 1,500 as we ha ve stated earlier . And this should give us enough business . Fintech s do not have the balance sheet, so they are not going t o compet e as well with Capri . They may become a collaborator with us , but not a competitor.
Jay: That helps. Thank you so much.
Moderator: Thank you. We take the next question from the line of Gautam Gosar from Perpetuity Ventures. Please go ahead, Sir.
Gautam Gos ar: Thank you for taking my question. so, I have two questions, firstly in terms of disbursements for this quarter , we have disbursed majorly towards the construction finance and indirect lending . So, while we were focus ed more on MSME and housing finance, why the shift , is my first question . And secondly on the product mix, so would you focus more of the gold loans going forward and would it be a significant part of the overall product mix given that it is higher ROA business with better margins and how yo u would be competing with the existing players both banks and NBFCs?
Rajesh Sharma: So, w hether we have reduced our focus on the home loan s or MSME, the answer is no . Our home loan has seen a growth of about 7.5% to 8% and our MSME has been relatively has seen no growth because there were a lot of foreclosure we have seen whereby it means that account u nderwrit ten by us have been taken over by some other lender at a much lower rate of interest, which speaks about our good underwriting standards . However, this MSME it shou ld come back to the growth from the next quarter . In any case the first quarter is always slightly muted kind of a quarter . And construction finance has grown about 11%, but overall if you see construction finance portfolio is a bout Rs6,900 Crores is about Rs1,400 Crores . So it has remained in the 20% overall range and that is what it is . Our key growth driver going forward is going to remain in MSME and home loan .

If we talk about gold loan in the next

five years , it may have about 25% of AUM
on overall basis a nd that is what our target is.
Gautam Gosar: Thank you.
Moderator: Thank you, Sir. We tak e the next question from the line of Ritu Khanna from Growth Capital. Please go ahead.
Ritu Khanna: So, with the growth in our incremental yields and with more rate hikes , this will go up as well. So how much rate hike do you thin k the industry and the customers can take without impacting the growth?
Rajesh Sharma: So, as far as our customers are concerned which are MSME , affordable housing side which are basically small , average ticket size between ticket size is Rs17 lakh s in MSME and about Rs12 lakh s in home loan . These are the customer s who are more interested to g et the timely funds than 1% or 0.5% here and there . So I do not think that increase in the rate of interest is going to impact the demand in any case . In any case , the small business model of MSME and this home l oan borrower run on return on the efforts than on return on equity . So this availability of funds is more critical to them and whatever interest rate hike we have seen i n the past I think more or less interest rates have stabilized at the most may be 25 basis another hike may happen, I am not very sure about it, but we shall be able to pass on at least all the floating rate customers the entire rate hike . Going forward , already our interest rate card has changed . New loan s are being booked maintainin g our same net interest margin . It is going to impact us in some way for the only cases where loan ha ve been given on a semi fixed basis . But that is the sight we see when the interest r ate going down , those loans did not get any reduc tion in rate, when interest rates are going up, thos e loans will not face any hike . So that is a very balancing factor long term.
Ritu Khanna: Got it and [audio cut 29:30] on co -lending both in MSME and housing finance and any plans of tying up with private banks as well?
Rajesh Sharma: So, we are seeing that rate of interest advantage lies with the PSU banks . They are able to offer attractive rate s of interest . And we have tied up with the largest bank s in the country which is SBI and Union Bank . Both banks have given attractive terms and in the first qu arter we have disbursed about Rs2 billion under co -lending and as we have told earlier, we will continue to do this about Rs6 billion in the entire year that is our target . So, co-lending will give us a good

ROE of about 25% in this arrang ement on this account because we have provided very less capital to it.
Ritu Khanna: Got it and what will be the total amount of top up loan disbursed during this quarter and what amount of the loan disbursed to the existing customers, versus the new cust omers in this quarter?
Rajesh Sharma: This detail may not be available at the moment, you can write an e -mail to us, we can give it to you.
Ritu Khanna: Thank you so much f or taking my questions. That is all from my end.
Moderator: Thank you, Madam. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to Mr. Rajesh Sharma for closing comments. Thank you and over to you, Sir!
Rajesh Sha rma: Thank you. So , as we ha ve said, we will continue to remain in the retail lending side. Our 80% portfolio is going to remain secured retail lending and on that path we will continue to grow . And we see MSME , affordable housing , and gold loan, all the segment s where we are in, are a huge opportunity …a huge gap exists . The next five years is a big runway for us and we are quite confident of good times ahead. Our car loan origination is generating very good fee income for us and that will be ROE accretiv e. Overall , we are quite confident that we are on a growth path and that is the re ason we have decided to bring right s issue

where promotors ha ve 75% stake . And we will be committing this kind of a capital . The right s issue si ze is about Rs1,200 Crores and that will take care of our future next five years growth requirements. Thank you so much.
Moderat or: Thank you. On behalf of Go India Advisors, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2022

November 12, 202 2

The Secretary
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National Stock Exchange of India Limited
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Bandra -Kurla Complex, Bandra (East)
Mumbai – 400 051
Scrip Code: CGCL

Sub: Intimation p ursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015 , regarding Q2FY23 Earnings Call - Transcript .

Dear Sir / Madam,

Further to our letter dated November 02, 2022, intimating schedul e of the Earnings Conference Call on November 7, 202 2 to discuss the Company's Q 2 FY23 Earnings , we are attaching herewith the transcript of the said Conference Call.
The above is for your information and dissemination to all the stakeholders.

Thanking you,
Yours faithfully,
for Capri Global Capital Limited

Yashesh Bhatt
Company Secretary & Compliance Officer
Membership No.: ACS 20491

Encl.: As above

Indian Num bering System Legend
INR 10 Lakh s = INR 1Mn
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INR 100 Crore s = INR 1Bn
INR 1 Lakh Crore = INR 1Tn

NOTE:
1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript. There are n o changes to factual data points .
2) Certain recurring ph rases like 'year -on-year ' and 'quarter -on-quarter ' in audio transcript have been shrunk to 'YoY' and 'QoQ ' respectively.

Q2 FY23 Earnings Conference Call
November 7, 2022

Man agem ent
Mr. Rajesh Sharma
Founder & Managing Director , Capri Global Capital Ltd.

Mr. Ravikant Bhat
Sr. V P - Investor Relations , Capri Global Capital Ltd.

Moderator: Good day ladies and gentlemen and welcome to the Q2 FY23 Earnings Conference Call of Capri Global Capital Limited hosted by Go India Adviso rs. As a reminder all participants line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand t he conference over to Mr. Ravikant Bhat from Capri Global Capital Limited. Thank you, and over to you, Sir.
Ravikant Bhat: Thanks Michele. Good morning, everyone. This is Ravikant. I shall read out a brief disclaimer for today's call. The discussion on tod ay's call regarding CGCL's earnings performance will be based on judgments derived from the declared results and information regarding business opportunity available to the company at this time. The company's performance is subject to risks, uncertainties and assumptions that could cause actual results to differ materially in future.
Given these uncertainties and other factors , participants on today's call may observe due caution, while interpreting the results. A separate disclaimer is available on Slide 2 and Slide 3 of the Q2 FY23 investor deck . Participants may please note the same. I now request our MD, Mr. Rajesh Sharma to present the opening remarks. Over to you, Sir.
Rajesh Sharma: Yes. Thank you, Ravikant. Good afternoon and season greetin gs to all of you. I once again take the pleasure in welcoming you all to Capri Global's post earnings conference call. We declared our re viewed consolidated results for Q2 and H1 FY23 on Friday, which is 4th of November 2022. I hope you had a chance to go through the investor

deck. With our rights issue process yet to be
concluded, we will have to restrain ours elves once again from giving a specific forward guidance.
I hope our discussions today around CGCL's performance during Q2 and H1 FY23, we'll prov ide you all with sufficient clarity and cues to unders tand the direction of Compan y’s progress . In this commentary , refer ences to P&L and balance sheet aggregate as well as ratio s shall refer to c onsolidated value s. Let me f irst start with our business per formance . Please refer Slide s 6 and 7.

Assets Under Management increased 47.4% YoY and 11.4% QoQ to touch Rs74,692 mn. The share of retail loans was 74.3%, slightly lower than 76.2% noted in Q4 FY22 . After the seasonally soft Q1 FY23 , we have seen a pickup in the momentum in the retail loans. Secondly, the growth in wholesale specifically construction finance segment has been front -ended due to a strong s anctions pipeline. Having already achieved the target ed AUM for FY23 in H1 FY23 itself, the CF segment shall try to sustain AUM at current levels . The share of retail loans, therefore, could i mprove in H2 FY23 .
In August ‘22, we achieved an important product milestone. We launched our gold loan busine ss through 108 exclusive branches, expanding to 182 branch locations in 7 states and UTs by the end of Q2 FY23 . Gold Loan AUM constituted 1.8% of AUM in Q2 FY23 . It took a more meaningful 10% share in the disburs als during the quarter. To reiterate what we have said here and in other for a, the

launch of gold loan business and ongoing scale up shows our commitment as well as execution capability for new product s.
Disburs als touched Rs 14,860 million, growing 57.2% YoY and 35.9% QoQ . Businesses in H1 FY23 stood at Rs25,793 billion and were up to 70% YoY. This results both in MSME and housing picked up sharply, including gold loan, the share of retail businesses was 48% compared to 35% in Q1 FY23 . Lagged data from industry data books like MSME, pulse and NHB housing report show that, firm trade credit over past earlier in the segments we operate in. Our strong business momentum also reflects that.
As part of our growth strategy, we have begun expanding in Uttar Pradesh , taking our branch network to 13 from 5 in Q1 FY23 . We have added new footprint in Uttarakhand with the addition of three new branches. We've also gone deeper in Rajasthan and Madhya Pradesh adding new branches in th ese states . Our non-gold loan branch ne twork stood at 145, up from 117 in Q4 FY23 and 123 in Q1 FY23 . Details on our network expansion are given on Slide 29 and 30.
The car loan distribution business continued with the strong momentum. As shown in Slide 12, the loan origination s touched Rs13,634 million, up 4x YoY and 44.7% QoQ . Total origination s in H1 FY23 stood at Rs23,055 million. To place this in pers pective, origination s for entire FY22 stood at Rs17,022 million. I shall discuss the fee contributio n from the vertical while commenting on our earnings performance.

As of Q2 FY23 , the car loan distribution business had a presence in 322 locations in 29 states and UTs compared to 279 locations in 25 states and UT s in Q1 FY23 . The vertical has 6 exclusi ve branches and in all other locations, it operates through a f eet-on-street sale s force.
I shall now turn to earning s performance . I shall be referring to Slide s 14 to 17. The net interest income or NII increased 29.5% YoY and 14.1% QoQ to Rs1,528 million. This was reflected in the net interest margin, which improved 49 basis QoQ to 8.87%. The NII for H1 FY23 was up 25.6% YoY to Rs2,868 million.
We began increasing lending base in both the retail and wholesa le segment. These rate hikes were undertaken during August 2022. As the semi-fixed

portfolios become eligible for reset, we shall consider re -pricing yields on these loans . The past through on the wholesale side is faster a nd across the book with an average h ike of 25 to 30 bps.
Let me now turn to non -interest income. In this regard, I would like to offer some historical pers pective. Between FY 18 to FY22 , the share of non -interest income in the net income average d 14.5% with FY22 being the highest at 19.5% . This contribution increase d and stood at 29% and 26% in Q2 FY23 and H1 FY23 respectively. The non -interest income has become increasingly prominent over last one year as we built two key product line s, the i ncome from which is considered under this head : i) the net fe e income from car loan distribution business , and ii) the income on assigned portfolio under the co-lending mechanism.
Until FY21, both these income streams did not exist. I n FY22 , these income streams contributed 7.1% to CGCL ’s net income. In Q2 FY23 and HI FY23 , both these income streams have contributed 16.1% and 16.8% respectively to the net income. Given the se strengthening drivers , the non-interest income during Q2 FY23 increased 180.4% YoY and 49% QoQ to Rs610 million. R ecurring fee income tied to business operations constituted 86.7% and 90.8% of non-interest income in Q2 FY23 and H1 FY23 respectively .
I shall now t urn to the operating expenses. We have been highlighting the upfront costs we would incur on the manpower and o peration al costs for the Gold Loan business . Expectantly, the cost income ratio got pushed further to 60.4% in Q2 FY23 . As highlighted on Slide 16, adjusted for the expenses incurred on Gold Loan vertical, the cost -to-income ratio would have been 49% in

Q2 FY23 . Similarly, the Cost-to-Average AUM ratio compresses to 5.7% from 7% we have reported .
The best way of looking at our Cost-to-Average AUM ratio is to include the average car loan origination AUM in the Average AUM . The Cost-to-Average AUM then declines to 6.1% and 4.9% in the above two scenarios .
As mentioned at the outset, we are refraining from giving a formal guidance on where we expect the cost-to-income ratio to settle . However, I w ould just highlight the fact that the gold loan business is now operational and should contribute to the spread and free reven ue in H2 FY23 . This is a high yield business and as highlighted on Slide 9, the dis bursal yields in th is business during Q2 FY 23 was 1 5.1%. I hope this offers you a pers pective on the cost -to-income ratio .
Secondly, despite the sharp increase in our operating expenses, we have reported an increase in our operating profit by 4.3% YoY and 6.4% YoY in Q2 FY23 and H2 FY2 3 respectively. This is important as it shows our ability to improve our incremental profitability at a co nsolidated level even when we are at an operating leverage disadvantage.
Coming to the credit cost and asset quality, we reported a net credit cost of Rs40 million in Q2 FY23 . This includes Rs50 million net write -off and a release of Rs10 million in ECL provisions . This is a sharp deceleration from Rs246 million w e reported in Q1 FY23 . The H1 FY23 credit costs Rs286 million is only marginally lower than H1 FY22 credit costs, which was Rs289 million.
During Q2 FY23, we recovered Rs145 million from previously written -off cases. This includes a major recovery of Rs138 million including interest (~Rs15mn) from a write-off we too k in Q3 FY22 . Cumulatively in H1 FY23, we have recov ered Rs154 million from written-off cases . To reiterate, our stance in this regard , our approach to write -offs is one of prudence. We have firm and adequate collaterals that should help us recover our dues .
The Stage-3 assets stood at Rs1,78 1 million , lower than Rs1,840 milli on in Q1 FY23 and marginally higher than Rs1,750 million we reported Q

2 FY22 . The
Stage -3 ratio stood at 2.36% , lower 35bps QoQ and 89bps YoY. Our provision s on Stage -3 assets were 28.6%.

The standard restructure d assets constitute d 2.3% of AUM. Around 50% or Rs900 million of restructu red assets have exited moratorium . As we speak, 75% of the pool has begun servic ing regularly EMIs . We expect the remaining pool to exit moratorium by Q1 FY24.
Turning to bottom line, our cons olidated net profit after tax increase d 22.1% QoQ and 7.3% YoY to Rs56.3 million. The H1 FY23 net profit is up 4% to Rs1,023 million . Here, I would like to draw everyone's attention that despite the gold loan losses in Q 2, which is almost about Rs24 crore, we have achieved an increase in the overall profit. Had not gold loan loss es happened, the profit would have been about Rs75 c rore.
We reported a capital adequacy ratio of 26% for CGCL and 39.1% for CGH FL. The capital adequacy ratio of CGCL declined 9 78bps during the year as we set ourselves on a growth path over past one year . The proposed capital infusion to Rs12 billion through ri ghts issue would be timely and augment our growth equity. We hope to communicate the timeline of the capital raise in near future.
Before concluding, a word on our digital and tech initiatives. We have recently hired senior leaders hip positions in data analytics and digital partners hips . While the brick -and-mortar nature of our business i s unlikely to change, technology shall increasingly play a crucial role in how to efficiently deliver on these initiatives. All our tech initiatives shall remain focused towards that end. With that I conclude my commentary . We shall now take questions.
Mod erator: [Operator Instructions] We have the firs t question from the line of Akshay Doshi from InCred Capital. Please go ahead.
Akshay Doshi: Sir, my firs t question is that the MSME share of overall AUM has been declining in this quarter and you have guid ed previously that to remain in the range of 45% to 50%. So , Sir now along with our gold loan a mbitions growing high , how will this share shape up going ahead? So that's my firs t question. And , also Sir, on the

disburs ement under the MSME sector, tha t has been also declining in this sector .
Any specific reasons on that part?
Rajesh Sharma: So, cost income ratio while it is coming down, overall is looking higher. But gold loan also start contributing the way the AUM is growing . Every bran ch break s even and start s contributing after 18 months of time. So, this is an investm ent phase. However, our growth in MSME shall continue …MSME and affordable housing remain good growth drivers . So, I don't see that MSME disburs ement

growth has gone down. If you look at our MSME disburs ement during the current quarter , it has been about Rs312 crore s compare d to previous quarter (disbursals) of Rs182 crores, which is about 71% growth. If we talk YoY basis, the last year same quarter was Rs247 crores and this year it is about Rs312 crores . So, it's again 30% YoY. So MSME is going to remain our key gro wth driver .
Akshay Doshi: Sir, my second question is that how much of the co -lending we would have done till now? And any new tie -ups here? Also , Sir with the co -lending, gold loan , and car loan businesses, what sort of return on equity and return on assets do you think to come in the next few quarters ?
Rajesh Sharma: So, in co-lending, we have various partners . A new partner was added in Punjab and Sind Bank . So far co -lending is still not happening through an entirely technological interface with the bank, which is under development with the bankers . Once t hat happen s, the pace will pick up. However, we have already done about Rs350 crores plus amount in co -lending and that is growing month -after -mo

nth . It is not possible to give a ta rget on that because that has so many factors . But steadily, we are growing about Rs30-35 crores plus . This is s till likely to increase with th e addition of the new partner in the previous month, which has been activated.
With regards ROE and ROTA at the moment, it is not possible for us to give any guidance. But overall basis, we need not to put any much capital, only 20% of capital allocation happened of the overall profitability. For every Rs100, while the spread comes on is Rs80 on which the bank partner lends and 20% of what we land only that much capital is required. So typically, for every lending of Rs100, capital is required only on our share of 20%, whereas the spread comes from the entire Rs100. So , it will be very -very ROE accretive.
Moderator: Thank you. Reminder to all the participants, anyone who wishes to ask a question, may please press star and one. On their touchtone phone. We have the next question from the line of Anuj Narula from JM Financial. Please go ahead.
Anuj Narula: So, I have a couple of questions. One is on gold loan business and another one is on car loan distribution business. So , the spike on opex front is mainly attributed towards your expansion plans in gold loan business verticals. Now you have plans of getting over 1,500 branches in the next 4-5 years . So how much more opex do we expect here? And how would our cost -income ratio look like in the next couple of years ? Also, how many branches are we planning to open in FY23

itself? A nd what sort of gold loan AUM are we targeting by the end of this fiscal year?
Rajesh Sharma: Your voice is broken. Can you repeat it again please?
Anuj Narula: Yes. So , the spike on opex front is mainly attributed towards your expansion plans in gold loa n business verticals. Now you have plans of getting over 1,500 branches in the next 4-5 years . So how much more opex do we expect here? And how would our cost to income ratio look like in the next couple of years ? Also, how many branches are we plan ning to open in FY23 itself and the gold loan AUM we are targeting by end of this fiscal year? And another one on the car loan distribution as well. So , in this, like I just wanted to unders tand like on this with car loan distribution business, what's our strategy for growth here? And how are we different to other peers working in this space? Will we expand our bank networks to more banks for distribution of this product? Thanks Sir. These are my couple of questions.

Rajesh Sharma: So, if you talk about our cost-income ratio excluding gold loans, it has come down from 59 % to 49%. However, our target is to open about 550 gold loan branch es this year . Next year, we want to activate a similar number of branches . So, till the end of FY 24, the expansion will continue. And th en the expansion will slow down . The p ace will not be that sharp because by that time we would have achieved our 1 ,500 b ranches . Our gold loan b ranches start contributing after a year to 18 months . So, until then , we have to keep investing. However, we see clearly that margin s from a car loan as well as the MSME and affordable housing will keep growing with the increase in AUM growth because that is also growing at the rate of 35-38% YoY. So, with that, we don't see much pressure . Plus, we intend to infuse capital by way of rights issue also. So , in combination of everything …and gold loan s are a high -yield product. It is a product where we will make maximum money in ter ms of spread . With more branches, I think we will be able to build sizable AUM . As far as the car loan origination partners are concerned, at the moment, we are strict . We might add one or two more. But more focus is with the PSU bank s where their pricing is lower. And in terms of service quality , collection eff

iciency , and other aspects, we are able to pitch in for them . So, it's a win -win situation for customers , for bankers , and for us . So, while private sector is already growing in a good way , the PSU banks are also growing their presence and the ir rate of interest is also attractive. So , we're helping with collaboration with our existing distribution network and it is pure ly fee base d income . So, as I said, this year, we should be able to do Rs100 crores gross fee

income from this and Rs30 crores should be the contribution from this vertical alone to the bottom line.

Moderator: Thank you. We have the next question from t he line of Shreepal Doshi from Equirus Capital. Please go ahead.

Shreepal Doshi: Sir, my question was with regards to the gold loan business. As it is mentioned in the presentation, the disburs ement yields are close to 15%. And if I look at our overall busin ess yield for our company , it is close to 1 4-15%. The second part or the second observation that I would want to add here is that in the gold financing space, we are already seeing such high level of competition from banks and better cost o f fund players . Then what is it that pushes us to enter a landscape which has already seen moderation in yields ? As your yields are also close to 15%, it doesn't give you abnormal profits from what you're already making . And then because these branches are exclusive branches that we have added and we aspire to further move that up significantly in the coming second half , what is it that sort of motivates us to extensively do this business?

Rajesh Sharma: What you are saying is very correct - that gold loan business has a strong competition coming in. And there might be a margin compression. But if you look at the theme that Capri Global operates on – it is servic ing the customers who are not catered to by the bank s - whether it be MSME , affordable housing, or be it our gold loan - the product and philosophy remains the same . By borrowing money from bank, we don't want to target customers which can be catered to by a bank.

We are targeting a particular type of customers who do not have adequate income proof . Now if we are able to operate in North and West, where the gold loan business is growing much faster than the gold loan business growing in South India , I think an opportunity exists. Plus , as you know, we have already passed earlier (an enabling resolution to apply for a) small finance bank license. It help s us to acquire more customers , to know their behavior , whether we can cross -sell - home loan or MSME loan or any other product in the future. So , keeping an eye at some point of tim e for applying for a small finance bank and also acquiring more customers , we want to add this (gold loan business) . I still believe that many players who were doing (gold loan business) earlier, if you find some new ways to reduce costs with the help of technology , with the help of other measures, there still is a large business (potential) . To build a book of Rs10,000 crores in a Rs4-5 lakh crores market, which is still growing at the rate of 10% , (or in other words) building a book (with an overall market share) of 2-2.5%

in the next five years …we can do it profitabl y, I believe that. And this is going to contribute towards our profitability, our customer acquisition, overall strategy to serve the customers who are not satisfied by the bank.
Shreepal Doshi: Sir, my second question was with respect to our approach in the gold fina ncing. So, are we more urban focused, semi -urban or rural? And what is -- like how are we -- what is our hiring strategy with respect to employees? So , if you could just throw some color on the approach in that business model.
Rajesh S harma: Ou

r business model about gold loan or overall ?
Shreepal Doshi: Gold loan, Sir, gold loan.
Rajesh Sharma: Gold loan business is a model where our model is going to be where a customer walks in to our branches. This is not a model that you can target t he customer by reaching out to them. In MSME and affordable housing there can be a specific area o r specific cases where houses are being built or being sold . But i n case of gold loans , we have to make people aware a bout the bran ch where we do this. And in the geographi y, we have to be deeper . From an operating ex pense pers pective, we have to be deeper in the geograph y we are operating in so that our costs can b e lower. And these are typically ground floor branches . We have a team of people, and we know how to d eliver a better service , turn around quickly in the next 10-15mins and give the loan . We want the customers who would be walking in the branch to g et the loan in the same time. You appraise their gold , find the value , and offer them the loan. And periodically , you see that i n the ba d account s, we are able to a uction the gold and recover these loans. So, what we see here, I think this model is not something about great id ea. It is going to be about efficient execution.
Moderator: Thank you. [Operator Instructions]. We have the next quest ion from the line of Ashish Kumar from Infinity Alternatives.
Ashish Kumar: I know there have been some discussions around gold loan and I missed that. I think the question which I have is that we've seen these repeated rounds of competitive intensity in t he gold loan business. And a number of new entrants do not kind of end up making it because the operating costs do not justify the throughput per branch. So why do we believe that we do have a right to win in that business?

And this ques tion is especially in the context of the fact that the whole gold loan financing business has been seeing tremendous competition from the banks. I have seen, let's say, the ROEs for the market leader dropped from 28%, 29% to 16%, 17% and some of the well -established names are now looking at low double -digit ROEs .
Rajesh Sharma: I think North and West as I said will continue to grow. It does not have the deep coverage and concentration what South India has. So , there an opportunity exists . Our entire MSME - 145 branches are in the Gujarat, MP, Rajasthan, Maharashtra , and NCR. And I believe, as I said gold loan overall market size is close to Rs4 lakh crore s which is inching up at 10% annually . Can we have a 2% share of the opportunity – the answer is yes. And even though it makes a n ROE of 16-17%, that is perfectly al right. That's why we are targeting higher. But on a conservative side, even if we take that , I think in a secure portfolio where we now press the accelerator, we gro w the AUM, we are very very confident that the credit loss is not going to be surpris ing. I think in that kind of b usiness with even a 16-17% ROE, we are absolutely happy about it.
Moderator: We have the next question from the line of Amresh Kumar from Geosphere Capital. Please go ahead.
Amresh Kumar: Since there is so much discussion on gold loan and just one more question on that. So , is this gold loan business totally separate from your other lending businesses or is there any commonality between the customers so far? And if that is the case, how much? So , for example, your existing MSME customers , they are also borrowing against the gold collateral or what is happening there?
Rajesh Sharma: So, your voice is somehow breaking – so maybe at my end, can you repeat your question, please?

Amresh Kumar: Sir, my question was, if this gold loan business of yours , is it totally separate new
business or is there any commonality be tween your existing customers and this
gold loan busine

ss? For example, are your MSME customers also availing any
new loans against gold collateral or not?
Rajesh Sharma: So, if we ask how m any of our MSME customer s will come for a gold loan, how
many customer s who have come for loan, will come for MSME , it is very difficult
to comment. Some percentage may be common in future. But we have just
started. At the moment , our target is to build the AUM and then see what cross -
selling can be done. But yes, there a re many MSME customer s, who for the

season …for example, (consider) a shopkeeper who can get a good discount, say
in the peak season of Diwali and want s to avail a quick Rs2 lakh loan for 60 days
without going to the bank . It is a gold loan product, whi ch can give them the
money in 1 hour for 60 days . And then again, he can repay. So , there are many
MSME customers we see across all other players . Some take the money , utilize
that cash discount, which is much more attractive than the interest cost , and that
helps them in their profitability. So , there could be some segment which we have
seen happening in other gold loan companies. But are we targeting that way?
We are not targeting that way. That could be an additional upside . However, the
gold loan vertical on a standa lone basis has to deliver its target . That is the way
we are going to track it and that is the way we are going to operate.
Amresh Kumar: So, second question is not related to gold loan, it is related to MSME loan. So,
what has been the top -up loans disburs ed in the last quarter or so to these
MSME customers ?
Rajesh Sharma: Can you repeat it, please?
Amresh Kumar: Top-up loans to MSME customers , just trying to unders tand the top up demand?
Rajesh Sharma: So, top-up loans unless the customer property value has a cushion, unless
customer 's track record is more than 36 months, we on an overall basis don't
encourage a top -up. Top -up is only given to our existing customers with an
excellent track record . Or suppose some customer has a property value of Rs50
lakh s and has only tak en Rs10 lakhs loan because he didn 't need at that point of
time . But if he come s again and we see a cushion in property value plus his
performance , then we can consider. How many customers take a the top of loan,
I think it is less than 10% at the moment.
Moderator: As ther e are no further questions from the participants, I would now like to hand
the conference over to Mr. Rajesh Sharma for closing comments.
Rajesh Sharma: As I said during my initial remarks, we will continue to remain focus ed on serving
the customers which are not catered by the bank. Our key growth driver is going
to remain MSME and affordable housing . Gold Lo an is a new addition . There will
be a good fee income contribution from the car loan distribution business. Th is is
a pure fee play and is goi ng to contribute to almost 1 -1.5% to the ROE.
We clearly see that in next 5 years , we intend to build a very high -quality , secured
book and continue to grow o n our strategy, which we decided few years back –

portfolio which is good in quality and focus on a growth of 25% plus. Barring the
COVID year, I think in all the year s, we have continue d doing that. Our growth
rate in five years excluding the Covid year will still be 25% plus. We continue to
remain on that pa th. And our capital adequacy ratio has remain ed high, which
clear s the way for our growth.
Our liability side has been very, very strong with the competitive cost in housing
finance . We get money from NHB at less than 4% and that helps us to get better
margins . In MSME and NBFCs, we have more than 2 5* lenders which keep
lending us repeatedly with lending cost of some being better than our peer
companies . So, liability side has bee

n very, very strong for us. So overall, we are
quite confident in achiev ing our growth and maintain ing our asset quality. Thank

you so much.
Moderator: Thank you. On behalf of Go India Advisors s, that concludes this conference.
Thank you for joining us. And you may now disconnect your lines.
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*21 lenders in Q2 FY23

Call: Feb 2023

February 4,2023
TheSecretary
BSELimited
Pheeroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai -400001
Scrip Code: 531595TheSecretary
National Stock Exchange ofIndia Limited
Exchange Plaza, 5thFloor
PlotNo-'C'Block, GBlock
Bandra-Kurla Complex, Bandra (East)
Mumbai –400051
Scrip Code: CGCL
Sub: Intimation pursuant toRegulation 30ofSEBI (Listing Obligations andDisclosure Requirements),
Regulations, 2015, regarding Q3FY23 Earnings Call-Transcript
Dear Sir/Madam,
Further toourletter dated January 25,2023,intimating schedule oftheEarnings Conference Callon
January 30,2023todiscuss theCompany 'sQ3FY23 Earnings, weareattaching herewith thetranscript of
thesaidConference Call.
Theabove isforyour information anddissemination toallthestakeholders.
Thanking you,
Yours faithfully,
forCapri Global Capital Limited
Yashesh Bhatt
Company Secretary &Compliance Officer
Membership No.:ACS20491
Encl.: Asabove
Capri Global Capital Limited
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Indian Num bering System Legend
INR 10 Lakh s = INR 1Mn
INR 1 Crore = INR 10Mn
INR 100 Crore s = INR 1Bn
INR 1 Lakh Crore = INR 1Tn

NOTE:
1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.
2) Factu al corrections are marked at relevant places in the transcript and are referenced to footnote /s.
3) Certain recurring terms like 'year -on-year', 'quarter -on-quarter', basis (refer ring to basis points) in the audio transcript have been shrunk to 'YoY', 'QoQ', and 'bps' respectively.

Q3 FY23 Earnings Conference Call
January 30 , 202 3

Man agem ent
Mr. Rajesh Sharma
Founder & Managing Director , Cap ri Global Capital Ltd.

Mr. Ravikant Bhat
Sr. V P - Investor Relations , Capri G lobal Capital Ltd.

Moderator: Ladies and gentlemen, good day, an d welcome to Capri Global Capital Limited Q3 FY23 Earnings Conference Call, hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation c oncludes. Should you nee d assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ravikant Bhat from Cap ri Global Capital Limited . Thank you, and over to you, sir.
Ravikant Bhat: Good morning, everyone. This is Ravikant. I shall read out a brief disclaimer for today's call. The discussion on today's call regarding CGCL's earnings performance will be based on judgments derived from t he declared results and information regarding business opportunity available to the company at this time. The company's performance is subject to risks, uncertainties and assumptions that could cause actual results to differ materi ally in the future. Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results. A separate disclaimer is available on Slides 2 and Slide 3 of the Q3 FY23 investor deck. Participants are requested to note the s ame.
I now request our MD, Mr. Rajesh Sharma to present the opening remarks. Over to you, sir.
Rajesh Sharma: Yes, good afternoon, friends. Like always, it is a pleasure to welcome you all to Capri Global's post earnings conference call. Let me start by wishing you all a Happy New Year 2023. We declared our reviewed consolidated results for Q3 and for 9M FY23 on Saturday 28, January 2023. I hope you had a chance to go through the investor deck. With our right issue proceeds yet to be conclud ed, we

will have to refrain ourselves once again from giving a specific forward guidance.
I hope our discussions today around CGCL's performance during Q3 and 9M FY23 will provide you all with the sufficient clarity and cues to understand the direction of company's progress. In this commentary, all references to profit and loss and balance sheet aggregates as well as ratio s shall refer to consolidated value s. All reference s to Urban Retail shall mean MSME and A ffordable Housing.

As you would hav e noted, we have reported a decline of 42% YoY and 14% YoY in our Q3 FY23 and 9M FY23 net profit, respectively, driven majorly by the cost we incurred in the gold loan vertical. I shall elaborate on this later in this call. Let me first start with our busin ess performance.
Please refer Slide 6 and Slide 7. Asset s Under Management increased 49.9% YoY and 11.4% QoQ to touch INR 86,525 million. The share of retail loans improved to 79.1% from 74.4% in Q2 FY23 . The share of construction finance segment where g rowth was stronger in H1 FY23 due to a strong sanction s and disbursal pipeline , soften ed 200bps QoQ to 19.4%, below our threshold of 20% at consolidated level. This is in line with our previous commentary that construction finance momentum shall be softer in H2 FY23 .
Disbursal s touched INR 18,105 million, growing 43.1% YoY and 21.7% QoQ . Disbursal s for 9M FY23 stood at INR 43,917 million and were up 57.9% YoY. The share of retail disbursal s comprising MSME , Affordable Housing , and Gold Loans was 75.5% in Q3 FY23 compared to 47.7% and 35% in Q2 FY23 and Q1 FY23 respectively.
Gold Loans led the momentum in disbursal s during Q3 FY23 , constituting INR 7,741 million or 42.8% of total disbursals. This translated in Gold Loan AUM touching INR 7,152 million, con stituting 8.3% of total AUM compared to a 1.8% share in Q2 FY23 . This rapid scale up was supported through an exp ansion of exclusive gold loan branches, which increased from 182 in Q2 FY23 to 449 in Q3 FY23 . I shall discuss the core impact and our commitme nt to this business while discussing the earnings performance.
As part of our growth strategy, we continued expanding our urban retail network deeper and in conti guous geographies. We added 15 urban retail branches across Rajasthan, Uttar Pradesh and ope ned our maiden branch in Bihar in the state capital Patna *. Our non -gold loan branch network stood at 160 ^ up fr om 145 in Q2 FY23 . Our total branch network stood at 609 ^, up from 327 Q2 FY23 .

Details on our network expansions are given on Slide 29 and 30 ^.
The car loan distribution business continued with this strong momentum. As shown on Slide 12, the loan originations at INR 16,920 million, up 3.1x YoY and 24% QoQ basis. Total origination in 9M FY23 stood at INR 39,975 mil lion over 2.3 x FY22 originatio ns, which were INR 17,022 million. I shall discuss the fee contribution from the vertical while commenting on our earnings performance.
As of Q3 FY23 , the car loan distribution business had a presence in 322 location s
*Car Loan Branch, ^161 / 610

in 29 States and Union T erritories , unchanged from Q2 FY23 . The vertical has six * exclusive branches and in other locations, it operates through its feet -on-street sales force.
I shall now turn to our earnings performance. I shall be referring to Slide 14 to Slide 17. The net interest income or NII increased 17.5% YoY and 5.3% QoQ to be 1,610 million. The net interest income in Q2 FY23 was boosted by certain one-off components amounting to INR 130 million attributed to recoveries. Adjusted for the same, the net interest income increased 15.1% QoQ .
The net interest margin computed on average net advances were 8.45%. Adjusted for the one -off item in Q2 FY23 , the net intere

st margin was up 34 bps
QoQ, while unadjus ted NIM declined 41 bps QoQ . The near -term pressure on net interest margin has been higher on account of lagged repricing of loans compared to borrowing s. We expect net interest margin to stabilize, incremental loan mix changes in favour of higher yielding loan s as well as the repricing of existing loan book.
Let me now turn on non -inter est income. During Q2 FY23 earnings call , we offered some historical perspective on CGCL's non -interest income, which has seen its share in n et income rise from an average 14.5% between FY 18 to FY22 to 26% H1 FY23 . The non -interest income has become an imp ortant structural earnings driver for CGCL contributed by two key product lines, the net fee income from car loan distribution business an d number two, the income on assigned portfolio under co -lending mechanism. Continuing with this analysis, I'm pleased to inform the share of non -interest income to net income improved further and stood at 32.4% and 28.6%, respectively, in Q3 FY23 and 9M FY23 , respectively.
The car loan business contributed INR 333 million and INR 800 million in net fee during Q2 FY23 and 9M FY23 , respectively. The income from co -lending portfolio constitute d INR 200 million and INR 385 million o r 8% or 6% net income in Q3 FY23 or in 9M FY23 , respectively. I would like to mention here that presently, we are not targeting any mix of spread and non -spread income. Both the non -interest income streams are doing well and have a strong grow th run way given the scope of intermediation and bank partnerships.
I shall now turn to the operating expenses. Please refer to Slide 16. Since the beginning of this year, we have not given a specific guidance on cost income ratio. We have generally said our cost ratios have remained lopsided on account
*eight

of aggregative expansion plans. In line with that, the cost -income ratio got pushed up further to 69.5% in Q3 FY23 . As highlighted on Slide 16, adjusted for the expens es incurred in gold loan vertical, the cost -income ratio would have been 47% in 9M FY23 .
Based on our internal classification, we estimate a loss before tax of INR 975 million in the gold loan ver tical in 9M FY23 . We have slightly modified our cost average AUM ratio graph to include an additional line gra ph. We have presented Costs / Average AUM ratio by including the car loan origination volume during the respective quarter in Average AUM definiti on. This gives a better perspective as the employee expenses incurred on the car loan vertical is captured in our opex, while the fee generating car loan is not part of our AUM. The Cost /

Average AUM ratio has risen 329bps in trailing one year while the Cost / Average AUM ratio including the new car loan origination has risen by 234 bps in the same period.
I would also like to highlight that we ha d already onboarded a significant number of staff for Gold Loan vertical branch rollout in Q2 FY23 . This was to ensure bench strength ahead of the plan ned roll out in Q3 FY23 . Hence, the average headcount in the G old Loan vertical at the beginning of Q3 FY23 was 13 / branch. It normalized to 7 / branch by the end of Q3 FY23 . This contributed to the increased employ ee opex in Q3 FY23 . The necess ity for such pre-rollo ut hiring has now reduced with our initial presen ce getting established . We had planned a gold loan branch count of 55 0-650 in FY23. Having rolled out a significant number of planned branches in 9M FY23 , the incremental employee additions and opex intensity should soften in Q4 FY23 .
Now I'm coming to credit cost and asset quality. We reported a net credit cost of INR 245 million in Q3 FY23 . This includes INR 188 million net write -off and INR 57 million in ECL provisions. Despite the spike in Q3 FY23 , the cumulative credit cost in 9M F

Y23 was INR 530 million, 50% of FY23 credit cost of INR 1,057 million. The 9M FY23 annualized credit cost stood at 94 bps compared to 124 bps 9M FY22 .
The Stage 3 asset s increased 7.3% or INR 130 million Q oQ to touch INR 1,911 million. We expect cash recoveries from some of these slipped accounts in Q4 FY23 . The Stage 3 ratio stood at 2.36%, -66bps YoY and -4bps QoQ . Our provisions on S tage 3 assets were 29.1%, marginally bette r than 28.7% in Q2 FY23 . Standard restructured assets stood at INR 1,454 million constituting 1.8%

of AUM, approximately INR 1,100 million -plus of restructured assets have exited moratorium and other INR 350 millio n shall exit moratorium in Q1 FY 24.
The c ost drivers discussed earlier in the call subdued profitability in Q3 FY23 .
Our consolidated net profit after tax declined 42.3% YoY and 13.5% QoQ to INR 374 million. The 9M FY23 net profit was lower 14.4% at INR 1,398 million, excluding the direct costs i ncurred on the gold loan vertical . Our Q3 FY23 and 9M FY23 net profit would have been higher by approximately 32% on YoY. We reported a capital adequac y ratio of 24.2% for CGCL and 38% for CGHFL. The proposed capital infusion through INR 14.4 billion right issue will be timely and augment our growth equity. We hope to communicate the timeline of the capital raise in the near future.
With that, I conclude my c ommentary. We shall now take questions.
Moderator: We have a first question from the line of Uday P ai from Investec.
Uday Pai: I have two questions. What will be the gold loan yield on a steady -state basis , considering that 15% which seems lower pricing? And what is the quarterly disbursement in gold loan that you are targeting?
Rajesh Sharma: Yes. Can you repeat the question, there's a lot of background noise is coming.
Uday Pai: Yes. So , what would be the gold on yield on a steady state basis ? And what i s the quarterly disbursement of gold loans you are targeting?
Rajesh Sharma: So, gold loan yields wh en we -- now the rollout, the beginning, you had to add a lot of customers have a yield in the range of about 15.5%. But slowly, it is going up. So when the retail customer segment is increasing of the low -ticket size, the yield will start going up . Our ta rget yield will be in the range of 19%. So gradually, we'll see our yield is inching up.
In Q4 and next year, Q1 FY24, you will se e the yields improve significantly when the branch gets some vintage. And we are targeting the gold loan book to cl ose in the range of about INR 850 crores in Q4 FY23 and will continue to grow depending on the branch rollout and everything else. But we are targeting about INR 3.5 crores, INR 4 crores per branch AUM within 15 months from the date of its starting operati ons.
Moderator: We have our next question from the line of Gaurav Sharma from HSBC.

Gaurav Sharma: Congratulation on a great set of nu mbers. Just three questions. So one is like, Sir, your AUM mix is shifting towards gold loan s, and just from MSMEs coming. So I just wanted to know the steady -state mix of your AUM? That is one. Second is, Sir, in gold segment, some of the bigger NBFC playe rs mentioned that we are also getting aggressive. The y are also expanding their standalone branches in gold. So how do yo u see the competition? And how you cater that …how are you going to counter that? And third, my question is related to the car loan disbursement showing a great momentum. So -- and you have mentioned that you're operating -- you have the branches -- you hav e just six branches and you're operating at 322 locations. So just wanted to know more about your operating model in this segment. An d if you can provide the OEM mix in that, like which are the largest contributor in this fee income, it will

be really help ful.
Rajesh Sharma: So if you talk about the competition in the gold loan, yes, there is a competition, but there is a market also gr owing market of about INR 3 ,50,000 crores is growing at the pace of 12%. A majority of growth is still contributed and cater ed by the NBFCs. So to build a book of INR 10,000 crores, which you have said earlier, in next four to five years should not be , given the size, given the growth coming up, be a problem. And it depends on how fast you build a brand and how fast you q uickly build a confidence among the borrowers to come and take the loan from you. So for that, we are continuously doing our radio ca mpaign, you must have seen that even cricket team, Gujarat Titan , the IPL cricket team, we have taken the sponsorship showing th e Capri loans. So various campaigns are going on to build that brand. And I think that is showing up. We have built a very fast INR 700 -plus crores of AUM in less than six months. So I think it's very credible as (far as) I am concerned. So we feel competit ion is there, but market size is growing.
If you talk about car loan, it is a purely fee income where the referral is given to the ban k and we assist the borrower to have a hassle -free disbursement in a fastest turnaround time. So it is a mix of technolog y and feet on the street. While the branches are six, but we have our connector model also, so we get the lead. We use some technology there and we use our local feet on the street combined . And I think, we are one of the largest player in this seg ment and fee income is directly contributing to the bottom line. So , we work on the unit economics as well. This year, I think we are t argeting a fee income of INR 100 crores, and it will significantly contribute to the bottom line.
Gaurav Sharma: And Sir, lastly on the steady state of the AUM mix, what will be the share of gold loans and MSME?

Rajesh Sharma: So, I think initially, it can be depending on the branches, but if you talk about four to five years, how it will look like, gold loan will be about 2 5% of AUM and 25% of AUM will be MSME and about 30% will be home loan and about 20% will be construction finance. That is how it will look like.
Moderator: We have our next question from the line of Bunty Chawla from IDBI Capital.
Bunty Chawla: So firstl y, what is the incremental cost of borrowing for us during this quarter and how the cost of fund will shape up in Q4 FY23 ? And simil arly, what will be the impact on the margin front going forward?
Rajesh Sharma: So, our cost of borrowing for NBFC is in the range of about 9%, which has gone up by about 70 bps from one year ago. And our Cost of Fund for Q4 for our housing finance subsidiary , which was earlier about 7.25% has also gone up to about 8%. If you talk about the Cost of Funds, it will remain in the sam e range. Our new borrowing s are happening at increased rate. And all the customers which are on floating basis , we have already passed on this hike. Only the customer s where we have given fixed rate loan s for three years, we are not able to pass on that rate because that is how that has been designed.
So, Cost of Fund will not be able to put pressure on the bottom line to the extent that we are able to pass on (rate hikes) to certain segment s of customer s. And I think this is a cycle when the interest rate goes down, then those segment of customers still continue to pay a t higher rate. And when the cycle is going up, still the customer enjoys. So on the longer term, those set of customers that do not create much of the problem for the bottom line. But why will it give you fixed because it helps to retain the customer for a certain period because we incur a

cost on that. So based on the category of customer, we offer floating and fixed.
So, Cost of Fund increase will not put much press

ure. We have already passed
on to the customer as well as the new loans are booking at the increased rate of
interest.
Bunty Chawla: And Sir, similarly, in the liability mix, if you see, the bank borrowing s has
increased. So , are we focused more towards bank borrowings? Is there any
specific reason?
Rajesh Sharma: First of all, the bank s give long -term money, about seven -to-eight -year money we
can have from the bank. And PSU bank s' cost of funds is cheaper to us as
compared to private sector bank. So , if you see the rate of interest a State Bank
of India can offer, perhaps the midsized private sect or may not offer. So , we

always see who can give us long -term rate loan and who can give a better rate of
interest. So , these two criteria, we g o with for our borrowing mix.
Bunty Chawla: Sir, la stly, last week, Bajaj F inance has shared similarly, as we are going
aggressive in gold loan branches in gold loan focus. So how should one see that
in our overall market pie, is that increasing? Or are -- it's altogether different they
are focusing as we are focusing. How should one see versus Bajaj Finance in
terms of gold finance?
Rajesh Sharma: So, I think any sector which is offering a margin, there will be competition,
competition will increase. But we have to drive a comfort from that overall.
Market is also growing. So , it is not that the market is stagnant and more players
are adding on. So , if INR 350,000 crores market is growing 10%, 12% , I think that
offer s good room for the new player to come in as well as the existing player s to
grow their book.
Moderator: We h ave a next question from the line of Ashish Kumar from Infinity Alternatives.
Ashish Kumar: Sir, a couple of questions on the gold loan business. One is you mentioned that
each branch you're targeting INR 3.5 crores to INR 4 crores of AUM. So what kind
of an opex as a cost to AUM will you be having at that, once we achieve that?
Rajesh Sharma: If you talk about costs, I think every branch, we have a cost in the region of about
INR 2.5 lakhs to INR 3 lak hs a month. So we break even every branch at INR 3.5
crores level on an average basis .
Ashish Kumar: And so basically, for us to be able to hit our numbers in terms of profitability, let's
say, 5% NIM, correct? We will need to at least have maybe 5% PPOP -- sorry, what
I mean is at least INR 6.5 crores per branch, INR 6 crores, INR 6.5 crores?
Rajesh Sharma: I may not be able to answer that immediately because I have not analyzed it that
way. But after INR 3.5 crores, we start making and it star ts to directly add to the
PBT, I would say. So if you buil d AUM INR 6 crores and assuming those cost
parameters, then on the balance INR 2.5 crores, we should be able to make
about at INR 25 lakhs of an operating profit.
Ashish Kumar: Fair enough. These are o perating profit per branch, which is made of 3%, 4% and
a 3% RoA. Sir, the second question was in relation to the whole competitive
scenario. In gold loan, you're seeing traditional market standalone leaders like
Muthoot and Manappuram from struggling to g row their AUM.

From a purely from a timing perspective , given the fact that we are looking at INR
3.5 crores maybe in 18 months, 15 to 18 months' time, is it a right time to enter
into this business because everybody, including the banks have become supe r
hyper competitive in this space. So do you think it ma kes sense for the
competition to reduce a little bit because like we have seen in the past, every
time a few people entered in and some people figure out that they can't make
money on this business an d exit the business. The banks get busy with the larger
ticket size lending. So from a purely from a timing perspective, does it make
sense for us to wait and rather than go so aggr

essive in terms of the gold loan
branch opening? Or do you think...

Rajesh Sharma: So our belief in and analysis is , if y ou want to enter into gold loan, you have to have a wider branch network in a very small ticket size, INR 80,000, INR 90,000, INR 50,000, INR 100,000 kind of a loan. So unless you have a size, you can not make profit out of it. And you should be able to abs orb the first 15 months operating losses every branch will throw. Unless the branch reache s breakeven point and start building AUM thereafter, it will not make money. So that kind of capital allocation is r equired. So in some ways, it is an entry barrier for a smalle r player to do gold loan.
So still, if you see Muthoot and who has reached the INR 12 crores per branch. Even if they are able to maintain, they are super profitable in terms because they are in this business since long. So any branch which is reaching at a I NR 7 -8 crores and above , that will start delivering higher profit. And any segment which is offering profit, it is natural to attract more players and more competition. But it still all about your branch presence, your ability to build confidence among the borrowers. And these are the two facts that help you to build a high AUM.
We are quite confident that we have MSME, we have a home loan, we have car loan lead referral business and the gold loan. So some sort of cross -selling will also be possible. So we have to work on the cost efficiency also. And with the multiproduct, we have to believe in the cross -selling aspect. Combination of this, I think this bus iness also in the plus positive side that if your processe s are set, when you accelerate it, I think you need not worry about the delinquencies , whether your profits will be affect ed. So there are every plus and minuses, but overall, it is attractive business model to follow if you are able to continue to expand your network and achieve a size.
Ashish Kumar: So I understand where you're coming from. I was coming more from a -- while from an absolute amount of profit pool, I agree with you completely. And I

understand i t. I was coming more from an RoE perspective because anticipa ting somebody like Manappuram who has been for so long is struggling to get to a mid-teens kind of an RoE. So anyways, I understand where you coming from.
Thank you, sir, and wish you all the best.
Moderator: We have a next question from the line of Gaura v Somani from Korman Capital.
Gaurav Somani: Sir, can you share the mix of lending in terms of fixed and floating, which we have?
Rajesh Sharma: Our borrowing?
Gaurav Somani: No. Lending, sorry, the assets, the lending which you have done, currently, wha t is the mix of floating and fixed loan rates, which we have?
Rajesh Sharma: Ravikant, will you be able to share that detail, please?
Ravikant Bhat: Gaurav, so most of our borrowings are basic, if you could just repeat it?
Gaurav Somani: So my question i s the loans which we have given. Can you share the mix of fixed and floating, which we have in...
Ravikant Bhat: So gold loans would be entirely fixed. They reset only on at the end of the tenure. As far as the other loans are concerned, housing and MSME p articularly, these are resettable. So basically, we give out loans that are fixed for a tenure up to three years. And after that, th ey become floating. So typically, in a year, we would have about -- I would reckon at least 25% to 30% of the portfolio at least coming up for , (becoming) eligible for repricing. And construction finance, the resets happen can happen more often.
Gaurav Somani: Sir, my question is on the cost -to-income ratio. In the pa st, you have said that it will be around 60% to 65%. It's hit 70% this quarter. So where do you see this normalizing once the gold loan business stabilize?
Rajesh Sharma: So I think we h

ave to see that had not been gold loan profit * would have debited to P&L account , this cost income ratio would have be in the range of 47%. So if you t alk about overall cost -to-income ratio vertical -wise, so MSME and home loans, our aim will be to bring it to in the range of about 35% -36%. And if you talk about gold, it will be in the range of about 45 % kind of opex.
*expenses

And if we start doing cross -selling and also the BC arrangement and co -lending in the gold loan, that will completely change the dynamics. While we are not saying that when it will happen. But I think next year, we'll have a few co-lending partnersh ips in the gold loan . We'll use our network to originate loan so that we'll be able to compete with even the lower segment of gold loan customer. So the dynamics of the cost -to-income ratio will completely ch ange in our favor in a larger way.
Gaurav Somani: So w e see this stabilizing below 50%, probably a year down the line?
Rajesh Sharma: Yes.
Gaurav Somani: Sir, lastly, on the co -lending aspect, if you can share the amount of co -lending, which you have done till now?
Rajesh Sharma: So co -lending till now, we have done in the range of about INR 450 * crores.
Gaurav Somani: And any, and what is our view on this business on the co -lending business, do you want to grow it or we want to do it on our own book?
Rajesh Sharma: No, we definitely we want to do co -lending business, and we want to grow this. At the moment, a technology interface with the bank s is underway. Once that is accepted, the volumes will increase significantly. And this has an edge where we get a ch eaper rate and the risk is shared . We originate , we collect , and we get a fee. So , while on the profitability side, it has no impact , but on the allocation of capital, these are not required ^. So it becomes very -very highly RoE accretive.
Moderator: We hav e a next question from the line of Kartik Gada from Multiple Wealth Management.
Kartik Gada: Yes. One question on MSME. So in terms of the percentage mix of the MSME disbursals, it's clear because the gold loan has been quite sharp, the increase in gold lo an. That's why the percentage disbursal share has reduced. But even the absolute amounts for last two, three quarters has been lower compa red to previous periods, the MSME disbursals. So can you throw some light on that, what is our thought process? Are we deliberately going slower, or what's the scene out there?
Rajesh Sharma: So if we -- there is no thought process to slow down the MSME di sbursal, if you see our disbursals have not slowed down. The other verticals have also picked up. So you might be seei ng that our disbursals overall MSME have come down,

*~Rs4 06crs / Rs4,060mn ^capital requirement lower

but that has come down because the gold loan has also come up. But if you see our bran ch network is increasing, the branch network is increasing, the disbursals in absolute terms is increasing only. So it is all -time high disbursals are happening in all the segments.
Kartik Gada: Now, I'm looking at Slide 7. So if I take, Q3 and Q4 of last year, the MSME disbursal was INR 3,600 crores, INR 4,200 crores versus that this year for the last -- this year for th e three quarters, it has been INR 1,800 crores, INR 3,100 crores and INR 2,800 crores. So that is where I was coming from?
Rajesh Sharma: Ravikant, will you check that? Because I'm not seeing that much of count.
Ravikant Bhat: Yes, Sir. So what has happene d is basically, you see, we have combined teams for both MSME as well as housing. There is a certain stiffness as far as MSME is concerne d, both on the pricing as well as the overall growth. This is more of a momentary thing. And therefore, we had focused slightly more on

the housing side. So quarterly, there could be some dissonance as far as the growth is concerned. But as Mr. Sharma said earlier, all the three - MSME, affordable housing as well as gold loans would be key retail growth drivers for us. So don't read too much into what has happened during the second (third) quarter. And overall, again, if you see how the MSME portfolio ha s performed, it's up 30% Y -o-Y. And you have to look at it both on book plus the assigned portfolio, where the assignm ent has been slightly higher during the third quarter. So growth is happening. It's just that it shifted a bit to some other segments. But it could return once again going ahead. So we'll be focused on all the three products as far as the growth outlook is concerned.
Kartik Gada: And another question on the housing loan segment. So how is the ticket size been moving for us in this segment? C an you throw some light on that?
Rajesh Sharma: Hello.

Kartik Gada: Yes. So I was asking my second question, which is on the home loan, home loan segment. How has the average ticket size been moving in this segment for us?
Rajesh Sharma: Yes, average ticke t size is in the range of about INR 12 lakhs to INR 13 lakhs. And if the housing prices are growing, it might, at the most can reach about INR 16 lakh, INR 17 lakhs. It is not going to significantly change since we are in the affordable housing segment.

Moderator: We have our next question from the line of Pravin Mule from ICICI Securities.
Pravin Mule: So just a continua tion of earlier question that how you are seeing the incremental demand in MSME segment? I mean any specific segment or geographies we ar e seeing a strong demand. And sorry if I missed this, what is the quarterly disbursement rate we are targeting?
Rajesh Sharma: So if you talk about the demand, demand is depending on our branch network. So suppose we have more branches in Madhya Pradesh, t hen we see the stronger disbursal happening in Madhya Pradesh because our branch network is more. But our Rest of Mahar ashtra branch es are lesser. So we will see lesser disbursement. So it is sometimes a function of our presence also. And if we talk about our disbursals, I think always MSME, we have seen the disbursal of in Q3 about INR 286 crores and construction finance to INR 278 crores.
So if we see this disbursal in last quarter of year happened highest. So it increases QoQ . First quarter o f the year is always lower, and the last quarter is always highest. In that the s equence disbursements happen because loan demand in the push products will happen there. And it happens across NBFC and banking system. So I think we should be g rowing our MSME portfolio in the range of about 25% -plus this year as well.
Moderator: Thank you. As there are no further questions, I now hand over the call to management for closing comments. Over to you, sir.
Rajesh Sharma: Yes. Thank you. So as we said , we will always stick to our core philosophy to build a customer base wh ich banks are not catering to. So we do MSME where customers do n ot have income proof , we do affordable housing , and in the same sequence and thought process , we added the gold loan. And for the fee income, we are doing very well in the car loan distribution. I believe that next two years once our gold loan expansion takes place , every branch will start contributi ng. And at the same time, our MSME and affordable housing portfolio will also grow. Our operating costs will come down and there will be great fee contribution from the car loan and the advertising inc ome of the insurance products. So I think we are inching towards a higher AUM and better profitability.
Technology, we are making a lot of investments and data science team. We have added about 15 people . We are pinpointed. We are analyzing every geography, every prod

uct, everything, and they are making a se a change. That will also help us not only in our asset quality policy, but also in cost to income. So overall, we

are quite confident that we are on a path where we should be able to deli ver better returns for our stakeholders. So thank you all of you for joining the call.
Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
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Call: May 2023

May27,2023
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Indian Num bering System Legend
INR 10 Lakh s = INR 1Mn
INR 1 Crore = INR 10Mn
INR 100 Crore s = INR 1Bn
INR 1 Lakh Crore = INR 1Tn

NOTE:
1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.
2) Factu al corrections are marked at relevant places in the transcript and are referenced to footnote /s.
3) Recurring terms like 'year -on-year', 'QoQ', basis (refer ring to basis points) in the audio transcript hav e been shrunk to 'YoY', 'QoQ', and 'bps' respectively.

Q4 FY23 Earnings Conference Call
May 23 , 202 3

Man agem ent
Mr. Rajesh Sharma
Founder & Managing Director , Cap ri Global Capital Ltd.

Mr. Ravikant Bhat
Sr. V P - Investor Relations , Capri G lobal Capital Ltd.

Capri Global Capital L imited
Q4 FY23 Concall Transcript | May 2 3, 202 3

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Moderator : Ladies and gentlemen, good day, and welcome to the Capri Global Capital Limited Q4 and FY23 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by

pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the con ference over to Mr. Ravikant Bhat from Capri Global Capital Limited. Thank you, and over to you, sir.
Ravikant Bhat: Good afternoon, everyone. This is Ravikant. I shall read out a brief disclaimer for today's call. The discussion on today's call regarding CGCL's earnings performance will be based on judgments derived from the declared results and information regarding business opportunity available to the company at this time.
The company's performance is subject to risks, uncertainties , and assumptions that could cause actual results to differ materially in the future. Given these uncertainties and other factors, participants on today's call may observe due caution by interpreting the results. A separate disclaimer is available on Slide 2 of the Q4 FY23 investor deck. Participants are requested to note the same.
I now request our Managing Director , Mr. Rajesh Sharma, to present his opening remarks.
Rajesh Sharma: Yes. Good afternoon, friends. Like always, it's a pleasure to welcome you all to Capri Global' s post earnings conference call. We declared our audited consolidated results for Q4 and FY23 on yesterday, that is 22nd May 2023. I hope you had a chance to go through the investor deck. The year FY23 was momentous in many ways for Capri Global. Our car loan business scaled new height s, where we have disbursed close to INR6,000 crores car loans in the last year. We launched our gold loan business, where we now own a meaningful network, granular retail disbursal over took wholesale disbursement. And w e concluded major equity fund raise with INR14.4 billion Rights Issue, which ha s taken our capital adequacy ratio to 40%.
Howe

ver, the standout highlight was our consolidated net profit for FY23 , which despite our strong organic growth push and asso ciated opex for launch of new

gold loan branches, nearly ma tched the FY23 consolidated net profit. This puts us firmly in the s addle to deliver mid-teen ROE over medium term. Let me, therefore, start with the earnings highlights first.
A combination o f a strong net income, which increased 42% YoY and softer credit cost at 80% YoY, helped CGCL delivered a strong net profit growth of 55% YoY in Q4 FY23 . This also bridged the gap with FY22 consolidated net prof it with FY23 net profit coming in at INR2,047 million, nearly equal to the FY22 consolidated net profit of INR2,050 million despite we being in the investment phase in our gold loan branches.
The profitability was achieved despite CGCL continu ing to expand organically in both urban retail and gold loan segment in Q4 FY23 . But for the opex incurred, our net profit for FY23 would have been higher by INR840 million. Had not gold loan branches would have incurring the loss, our profit would hav e been higher at INR288 crores.
Our lending yields are beginning to show soft improvement with the share of gold loan slowly becoming prominent. We had started gold loan business in Aug’22 with a rate offering of 15% in our launch phase. However, we have now moved up closer to or at par with the competition with yields averaging over 18%.
In MSME and housing finance business, the loan yields are stabilizing, while the Construction Finance vertical showed further improvement in Q4. The net interest margin has generally tr ended lower during FY23 compared to FY22 . This was due to the initial suppression of loan yields due to foreclosures, migration of higher -yielding loans. This was especially the case in MSME and Construction Finance and a reduction due to foreclosures or repayment w as up to 10% higher than FY22 .
However, with low yields in MSME and housing portfolio stabilizing and the share of gold loans improving in incremental share , the NIM should stabilize or improve going ahead . The net interest margin comput ed on average net advantage was 8.6% in Q4 FY23 , a sha de better than 8.5% in Q3 FY23 , but lower YoY. That is also because our leverage ha s gone up.
We have been discussing our non -interest income in some detail since past 2

quarter s. We've incl uded a separate slide in our Q4 FY23 presentation, please refer Slide 15. The share of non -interest income was 36.3% in Q4 FY23 .

On a full year basis, the share of non-interest income in net income was 33% in FY23 compared to 23% in FY22 . Net car loa n distribution fees contributed 40% to FY23 non-inter est income compared to 19% in FY22 . The car loan distribution business origination increased 3.5x YoY to touch INR60 billion. We are now present in 450 locations, including 9 branches ac ross the country.
Our cost/income ratio, which hit a peak of 69.5% in Q3 FY23 , softened marginally to 68.2% in Q4 FY23 . Excluding the cost incurred for expansion in gold loan vertical, our cost/income ratio was 48% in Q4 FY23 . Our operating cost was higher in Q3 FY23 as our hiring was high, owing to planned gold loan branch rollouts . With gold loans reaching a significant milestone in branch network , our hiring shall be more even paced leading to well spread out operating expenses in FY23 .
We will have a network of 750 branches for gold loans by end of this quarter, reaching the 50% milestone of total 1 ,500 branches we plan.
We also expect th e gold loan branches to reach closer to break -even in FY23 with gold loan AUM expected to touch INR25 billion to INR30 billion. This will also soften the incremental impact on operatin

g costs and soften cost/income ratio significantly.
The credit cost declined to INR112 million in Q4 FY23 from INR245 million in Q3 FY23 and INR571 million in Q4 FY22 . On a full year basis , our credit cost was INR642 million, declining 39% YoY. The full year credit cost was 80 bps compared to 192 bps in FY22 . Asset quality improved with Stage 3 asset declining 65bps YoY and 57bps QoQ to 1. 74%[1]. The PCR on Stage 3 asset s was 30.9%, highest in Q4 FY 21. We have taken negligible write -offs during Q4 FY23 .
I shall now discuss business performance. Assets under management cross ed INR100 billion to touch INR103.2 billion. This is a 56% YoY growth. The sha re of retail loans improved to 79% in FY23 , from 76% in FY22 . The share of Construction Finance segment where growth was stronger in H1 FY23 due to a strong sanction s and disbursement pipeline, softened 165bps QoQ to 18% , below our threshold of 20%. This is in line with our previous commentary that Construction Finance momentum shall be softer in H2 FY23 .

1. Restated from 1.59% previously, see revised Q4 FY23 presentation. Change YoY and QoQ and PCR have accordingl y been changed.

Disbursals touched INR28,110 million, growing 87% YoY and 55% QoQ .
Disbursals in FY23 stood at 72,902 million and were up 70% YoY. The share of retail disbursal comprising MSME, affordable housing , and gold loans w as 76% in Q4 FY23 compared to 49% in Q4 FY22 . Gold loan l ed momentum in disbursal during Q4 FY23 , constituting INR 9,582 million or 34% of the total disbursals. This translated in gold loans AUM touching INR11,259 million constituting 11% of AUM compared to 8% and 2% share in Q3 FY23 and Q2 FY23 respectively. This rapid scale -up was supported by an expa nsion of our exclusive gold loan branches, which has increased to 562 branches in Q4 as compared to 449 in Q3.
The car loan distribution business continued with strong momentum as shown in Slide 12. The loan origination touched INR2 0,324 million, up 2.7x YoY and 20% QoQ . Total origination in FY23 stood at INR60 billion, over 2.5x in FY22 origination, which w as INR17,022 million.
Our fee i ncome in car loan distribution alone ha s reached about INR1 18 crores in FY23 . In this strong growth backdrop, I would like to highlight we enhanced our capital adequacy ratio to 40% for CGCL from 24% in Q3 FY23 . The capita l adequacy ratio has been boosted by INR14.4 billion equity raise we did in Mar'23. We have deployed INR2 billion of the money and shall be able to fully

deploy the equity in Q1 FY 24. Going ahead, we shall aim to sustain the AUM growth momentum abo ve 30% in FY 24.
Our p rofitability should also improve as our gold loan branches move near er to breakeven. With that, I conclude my commentary. We shall now take questions.
Thank you.
Moderator: Our first question comes from Mona Khetan with Dolat Capita l.
Mona Khetan: So my first question is on the gold loan book. What is the typical tenure here? And is there hope for further rise in yields from here on?
Rajesh Sharma: So our gold loan typical tenure is about 6 months -- and what is your next -- the second part of the question was?
Mona Khetan: Could the overall yields which are 18%, is there scope for further rise in the yields?
Rajesh Sharma: So 18% is our boarding yield. But realized yield is higher because most of the schemes are rebate schemes where on default interest rates go up further. So we

expect the realized yield will be in the range of about 20.5%. Additionally, realize about 2.5% interest above the boarding yield.
Mona Khetan: Okay. Which comes in the fee line?
Rajesh Sharma: No, which come s in the interest income only.
Mona Khetan: Okay. So eventually,

this will stabilize at 20% or so, the overall yield?
Rajesh Sharma: Yes. But that happens in new business. That will happen once you reach the end of loan tenure . Because default happens then and you realize the default interest .
That happens over a period of time. You will see this quite evident in the H2 FY24.
Mona Khetan: Sure. Got it. And what percentage of gold AUM will have a yield below 12%?
Rajesh Sharma: Below 12% will be less than 1 0%-15% of portfolio, of the gold loan portfolio, which is only done with a view to par k our surplus treasury money rather than putting it in a mutual fund. We can always devise certain schemes, where we use the treasury product and can pass that money with 11%, 12%, 13% kind of rate of interest.
Mona Khetan: Got it. Secondly, on the home loan book, we see a sharp rise in the average ticket size on a Q oQ basis from INR12 lakh to INR16 lakhs. What has led to this?
Also, if you cou ld share what are the sourcing channels for the home loan book?
Rajesh Sharma: Home loan book sourcing channel is our own direct sales team, which procure the entire home loan book. And ticket size of home loan has gone up because of growing cost of the houses . At the same time, our expansion in few cities, the average ticket size of the loan s has gone up.
Mona Khetan: Okay , got it. And just 1 final question agai n on the gold book. What is the break - up by ticket size ? The gold AUM breakup that is above INR5 lakhs, what percentage of book that may be below INR1 lakh, what percentage of book can deliver?
Rajesh Sharma: I think we can give that to you separately. At the moment, it may not be that handy.
Moderator: Our next question comes from Hitesh Gulati with Haitong Securities.

Hitesh Gulati: Congratulations on a good set of numbers. Sir, a couple of questions from my side. Firstly, you've spoken in some media interactions about digital lending and some new products. Can you throw some light on that?
Rajesh Sharma: So digital lending at the moment is in the phase where we are just discussing with a few fintech players to tie up, where we will be disbursing the loans to -- which are originated and guaranteed by them. But recently, there are some changes in the RBI guidelines in the FLDG and all. So we are reviewing that.
Once there is a clarity and comfort on our repayment obligations and some sort of comfort from the fintech who originate it, based on that will take a call. While we have a team in place, but still it is away by at least 3 to 6 months.
Hitesh Gulati: And Sir, some other products in the pipeline on the lending side?
Rajesh Sharma: No, lending and there's no other product. We will consolidate what we are doing

and we'll focus on gold loan branches to make them achieve faster breakeven.
Hitesh Gulati: Sure, Sir. And Sir, the last question from my side is gold loan is ri ght now 11 % of AUM. What is our target for this? And what is our overall AUM growth target for the company?
Rajesh Sharma: So overall AUM growth should continue to grow between 35% to 40% and now adequate capital also is in place. And with the go ld AUM over a period of next 4 to 5 years, it will be about 25% of the overall book, consolidated book.
Moderator: Our next question comes from Pushkar Jain with Sequent Investments.
Pushkar Jain: Congratulations on great set of numbers. My question is on competition from banks. The last 3, 4 quarters, we have seen a lot of competition in terms of yield from banks for gold loans. Is the competition -- how is the competition shaping up right now and what percentage of our book would be less than -- would be yielding less than 15% in gold loan?
Rajesh Sharma: So, yes, competition is increasing. But market is increasing by 12% to 13% year after year. And still the majority of the gold loan market is sti

ll with the informal
lenders and jewel lers who lend at very high rate of interest. So market will continue to move from unorganized lenders to the organize d lenders like NBFCs and banks. While banks target higher ticket size and the customers are different, gold loan focused NBFC s target r etail customers with ticket size in the range of start ing from INR10,000 and go ing up to INR2 lakh. So the segment is quite

different. Despite competition, as I said, majority of the gold loan market will continue to shift and we can see good grow th in the next 4, 5 years in this.
Moderator: Our next question comes from Jai Daxini with IIFL Securities.
Jai Daxini: So in gold loans segment we were targeting 1,500 branches over the next 4 or 5 years . But we have already opened 550 during the last 8 mont hs. So could we actually reach our target within 2.5 years? And how will be the growth in next year ? And also how would this affect our opex movement and C /I ratio?
Rajesh Sharma: At the moment, we'll take a pause at 750 branches . And w e will make them become profitable before we start the next phase o r round 2 of balance 750 branches. Currently, our focus is to make them achieve their target business numbers and achieve profitability faster.
Our cost/income ratio, which is at the moment elevated, wil l come back to the level of about maybe between 45% to 50%. And when the profit s start delivering, I think it will further show the improvement there.
Jai Daxini : Okay. And 1 more question -- in the Construction Finance, our ATS has declined QoQ. So is there any colour on that, like INR191 million to INR18 million on Slide 9.
Rajesh Sharma: Can you repeat the question, please?
Jai Daxini: Yes. In the Construction Finance business, our ATS has declined from INR191 million to INR18 million.
Rajesh Sha rma: No. So I think because of the font size, it's got a bit hidden. It's not -- we'll rectify that.
Jai Daxini: It is INR1802 million, right?
Rajesh Sharma: Yes, yes. Correct[2].
Jai Daxini: Okay. And our GNPA has declined in SME segment by 120 bps[3] QoQ. So how do you think this segment would be growing asset quality -wise and what's the strategy as of now?

2. It was Rs258 million . Relevant slide in investor presen tation has been corrected.
3. MSME GNPA decline was 85bps QoQ. Please refer re vised presentation.

Rajesh Sharma: You are asking specific to MSME, which is what you're referring to? Can you please say that?
Jai Daxini: Yes, SME segment. GNPA has declined 120 bps, so -- QoQ.
Rajesh Sharma: So this is the overall. This is not talking about a specific segment. This is a

consolidated level of the company.
Jai Daxini: Yes. So what's your growth plans in this vertical as of now?
Rajesh Sharma: No, no . So as far as GNPA is concerned, that is overall of the company. As far as the growth of the vertical of MSME is concerned, MSME will continue to grow in the range of 25% to 30%.
Moderator: Our next question comes from Nikhil Nyati with Equirus Securities .
Nikhil Nyati: Sir, my first question is on the gold loan yield. I see a sharp improvement on a QoQ basis, which is reported on Slide 16. Can you throw some light upon that like and how much of it is attributable to the P&L interest and overdue interest , if any?
Rajesh Sharma: If you talk about the gold loan, the onboarding yield that we are achieving now is about 18% . Overall basis, we expect to get the default interest rate on about 25% to 30% of portfolio . Then, we will also go more granular . From a high er ticket size where jeweller s used to come, we are going to the retail consumer. So the ticket size is dropping and our interest is also going up. But initially, when we la

unched
the loan, we were more focused to make our presence felt in th ose particular branche s. So our yields were lower. With the combination of all th is impact , our yields have gone up.
Nikhil Nyati: Got it, Sir. And Sir, second question is on the cost of fund side -- our cost of funds have remained fairly stable over the la st year despite the rate increases. So how do you see the cost funds panning out in the next 3 -4 quarters?
Rajesh Sharma: As you know that we borrow from PSU bank s where interest rates are reset on an annual basis. So while the interest should have gone up, the impact comes when the interest rates are reset. Majority of the resets were starte d during Quarter 3 and all the resets have happened by the end of March ’23. So our interest rate s (cost of funds) will go up by another 40 to 50bps. And we are quite confident that we will be able to pass on this increase in interest rates to our new customers.

Nikhil Nyati: Congratu lations on a good set of numbers.
Moderator: Our next question comes from Mayur Liman with Profitmart Securities.
Mayur Liman: Congratulations on a good set of numbers. I just want to ask, what are the parameters that pushed the performance of Q4 FY23 and ful l year of 2023?
Rajesh Sharma: Can you please repeat the question?
Mayur Liman: Yes, Sir. What are the parameters that pushed the performance of Quarter 4 and the full year 2023?
Rajesh Sharma: Can you be specific? What exactly you wanted to ask?
Mayur Liman: If you give me details about the gold loan segment and the car loan distribution, it will be good.
Rajesh Sharma: Car loan distribution, if you talk about, that has disbursed close to INR6,000 crores worth of car loans. And we had a revenue from that abo ut INR118 crores.
If you talk about gold loan, gold loan AUM has stood about INR1,126 crores, and where the average yield is about 18%.
Mayur Liman: Yes, Sir. But what are the market scenarios that pushed these drivers, means if we look the income, I mean, oper ational income, so it increased . So, I mean, I just want to know what are the market or economic factors that pushed the business forward.
Rajesh Sharma: If you sum it up, going forward, our car loan distribution business, ne xt year will grow about 50%, and that will give you a pure fee income, no capital is required.
And that will improve our fee income ratio to the overall income, that has already improved from 22% to 33%.
And overall basis, our AUM will contin ue to grow about 35% to 40%. And as we said, since our gold loan branches are now achieving 1 -year period in the next year , those branches will be near to break -even or some of them will become profitable . So our overall cost/income ratio will drop. We see that in the next year there should be a significant upside in profitability.
Moderator: Our next question comes from Ashish Kumar with Infinity Alternatives.

Ashish Kumar: Sir, on the car loan distribution business, you mentioned that we have got our revenue of INR118 crores. What will be the profitability on that business, Sir, cost/income ratio, just to get some sense?
Rajesh Sharma: From INR118 crores top line, we have got a profitability close to about INR30 -32 crores from that segment.
Ashish Kumar: And Sir, there's no balance sheet exposure to that?
Rajesh Sharma: No, because we are just referring lead s originated by our team to the banks who have partnered with us. We have partnered with close to 8 banks. And on success ful conversion of that lead, we are paying a fee by the banks. And that is what our business model is.
Ashish Kumar: Okay. And Sir, just to understand what is it that we are doing differently as compared to so many other people that

we've been able to buil d up car distribution business so quickly? What has clicked for us?
Rajesh Sharma: So we have touch points . We have built a strong network of our own team and since we've distribution network, and we are focused only on new car s, we are able to do it with a quic k turnaround, and we know that which customer will fit in with what interest rate. We run that program and are able to offer the customer very quickly. Suppose somebody appl ies, whether he'll get a good interest rate in Bank of Baroda or HDFC Bank or Bank of India , we are able to tell him. And we help the customer do that decision quickly and making available funds to buy his car quickly. So I think the turnaround time in the right kind of way, rate of interest matching his income profile help s us to ge t better business.
Ashish Kumar: But so is what, let's say, some of the larger distributors like Andromeda, et cetera, do…
Rajesh Sharma: I do not know exactly what is the business model of Andromeda. But as far as we are concerned, we have about 450 touch points and o ur own feet -on-the-street people along with them. So that is helping us . And we are adding more locations and few more bank partners this year. So this year, again, we'll see a 50% growth in that. Currently, in the new car loan disbu rsal, other than the dealers, I think we are number one.
Moderator: Our next question comes from Gaurav Sharma of HSBC Securities.

Gaurav Sharma: Yes. I have a couple of questions. One is regarding the borrowing mix. S ince you have a large portion of bor rowings from scheduled commercial banks, I want to know what will be the break -up of this into MCLR linked bonds, EBLR linked bonds or repo rate linked bonds , if any? That is first. Second, I just wanted to know what are the cross -selling opportunities you are exploring in your loan products? These are my 2 questions.
Rajesh Sharma: We don't borrow through SLR or EBLR linked bonds. We borrow money from public sector bank s4 as a term loan. And there's less than 5% borrowing in the form of non -convertible d ebentures, which were borrowed from bank s when the TLTR O scheme w as announced . These are getting repaid. By the end of June, I think every NCD except 1 with a financial institution will remain outstanding, which is very small amount. The rest of borrowings are term loan s ranging from 5-year to 8-year tenure.
Gaurav Sharma: Okay. Got it, Sir. And upon the cross -selling opportunities in lending product?
Rajesh Sharma: So currently, we hav e MSME branches, home loan branches , and gold loan branches plus car loan distribution. Going forward, our old gold loan branches will convert into loan centre s and they will start cross selling home loan s and MSME loan s. In any case, MSME loan branch es also cross -sell the home loan s. Our technology is under development. That will take around 6 to 9 months' time. And once that takes place, we'll launch a pilot and then we'll convert all the go ld loan branches into full-fledge d loan centre s. So, the cross -sell opportunity will rise exponentially.
Moderator: Our next question comes from the line of Satadru Chakraborty, an investor.
Satadru Chakraborty: Okay. My first question is on the MSME business. Here in the slide, I see that the average ticket size has increased, the accounts have increased, let's say, 20 -odd percent. Can you just throw some light on how you see this segment going forward in the fiscal year '23 and '24? Any stress or strain that you see in this segment? And just in general, what is your vision of this segment progressing forward?

Rajesh Sharma: If you talk about MSME, I think going forward, if you've seen that earli er, we had about restructured pool of about INR200 crores -plus amount, which has come down to about INR93 crores, which i

s clearly showing the good result.
4. Share of private banks in CGCL 's borrowing mix is currently very small .

Going forward, our average ticket size will continue to be in the range of less than INR25 lakh, whi ch currently today is about INR19 lakh. The average ticket size will not move up. But since we are adding more branches, the distribution network will strengthen. At some point of time, our gold loan branches will also do the cross -selling. So MSME business will grow. And I think this will remain one of our key growth driver s.
Satadru Chakraborty: Okay. Similar question also for the housing finance business. I think you mentioned that the average ticket size has gone up. That is clearly visible. The loan -to-value looks pretty similar. Accounts have gone up. I was just concerned a little bit about the geographical distribution. Do you see yourself expanding into any other geographies? Or what exactly is your strategy for the next 2 years for housing finance?
Rajesh Sharma : In housing finance, we are adding new branches in Uttarakhand and Uttar Pradesh. And this year will be adding another about 25 to 30 branches there. And plus, we are adding branches in some of our existing locations where business is good. We are addin g more manpower strength there to source and underwrite that business. So overall, I think Housing Finance will grow in the range of about 55% to 60% for the next 2 years.
Satadru Chakraborty: Okay. And then the last questio n from my side was really around your capital structure. It's not really the structure, but the capital that you raised in the Rights Issue. Congratulations on successfully raising that. When I look at the gold loan business and the opportunities that I see, I have a strong sense that capital cover, let's say, will sort of run down in 2 years. Is there any longsighted vision of what you want to do again? And if you want to do a capital raise, will it be from public shareholders, will be from NHB, will it be from other banks? Or just any vision of how you see the capital base basically going forward for the next 2 or 3 years?
Rajesh Sharma: So last time, we raised capital was in 2010. Now we raised, even that is the Rights Issue, where we put in a signi ficant amount of money. I don't think company will require capital for the next 6 to 7 years. And in case the co -lending takes off, company may not use the capital even for the 10 years.
Moderator: As there are no further questions, I would now like to han d the conference over to the management for closing comments.
Rajesh Sharma: Yes. Thank you all for attending this call. As we stated earlier, we continue to build a granular book and we continue to cater to the same segment, which is

not catered by the banks, be it MSME, be it affordable housing, be it gold loan and even be it the smaller developer construction finance .
I think we clearly see that backed by our strong distribution network , a good capital adequacy ratio , and our 10 years' experience in lending business, we have already established our underwriting standard and a good collection team. We have invested heavily in the collection team as well as the collection systems – chatbots , auto -dialling and all that.
On back of that, where th e co llection is the heart of our entire business , we feel that the company will continue to grow in the next few years at a range of about between 35% to 40%. Gold loan branches will convert into the loan centre, which will further bring our operating cost do wn. Overall, within 3 to 4 years, you will see a significant improvement in margins as well as improved return on equity .
So, thank you all.
Moderator: Thank you. On behalf of Go India Advisors, that

concludes this conference.
Thank you for joining us. And you may now disconnect your lines.

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Call: Aug 2023

August14,2023
TheSecretary
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ScripCode:CGCL
Sub: IntimationpursuanttoRegulation30ofSEBI(ListingObligationsandDisclosureRequirements),
Regulations,2015,regardingQ1FY24EarningsCall-Transcript
DearSir/Madam,
FurthertoourletterdatedAugust02,2023,intimatingscheduleoftheEarningsConferenceCallonAugust
08,2023todiscusstheCompany'sQ1FY24Earnings,weareattachingherewiththetranscriptofthesaid
ConferenceCall.
Theaboveisforyourinformationanddisseminationtoallthestakeholders.
Thankingyou,
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Page 1 of 13

Indian Num bering System Legend
INR 10 Lakh s = INR 1Mn
INR 1 Crore = INR 10Mn
INR 100 Crore s = INR 1Bn
INR 1 Lakh Crore = INR 1Tn

NOTE:
1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.
2) Factu al corrections are marked at relevant places in the transcript and are referenced to footnote /s.
3) Recurring terms like 'YoY', 'QoQ', basis (refer ring to basis points) in the audio transcript hav e been shrunk to 'YoY', 'QoQ', and 'bps' respectively.

Q1 FY24 Earnings Conference Call
August 8 , 202 3

Man agem ent
Mr. Rajesh Sharma
Founder & Managing Director , Cap ri Global Capital Ltd.

Mr. Ravikant Bhat
Sr. V P - Investor Relations , Capri G lobal Capital Ltd.

Capri Global Capital L imited
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Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited
Q1 FY 24 Earnings Conference Call hosted by Go India Advisors. As a reminder,
all participant lines will be in the listen -only mode, and there will be an
opportunity fo r you to ask questions after the presentation concludes. Should
you need assistance during the conference call, please signal an operator by

pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Please note th at this conference is being recorded.
I now hand the conference over to Mr. Ravikant Bhat from Capri Global Capital Limited. Thank you. And over to you, Sir.
Ravikant Bhat: Thank you. Good morning, everyone. This is Ravikant. I shall read out a brief disclaimer for today's call. The discussion on today's call regarding CGCL's earnings performance will be based on judgments derived from the declared results and information regarding business opportunity available to the company at this time.
The company's p erformance is subject to risks, uncertainties , and assumptions that could cause actual results to differ materially in future. Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results. The full disclaimer is available on Slide 42 of Q1 FY 24 Investor Deck. Participants are requested to note the same.
And I request our MD, Mr. Rajesh Sharma, to present the opening remarks.
Rajesh Sharma: Good afternoon, friends. It is a pleasure to welcome you all to the Capri Global's first earnings call of the financial year. We declared our reviewed consolidated results for Q1 FY 24 on Saturday, 5th August 2023. I hope you had a chance t o go through the Investor Deck.
FY24 shall be unique in some aspects. It will be the first full year of operation for the Gold Loan vertical. We aim to turn Gold Loan vertical profitable by end of this financial year. The equity we raised in March 2023 i s fully deployed. It will a id our core earnings and overall profitability. Keeping this in view, we will analyze our Q1 FY 24 performance.
Our disbursal s increased 128% YoY to INR26.9 billion. Our di

sbursal momentum
is usually soft in Q1 every ye ar, due to which the disbursals have shown a 5%

QoQ decline. However, because of the strong momentum maintained in the Gold Loan business, the decline has been muted compared to our performance in Q1 FY 23.
Excluding gold loans, our disbursals increase d 65% YoY, but were lower 31% QoQ . This sequential decline is in -line with the Q1 FY 23 performance and the seasonality of Q1 in lending business. Share of gold loans was 51% of Q1 FY 24 disbursal s, while MSME and Housing was 12% and 11% resp ectively. The balance was contributed by Construction Finance and Indirect Lending .
The AUM momentum was marginally stronger than Q4 FY23, increasing 61% YoY to INR112.3 billion. AUM excluding Gold Loan increased 38% YoY and 5% QoQ . Share of Gold Loan continued to increase, rising to 14% of AUM compared to 11% in Q4 FY23. We expect our Gold Loan s AUM to touch or cross INR30 billion by end of this financial year. This could be 20% of AUM, assuming we sustain a 5 0% momentum in overall AUM growth.
As you may have noticed in the AUM exhibit on Slide 4, the momentum in MSME as well as the housing portfolio sustained a healthy momentum despite a sequentially weaker disbursal quarter. In housing, we concluded a ma iden direct assignment transaction with a leading housing finance company amounting to INR569 million at a competitive yield. Our on -book housing AUM is lower to that extent.
The share of Construction Finance AUM was 17.5%. While growth in Construction Finance has been strong, please note that we are also guided by the share of this vertical in consolidated AUM of 20%. We are comfortable growing Construction Finance as long as our underwriting parameters are satisfied and the share of this book is at or below 20% of AUM.
We have reported a 38% YoY increase in our net profit to INR636 million. The profit is lower by a marginal 2% QoQ . To fully understand the earnings, let me first start the core earnings.
Our net interest incom e increased 77% YoY and 26% QoQ to INR2,370 million. As explained on Slide 16, this improvement was aided by both the strong equity funding of Q1 FY 24 balance sheet as well as our improved spreads.
Our weighted average yield on a dvance s increased 55 bps QoQ to 15.7%, while the weighted average cost of borrowing was up 20 bps QoQ to 8.7%. You may

recall our cost of borrowing ha d been steadily increasing through out FY23, while the yield on advances w as improving with a lag. This difference is visible in the segmental yield graphs on Slide 15. As a result of these improvements, our spreads stood at 7%, an improvement of 66 bps YoY and 35 bps QoQ .

Our net interest margin was unsurprisingly at a robust 9.6%, a level we last reported in Q4 FY22. This was aided, as mentioned earlier, by strong equity funding of Q1 FY 24 balance sheet. As leverage improves, NIM shall mathematically decline. While we will enjoy the benefit o f higher NIMs in the FY24, we would like to assess the earning s efficiency of our lending business by the spreads we generate.

The share of our non -interest income in the net income was 25.4%, lower than 33% in Q1 FY 23 and 30% in FY23. The dip was ca used by lower car loan fee income owing to certain one -off adjustments. Secondly, the fee income tied to balance sheet, specifically MSME and housing finance was also lower owing to softer disbursals during Q1 FY 24. We expect this softness to reverse fro m Q2 FY24. The car loan fees shall also pick up momentum from Q 2 FY24.

The cost -income ratio declined marginally to 66 .0% in Q1 FY 24 from 68.2% in Q4 FY23. The cost -income ratio excluding Gold Loan business was at 50%. This is marginally higher than 48% w

e reported for FY23. However, this too should reverse as the earnings pick up during the year. In Gold Loan business, although our active branch network was 680, we have on -boarded staff in another 60 location s as of June 2023 , with branch work at variou s stages of progress . Hence , the operating expenses of Q1 FY 24 also include partial opex of additional 60 Gold Loan branches.

We had stated we shall pause branch expansion in Gold Loan business after touching a network of 750 branches by Q 2 FY24. W e have almost reached that level as we speak, and the incremental cost intensity shall steadily decline beginning September -October 2023.

Our GNPA ratio stood at 1.89%, 15bps points higher than Q4 FY23, but is substantially lower than the 2.7% ratio we reported in Q1 FY 23. The PCR of the Stage -3 assets was 27.8%. Our credit cost stood at INR239 million, which was higher than INR112 million in Q4 FY23, but marginally lower than INR246 million we reported in Q1 FY 23. As highlighted on Slide 13, t he average credit cost is trailing 5 quarters is INR176 million.

During the quarter, we made some accelerated provisioning on three Construction Finance exposure s to a single entity amounting INR160 million. This was restructured and classified as NP A, attracti ng a provision of INR50 million or 31% of exposure. We have initiated recovery proceeding s in 2 exposures and in due course, expect a recovery of INR30 million. For the remaining INR130 million exposure, we are exploring various options to aid recovery.

Despite the higher credit costs including the one -off change, our credit cost to average Assets Under Management ratio was 89 bps in Q1 FY 24, in -line with our pre-COVID long -term trend. Apart from the INR30 million recoveries mentioned earlier, we expec t additional recoveries to happen in Construction Finance vertical in Q2 or Q3 FY24.

There has also been a marginal increase in MSME NPA and a slightly sharper increase in the housing finance NPAs. Our recovery efforts are continu ous and we expect to i mprove asset quality going ahead. I would also like to additionally highlight that we do not see any structural issues here. We are aware of the rising pessimism on asset quality of NBFCs in general and retail loans in particular, given the lending boom o f past 2 years. Nevertheless, let me reiterate that we are not present in unsecured lending. Our lending is secured with very comfortable loan -to-value across all segments, whether retail or wholesale. This gives us comfort on managing our asset quality.

We have reported 2.2% ROA and 7.1% ROE in Q1 FY 24. Excluding the loss in

Gold Loan business, our ROA and ROE would have been 3 .0% and 9.6% respectively. As we move towards the break -even in Gold Loan business, our profitability should substantially increase, es pecially in H2 FY24. There shall also be additional drivers like absence of one -off adjustment s there that shall contribute to the profit momentum.

To conclude, I would say we have begun FY24 on a sound note. We shall deliver yet another year of sound business growth, but it will also be coupled with a very strong profit growth. With that, I conclude my remarks. We shall now take questions.

Moderator: The first question is from the line of Dev from Haitong Securities.

Dev: My question is related to the overall composition of AUM. The MSME segment has come down from around 40% or around 35%. And earlier, I think you had guided that it would remain north of 40% and in the range of 40% to 50%. So

given the strong traction and the focus in the Gold Loan segm ent, how would the overall product mix look like going forward? Is there any kind of targeted mix that is there in mind? That

was my first question.

And second, I see that there is an increasing focus on co -lending in case of MSME as well as housing finan ce. Could you give us any colour on that as well?

Rajesh Sharma: Yes. So, I think before Gold Loans , our key growth drivers used to be MSME. When we launched the Gold Loans and that also across about 750 branches, so while retail proportion in overall AUM ha ve grown significantly. But if we talk about MSME, MSME, the disbursement plan and expansion remain the same. But since Gold Loan s have aided the overall AUM growth , MSME has gone a little bit down.

If we look down the line, two-year scenario, the Gold Loan composition will be about 20% to 25% of overall AUM and MSME will be about 25% to 30%. And if you talk about Housing Finance, which is done through a standalone subsidiary company, it is growing at a faster pace …abou t 50% +. And on back of branch expansion, on a standalone basis will continue to grow at that pace …40% to 50% for the next 2 years.

Moderator: The next question is from the line of Nikhil Nyati from Equirus Securities.

Nikhil Nyati: My question is reg arding the MSME yield. Sir, I wanted to know what percent of our book is repriced, knowing that our yield has gone up this quarter and how we can see the yield panning up in the future?

Rajesh Sharma: We have increased our long -term reference rate by 5 0bps in the first week of April. Our yield has been passed on to almost 60% of customer s in MSME , 40% still remain on the semi -fixed. So for those customers , hike will not happen . But 60% customer s of the past have already been increased by LTR R of 50 bps. As far as the incremental lending is concerned, that is happening, maintaining the targeted spread. In MSME, we are lending about close to 15.5% yield in the incremental lending .

Moderator: The next question is from the line of Raghav Garg from Ambit Capital.

Raghav Garg: Yes. Just a few questions. Firstly, on the gold loans business. We've seen last couple of years, there's been a lot of competition. Just a very high -level question.

What is your sense in terms of competitive inte nsity in this business? That'll be my first question.

Rajesh Sharma: Gold Loan s, we have seen in the last 2 years a lot of competition, especially coming in the lower rate segment form public sector bank s. So, they are the new entrants where they are offering at a much lower rate . But their ticket size remains high. So basically, they are focusing more on a higher ticket size. And typically , theoretically, while they welcome all the customers, they don't like to entertain the customer which comes for a INR30,000 or INR50,000 of loan.

So, there is a clear de marcation in the customer segment. Among the gold loan finance company and NBFC s also, the Gold Loan is not like a product of unsecured lending, which can be done without proper investment in the branch

expansion. So, there is some sort of entr y barrier. So, we have seen that among the NBFC s, while we see in other products, more than 30, 40, 50 players and a lot of regional players, in gold loan s, the major competition comes through the NBFC s with pawn brokers who lend at very unreasonable and high rates. I think that is where the opportunity also lies.
So, this business will continue to grow looking at the overall AUM growth. The growth is also coming because of the gold loan prices increasing and lot of people are open to borrow against the gold with a formal player. So , as far as Capri is concerned, with 750 branches and then branch will continue to grow, to build a AUM of INR10,000 crores to INR12,000 crores in next 5 years to 7 years in an overall AUM opportunity of INR3 lakh crores plus of gold loan s still remains a very small and very much possible and profitable.
Raghav Garg: Sir,

that's very well understood. What I meant to ask is in this quarter, how do you assess the overall industry competitive intensit y to be? Whether it's still as high as what you highlighted a couple of quarters ago or last year, whether it's still as high as that?
Rajesh Sharma: Are you talking about competition or are you asking about our growth?
Raghav Garg: Sir, I mean, both in term s of your growth and what is your assessment of competition and the impact on our growth ?
Rajesh Sharma: We are expanding our branch network after a detailed analysis of the potential from credit bureau, AUM competition, we very well are on our t arget. Our branches are able to achieve the average growth of about INR22 lakhs MoM ,

which has remained in our target. And our branches will achieve the de sired profitability in the targeted time. And , we are not going to stop even at 750 bran ches. So, we clearly see the potential.
Number two, at some point of time, city -wise, we are going to convert our Gold Loan branches where they will also be sourcing business and leads for MSME and home loan also. So overall, if we talk about growth side, we are quite bullish and confident about achieving our growth target in the Gold Loan segment. And this vertical is going to be profitable by the year end - all the branches will turn profitable except which have been opened recently.
Raghav Garg: Understood. Sir, what would be the break -even level for you per gold loan branch ? What would be that level where you would be regulable? I think right now it's around INR2.5 crores per branch, right?
Rajesh Sharma: Once it achieves a base of INR3.25 crores, branch achieves the break -even. Anything above shall start contributing directly to the profitability.
Raghav Garg: Understood, Sir. And Sir, I mean, although I can calculate, but I just wanted to ask, what is the per br anch expense that we would be incurring typically for a Gold Loan branch , including the employee expense?
Rajesh Sharma: So we have branches, which are manned by 4 staff, by 5, by 6. So , it is not a straight answer. If our competition has AUM of INR30 crores high potential segment, is a low potential segment, depending on the size of the branch, the opex on the branch and the manpower of the branch . It ranges right from an operating cost of INR1 lakh per mont h to INR225,000 depending on the location and its potential.
Raghav Garg: Understood. Sir, this operating cost is apart from the employee cost, correct? These would be the other expenses.
Rajesh Sharma: This i s all the operating cost, entire operating cost including salary and all.
Raghav Garg: Understood. Sir, just one last question. I understand that you have a branch in Vasai and Virar. So just today, there has been an article in H industan Times that the police ha ve bust a major fake document racket in the construction sector. The number of flats involved here are about or rather the number of families involved are about 3,500 who have basically been sold these flats. Now, they would have taken loans from some of the financiers, which are in that area.

Would we have any kind of exposure to this project in Vasai and Virar, if you are

aware of that? That is it.
Rajesh Sharma: I don't think that we are doing any under construction pr oject financing in housing finance vertical at all. So, we don't finance any project at all unless it is ready. That is the policy we follow in the affordable housing segment.
Raghav Garg: Understood. Even at the retail level, right?
Rajesh Sharma: We don't fu nd any under construction.
Moderator: The next question is from the line of Bunty Chawla from IDBI.
Bunty Chawla: Sir, continuing with the Gold Loan branches

. As we have seen earlier, we were competing at a lower interest rate like around 15% yield. Now, we have moved to the competition l evel around 19.5% to 20%, which is visible in the yield per se. So how do you now see the growth for you , after being at an equivalent rate with your competition?
And secondly, on the branch expansio n, you had said that up to 1,000 branches you don't require any approval from the RBI, right? After 1,000 branches, have we applied for any approval and all? And how we should see the branch expansion along with the AUM grow th for the Gold Loan ?
Rajesh Sharma: Your first part of the question was related to the yield. When we initially opened the branches, when we first entered August 2022, that time we ha d launched some low rate of interest gold loans to create a buzz, to create awareness, which we have already achieved. From the January quarter onwards, we started going for the high -yield and the low er value loans like where every ticket size was less than INR1 lakh and yields w ere better.
So gradually now, our average on boarding of the customer is coming at about 16.5%, 17%, and plus the default rate of interest is also being earned. So, effective yield is now upward s of 19%. And we continue to follow that philosophy in-line with the market. If you talk about the RBI regulation of 1,000 branches, that is per company. So we still have a scope of about 200 branches because these 849 branches also include the housing finance branches, which are housed in the Capri's subsidia ry company. And after 1,000 branches, we will apply to RBI and we don't see any issue in getting the approval per se.

Bunty Chawla: Okay . Sir, secondly, on the Construction Finance , we are seeing that there is a boom and real estate h as been quite strong currently. But as we have historically seen, we have felt across the industry some NPA issues on the Construction Finance side. Now, we are very much aggressively growing Construction Finance . So, my query is, what steps or what different we are doing so that if the real estate cycle goes down, there should not be any negative surprises from this Construction Finance segment?
Rajesh Sharma: First of all I want to say that we are not aggressively growing. We are growing what we have strategically planned. So, we have always said that we will do overall AUM basis 20% Construction Finance and 80% is going to be secured retail loans. And that is the same philosophy and principle we are following.
Within a quarter sometime s, it happens that our Construction Finance share crosses 22%, 23%. Some quarter, it comes to 19%. But you see year after year, it has always remained within the 20% range.
Second thing, we follow a very unique strategy of funding to develope rs which are smaller. So, we are not going with the ticket size of INR200 crores or INR400 crores type. Our average ticket size still remains less than INR20 crores even today. So, you can imagine the kind of small developers we are funding. And then we ta ke in a clear mortgage of the property. The smaller projects are completed faster than the -- we don't fund the 40 -storey project s, which take 5 - 6 years to complete. So, this turnaround time is faster. There is no income -- interest cost accumulated when the projects get delayed.
Keeping in mind these core lending principle s, we see all our Construction Finance project s get completed within 3 years' time . And 1/3 of our projects get balance transferre d within 12 months, which speaks about our underwriting standard s. Also, repayment s also happen before time because of BT. In our other projects too, we have seen that 50% of the balance projects get prepayment than the repayment.
So, they get (prepaid) because of the faster sales. The strong cycle of their construc tion is

helping the inventory to move faster. Even if the cycle turns
slightly sluggish, our safeguard mechanism of having a control on the cash flow
and the security cover will always pro tect our principal and interest. And
historically, we have seen that since last 4 - 5 years, we have not seen any major --
write -off or any unpredictable risk. While it happens, but that remains within the
tolerant range of 1%.

Bunty Chawla: That was very helpful , Sir. Lastly, on the Stage 3 assets, we have observed the
provision coverage ratio has come down from 30% to 27 -28% kind of range .
What is the outlook on Stage -3 assets provision coverage ratio? Because what we
have observed is large NBFCs generally try to maintain around 45% PCR so that
if there are any hiccups going forward, that would be safeguarded by this high
PCR .
Rajesh Sharma: So we are keeping -- the RBI regulates that it should be based on the PGD and
LGD, and they should be a minimum 25%. So, we are following that. And if you
look at our overall Gross NPA, you can clearly see that there is a downwar d trend.
From the last year of 2.7%, it has declined to 1.9%, and net NPA has come down
from 2% to 1.4%.
Bunty Chawla: So on a normal basis -- long -term basis, can we say 28 -30% is the PCR we are
comfortable with?
Rajesh Sharma: Yes. Keeping in mind our asset quality, which is all secured and where the hard
collateral is there, either the self -occupied house or business or gold. So, that
also gives us comfort for maintaining this kind of PCR. In the past 10 years, even
in the worst cycle of COVID, IL&FS, DHFL, when there was a different kind of a
crisis, our NPA s at any given point in time never climbed more than 4%.
Moderator: The next question is from the line of Mayur Liman from Profitmart Securities.
Mayur Liman : Congratulation s for a good set of numbers. Sir, my first question is, how you are
seeing the incremental demand in MSME segment? Any specific segment or
geographies we are seeing a strong demand? Are we confident that we would
be able to deliver 30% kind of growth in this segment?
Rajesh Sharma: You are asking any particular segment?
Mayur Liman: Yes. MSME segment or any segment where we can see the strong demand.
Rajesh Sharma: MSME and second one.
Mayur Liman: Sir, can I repeat my question?
Rajesh Sharma : Yes.
Mayur Liman: Okay. How are you seeing the incremental demand in MSME segment? Any
specific segment or geographies we are seeing a strong demand?

Rajesh Sharma: So, I'll answer this question. Wherever we see there's strong demand, we put
more branche s. So likewise, we have more branches of MSME in Rajasthan and
then followed by Madhya Pradesh and then Gujarat, and then Maharashtra and
then NCR. So , basis that, we clearly see we expand in those geographies where
we see the demand and also good collectio n efficiency. And so we clearly see
the demand is very good in Rajasthan, Madhya Pradesh , and Gujarat. And that is
how our branches are.
Mayur Liman: Okay, Sir. And in which segment are we seeing strong demand ?
Rajesh Sharma: So overall basis, our MSME demand is very good. It is a segment, which is largely
under -penetrated. If we talk about India , have more than 70 million MSMEs, of
which , only 20% of the credit demand is met by the formal lenders. So there
exists a strong demand and many companies are focusing. We are few of them.
We are one of th ose who are focused on MSME s and it will continue to grow
30% + for the next 3 - 4 years.
Mayur Liman: Okay, Sir. And my second question is Construction Finance and Housing finance
vertical . Asset quality has deteriorated much this quarter, specifically
Construction Finance . What would be the reason for the same

and your future
outlook on asset quality across these verticals?
Rajesh Sharma: So, asset quality has not deteriorated. If you see overall basis, GNPA is lower than
the even preceding quarter and the net NPA is also lower. As far as one of the

account s (in Construction Finance) is concerned where we have restructured and on account of restructuring, we hav e made the provision . And this is one of the account s of the overall portfolio. It is not that there are many accounts that have slipped away.

And in this lending business, we'll always see, when we're operating 180, 1 90 Construction Finance accounts, 1, 2, 3 account can always -- will face some challenges, which we have to either recover and/or use other measures to get out of it. So, this is one of that account where we have provided, and we are confident we'll find s ome other developer to take over that project at a price and we should be out from it.

Mayur Liman: Okay, Sir. And my last question. Any new bank tie -up we have done for expanding our co -lending book?

Rajesh Sharma: Co-lending book, we have already tied up with Union Bank, Punjab & Sind Bank, Bank of India and UCO Bank. In Gold Loan also those tie -ups are happening. And co -lending in real sense will pick up for the entire NBFC segment once this tech tie -up -- technology integration happens with the pu blic sector banking system. But in any case, we are achieving INR40 crores to INR50 crores a month . And once the Gold Loan takes off, which should happen sometime soon, then this co -lending arrangement, the volume will further go up.

Moderator: As there ar e no further questions, I now hand the conference over to the management for their closing comments.

Rajesh Sharma: Yes. Thank you all. We will continue to grow in the segments we operate in, which is MSME, Housing Finance , and Gold Loan s. And our core p hilosophy will remain that we should serve the customer who are not catered by the banking system. So , we complement the banking rather than competing with them. We clearly see that our Gold Loan business will break -even and will start deliver ing profit.

With the approach of growing in MSME where the margins are good, Gold Loan is going to become profitable . Adequate capital is now available. We clearly see this year is going to be one of all-time high profitability and our ma rgins will also improv e. Our core banking solution is getting implemented by the year -end. So, we clearly see a n edge. Our (lower) operating cost should start showing in our result s from the next year onwards. We already have about 100 -plus people, technology t eam in our Gurgaon office. And those results will be seen in next year. So, we are quite optimistic and quite confident of delivering superior returns. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Go India Advisors, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

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Call: Nov 2023

November09,2023
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Indian Num bering System Legend
■ 10 Lakh s = ■ 1Mn
■ 1 Crore = ■ 10Mn
■ 100 Crore s = ■ 1Bn
■ 1 Lakh Crore = ■ 1Tn

NOTE:
1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio tran script.
2) Factu al correction /s are superscripted at relevant places in the transcript and are explained in footnote /s.
3) Recurring terms like 'Year-on-Year', 'Quarter -on-Quarter', basis (refer ring to basis points) in the audio transcript hav e been shrunk to 'YoY', 'QoQ', and 'bps' respect ively.
4) Wherever needed, e mphasis is added in brackets (in italics) for better clarity .
5) For uniformity with reporting format , values referred to in crores in the audio transcript have been converted to billions or millions in this text transcript.

Q2 FY24 Earnings Confer ence Call
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Man agem ent
Mr. Rajesh Sharma , Founder & Managing Director
Mr. Partha Chakraborti, CFO
Mr. Sanjeev Srivastava, CRO
Mr. Ravikant Bhat , Sr. V P (Investor Relations)

Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited Q2 FY24 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode, and there will be an

opportun ity for you to ask questions after the presentation concludes. Should
you need assistance during the conference call, please signal an operator by
pressing star then zero on your touchtone phone. Please note that this
conferen ce is being recorded.
I now h and the conference over to Mr. Ravikant Bhat from Capri Global Capital
Limited. Thank you, and over to you, Sir.
Ravikant Bhat: Good morning, everyone. This is Ravikant. I shall read out a brief disclaimer for
today's call. Th e discussion on today's call r egarding CGCL's earnings
performance will be based on judgments derived from the declared results and
information regarding the business opportunity available to the company at this
time. The company's performance is subject t o risks, uncertainties , and
assumptions that could cause actual results to differ materially in the future.
Given these uncertainties and other factors, participants on today's call may
observe due caution while interpreting the results.
The full disclaimer is available on Slide 43 of Q2 FY24 investor deck. Participants
are requested to note the same.
I now request our MD, Mr. Rajesh Sharma, to present the opening remarks.
Rajesh Sharma: Good afternoon, friends, and season's greetings to all on the call. We declared
our reviewed conso lidated results for Q2 FY24 on Tuesday, 31st October 2023. I
hope you had a chance to go through the investor deck.
In our discussions post Q 1 FY24 earnings, we stated we had made a sound start
to FY24 with a healthy business and earnings momentum. I shal l revisit some of
the discussion of the busines

s in Q1 FY24 and also provide a perspective on our
Q2 FY24 earnings.
Please refer to Slide s 4, 5, and 6. After a lean Q1 FY24 , our disbursal momentum
picked up in a strong manner in Q2 FY24 . Disbursals increa sed 130% YoY and
31% on QoQ to ■35.3 billion. Disbursal momentum was dominated by Gold and
Housing busi ness, which contributed 66% of incremental disbursals. MSME
picked up pace, increasing 12% QoQ to ■3.7 billion.

Excluding Gold Loans, our disbursals increased 35% YoY. Construction Fi nance
maintained pace, although the disbursals were unchanged YoY at ■4.1 billion.
The AUM momentum continued to be robust, increasing 59% YoY to ■123.6
billion in Q2 FY24 . AUM, excluding Gold Loans, increased 35% YoY and 7%
QoQ .
Share of Gold Loans conti nued to increase, rising to 16% at AUM compared to
14% in Q1 FY24 and 2% in Q2 FY23 . We expect our Gold Loan AUM to touch or
cross ■30 billion by the end of this year, which could be 20% of AUM assuming
we sustain a 50% momentum in the overall AUM growth. Our AUM includes the
co-lending AUM of ■9.7 billion, which is up 4x YoY and 40% QoQ and constitute s
8% of AUM. We started co -lending under Gold Loans during Q2 FY24 and
currently have tie -ups with two commercial banks. On Slide 5, we have
introduced new ch arts to show the journey of our co -lending business across
MSME, Housing , and Gold Loan segments.
We have reported a 16% YoY and 3% QoQ increase in our net profit to ■652
million. To fully understand the earnings, let me first start with core earnings. Ou r
net interest income increased 63% YoY and 5% QoQ to ■2,493 million. The QoQ
growth momentum of net interest income was softer owing to spreads
movement.
Our weig hted average yield on advances declined 13 basis QoQ to 15.58% in
Q2 FY24 from 15.7% in Q1 FY24, while the cost of funds an increased 21 basis
QoQ to 8.93%. The increase in cost of funds was in line with the increase in
MCLR -linke d commercial bank borrowings that constitute 87% of our
borrowing s. This led to a spread compression, as highlighted i n Slide 17.
While our consolidated cost of borrowing s is competitive, given the overall
pass through s that are happening in the cost of money across the banking
system, we expect our cost of borrowing to also go up some more during H2
FY24 . Some of the cos t increases are expected to be compensated by an
improving mix of higher -yielding loans.
The share of our non -interest income in net income d eclined marginally to 24.3%
from 25% In Q1 FY 24 primarily on account of some changing dynamics in the car

loan bus iness. However, the non -car fee income and co-lending income picked up in -line with the growth in lending business, increasing 22% QoQ and 86% YoY.

Although car loan originations are up on the path to cross ■100 billion total originations during FY24 , net fee income is expected to be soft due to competitive intensity . We will continue to gain market share in th e origination market.

The cost -to-income ratio slightly increased to 66.9% in Q2 FY24 from 66 .0% in Q1 FY24 . The cost -to-income ratio, excluding Gold Loan business, was 51 .0%, broadly stable QoQ .

The adjusted cost -to-income ratio is marginally higher th an 48% we reported in FY24 . As we have been stating, the cost -to-income ratio should improve as we expect earnings to pick up faster relative to operating expenses during H2 FY24 .

Our gold loan network touched 742 branches in September 30, 2023. We had possession of a few more branches, which were yet to go live. With that, we have reached the initial t arget of 750 gold loan branches for H1 FY24 . We shall be pausing the branch addition in Gold Loan business in H2 FY24 . As I stated earlier, w

e expect this to aid in improving our cost/income ratio in H2 FY24 .

Our GNPA ratio stood at 1.93%, 4 bps higher th an Q1 FY24 , but substantially lower than 2.36% we reported in Q2 FY23 . The PCR on Stage -3 assets improved to 32.3%, primarily on account of pro active provisioning. We are inclined to improve the PCR further. Our credit cost stood at ■239 million, which was higher than ■112 million in Q4 FY23 , but marginally lower than ■246 million we reported in Q1 FY23 . As highlighted on Slide 13, the a verage credit cost in trailing -five quarters is ■176 million.

During Q 1 FY24 , we made some acceler ated provisioning on three construction finance exposure s to a single entity amounting to ■160 million. This was restructured and classified as NPA, attrac ting a provision of ■50 million or 31% of exposure. We have further increased the provisioning on the same, taking the provision coverage ratio to 87% on Construction Finance and Indirect Lending portfolio. Recovery efforts are underway and like past in stances, we are confident of fully recovering the outstanding amounts.

Our credit cost to Average AUM ratio was 78 bps annualized in Q2 FY24 compared to 89 bps in Q1 FY24 . This is in -line with our pre -COVID long -term trend. We have reported 2.1% ROA an d 7.1% ROE in Q2 FY24 . Excluding the losses in the Gold Loan business, our ROA and ROE would have been 2.8% and 9.5% respectively.

As we move towards the break -even in Gold Loan business, our profitability should substantially increase, especially in H2 FY24 . There shall also be additional drivers like the absence of one -off adjustment s that shall contribute t o the profit momentum. To conclude, I would say we remain on a path of strong growth and profitability in FY24 .

With that, I conclude my re marks. We shall now take questions.

Moderator: The first question is from the line of Mr. Bunty Chawla from IDBI Cap ital. Please go ahead, Sir.

Bunty Chawla: In the opening comment s, you said there has been a pressure on the spreads or on the yields d ue to the competiti on. Can you elaborate which segment we are seeing more pressure? Is it MSME? Is it Gold? Or is it Hous ing? And going forward what will be the sustainable yields for these segments ? And similarly , what will be the cost of funds ?

Rajesh Sharma: If we see on an overall basis, our yield on advances was 15.7% in Q1 FY24 , which has come down to 15.6% and thereby resulting in a spread compression of 40bps from 7 .0% to 6.6%, primarily because a lot of Construction Finance portfolio has been pre -paid and the new loans are happening at lower rate of interest. We have seen because of faster sale of inventory in those accounts,

there's a faster pre -payme nt and repayment and thereby, the new portfolio,
because of competition, is happening at a lower rate of interest.
And there, we have seen that our spreads come down. But in H2 FY24, we
believe that Gold Loan share will go up in overall por tfolio . That will improve the
overall yield on advances. And we also feel that our cost of funds, which is
another factor which ha s gone up by 21 bps, we should be able to pass on in
incremental lending better. So th at should improve our overall spread s.
Bunty Chawla: So can we say the 6.6% spread, which you have reported in Q2, should be
sustainable for second half of the year?
Rajesh Sharma: 6.6% is definitely sustainable. We still expect this to slightly better bec ause our
current AU M of ■20 bn Gold Loan will increase to ■30 bn. Gold Loan AUM
should increase the yield in the mix because that is the highest -yield ing product
in our overall portfolio. That will also improve the overall yield on advance s.

Bunty Chawla: So it's pur

ely on the Construction Finance we have got the impact on the yields
and no more in Gold Loan or Housing, we don't have any competitive pressu re,
right?
Rajesh Sharma: Suppose we remove the Construction Finance portfolio from this calculation,
then our yield would have become better by 3bps[1].
Bunty Chawla: Okay. So similarly, can you share your thought s on the cost of funds going
forward ?
Rajesh Sharma: I think cost of fund is largely market driven. Unless there is a change in the c redit
rating of the company, we will continue to be in the same bracket of the cost of
fund . But certain MCLR s on old loans are going to reset. So there we will see cost
of fund s go up but that will not be more than 10 bps. However, we will be able to
pass on this increased cost of fund s to our incremental lending.
Bunty Chawla: Secondly, Sir, ther e has been a higher credit cost. You rightly said that was
because we have taken a proactive step in increasing the provisioning. But if you
see the prov isioning, still it's kind of a 32%. How much are we targeting to
increase this PCR level? Because what we have observed in other medium or
large -sized NBFCs, they have a PCR on Stage -3 of 40% +. Some have 45%, some
have 40%, some are at 50%. So where are we targeting to reach our PCR and
how will this impact the credit cost going forward for us?
Rajesh Sharma: We will increase this PCR in a gradual manner, in-line with what I think the market
expects and in -line with the best practices. But if you look at it , our portfolio is a
little d ifferentiated from many others who have a higher PCR because our
portfolio is completely collateralized either by gold or by self-occupied house or
by self-occupied business premises. However, with a conservative approach, if
you see the PCR last quarter, it was 27.8%, now it has gone to 32.2 %, already
448bps, PCR has been increased and gradually will increase. We don't want to
give a level at the moment, but we will keep increasing it QoQ and stabilize
somewhere a roun d 37% to 4 0%.

____________ _____________
1. This should be read a s follo ws: 'Had the yield on our Construction Finan ce portfolio stayed unchanged, our
weighted average yield on advances would have Increased 3bps QoQ'

Bunty Chawla: Okay, Sir. And lastly on Gold Loan s, as you have shared that we have touched
almost 750 branches . So no more increase in your branches in a shorter period
of time. So how one should see the Gold Loan growth going forward? Because
until now, the branch increase was supporting high er Gold Loan growth. So how
we should see the Gold Loan growth going forward?
Rajesh Sharma: Gold Loan business, as I said, from current AUM of about ■20 bn in Sep'23 , we
expect it to close about ■30 bn by Mar'24 . And by then, all our branches, which
were contributing losses because they were in the investment phase, will achieve
break -even. They will start contributing to profitability in the last quarter. So next

year, again, we will draw a plan to add some more branches. That plan is not yet firmed up - how many branches , where they will be opening etc. We will deliberate that somewhat in the next quarter and then we will implement in th e first quarter of the new financial year.
Bunty Chawla: Can you share the ballpark Gold Loan AUM growth for next two to three years, how it should shape out? Ballpark number, roughly.
Rajesh Sharma: Ballpark number, you can imagine from ■30 bn, we should be able to reach almost 30%, 35% growth for the next two years, even if we don't open new branch es. But we a re going to add branches. I said we are not -- but definitely 30% to 35% growth we are going to achieve.
Moderator: Next question is from the line of Mr. Priyesh Jain from HSBC. Please go ahead, Sir.
Priyesh Jain: Sir, we are noticing that the

re is a stead y increase in the co -lending share. I have some questions regarding that. I want to under stand how different is the customer profile under the co -lending book versus the on -book loans? If you could throw some light on that.
Rajesh Sharma: Under co-lending, we are doing MSME, home loa n, and gold loan s. When we do the loan, we do the loan as if we are going to keep it in our book. Thereafter, we run the data - our data teams have made a program where we say (check) , which bank qualif ies for which pool. And accordingl y, we give those pools to tho se banks. But there's no specific program we carry out under co -lending. It is our product policy and the same is adopted by the bank also. So , there is no specific origination or underwriting done targeting that this should go in co -lendin g. In

routine course, our portfolio, whatever gets qualified, we place under the co - lending.
Priyesh Jain: Fair enough, Sir. I'm just trying to understand, like I'm trying to get a flavor of the co-lending book versus the regular book. So maybe if y ou could like -- what I understand is there are not any specific products being made or co -created specifically for such co -lending partners. But there might be some filters and, ultimately, the book that they get is different. Like wha t is the differences between that book and our book? Maybe there could be any differences in the loan characteristic or something in terms of interest rates or ticket size or tenure or things like that.
Rajesh Sharma: No, no, no. It is like this -- when we sign the co -lending partnership, our product is aligned first. And within that, they keep a criterion. Suppose sometimes, say, I (i.e. the bank) will take (accept) a CIBIL score of 750, somebody will say 700, somebody will say loan to value, I will give 75%, somebody will sa y I will give 80% . These are the variations every bank ha s. But we have our own policy. Our portfolio meet s their criteria. Whatever the pool and the specific loan account meet s the criteria, those are placed under co -lendin g. But w hen we onboard the customer, we onboard the customer as if we have to underwrite and we have to collect it back. So th e underwriter and branch doesn't know whom to originate, whether for co -lending or not. It happen s after the customer is onboarded and then we put the filter and, accordingly, we show it to our partner banks.
Moderator: Thank you. The next question is from the line of Mr. Jai from IIFL Securities. Please go ahead, Sir.
Jai: Our co -lending contribution has incre ased consistently over the past few quarters. And Sir, what could be the sustainable level here in each business segment of SME, housing finance and gold finance? And what is their incremental focus in this -- amongst these business segments for co -lending ?
Moderator: Sir, could you speak a little bit louder and request you to please repeat your question?
Jai: Our co -lending contribution has increased over the past few quarters. What could be a sustainable level here? And incrementally, on which segment you could be focusing more? Will it be MSME or housing finance?

Rajesh Sharma: We have co-lending partnership s across MSME, home loan s, and gold loan s. And we feel that co -lending under the gold loan will increase as compared to the two other prod ucts. The gro wth is happening in the gold loan. So there, substantial co -lending is expected to happen. We expect that out of ■30bn, at least 20% book will go under the co -lending. That is the target we are chasing. Of course, it depends also on the banks to grant the facilities and all, but we are hopeful to achieve that. MSME and the home loan put together are happening month

-on-month on a regular basis. And I think that is happening at the pace of ■400mn to ■500mn a month. And with that pace, that will continue. How ever, sometimes even we also -- these are based on our pricing, our overall contribution basis. So sometimes you slow it down, sometimes we increase it based on what pricing criteria we are getting from the partner banks.

Moderator: Thank you. The next que stion is from the line of Mr. Anuj Mohata from Equirus Securities Private Limited. Please go ahead, Sir.

Anuj Mohata: Congratulations for a good set of numbers. I just wanted to ask like you have highligh ted in your opening remarks that H2 will be better i n terms of disbursement . But given that our share -- that our portfolio mix is more focused towards rural and semi -urban area, and there, we are seeing some challenges due to rising inflation , how do you see the demand trend ending up in the H 2? And how will it affect our disbursement going forward?

Rajesh Sharma: I think the way we are s eeing, there is no lack or slowing down of demand in Tier 2, Tier 3 towns where our MSME, home loa n, and gold loans are happening. We clearly see that there's adequate demand at a particular level. And we hope to see that Q2 will be -- is traditionally happening for all lending businesses. We say this year also, we expect our H2 to be much higher in ter ms of volume, in terms of better contribution because there' s adequate demand on the ground. So we have not seen any slowing down of the demand of the loan.

Moderator: Thank you. The next question is from the line of Mr. Satyaprakash from Haitong Securitie s Private Limited. Please go ahead, Sir.

Satyaprakash: Sir, congratulations for the good set of numbers. My question is on the new subsidiary that we have incorporated, Capri Loans Car Platform . Would all the car loan business going to be carried from this? A nd are you planning to list this business separately? Any sp ecific reason for that?

Rajesh Sharma: Since that business is now getting to a size where we have already done about ■45bn originations and I think this year, we will do about ■100 bn number . We will be financ ing about 80,000 -plus cars through our network. And this business requires a separate t hrust on technology side. And we have a couple of other plan s in that busines s. So we believe that the distribution piece of car should be separate.

On back of the car loan distribution, we have now also started selling insurance to those customers. So to bring that separate, first, supervisory and a separate profitability, we hav e taken that, formed the new company, where all the empanelment s and partnerships with banks will be shifted.

While economic interest is consolidated to the level that comes to the company, but there will be a separate Business Head, separate Head of Acquisition, Network , for t echnology there will be a separ ate CTO and data science team. So I think to bring more focus on that business and to build the distribution around that, a separate SP V has been car ved out. And you will see that next year, there will be enhanced effort on bu ilding that brand separately.

Satyaprakash: Okay. Sir, one more question, if I may ask. Even if we adjust for the gold loan business, our cost to income is almost at 50%, as mentioned in the presentation. Also, it is majorly attributed to the increased dig ital spending. Any other reason when can we expect this to normalize? Would we see it going in range of 35% to 40% in the near future?

Rajesh Sharma: There's a lo t of spending happening on the technology team. We are about 125 -people team in the technol ogy and data science. So that result will also once our new technology platform is launched in the target date in April 2024. And there will be some more addition to that, which we'll compl

ete in the next three to six
months. So by September (2024) , our technolog y piece should be, by and large,
up, and running in its full force with the revised mortgage tech and property
tech . And with that, there will be tw o impacts.
One is the productivity of the team will improve. So the same amount of people
will be able to disburse higher, thereby increasing the overall contribution. And
two, there will be lesser spending going forward after September 2024 on the
technol ogy side. So overall, efficiency will improve and cost will also come down.
So that should bring our cost -to-income ratio down. Now whether cost -to-
income ratio will come down to 45% or 40% , I won't able to comment yet. But

definitely, next year, you will see a remarkable difference in the cost/income
ratio.
Moderator: As there are no furt her questions, I would now like to hand over the conference
to the management for closing comments.
Rajesh Sharma: Yes, thank you. So as stated during the call and th e Q&A session, we'll continue
to build our distribution through branches. Already 917 bran ches are up and
running. And we have also focused on distributing insurance product and car
loan distribution, which will enhance our fee income and support our ROE.
Our gold loan branches will start contributing (profit) from the last quarter
onwards. An d there will be substantial profitability coming in the next year
onwards. So , we are quite hopeful that with the launch of our new technology
initiative, new loan origina tion system and Oracle FLEXCUBE core banking
system becoming fully operational by Mar ch 2024, all these shall contribute to
lowering cost/income ratio and a very high growth.
As you have seen, we are growing at the pace of about 50% on AUM basis. That
growth, coupled wi th the lower cost/income ratio and better tech initiative,
company is on the path to achieve a better profitability. And our asset quality on
an overall basis is still very much under control. We are in a collateralized
lending portfolio.
We clearly see t hat when economy is growing, there's a clear demand that's
happening on the ground, and we should reap the benefit of our branch network
to build a quality, profitable portfolio along the way. Thank you so much.
Moderator: Thank you, Sir. On behalf of Go I ndia Advisors, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines.
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Call: Nov 2023

November06,2023
TheSecretary
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Bandra-KurlaComplex,Bandra(East)
Mumbai–400051
ScripCode:CGCL
Sub: IntimationpursuanttoRegulation30ofSEBI(ListingObligationsandDisclosureRequirements),
Regulations,2015,regardingQ2FY24EarningsCall-Transcript
DearSir/Madam,
FurthertoourletterdatedOctober28,2023,intimatingscheduleoftheEarningsConferenceCallon
November02,2023todiscusstheCompany’sQ2FY24Earnings,weareattachingherewiththetranscript
ofthesaidConferenceCall.
Theaboveisforyourinformationanddisseminationtoallthestakeholders.
Thankingyou,
Yoursfaithfully,
forCapriGlobalCapitalLimited
YasheshBhatt
CompanySecretary&ComplianceOfficer
MembershipNo.:ACS20491
Encl.:Asabove
Page1of9
“CapriGlobalCapitalLimited
Q2FY‘24EarningsConferenceCall”
November02,2023
MANAGEMENT:MR.RAJESHSHARMA–MANAGINGDIRECTOR–
CAPRIGLOBALCAPITALLIMITED
MR.RAVIKANTBHAT–SENIORVICEPRESIDENT,
INVESTORRELATIONS–CAPRIGLOBALCAPITAL
LIMITED
CapriGlobalCapitalLimited
November02,2023
Page2of9
Moderator: Ladiesandgentlemen,goodday,andwelcometoCapriGlobalCapitalLimitedQ2FY'24
EarningsConferenceCallhostedbyGoIndiaAdvisors.Asareminder,allparticipantlines
willbeinthelisten-onlymode,andtherewillbeanopportunityforyoutoaskquestionsafter
thepresentationconcludes.Shouldyouneedassistanceduringtheconferencecall,please
signalanoperatorbypressingstarthenzeroonyourtouchtonephone.Pleasenotethatthis
conferenceisbeingrecorded.
InowhandtheconferenceovertoMr.RavikantBhatfromCapriGlobalCapitalLimited.
Thankyou,andovertoyou,sir.
RavikantBhat: Goodmorning,everyone.ThisisRavikant.Ishallreadoutabriefdisclaimerfortoday'scall.
Thediscussionontoday'scallregardingCGCL'searningsperformancewillbebasedon
judgmentsderivedfromthedeclaredresultsandinformationregardingthebusiness
opportunityavailabletothecompanyatthistime.Thecompany'sperformanceissubjectto
risks,uncertaintiesandassumptionsthatcouldcauseactualresultstodiffermateriallyinthe
future.Giventheseuncertaintiesandotherfactors,participantsontoday'scallobservedue
cautionwhileinterpretingtheresults.
ThefulldisclaimerisavailableonSlide43ofQ2FY'24investordeck.Participantsare
requestedtonotethesame.
InowrequestourMD,Mr.RajeshSharma,topresenttheopeningremarks.
RajeshSharma: Goodafternoon,friends,andseason'sgreetingstoallonthecall.Wedeclaredourreviewed
consolidatedresultsforQ2FY'24onTuesday,31stOctober2023.Ihopeyouhadachanceto
gothroughtheinvestordeck.
InourdiscussionspostQ1FY'24earnings,westatedwehadmadeasoundstarttoFY'24with
ahealthybusinessandearningsmomentum.Ishallrevisitsomeofthediscussionofthe
businessinQ1FY'24andalsoprovideaperspectiveonourQ2FY'24earnings.
PleaserefertoSlidesfour,fiveandsix.AfteraleanQ1FY'24,ourdisbursalmomentum
pickedupinastrongmannerinQ2FY'24.Disbursalsincreased130%year-on-yearand31%

onquarter-on-quartertoINR35.3billion.DisbursalmomentumwasdominatedbyGoldand Housingbusiness,whichcontributed66%ofincrementaldisbursals.MSMEpickeduppace, increasing12%quarter-on-quartertoINR3.7billion.
ExcludingGoldLoans,ourdisbursalsincreased35%year-on-year.ConstructionFinance maintainedpace,althoughthedisbursalswereunchangedyear-on-yearatINR4.1billion.The AUMmomentumcontinuedtoberobust,increasing59%year-on-yeartoINR123.6billionin Q2FY'24.AUM,excludingGoldLoans,increased35%year-on-yearand7%quarter-on-quarter.
ShareofGoldLoanscontinuedtoincrease,risingto16%atAUMcomparedto14%inQ1 FY'24and2%inQ2FY'23.WeexpectourGoldLoanAUMtotouchorcrossINR30million bytheendofthisyear,whichcouldbe20%ofAUMassumingwesustaina50%momentum inoverallAUMgrowth.OurAUMincludestheco-lendingAUMofINR9.7billion,whichis

up4xyear-on-yearand40%quarter-on-quarterandconstitute8%ofAUM.Westartedco-lendingunderGoldLoansduringQ2FY'24andcurrentlyhavetie-upswithtwocommercial banks.OnSlidefive,wehaveintroducednewchartstoshowthejourneyofourco-lending businessacrossMSME,HousingandGold

Loansegments.
Wehavereporteda16%year-on-yearand3%quarter-on-quarterincreaseinournetprofitto INR652million.Tofullyunderstandtheearnings,letmefirststartwithcoreearnings.Ournet interestincomeincreased63%year-on-yearand5%quarter-on-quartertoINR2,493million. Thequarter-on-quartergrowthmomentumofnetinterestincomewassofterowingtospreads movement.
Ourweightedaverageyieldonadvancesdeclined13basisquarter-on-quarterto15.58%inQ2 FY'24from15.7%inQ1FY'24,whilethecostofanincreased21basisquarter-on-quarterto 8.93%.TheincreaseincostoffundswasinlinewiththeincreaseinMCLR-linkedcommercial bankborrowingsthatconstitute87%ofourborrowing.Thisledtoaspreadcompression,as highlightedinSlide17.
Whileourconsolidatedcostofborrowingiscompetitive,giventheoverallpass-throughthat arehappeninginthecostofmoneyacrossthebankingsystem,weexpectourcostof borrowingtoalsogoupsomemoreduringH2FY'24.Someofthecostincreasesareexpected tobecompensatedbyanimprovingmixofhigher-yieldingloans.
Theshareofournoninterestincomeinnetincomedeclinedto24.3%from25%marginally. Q1FY--primarilyonaccountofsomechangingdynamicsinthecarloanbusiness.However, thenon-carfeeincomeandgoldlendingincomepickedupinlinewiththegrowthinlending business,increasing22%quarter-on-quarterand86%year-on-year.
AlthoughcarloanoriginationsareuponthepathtocrossINR10,000crorestotaloriginations duringFY'24,netfeeincomeisexpectedtobesoftduetocosts,intensecompetition.Wewill continuetogainmarketshareintheoriginationmarket.Thecost-to-incomeratioslightly increasedto66.9%from66%fromQ1toQ2.Thecost-to-incomeratio,excludingGoldLoan business,was51%,broadlystablequarter-on-quarter.
Theadjustedcost-to-incomeratioismarginallyhigherthan48%wereportedinFY'24.Aswe havebeenstating,thecost-to-incomeratioshouldimproveasweexpectearningstopickup fasterrelativetooperatingexpensesduringH2FY'24.
Ourgoldloannetworktouched742branchesinSeptember30,2023.Wehadpositionedafew morebranches,whichwereyettogolive.Withthat,wehavereachedtheinitialtargetof750 goldloanbranchesforH1FY'24.WeshallbepoachingthebranchadditioninGoldLoan businessinH2FY'24.AsIstatedearlier,weexpectthistoaddtoimprovingourcost/income ratiotoH2FY'24.
OurGNPAratiostoodat1.93%,4bpshigherthanQ1FY'24,butsubstantiallylowerthan 2.36%ratiowereportedinQ2FY'23.ThePCRonStagethreeassetsimprovedto32.3%, primarilyonaccountofproductiveprovisioning.WeareinclinedtoimprovethePCRfurther. OurcreditcoststoodatINR239million,whichwashigherthanINR112millioninQ4FY'23,

butmarginallylowerthanINR246millionwereportedinQ1FY'23.AshighlightedonSlide 13,theaveragecreditcostintrailing-fivequartersisINR176million.
DuringQ1FY'24,wemadesomeacceleratedprovisioningonthreeconstructionclient exposuretoasingleentityamountingtoINR160million.Thiswasrestructuredandclassified asNPA,attractingaprovisionofINR50millionor31%ofexposure.Wehavefurther increasedtheprovisioningonthesame,takingtheprovisioncoverageratioto87%on ConstructionFinanceandindirectlendingportfolio.Recoveryeffortsareunderway.Andlike pastinstances,weareconfidentoffullyrecoveringtheoutstandingamounts.

Ourcreditcosttoaverageyieldratiowas78bpsannualizedinQ2FY'24comparedto89bps inQ1FY'24.Thisisinlinewithourpre-COVIDlong-termtrend.Wehavereported2.1% ROAand7.1%ROEinQ2FY'24.ExcludingthelossesintheGoldLoanbusiness,ourROA andROEwouldhavebeen2.8%and9.5%,respectively.

AswemovetowardsthebreakeveninGoldLoanbusiness,ourprofitabilityshould substantiallyincrease,especiallyinH2FY'24.Thereshallalsobeadditionaldriverslikethe absenceofone-offadjustmentthatshallcontributetotheprofitmomentum.Toconclude,I wouldsayweremainonapathofstronggrowthandprofitabilityin--astoFY'24.

Withthat,Iconcludemyremarks.Weshallnowtakequestions.

Moderator: ThefirstquestionisfromthelineofMr.BuntyChawlafromIDBICapital.Pleasegoahead, sir.

BuntyChawla: Intheopeningcomment,yousaid,sir,therehasbeenapressureonthespreadsorontheyields duetothecompetitivepressure.Socanyouelaboratewhichsegmentweareseeingmore pressure?IsitMSME?IsitGold?OrisitHousing?Andsogoingforward,whatwi

llbethe sustainableyieldsforthesesegmentsgoingforward?Andwhatwillbethecostoffunds similarly?

RajeshSharma: Soifweseeoverallbasis,ouryieldonadvanceswas15.7%inQ1FY'24,whichhascome downto15.6%andtherebyresultinginaspreadcompressionof40basisfrom7%to6.6%, primarilybecauseofConstructionFinanceportfoliohasbeen--alotofConstructionFinance portfoliohasbeenprepaidandthenewloansarehappeningatthelowerrateofinterest.So there,wehaveseenthatbecauseofthefastersaleoftheinventoryonthoseaccounts,there'sa fasterprepaymentandrepaymentand,thereby,thenewportfolio,becauseofthecompetition, ishappeningatalowerrateofinterest.

Andthere,wehaveseenthatourspreadshavecomedown.ButincomingH2'24,webelieve thatGoldLoansharewillgoupinoverallportfolio,thatwillimprovetheoverallyieldon advances.Andwealsofeelthatourcostoffunds,whichisanotherfactorwhichhavegoneup by21basis,weshouldbeabletopassontheincrementallendingbetter.Sothatshould improveouroverallspreads.

BuntyChawla: Yes,can--sorry,socanwesaythe6.6%spread,whichyouhavereportedinQ2,shouldbe sustainableforsecondhalfoftheyear?

RajeshSharma: 6.6%,definitelysustainable.WestillexpectthistoslightlybetterbecauseourcurrentAUMof INR2,000croresGoldLoanhasbecometoINR3,000crores.GoldLoanAUMshouldgiveus- -increasethechangeinthemixbecausethatisthehighest-yieldproductinouroverall portfolio.AndtheGoldLoanimproved,itincreasedtoINR3,000crores.Thatmixwillalso improvetheoverallyieldontheadvance.

BuntyChawla: Sotheaverage,right,it'spurelyontheConstructionFinancewehavegottheimpactonthe yields.Going--andnomoreinGoldLoanorHousing,wedon'thaveanycompetitivepressure, right?

RajeshSharma: Supposeweremovethegold--ConstructionFinanceportfoliofromthiscalculation,thenour yieldwouldhavebecomebetterbythreebasis.

BuntyChawla: Okay.Sosimilarly,canyoushareyourthoughtprocessonthecostoffundsgoingforward,sir?

RajeshSharma: Socostoffund,Ithinkcostoffundlargelyismarketdriven.Sounlessthereisachangeinthe creditratingofthecompany,wewillcontinuetobeinthesamebracketofthecostoffund,but certainMCLRontheoldloansaregoingtoreset.Sothere,we'llseesomebasisto--costof fundtogoup,butthatwillnotbemorethan10basis.Andhowever,weareabletopassonthis increasedcostoffundtoourall-incrementallending.

BuntyChawla: Secondly,sir,therehasbeenahighercreditcost.Yourightlysaidthatbecausewehavetaken aproactivestepinincreasingtheprovisioning.Butsir,ifyouseetheprovisioning,stillit's kindofa32%.HowmuchwearetargetingtoincreasethisPCRlevel?Becausewhatwehave observedinotherhighorlargeor,youcansay,highorlarge-sizedNBFCs,theyhaveaPCR onStagethreeisapproximately40%-pluskindofathing.Somehave45%,somehave40%, someare50%.SowherewearetargetingtoreachourPCRandhowthiswillimpactthecredit costgoingforwardforus?

RajeshSharma: Sowewill--gradualmanner,wewillincreasethisPCRinlinewithwhatIthinkthemarket expectsandinlinewiththebestpractices.Butifyoulookatit,ourportfolioisalittle differentiatedfrommanyotherswhohaveahigherbecauseourportfolioiscompletely collateralizedeitherbythegoldorbytheself-occupiedhouseorbytheself-occupiedbusiness premises.However,withtheconservativeapproach,ifyouseethePCRlastquarter,itwas 27.8%,nowithasgoneto32.23%,already448basis,PCRhasbeenincreasedandgradually willincrease.Wedon'twanttogivealevelatthemoment,butwewillkeepincreasingits quarter-on-quarterandstabilizesomewhereabout37%to40%.

BuntyChawla: Okay,sir.Sir,lastly,ontheGoldLoan,asyouhavesharedthatalmost750brancheswehave

touched.Sonomoreincreaseinyourbranchesinashorterperiodoftime.Sohowoneshould
seetheGoldLoangrowthgoingforward?Becauseuntilandnow,thebranchincreasewas
supportinghigherGoldLoangrowth.SohowweshouldseetheGoldLoangrowthgoing
forward?
RajeshSharma: SoGoldLoanbusiness,asIsaid,fromcurrentAUMofaboutINR2,000croresinMarch,we
expectittocloseaboutINR3,000crores.Andbythen,ourallbranches,whicharecontributing
thelossesbecausetheywereintheinvestmentphase,andsonowIthinkall--mostofthe

brancheswillachievethebreakeven.Andtheywillstartcontrib

utingtoprofitabilityalsointhe
lastquarter.Sonextyear,again,wewilldrawaplantoaddsomemorebranches.Thatplanis
notyetfirmedup,okay,howmanybranchesandwhereitwillbeopening.Sowe'lldeliberate
thatsomewhatinthenextquarterandthenwe'llimplementinthefirstquarterofthenew
financialyear.
BuntyChawla: Sir,socanyousharetheballparkGoldLoangrowth,AUMgrowthfornexttwotothreeyears,
howitshouldshapeout?Ballparknumber,roughly.
RajeshSharma: Ballparknumber,youcanimaginefromINR3,000crores,weshouldbeabletoreachalmost
30%,35%growthfornexttwoyears,eventhoughwedon'topenthebranch,butwearegoing
toaddthebranches.Isaidwearenot--butdefinitely,30%to35%growthwearegoingto
achieve.
Moderator: NextquestionisfromthelineofMr.PriyeshJainfromHSBC.Pleasegoahead,sir.
PriyeshJain: HSBC,ResearchDivisionSir,wearenoticingthatthe--thereisasteadyincreaseintheco-
lendingshare.Ihavesomequestionsregardingthat.Iwanttounderstandlikeisthecustomer
profileunderco-lending--likehowdifferentisthecustomerprofileundertheco-lendingbook
versustheon-bookloans?Ifyoucouldthrowsomelightonthat.
RajeshSharma: Soundertheco-lending,wearedoingMSME,homeloanandthegoldloan.Whenwedothe
loan,wedotheloanbasisifwearegoingtokeepinourbook.Thereafter,werunthe--our
datatimes,settingsmadeprogramwherewesay,whichbankqualifyforwhichpool.And
accordingly,wegivethosepoolstothosebanks.Butthere'snospecificprogramwecarryout
underco-lending.Itisourproductpolicy,andthatiswhatthesameisadoptedbythebank
also.Sothereisnospecificoriginationorunderwritingisdonetargetingthatthisshouldgoin
co-lending.Inrupee,ofcourse,ourportfolio,whatevergetsqualified,weplaceundertheco-
lending.
PriyeshJain: Fairenough,sir.Sir,I'mjusttryingtounderstand,likeI'mtryingtogetaflavoroftheco-
lendingbookversustheregularbook.Somaybeifyoucouldlike--whatIunderstandisthere
arenotanyspecificproductsbeingmadeorco-createdspecificallyforsuchco-lending
partners.Buttheremightbesomefiltersand,ultimately,thebookthattheygetisdifferent.
Likewhatisthedifferencesbetweenthatbookandourbook?Maybetherecouldbeany
differencesintheloancharacteristicorsomethingintermsofinterestratesorticketsizeor
tenureorthingslikethat.
RajeshSharma: No,no,no.Soitislikethis,we--our--whenwesigntheco-lendingpartnership,ourproduct
isalignedfirst.Andwithinthat,theykeepacriterion.Supposesometimes,say,Iwilltakethe
CIBILscoreof750,somebodywillsay700,somebodywillsayloantovalue,Iwillgive75%,
somebodywillsayIwillgive80%,sothesearethevariationseverybankhavelikethat.And
withinthat,butwehaveourownpolicy.
Soourportfoliomeettheircriteria.Whateverthepoolandthespecificloanaccountmeetthe
criteria,thoseareplacedunderco-lending.Butwhenweonboardthecustomer,weownwhat
thecustomeris,wehavetounderwriteandwehavetocollectitback.Sothatunderwriting--

underwriterandbranchdoesn'tknowwhomtooriginate,whetherforco-lendingornot.Itis
happeningafterthecustomerisonboardedandthenweputthefilterand,accordingly,we'll
showittothe--ourpartnerbanks.
Moderator: Thankyou.ThenextquestionisfromthelineofMr.JaifromIIFLSecurities.Pleasegoahead,
sir.
Jai: Ourco-lendingcontributionhasincreasedconsistentlyoverthepastfewquarters.Andsir,
whatcouldbethesustainablelevelhereineachbusinesssegmentofSME,housingfinance
andgoldfinance?Andwhatistheirincrementalfocusinthis--amongstthesebusiness
segmentsforco-lending?
Moderator: Sir,couldyouspeakalittlebitlouderandrequestyoutopleaserepeatyourquestion?
Jai: Yes.Ourco-lendingcontributionhasincreasedoverthepastfewquarters.Andsowhatcould
beasustainablelevelhere?Andincrementally,onwhichsegmentyoucouldbefocusingmore?
WillitbeMSMEorhousingfinance?

RajeshSharma: Soco-lendingpartnership,wehaveacrossMSME,homeloanandgoldloan.Andwefeelthat co-lendingunderthegoldloanwillincreaseascomparedtothetwootherproducts.The growthishappeninginthegoldloan.Sothere,substantialco-lendingisexpectedtohappen. WeexpectthatoutofINR3,000crores,atleast20%bookwillgoundertheco-lending.Thatis thetargetwearechasing.
Ofcourse,itdependsalsoonthebankstograntthefacilitiesandall,butwearehopefulto achievet

hat.MSMEandthehomeloanputtogetherarehappeningmonth-on-monthona regularbasis.AndIthinkthatishappeningatthepaceofINR40crorestoINR50croresa month.Andwiththatpace,thatwillcontinue.However,sometimesevenwealso--theseare basedonourpricing,ouroverallcontributionbasis.Sosometimesyouslowitdown, sometimesweincreaseitbasedinwhatpricingcriteriawearegettingfromthepartnerbanks.
Moderator: Thankyou.ThenextquestionisfromthelineofMr.AnujMohatafromEquirusSecurities PrivateLimited.Pleasegoahead,sir.
AnujMohata: Sogood--congratulationsforagoodsetofnumbers.Sir,Ijustwantedtoask,likeyouhave highlightedinyouropeningremarksthatH2willbebetterintermsofdisbursementandall this.Butgiventhatourshare--thatourportfoliomixismorefocusedtowardsruralandsemi-urbanarea,andthere,weareseeingsomechallengesduetorisinginflation.Sohowdoyousee thedemandtrendendingupintheH2?Andhowitwillaffectourdisbursementgoingforward?
RajeshSharma: SoIthinkthewaywearesayingthereisnolackorslowingdownonthedemandinTier2, Tier3townswhereourMSME,homeloanandgoldloansarehappening.Weclearlyseethat there'sadequatedemandataparticularlevel.AndwehopetoseethatQ2willbe--is traditionallyhappeningforalllendingbusinesses.Wesaythisyearalso,weexpectourH2to bemuchhigherintermsofvolume,intermsofbettercontributionbecausethere'sadequate demandontheground.Sowehavenotseenanyslowingdownofthedemandoftheloan.

Moderator: Thankyou.ThenextquestionisfromthelineofMr.SatyaprakashfromHaitongSecurities PrivateLimited.Pleasegoahead,sir.
Satyaprakash: Sir,congratulationsforthegoodsetofnumbers.Myquestionisthenewsubsidiarythatwe haveincorporated,CapriLoansCarPlatform,wouldallthecarloanbusinessgoingtobe carriedfromthis?Andareyouplanningtolistthisbusinessseparately?Anyspecificreason forthat?Hello?
RajeshSharma: Sincethatbusinessisnowgettingtoasizewherewearegoingtoalreadydoneabout INR4,500croresnumberandIthinkthisyear,wewilldoaboutINR10,000croresnumber,it lookslikeandourtargetis.SoINR10,000crores,wewillbedoingabout80,000-pluscars financedthroughournetwork.Andthisbusinessrequiresaseparatetrustonthetechnology side.Andwehaveacoupleofotherplantsinthatbusiness.Sowebelievethatthedistribution pieceofthecarshouldbeseparate.
Onbackofthecarloandistribution,wehavealsonowstartedsellingtheinsurancetothose customers.Sotobringthatseparate,first,supervisoryandaseparateprofitability,wehave takenthat,formedthenewcompany,wherethe--alltheimpanelmentandthepartnerships withthebankswillbeshifted.
Whileeconomicinterestisconsolidatedtothelevelthatcomestothecompany,buttherewill beaseparatebusinesshead,separateheadoftheacquisition,networkandtechnologygot separatebusiness,CTO,anddatascienceteam.Therewillbe--soIthinktobringmorefocus onthatbusinessandtobuildthedistributionaroundthat,theseparateSPEhadbeencarvedout. Andyouwillseethatnextyear,there'llbeenhancedeffortonbuildingthatbrandseparately.
Satyaprakash: Okay.Sir,onemorequestion,ifImayask.Sothatisthatevenifweadjustforthegoldloan business,ourcosttoincomeisalmostat50%,asmentionedinthepresentation.Also,itis majorlyattributedtotheincreaseddigitalspending.Anyotherreasonwhencanweexpectthis tonormalize?Wouldweseeitgoinginrangeof35%to40%inthenearfuture?
RajeshSharma: Sothere'salotofspendinghappeningonthetechnologyteam.Weareabout125-peopleteam inthetechnologyanddatascience.Sothatresultwillalsoonceournewtechnologyplatformis launchedinthetargetdateinApril2024.Andtherewillbesomemoreadditiontothat,which we'llcompleteinthenextthreetosixmonths.SobySeptember,ourtechnologypieceshould be,byandlarge,up,andrunningintheirfullforcewiththerevisedmortgagetechand propertytechandeverything.Andwiththat,therewillbetwoimpacts.
Oneistheproductivityoftheteamwillimprove.Sothesameamountofpeoplewillbeableto disbursehigher,therebyincreasingtheoverallcontribution.Andtwo,therewillbelesser spendinggoingforwardafterSeptember2024onthetechnologyside.Sooverall,efficiency willimproveandalsocostwillcomedown.Sothatshouldbringourcost-to-incomeratio down.Nowcost-to-incomeratiowillcomedownto45%or40%.Ith

inkthatI'mnotableto
commentyet.Butdefinitely,nextyear,youwillseearemarkabledifferenceinthecost/income
ratio.

Moderator: Astherearenofurtherquestions,Iwouldnowliketohandovertheconferencetothe
managementforclosingcomments.
RajeshSharma: Yes,thankyou.SoasstatedduringthecallandtheQ&Asession,we'llcontinuetobuildour
distributionthroughbranches.Wehavealreadynow870branchesareupandrunning.Andwe
havealsofocusedondistributinginsuranceproductandcarloandistribution,whichwill
enhanceourfeeincome,whichwillsupportourROE.
Ourgoldloanbrancheswillstartcontributingfromthelastquarteronwards.Andtherewillbe
substantialprofitabilitycominginthenextyearonwards.Sowearequitehopefulthatwiththe
launchofournewtechnologyinitiative,newloanoriginalsystemandOracleFLEXCUBE
beinganelementsystemfullyoperationalbyMarch2024,alltheseinitiallyputtogetheralow
cost/incomeratioandaveryhighgrowth.
Asyouhaveseen,wearegrowingatthepaceofabout50%onAUMbasis.Thatgrowth,
coupledwiththelowercost/incomeratioandbettertechinitiative,companyisonthepathto
achieveabetterprofitability.Andourassetqualityonanoverallbasisisstill--andthenvery
control.Weareinacollateralizedlendingportfolio.
Weclearlyseethatwheneconomyisgrowing,there'sacleardemandthat'shappeningonthe
ground,andweshouldreapthebenefitofourbranchnetworktobuildaquality,profitable
portfolioalongtheway.Thankyousomuch.
Moderator: Thankyou,sir.OnbehalfofGoIndiaAdvisors,thatconcludesthisconference.Thankyoufor
joiningus,andyoumaynowdisconnectyourlines.

Call: Feb 2024

February07,2024
TheSecretary
BSELimited
PheerozeJeejeebhoyTowers
DalalStreet,Fort
Mumbai-400001
ScripCode:531595TheSecretary
NationalStockExchangeofIndiaLimited
ExchangePlaza,5thFloor
PlotNo-'C'Block,GBlock
Bandra-KurlaComplex,Bandra(East)
Mumbai–400051
ScripCode:CGCL
Sub: IntimationpursuanttoRegulation30ofSEBI(ListingObligationsandDisclosureRequirements), Regulations,2015,regardingQ3FY24EarningsCall-Transcript
DearSir/Madam,
FurthertoourletterdatedJanuary27,2024,intimatingscheduleoftheEarningsConferenceCallon January31,2024todiscusstheCompany'sQ3FY24Earnings,weareattachingherewiththetranscriptof thesaidConferenceCall.
Theaboveisforyourinformationanddisseminationtoallthestakeholders.
Thankingyou,
Yoursfaithfully,
forCapriGlobalCapitalLimited
YasheshBhatt
CompanySecretary&ComplianceOfficer
MembershipNo.:ACS20491
Encl.:Asabove

Indian Numbering System Legend
■ 10 Lakh s = ■ 1Mn
■ 1 Crore = ■ 10Mn
■ 100 Crore s = ■ 1Bn
■ 1 Lakh Crore = ■ 1Tn

NOTE:
1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.
2) Factual correction /s are superscripted at relevant places in the transcript and are explained in footnote /s.
3) Recurring terms like ' Year-on-Year', 'Quarter -on-Quarter ', basis (refer ring to basis points) in the audio transcript have been shrunk to 'YoY' , 'QoQ' , and 'bps' respectively.
4) Wherever needed, e mphasis is added in brackets (in italics) for better clarity .
5) For uniformity with reporting format, values referred to in crores in the audio transcript have been converted to billions (bn) or millions (mn) in this text transcript.

Q3 FY2 4 Earnings Conference Call
January 31, 202 4

Management
Mr. Rajesh Sharma , Founder & Managing Director
Mr. Partha Chakraborti, CFO
Mr. Sanjeev Srivastava, CRO
Mr. Ravikant Bhat , Sr. VP (Investor Relations)

Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited Q3 FY24 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ravikant Bhat from Capri Global Capital Limited. Thank you, and over to you, Sir.

Ravikant Bhat: Good morning, everyone. This is Ravikant. I shall read out a brief disclaimer for today's call. The discussion on today's call regarding CGCL's earnings performance will be based on judgments derived from the declared results and information regarding the business opportunity available to the company at this time. The company's performa nce is subject to risks, uncertainties , and assumptions that could cause actual results to differ materially in the future. Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results.

The full disclaimer is available on Slide 43 of Q 3 FY24 investor deck. Participants are requested to note the same.

I now request our MD, Mr. Rajesh Sharma, to present the opening remarks.

Rajesh Sharma: Good afternoon, friends. Let me start by wishing you all a Happy New Year 2024. We declared our reviewed consolidated results for Q3, FY24 on Saturday, 27 January 2024. I hope you had a chance to go through the Investor Deck. We have a lot of updates to share on today's call. My opening commentar y today is going to be slightly longer than usual.

I would like to start by highlighting a few key decisions that our Board approved in its latest meeting. CGCL's Board has approv

ed a stock split from ■2 face value currently to ■1 face value. The CGCL sto ck had last split in November 2016 from ■10 to ■2 face value then. The Board has also approved a bonus issuance in the ratio of 1:1.

The company's paid -up equity share capital shall increase from ■412.5 mn in Q3 FY24 to ■824.9 mn after the split and the bon us issue. The outstanding equity

shares will quadruple from 206.23 mn shares to 824.9 mn shares. These measures shall aid in improving our liquidity.

Both split and bonus issuance are subject to shareholder approval. We have already published the notice for Extraordinary General Meeting of our shareholders to be held on 22nd February 2024 to seek approval for stock split and bonus issue.

We have also appointed three distinguished leaders from the field of finance, technology and ESG as independent directors on our Board. They are Mr. L. V. Prabhakar, a career banker and former MD and CEO of Canara Bank; Mr. Shishir Priyadarshi, former IAS officer and a Director on the World Trade Organization, having a distinguished career in public service with wide -ranging experience across all disciplines; and Ms. Nupur Mukherjee, former Global Managing Director at Standard Chartered and Barclays Bank with deep exper ience in critical technology, data science practices , and ESG. Their detailed profiles are available in the leadership section of our website. Please do refer to those. These appointments have added significant strength to Capri's Board and the executive management will immensely benefit from its guidance.

I would like also to inform that our newly incorporated, wholly owned subsidiary, Capri Loans Car Platform Private Limited, became operational during Q3 FY24 and has begun accruing income. In due course, the entire car loan origination business shall be conducted out of this subsidiary.

A, intimated earlier, we have received a composite license from insurance regulator, IRDAI to distribute life, non -life, and health insurance policies. Our insurance dist ribution team is already in place . We expect to generate a gross insurance fee income of at least ■1bn between FY25 and FY27. This will contribute towards significantly strengthening our ROA structure and support our target of crossing 15% ROE by or before FY27.

I shall now turn t o commentary on business and earning s performance. Capri's performance across all verticals continued to be strong during 9M FY24 with overall AUM growing by 54% YoY to ■133,621mn . The overall disbursement during the 9M FY24 increased by 113% YoY to touch ■99,827mn assisted by

adding 311 branches on a YoY basis, taking the total branch count to 920.
The growth momentum w as strong across our verticals . Gold Loan AUM grew by 235% YoY to ■23,936mn , partially supported by addition of 298 branches Gold

Loan specific branches YoY. Home Loan AUM grew by 53% YoY to ■34,903mn , driven by growth in disbursement by 48% YoY to ■11,455mn for 9M FY24. Construction Finance AUM grew by 35% YoY to ■22,710mn , driven by growth in disbursement by 33% YoY to ■13,475mn for 9M FY24. MSME loan AUM grew by 24% YoY to ■47,676mn . On the back of a strong business momentum during 9M FY24, the company is targeting to clock FY24 AUM growth in the range of 50% YoY to ■150,000mn .
The strong momentum in AUM growth along with a strong t hrust in fee income drove growth of 59% YoY in net income. Supported by focused collection effort and active monitoring of the book , our gross Stage -3 asset s show ed a decline of 20bps YoY to 2.1% Q3 FY24 versus 2.3% in Q3 FY23.
Our Car Loan distribution business is on course to originate ■100bn business in FY24. On behalf of eight commercial bank partners during 9M FY24 , the
c

ompany originated car loan to the tune of ■70,728mn , which is up by 83% YoY. Net fee generated was ■805mn in 9M FY24.
The company is confident of crossing its set target of ■100bn, that is a growth of 75% YoY by FY24. To further scale up the Car Loan origination business in FY25, CGCL is planning to build a tech platform and transfer the entire business to a newly created wholly owned subsidiary.
We also have a plan to build the insurance platform as I told earlier. CGCL has an active client base of 300,000 customers as of December 2023, of which about 137,000 customers were added in 9M FY24. With strong momentum in the retail lending business, the company aims to take active client base to 400,000 by the end of FY24 and 800,000 by the end of FY27.
CGCL's rapidly increasing client relationship offers a sizable captive base to cross -sell and improve insurance penetration. This will help CGCL to strengthen its insurance cross -sell income and deliver about ■1bn fee income, which will generate ROE about 2% in the span of the next three years.
Our cost -to-income ratio has declined 392 bps QoQ and 651 bps YoY to 63%. In absolute terms, the operating expenses were unchanged QoQ to ■2,203 mn. The flattening of opex in Q3 FY24 is in sharp contrast with the steep increase we have reported since the launch of our Gold Loan business in Q2 FY23.

The flattering is also on account of the pause we have taken in our branch expansion. Since it has completed its plans, the reversal and decline in cost -to-income ratio shall continue with the Gold Loan business likely to break even in Q4 FY24.
Owing to a strong net income performance as well as a flat operating expenses, our pre -provisioning operating profit touched to ■1,296 mn, increasing by a robust 19% QoQ and 78% YoY. This also allowed us to not just comfortably absorb incremental ECL provisioning req uirement on account of higher NPA but also improve the provision coverage ratio.
Now I come to credit cost and asset quality. Our GNPA ratio increased 80 bps QoQ to 2.10 %. Although it remained 22 bps lower on a YoY basis, in absolute terms, the gross NPA pool increased by ■361mn QoQ . MSME contributed ■148mn to the increase, while CF and Housing contributed ■106mn each. Some of the increase in MSME and Housing NPA was a result of the flow from restructured assets which are now fully out of moratorium since Q2 FY24.
The standard restructured assets stood at 92b ps of on -book AUM compared to 113bps to Q2 FY24 and 176 bps in Q3 FY23. Our legal and collection teams expect to resolve a chunk of legacy NPA s in MSME and Housing during Q4 FY24 with the minimal haircut on the net outstanding.
In Construction Finance, we expect to resolve nearly ■25mn of Q3 FY24

slippage s during Q4 FY24 and the remaining ■81mn in the next financial year. Of the ■160mn slippage on the Construction Finance, during Q1 FY24, we are happy to share that the stressed project has been approved funding from the stressed asset fund of Government of Indi a (SWAMIH Fund). And the same is also likely to be resolved during FY24 with the likelihood of a full recovery. Our credit cost for Q3 FY24 stood at ■403mn or 1.25% annualized as a per cent of average AUM. The increased credit cost was both a result of hig her NPA flow as well as for improving the provision coverage ratio.
You may recall our guidance during Q2 FY24 conference call wherein we had indicated our target of gradually improving the PCR and stabilizing at around 37% to 40% level. Our PCR improved 243bps in Q3 FY24 to 34.7%. Despite our focus on improvement o f PCR, which will continue in Q4 FY24 . Our full year credit cost in FY24 will remain in the range of 1%, which has been our long -term average credit cost.

We have reported a net profit of ■680mn, which is higher 82% YoY and 4% QoQ . Excluding the loss incurred in the Gold Loan business, our net profit would have been ■803mn. We reported 2% ROA and 7.3% ROE in Q3 FY24.
Our earnings performance during Q3 FY24 can be termed as being resilient. Our efforts at diversifying our business and income stream over the past two to three years are now beginning to support us meaningfully as seen in Q3 FY24. We have coped up with a decline in spread s and increase in credi t costs for two consecutive quarter s but reported a stronger bottom line. As we break even in the Gold Loan business in Q4 FY24, this shall be once again strongly validated.
Now coming to technology and ESG. O ver past two years, we have been preparing to establish a systematic ESG practice internally. Among the exercise undertaken was preparation of a materiality and gap assessment report with help from a Big 4 consultant. We are moving ahead to obtain ratings under leading global ESG framework s. Our Board in the latest meeting approved ESG related policies in setting up of ESG governing framework through a dedicated ESG department. Our new Board induct ees also reflect our orientation. Going ahead, we shall periodically keep our stakeholder updated on the p rogress we make on ESG assessment.
Technology has been another critical area of focus for us . We have undertaken a number of initiatives in the form of a revamp of our LOS/LMS , collections technology , process re -engineering , and analytics -driven decision -making ha ve been implemented. Very soon, we shall be announcing the launch of our exclusive co -lending platform that shall smoothen the co -lending process. In coming months, we shall complete implementation of Oracle FLEXCUBE LMS for our MSME business . In-house applications developed to improve log -in to disbursal and rejection and start delivering a tangible cost savings from FY25 onwards. We look forward to regularly sharing qualitative outcomes of our tech initiatives in a couple of quarters.
With that, I conclude my remarks . We shall now take questions.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Hitesh Jain from Avagrah Capital.
Hitesh Jain: My first question is on the Gold Loan business. At a branch level, how much business does a branch need to do to break even? And currently, how many branches are at that break -even level? I mean, I'm assuming a lot of -- there are a

lot of new branch es which may be at -- which maybe incurring losses. So how many branches are already at break -even level? That's my first question.
Rajesh Sharma: Currently we have about 747 Gold Loan dedicated branches, which only book the Gold Loan businesses. And curre ntly, at ■30mn business per branch we start breaking even. So out of 747, give me a couple of minutes, I will tell you how many branches are at ■30mn and above. There are some branches which have even crossed ■50mn , so they are reasonably good, profitable. But exact number,

give me a couple of minutes. Meanwhile we can take up another question and
then come back to answering your question.
Hitesh Jain: So -- I mean, what if a branch doesn't reach ■30mn ? Like how much time do you
all hold on to it and then decide, okay, fine, let's shut this branch?
Rajesh Sharma: So normally, for a branch to reach ■30mn depend s on location to location . Every
branch doesn't have the same formula. Some branches reach ■30mn within 12
months. Some branches have taken even 15 months. And some of the branches
are going to take 18 months to reach that.
Hitesh Jain: Have you ever closed any branches?
Rajesh Sharma: No, we've not closed any branches.
Hitesh Jain: Okay. And what is

like the cross -selling opportunities at the se branches, the Gold
Loan branches?
Rajesh Sharma: We all know there is an increased awareness about insurance. Every Gold Loan
branch has capability to sell the insurance policy to their -- our borrowers. Now
the customers when they come in, sometimes ev en Gold Loan customers, it's
very easy to explain them and convince them that they take insurance policy,
which take care s of their mediclaim and hospital bill s. And that policy will cost
maybe about ■5,000 per year.
But we explain to them, even next 10 y ears, they get admitted by for any reason,
any of their family member, even wife, they will be able to afford good treatment.
At the same time, it will turn out to be cheaper. So with that connection, we have
started selling insurance policy already.
And I think from April onwards, we should be able to generate about ■300mn a
year insurance policy premium income, out of which, a significant portion of the

commission will accrue to us. So it is very easy. We are targeting cross -sell. Our
technology is already being made in-house for that.
And our corporate agency license is already active now. So you will start seeing
the traction. I think in Q4, we should be able to report the specific number on the
insura nce income earned from each segment, be it Gold Loan, be it MSME, be it
Home Loan or be it Construction Finance. This is going to be a very sizable
income next year onwards.
Hitesh Jain: Okay. Sir. Just continuing with this question on the insurance. In yo ur opening
remarks, you mentioned that you will touch ROE of 15% with the help of
insurance. Can you just elaborate more on that? How is that journey going to be?
Rajesh Sharma: So if you talk about ROE, let us go step by step. First of all, this year, our Gold
Loan loss will be in the range of about ■1,000mn . Next year, our Gold Loan
vertical will start delivering profit. So, this entire ■1,000mn loss will go away and
we should turn into positive where we expect anything between ■400mn to
■500mn of profit contribution fr om the Gold Loan business next year. So that is
■1,400mn to ■1,500mn upside from the current financial.
Now Car Loan distribution will continue to grow and that is also going to be a
good amount of fee income. If you say the gross revenue from Car Loan business
comes in the range of about 2.3% on the volume originated. But this year, the
gross revenue will be in the range of about ■2,300mn from the Car Loan vertical.
And next year, this business again should grow 20%. Even after all the expenses
and the fee, commission payment, we should be able to generate about ■500mn
of profit from the Car Loan distribution alone.
Insurance side, by putting the people, team , and license now in place, we should
be able to generate income of about ■400mn to ■500mn again from the car
insurance business. So the cross -sell is going to give us a fee income support
from our customer base. And next year, we expect our number of custo mers
would be in the range of about 800,000.
Hitesh Jain: But when can you achieve this 15%, which year? I mean, next year or...
Rajesh Sharma: 15% ROE, we hope to achieve by around -- between FY26 and FY27.
Hitesh Jain: Okay. Sure. Just one last question from my side. What was the rationale for
making a separate subsidiary for auto loans?

Rajesh Sharma: Now I've got the data -- sorry, I've got the data of the Gold Loan branch. Out of 747, 313 branches ha ve already crossed ■30mn , 113 branches were already more and are making -- already started contributing to P&L.
Moderator: The next question is from the line of Rajat Roy from Investec.
Rajat Roy: I just wanted to sort of get an understanding on t

he growth in the Gold Loan business at about 250% YoY with regard to AUM. Could you please shed some light on, one, how this growth was achieved as well as forward guidance for what we could expect with reg ard to specifically Gold Loans as well as the other business segments?
Rajesh Sharma: If we talk about Gold Loan growth, this year we have added about 298 branches in Gold Loan alone. On back of that, we expect to close our Gold Loan AUM this year at about ■30,000mn and next year we should achieve a Gold Loan AUM in the range of about ■47bn to ■50bn. So that is wh ere our growth will come to. You can say next year's Gold Loan business, again, will continue to grow in the range of about 50% to 60%. If we talk about our MSME business, it has grown about 24% and our Home Loan business has grown in the range of about 50%. Next year, if we talk about overall growth, we should -- we are confident to achieve a growth in the range of about 35% +.
Moderator: The next q uestion is from the line of Gaurav Sharma from HSBC.
Gaurav Sharma: So a couple of questions, Sir. A couple of NBFCs mentioned in their results that they are slowing down their co -lending disbursement in housing finance as they received some directions or formulas from NHB to maintain certain threshold of home loans in their own book. So, they are slowing down their co -lending disbursement. Just wanted to know whether you have also received such directions from NHB to slow down co -lending disbursement. That is question number one.
And second, Sir on the margin outlook, you have seen a 40bps compression in margin s. So where do you see that further going in FY25? And what will be the key drivers for sustainable margins?
Rajesh Sharma: So, we have not got any direction to slow down co -lending or otherwise in home loan disbursal s. On the contrary, now NHB is holding the meeting of all CEOs and key management every six months and asking them if they are facing any difficulty or how they can i mprove the business, expansion etc.

So I can clearly see, it is a thrust of the government, it is the thrust of the regulator that how the first home buyer can be serviced by making the credit easily available. And in affordable housing another plus point is that smaller houses are getting built by developers because the people have started getting the loan. So we see this segment will continue to grow for the next few years. And while we are growing at a 50% pace . I don't think even next year we will be slowing down this segment. So this is one part. What was the other question? Other part of your question?
Gaurav Sharma: Sir, on the margin outlook, so how can you protect margin s going forward? And what will be the key drivers?
Rajesh Sharma: So there are two ways to protect the margin. There are three things we will do rather. One is that we have currently got from the six banks co -lending lines. So co-lending line, efficiently, what they do is that 20% money we have to put, 80% they do. We have got about ■30bn plus of co -lending line. This will give us an ability to service even those customers we otherwise would have said no because there's low interest rate. So it will help us to control the balance transfer to the competition. Plus, it will give us an additional layer of the customer we would have said no. And third, the Gold Loan contribution in the overall yield will continue to grow. Gold Loan realized yield in the range of about -- targeted yield for the next year in the range of about 18%. So overall, our spread will continue to improve. Fourth, our fee distribution from the Car Loan business and the insurance business will be additional support to improve overall our margins.
Moderator: The next question is from the line of Satyaprakash Pandey from Haitong.
Satyaprakash Pandey:

Could you please provide further details regarding our plan for insurance business? Specifically, what policies are we intending to launch? And what is the current progress regarding the establishment of team and infrast ructure to finish it?
Rajesh Sharma: So we are not going to start an insurance company. We are just partnering with the existing life, non -life, and health insurance companies to distribute their products among our customers and earn the commission out of cross selling insurance policies .
Satyaprakash Pandey: Okay. And i f I may ask one more question , just wanted to understand your distribution and network reach in Car Loan business. Capri's presence across

location s is actually constant at around 715 since last few quarters. Any specific reason for not widening the presence? Additionally, I would like to understand how our new subsidiary, Capri Loans Ca r Platform will integrate into our existing Car Loan distribution business.
Rajesh Sharma: So this Car Loan distribution business, while we have about 700 -plus locations where our employees are present, we have a dealership network about 1,800 locations. And with pride, I can say that right from Jammu to Kanyakumari, we have a network either of dealership or ou r employee s on the ground. So there is no place left where if there is car loan business is happening and bank branches are there, we are not there.
So we have already deeply penetrated in this. And that is the reason you can see that among the non -car de aler segment, we are the number one. And by far, margin, we are number one in that segment. This year, we're close to ■100bn distribution. And next year, we are putting all efforts to grow that business by another 20%.
Moderator: The next question is from the line of Darshil Pandya from Fintree Capital.
Darshil Pandya: Sir, I just wanted to understand how will the cost of funds evolve in the light of restrictions on bank lending? And what is the expected lag between the increase in the cost and the pass -through to the customers?
Rajesh Sharma: So you've seen recently, RBI has also issued the circular where the risk weightage based on the rating s have been increased and that the bigger increase has happened for the AAA companies and AA companies because flatl y the risk weightage s have been doubled. As far as we're concerned, our risk weightage has been increased only by 5 bps. However, the cost of fund s has become costlier as compared to six months ago.
As far as the new lending is concerned, we are able to pass on that increase. Our existing portfolio, about 45% of the customer we are able to pass on. The rest we have to absorb. So whereby you could have seen there's a little compression in the spread. B ut since Gold Loan business is going to increase in overall proportion, our spread will improve in the next year.
But a lot of efficiency is coming from our existing branches. And our technology initiative, where about 100 -plus people in our technology team, along with outside vendors, we are putting up our loan originating system, which will be

launched in the April. That will bring a lot of efficiency in PAT and thereby improv e the productivity.
So next year, a lot of things are happening where our Gold Loan branches are going to turn positive. Since we are not going to do more expansion in the Gold Loans, investmen t losses will stop happening . Plus, with the expansion of and scale up of insurance distribution business, we'll see a lot of positives in the FY25.
Moderator: The next question is from the line of Kunaal N from Emkay Global.
Kunaal N: Sir, my question is your MSME contribution as a percentage of your total AUM has come down to close to 35.7%

from 44.5% a year ago. So are there any intentions to further reduce this contribution? And what are the strategies the company has in place for MSME business segment? And additionally, are there any plans to expand SME lending into new geographical areas?
Rajesh Sharma: So since we launched the Gold Loan, new product in Gold Loan is increasing

also, but overall AUM and percentage of the overall AUM and also contributio n will come down. However, our MSME business, as you have seen, has also grown about 24%. We are evaluating utiliz ing our existing branch network to launch the micro -LAP, which means secure lending in the segment where ticket size is less than ■7.5 lakh. O nce we decide which branches and how to launch, then we will set up the team . But that is in active consideration. So that is where the expansion will happen.
As far as the new geography in MSME is concerned, at the moment, we are not thinking. Next quarter, which is the Q1 FY25, we will draw a plan, but that is only under consideration - we still have not chosen yet. However, overall, MSME is going to be a key contributor because there the tenure of loan is 15 years and that is a loan with even longer horizon of income. The rundown doesn't happen the way rundown happen s in Gold Loan. The balance tenure of customer in MSME is five years. So I think that will cont inue to show a decent growth.
Kunaal N: Got it. Just one more question. So after adjusting for the Gold Loan vertical, the cost -to-income ratio remains slightly elevated at over 50%. What do you anticipate this -- like when do you anticipate this to modera te? And what would be like a sustainable level in the near future?
Rajesh Sharma: So I think we should have -- excluding Gold Loan, our cost -to-income ratio should come down in the range of about 45%.

Kunaal N: Okay. And by when are you expecting this to h appen in the near future?
Rajesh Sharma: We expect that next year because of the various initiative plus technology, I think it should come down in the next year itself. We will see the traction in the first quarter FY25 itself.
Kunaal N: Okay, Sir. And th is 45% would be a sustainable level, right?
Rajesh Sharma: I think we are hoping that once the technology Phase 1 comes, then another Phase 2 will come in another six months' time. And then we clearly see our productivity level improving from the same manpower. So I don't want to give you a number, but we are working towards to bring it down in the range of 40%.
Moderator: The next question is from the line of Tanishq Makwana from Elara.
Tanishq Makwana: Sir, I would like to know what is the rejection rate for this quarter in our loans compared to FY23 and what would be our credit top -up for the same?
Rajesh Sharma: Can you please repeat? We are not able to hear clearly.
Tanishq Makwana: So what will be reje ction ratio for the quarter as compared to FY23? And how are you evolving in the filtering process, how are we -- like what is basically -- on what basis are we accepting the consumer, rejecting it? And also what will the loan top-up amount to these existi ng customers?
Rajesh Sharma: So you are asking about which segment?
Tanishq Makwana: Sir, all. Like a blended on a whole level basically. You can give us segment -wise as well, that would be very helpful.
Rajesh Sharma: If you talk about our MSME and the Ho me Loan, log -in to disbursement ratio is in the range of about 30%. Log -in to sanction ratio in the range of 40%, but disbursement ratio is 30%. And in Gold Loan, there is no log -in and disbursement because on the spot, we decide whether to do it or not do it. Whether the customer is accepting or whether we are rejecting the customer. So that happens on the spot itself. So there is no log -in and all that ratio.
Tanishq Makwana: No, no, S

ir, I wanted to know the conversion ratio. I guess if 100 consumers are there, like what is your rejection ratio? Not log -in, rejections, Sir? Like how many do you reject and how many do accept on the basis of what are your like -- do you accept a CIBIL of 700 or 750, around the lines of that?

Rajesh Sharma: If we are saying 30%, then 70% -- our 60% you can say rejection ratio because 40% you'd sanction, 60% you'd reject it.
Moderator: Does that answer your question? Mr. Tanishq Makwana, do you have any further questions?
Tanishq Makwana: Yes, I would like to -- yes, I have on e more question. So where do you anticipate

your ROA and ROE for -- ROA for basically FY25, FY26?
Moderator: Members of the management, if you are speaking at the moment, you are not audible.
Rajesh Sharma: Yes. So next year, ROA -- ROA, we should be havin g in the range of 2.75% to 3%, and ROE should be in the range of about 11.5% to 12%.
Moderator: The next question is from the line of Jai Daxini from IIFL Securities.
Jai Daxini: Yes. What would be our incremental cost of fund for the quarter? And second would be, is the PCR increase on an overall level or led by housing and gold segment?
Rajesh Sharma: So PCR increased at overall level, which is about 30%...
Management: 34%.
Rajesh Sharma: 34% overall. And our cost of funds is overall about 9.3% fo r CGCL, about 8.3% for the housing finance company.
Jai Daxini: On the incremental level, right?
Rajesh Sharma: If you talk about the incremental cost of funds, incremental cost of fund is about 9% for the housing finance and about 9.8% for CGCL.
Moderator : The next question is from the line of Kunaal N from Emkay Global.
Kunaal N: Sir, I just wanted to understand who are your key co -lending partners for gold loan, mortgages and SMEs?
Rajesh Sharma: So for the gold loan, mortgage and SME are Yes Bank, State Bank of India, Union Bank of India, Punjab & Sind Bank, UCO Bank and Indian Overseas Bank.

Kunaal N: Okay, Sir. And Sir, RBI has recently shown some uneasiness in digital lending and they have also shown some concerns in co -lending space. Do you see any regulatory action on this front?
Rajesh Sharma: So I don't think on co-lending side, RBI ha s any concern because they are -- the RBI and banks are more keen to increase its volume for the purpose of making customers' cost of funds going down. That is their sole objective.
So we are seeing more and more line s coming to us from the co -lending partners. As compared to last year, I think we have at least 5x to 6x more co - lending sanctioned by this year. So we think co -lending is going to be very acceptable and growing future between the banks and NBFC partnerships.
Moderator: We have no further questions, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you, Sir.
Rajesh Sharma: Yes. So thank you. If you have seen, all of you would have noticed that as an organization and the management, we have shown our ability to build the new businesses. In last three years, we have started Gold Loan, we have built the Car Loan distribution platform. Now we have launched this insurance platform based on the technology.
So we have shown as an organization successfully doing that . In Gold Loan business , we have activated 747 branches in a short span of time, . Now we are thinking about the micro -LAP, which is the s ame kind of a customer for a smaller ticket size to leverage our branch network.
Going forward, cross -sell utilizing our existing customer base to reduce the cost income ratio and to improve ment in margins will be the focus. And we hope with the technology focus which has increase

d our cost -to-income ratio significantly, because we are spending a lot of money on the technology side, will come down in the next year . The effort of technology will be seen in the next year.
So we are quite excited th at FY25 hold s lot of hopes and a lot of good things, which will translat e into better income and earnings. With that, I conclude my speech and address. Thank you so much.
Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you all for joining us. You may now disconnect your lines. .
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Call: May 2024

May17,2024
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Indian Numbering System Legend
■ 10 Lakh s = ■ 1Mn
■ 1 Crore = ■ 10Mn
■ 100 Crore s = ■ 1Bn
■ 1 Lakh Crore = ■ 1Tn

NOTE:
1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.
2) Factual correction /s are superscripted at relevant places in the transcript and are explained in footnote /s.
3) Recurring terms like ' YoY', 'Quarter -on-Quarter ', basis (refer ring to basis points) in the audio transcript have been shrunk to ' YoY' , 'QoQ' , and 'bps' respectively.
4) Wherever needed, e mphasis is added in brackets (in italics) for better clarity .
5) For uniformity with reporting format, values referred to in crores in the audio transcript have been converted to billions (bn) or millions (mn) in this text transcript.

Q4 FY2 4 Earnings Conference Call
May 10 , 202 4

Management
Mr. Rajesh Sharma - Managing Director
Mr. Partha Chakraborti - Chief Financial Officer
Mr. Sanjeev Srivastava - Chief Risk Officer
Mr. Pramod Shettigar – Senior Vice President

Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '24 earnings conference call of Capri Global Capital Limited hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this co nference is being recorded.

I now hand the conference over to Mr. Pramod Shettigar from Capri Global Capital Limited. Thank you, and over to you.

Pramod Shettigar: Good afternoon, everyone. This is Pramod Shettigar, Senior Vice President at Capri Global C apital Limited. I shall read out a brief disclaimer for today's call. The discussion on today's call regarding Capri Global Capital Limited's earnings performance will be based on judgment derived from the declared results and information regarding busines s opportunity available to the company at this time. The company's performance is subject to risks, uncertainties and assumptions that could cause actual results to differ materially in future. Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results. The full disclaimer is available on Slide number 41 of Q4 presentation. Participants are requested to note of the same. We have Mr. Rajesh Sharma, Managing Director of the company; Mr. P artha Chakraborti, CFO; and Mr. Sanjeev Srivastava, CRO, over the call today.

I may now request Mr. Rajesh Sharma, Managing Director to present the opening remarks.

Rajesh Sharma: Good afternoon, friends. Let me start by wishing you all a happy Akshaya Tritiya. We declared our audited consolidated results for Q4 FY24 in Wednesday, 8th, May 2024. I hope you had a chance to go through the Investors' deck. I would like to start by high lighting a few decisions that our Board approved in its latest meetings. CGCL's Board in the meeting dated 29th April 2024, has appointed Shri L. V. Prabhakar, Independent Director a s Chairman of the Board of Directors. Shri Prabhakar, a career banker and former MD and CEO of Canara Bank, was appointed to CGCL Board in January 2024.

The Board of Directors approved dividend at the rate of 15 % per share on the face value of INR1 for FY24 . This will be payable on CGCL enhanced equity base after

the recent split from INR2 face value to INR1 face value, as well as the bonus in the ratio of 1:1.

As a result, CGCL's outstanding fully paid -up equity shares have increased 4x from approximately 206 million equity shares in Q4 FY23 to approximately 825 mi llion equity shares in Q4 FY24 . In the light of the split and the bonus issue, the EPS and book value per share for the past quarter has been suitably changed to make the values comparable. Please take note the same wherever the values appear in our earnin gs release .

I shall now turn to the commentary on business and earning performance. So as far as business is concerned, please refer Slide s 4, 5, and 6. During FY24 , we crossed various business milestones with AUM crossing INR150 billion to touch INR156.5 billion. This was a second consecutive year of 50% AUM growth. We are well placed to drive growth and achieve the targeted INR300 billion AUM by FY27, as we stated earlier.

As guided, our gold loan AUM increased to 3.1x YoY to cross INR30 billion AUM target. The gold loan AUM including co -lending AUM stood at INR34.9 billion in March '24. The milestone in Gold Loan business was achieved in just 20 months of launching the business. Momentum continued in a strong manner. The share of gold loan AUM was 37% a nd the share i

n disbursal was approximately 50% in Q4 as well as FY24 , respectively. The number of exclusive gold loan branches were 750 as of March 2024. Talking about one of our key growth drivers, MSME, our AUM ha s grown to INR50 .2bn , which is growth of about 15% YoY.

Coming to construction finance , disbursal s remained range bound in Q4 FY24 , driven by the existing sanction pipeline . The AUM share of both CF and Indirect Lending together was ~ 20%. The commentary in CF business remains unchanged. The business continues to be supported by a strong outlook for residential real estate in our key geographies like Mumbai, Ahmedabad, Pune , and Bengaluru. The competition amongst lenders for quality projects i s inten se although we have seen retu rn of some pricing power. In construction finance, we will remain guided by our cautious risk management strategy to keep its mix at/or below 20% of consolidated AUM and remaining focused only on residential project in the affordable housing space.

Our co-lending AUM continued to rise during Q4 FY24 increasing to 11.7% of

AUM compared to 8.9% in Q3 FY24 and 5.3% in Q4 FY23. We have gone through a learning curve since commencing co -lending 2 years ago. The acceptance ratio

of loans with our partner banks is now significantly higher than a year ago. With new technology being put in place, we see momentum in co -lending continu ing.
If we talk about housing finance, our book has grown 52.8% YoY, from INR26 .7bn to INR40 .7bn. Home loan s will continue to grow in coming years in the range of about 30% + growth rate. We clearly see a strong traction helping on ground there.
Now I come to the earnings. Let me first start with the core earnings. Our spreads were stable at 6.4% for a second consecutive quarter. The inc rease in marginal cost of funds was more than offset by an improvement in yield o n advan ces. The net interest income, or NII, during Q4 FY24 increased 4% QoQ and 36% YoY. On a full year basis, the NII increased 55% YoY.
The non -interest income performance also exhibited strong momentum across key income lines. It increased 10% QoQ and 25% YoY Q4 FY24 . On a full year basis, the non-interest income increased 41% YoY. The shar e of non-interest income in net income was 31% in Q4 FY24 and 28% in Q4 FY24 .
The share of non-interest income in net income is settling over 30% as some of the changes we effected to the car loan distribution commission in Q2 FY24 and co - lending income r ecognition during Q4 FY24 stabilized. With AUM momentum continuing to be robust and new insurance fee income expected to be contributing FY25 , we expect the non-interest income performance to continue a strong growth trajectory.
The cost -to-income ratio touched 70.5% during Q4 FY24 . This was majorly due to strategic investment in expanding our team and implementing impactful marketing initiative s. We'll be able to significantly review this issue.
A result of higher quarterly opex, the pre -provisioning ope rating profit declined 16% QoQ to INR1,096 mn, but was up 22% YoY. On a full year basis, the pre - provisioning operating profit increased 37% YoY.
I come to the asset quality now. Our GNPA ratio declined 18 bps QoQ to 1.92%. The PCR on GNPA stood at 43.2%, and the net NPA ratio declined by 28 bps QoQ to 1.1%.
As regards profitability and outlook, we have reported a net profit of INR826 mn, which is high 27% YoY and 26% QoQ . Excluding the loss incurred in the gold loan

business, our net profit would have been INR885 mn. We reported 2.3% ROA and 8.7% ROE in Q4 FY24 .
Our e arnings performance during Q4 FY24 can be termed as being very resilient. Our efforts in diversifying our business and income streams over past 2 -3 year s a

re
now beginning to support us meaningfully , as seen in Q4 FY24 . We have coped with a decline in spreads and increase in credit cost for two consecutive quarters but reported a stronger bottom line.
Now I come to the technology and ESG initiatives. FY24 has been a year of innovation and transformation. Technology has been a critical area of focus for us where a number of initiatives ha ve gone live, including our in -house developed LOS, FLEXCUBE LMS developed by Oracle, collection module, process reengin eering, analytical decision -making ha ve been implemented.
These tech initiative s will improve turnaround time, especially for MSME and affordable housing business loan through technology, which is new LOS and LMS, leading to improvement in sales productivity, optimi se cost through reduction in per file processing cost and this pricing enable by the decision is compared to drive improvement in the net interest margin, which should be visible in the first half.
Capri is in the process of establishing systematic ESG practice internally and has crafted policies required in the ESG guideli nes. We are currently in the process of obtaining ratings from global agencies. Furthermore, we are conducting training for our internal teams and aligning our business processes with ESG requirement s. Going ahead, we shall periodically keep our stakeholde rs updated on the progress we make on ESG assessments.

We look forward to regularly sharing quantitative outcome s of our tech initiatives
over the next few quarters.
Capri Loan continues to be “Great Place To Work” certified for a third year in a row.
With that, I conclude my remarks. We shall now take questions.
Moderator: We'll take our first question from the line of Satyaprakash Pandey from Haitong.
Satyaprakash Pandey: I had just one question. With the introduction of the new RBI regulation on gold
loan s, what operational challenge do you foresee your branches encountering ?
For instance, do you anticipate an increase in TAT or a potential shift of customers

back to the informal segment, considering that many from rural areas, speci fically
women borrowers may not have bank accounts.
Rajesh Sharma: I believe that after Jan Dhan account s, there are no customer s which we come
across, which are significant in number s, who do not have bank account . I think
this circular on cash disburseme nt in excess of Rs20,000 ha s been clarified by RBI
that NBFC s should not have done it.
So, I think all NBFC s will not be doing it. I do not foresee any challenge in it – of
volume shifting back to the informal segment. Because most of the time, cash
disbursement was being facilitated t hrough BT transaction s. So , I think when
everybody in competition was following the same norm . Customer s will have no
option but to take their disbursement s in the bank account. And today, everybody
has a bank account.
You don't come across any customer s who do not have a n Aadhaar or a bank
account. So , I think we do not foresee any problem. Earlier because everybody
else was doing, some of the players are c ontinuing to doing it . But now common
norms have been stipulated. So I clearly see that the customer will also fall in line.
Moderator: The next question is from the line of Aman from Dolat Capital.
Aman: Regarding the previous question the analyst has ask ed, what percent of your gold
AUM is on cash bas is?
Rajesh Sharma: Very difficult to point out what percentage, but I can say that there was no
disbursement happening, which was just purely cash. And after the guidelines
have been issued, we have already s topped the disbursement in cash. And we can
see that despite that, the volume s have not dipped.
And we can give you outlook that the first quarter results, when we again meet,
sometime in July on the call, you

will see that despite gold loan cash
disburse ment s stoppin g, volumes have gone up. We saw it in the March quarter .
We are currently seeing this. So we don't see any dip because of that.
Aman: Okay. So let me ask what will be - what is the share of (gold loans) about INR20,000
average ticket size? Like, what will be the share of cash transactions? I want to
understand like -- for example, if you say that more of the transactions are BT -
based , can you give just a ballpark number regarding that?

Rajesh Sharma: I think giving a ballpark number wo uld be difficult. But going forward , less than
INR20,000 loans will be less than 10%.
Aman: Less than 10%? Okay. So it is like close to the BT number. Like can I know what is
the BT number?
Rajesh Sharma: It is not the BT number you can specifically say wh ere you are disbursing the loan
in the bank account of the borrower. You do not know whether he has already
repaid that loan out of his own funds. It will be difficult to point out.
Aman: Okay. So less than 10% is about INR20,000 ATS, right?
Rajesh Sharma: Yes.
Aman: Okay. And you have no clarity with respect to percent of gold AUM, which is cash -
based, right?
Rajesh Sharma: No, because that is not how you tag it in the system.
Aman: Okay. Got it. And I have other two questions, like if I may proceed. Can y ou provide
a brief overview of the robust housing outlook considering the underlying
demand in real estate across different geographies? And do you anticipate
whether we will be able to accelerate the growth of our housing business
significantly in response to this demand? And shall we enter new micro markets as
well?

Rajesh Sharma: If you see the housing demand which is in the affordable housing segment , even the incre mental 90% demand is coming from affordable housing . Not value -wise, but number -wise. If you look at the data of various bureaus, rating agencies, even NHB data and other data, clearly, there's no lack of demand.
So if you have seen last few years, we hav e grown significantly. L ast few years ' growth ha s been in the excess of 5 0%. I think next 4 to 5 years, we'll continue to grow 30% + in housing finance. And we will continue to add branches. This year, we will add some of the branches maybe in UP and U K (Ut tarakhand) . That plan is under discussion. But yes, every year, we add branches and we'll continue to grow 30% + in housing finance.
Aman: Okay. So can you give me the -- what is your targeted branch plans?
Rajesh Sharma: For?

Aman: For housing, how many br anches you want to add for this year?
Rajesh Sharma: So that plan is yet to be frozen . In the first quarter, we'll go to the Board. And again, then we have to take all the other approvals. But on an average, we will keep adding 20 to 30 branches every year.
Aman: Okay, 20 to 30 branches, is that right, what I heard? And regarding this car loan business, which has seen a very good growth trajectory - this quarter, we have seen a slight downturn compared to Q3. Is there any specific reason for this declin e? And what sort of growth are we anticipating for this business for FY25 ?
Rajesh Sharma: In FY25 , we should see a growth of about 20% in the overall volume. But in the coming year, we are going to add another business vertical, which is used car finance. And that business vertical will take about 3 to 6 months to step up. And starting in the second half, we'll see some volume happening.
I think next year onwards, with used car finance and new car finance (distribution) , you will see significantly enhanced profitability. And as you know, the pure fee income play we do not take any underwriting risk. We don't provide any capital here. And this entire business

has been shifted to the new company called Capri Loans Car Platform Private Limited, which is a subs idiary company.
All the business related to cars is going to be there. We see significant development and technology initiative s in this company to garner business in anything related to car. If you see even today, the corporate DSA s who are not dealers, we are #1 pan -India, and we are having a dominant position in this pace.
Aman: Okay. Got it. And if I missed the earlier commentary, like why was there a dip in this quarter?
Rajesh Sharma: There is a slight dip, maybe because in one of the month s, there is lesser volume . Plus we are in the process of shifting our codes from CGCL to the new entity. But we look at it like this - Q3 also we had done the good number. In Q4, the numbers are simila r to that of Q3 number, maybe a dip of a marginal 1%.
Aman: Okay. It's like more of a process issue, right?
Rajesh Sharma: Yes. You cannot say this is a dip because we have done about INR28 bn in Q3 and we have done INR27 .6bn in Q4.

Moderator: We'll take ou r next question from the line of Romil Savaliya from Concept InvestWell.
Romil Savaliya: First of all, congratulations on a good set of numbers. I have a couple of questions. Let me start on the first one. Our cost of funds has increas ed by 50 bps points approximately in the last few quarters and that has remained same so far. It is actually impacting our NIM. Is there any specific reason why we haven't been able to pass it on to the borrowers? That's the first one. And second one is on the technol ogical initiative expense side. What would be the total expense we attributed on the technological side in FY24 ?
Rajesh Sharma: If you talk about the cost of funds, cost of funds have gone up about 50 bps between Q1 and Q4. Out of that, we were able to pass on partly because some of the loans are semi -fixed in nature and some of the loans are on a floating rate. So the loans, which are in the floating rate, get automatically reset at a higher rate . But the loans which are in a 3-year lock -in for the price, they have not been. However, our gold loan portfolio is increasing in the overall contribution. And gold

loan pricing is higher. So higher the share of gold loan s in overall AUM, our net interest margin as well the spread will continue to improve.
If you talk about the last year, we have spent about INR112 crores on technology and data science. And this is a significant investment and that is one of the reasons that our cost income ratio is quite elevated . But in the second ha lf of the current year, we will see a significant difference in TAT, resulting in higher productivity and better volumes at a lower cost. The cost -income ratio will start showing improvement in the second half of the current year.
Moderator: We'll take the next question from the line of Akansha from Matsya Capital.
Akansha: I have a couple of questions around gold financing. Firstly, I wanted to get a sense of the competitive intensity in th is space . I mean, given bank s are extremely aggressive - still cont inue to be aggressive here - how are you see ing that tracking in th is space?
Rajesh Sharma: We are not aggressive because that is backed by branch expansion. In about 15 months we have opened 750 branches. Branch opening has happened across every quarter. And every branch is giving us AUM. I believe that this year, we have closed AU M of INR5 0mn per branch. And next year, we are targeting to close the AUM at about INR85 mn per branch. Co -lending is also helping us in this space in addition to that. In co-lending, we are able to get adequate lines, which is helping

us to offer comp etitive interest rate to customers which othe

rwise we would not have offered . So gold loan will continue to give a good amount of fee income because of the co -lending in the coming years.
Akansha: Sure. Noted on that. Following up on the sales, how much of the growth this quarter - sorry if I missed this - but how much of it was driven by, let's say , the tonnage addition and how much was the gold price benefit?
Rajesh Sharma: Are you asking what was the growth in the current quarter compared to last...
Akansha: How much was being driven by the real growth in tonnage versus pricing additions?
Rajesh Sharma: If we talk about last 6 months, as my colleague has told, we have moved from 5ton nes to the 10ton nes. So while the tonnage will not reflect the pricing, we will see the kind of volume it has gone up.
Akansha: I have one additional question, which i s on housing . But this is not really specific to the quarter, but more of a long -term view that I'm trying to get a sense around, which is that housing penetration in India is very low - 11% to 12% throughout the country. But do you see India ’s rural mix h as been a challenge to growth. What are the levels specific to Capri? And then what does -- how does it differentiate versus the industry?
Rajesh Sharma: As far as Capri is concerned, we are lending to the real semi -urban customers, where they do not have adequate income proof . And we are more in the semi - urban rural areas. So our USP will be that how can we do underwriting, which is better and faster, understand the customer need, tailor -made solution. And this is that now we have aligned our technology al so.
So the mortgage tech side, we have done a significant work in the last 15 months. And as I said earlier, that this will reflect in second half in terms of productivity and thus improving our cost -to-income ratio. We have developed in -house collection model, which is very, very effective. We have taken the help of Boston Consulting Group to advise in the entire process.
We are doing automated AI -based selection of the calls to be made by the automated callers. And by optimally selecting where our field source should go, where our autom ated calls should happen. So this significant work has happened

on the housing finance side as well. So I believe that next year w ill be a defining year in terms of all aspects of the way we are doing entire retail lending .
Akansha: Noted on that. Just one last question from my end, which is what would be your outlook on cost of fund s and how do you see it tracking from here on?
Rajesh Sharma: I think on cost of fund s, we gather the impression from various commentar ies of the market and Reserve Bank and everything. I think cost of fund should stabilize at this level. I don't see any further hike going forward.

However, we expect if there is a strong performance , in six months or so, we should see some ratin g upgrades. And if that happen s, on back of that, we should see some reduction in the cost of fund s. However, for new lending, we are able to pass on the cost of fund. So net -net basis, incremental lending will not have any spread contraction.

It has happ ened to a limited extent last year, where we were not able to pass that on to the immediate customer. In the coming year, we don't see any hike. So clearly, there will no t be much impact on the cost of fund reduction.

Moderator: We'll take our next questio n from the line of Gaurav Sharma from HSBC.

Gaurav Sharma: So a couple of questions. So first is, like a few months ago, RBI raised concern s in one of the gold loan NBFCs that there were some discrepanc ies noted in the gold loan quality and weight when the gold is coming for disbursal as compared to the auction. So have you also come across any such instan ces? And at CGCL, what are the corrective measures you have taken a

t your end? That's number one .

And Sir, I also want to know the internal threshold of LTV beyond which you go for the auction of the gold related to that? And another question is related to housing finance. Sir, recently, RBI issued some guidelines, where it has directed companies, which are delaying the disbursement and charging the intere st rate on the portion of giving (printing) cheque and the time when the che que is actually issued to the customer and the NBFCs are charging interest for that portion. So -- have you also notice d such instances in our company? And if yes, then what would be the amount of interest you would be reversing? So these are my questions.

Rajesh Sharma: Yes, my colleague Sanjeev will answer.

Sanjeev Srivastava: Sanjeev Srivastava here. I'm the Chief Risk Officer. I think, if I recollect your first question is that what are the precautionary measures that we have taken with the

difference in caratage or weight s that you wanted to understand. So what we have done i s that we are in continuous engagement with various regulators. We are in continuous engagement with all the departments, whether it is audit, our business , and everybody. And we are giving a lot of training workshops and everything is happening. A notable thing that what we have done is that we have organized training from the government's MSME skill development department . And we have trained around 1,600 of our staff on valuation of gold. And it is an online training , it is a physical training, where the y teach you how to value a gold a nd also give you a certification. So now 1,600 staff of my gold loan team are certified by this training program.

Since we're lateral ly entering into gold loan s business , my team members - valuers have more than 5 years of experience in valuation. They are from competition. They understand the gold loan business very well. So that has worked to our advantage . Added with a fresh set of training for all of our employees, which is going to take care of any kind of difference in gold valuation.

Your second question was at what level do we go for auction? Auction happens on two counts. One is the plain and simple DPD, which is obviously both 90 +, we go for auction. And the second point was that internally, we also tr ack something on a daily basis, which is for mark -to-market. So in mark -to-market cases , we start giving notices to the customers the moment they reach 80% LTV. And once they reach at 85% to 90%, we do the auction. Can you repeat your third question?

Gaura v Sharma: Yes. So sir, my third question was related to the housing finance business. So what happened was that some of the NBFCs w ere charging interest between the time duration they actually issu ed the check and the amount when it was actually getting cr edited into the customer account. So for that portion like - 15 days to 20 days – they were charging interest. Now RBI has asked them to stop such practices.

Sanjeev Srivastava: Basically, if you look at the business per se, there are some nuances where the customers will take a disbursement request form. If the customer ask s for disbursement, only then we disburse.

Now in a housing kind of a scenario, there is something called r egistration. For registration, they get a time or token from the SRO and which can be like a week or 10 days later. So that was the situation which the regulator wanted to cu rb. So the action that we have taken is even though we disburse it in the system o n a certain date so that we are ready and the customer doesn't face any issue s when his actual date of registration com es by, my interest charge will happen on the date I'm handing over the che que to the customer. So in my syste

m, I'm also
building a butto n called handover button. And post that only, my whole
calculation will start. So that's how we are complying with the regulation.
Gaurav Sharma: Okay. So sir, that means you don't have to reverse any of the interest till now like
in the period this has ha ppened ...
Sanjeev Srivastava: This has recently come up . And the only time it took was more to do with
implementation on system. In this period whatever we have disbursed, those will
be far and few transaction s. Because, as you know, April anyway s is a very muted
kind of a month for the business.
Moderator: We'll take the next question from the line of Manvi Rathod from Ventura Securities.
Manvi Rathod: My first question is, what is the average business for gold loan branch that we're
doing current ly?
Rajesh Sharma: So you're talking about the average, AUM per branch is INR46mn.
Manvi Rathod: INR46mn, okay. And what increase do we see going forward?
Rajesh Sharma: What was the next question, ma'am?
Manvi Rathod: Yes. I'm saying going forward, do you see any increase in the average basis?
Moderator: I'm sorry, Manvi. Can you use the handset mode, please. It is not very clear.
Manvi Rathod: I was asking what is the average business for gold loan branch? And do we see
any increase going forward?
Sanjeev Srivastava : Yes, definitely. As we mentioned, if you look at any of the gold loan business es
and for any of our peers or competitors, you'll see that Rs120mn is the average
AUM for branches, is what we understand from our study of peers and everything.
Currently, we're at Rs40mn to Rs50mn . So we have a good runway to grow. And
obviously, one is led by the growth in the same branches. And also, if we open
some more branches, then that will also add to my growth. But having said that, I
think we have ample room to grow from the existing branches.
Manvi Rathod: Exactly. Okay. And secondly, in our previous concall, you had mentioned that
going forward, from Q4, we' ll be able to share some specific numbers in the

insurance income on the segmental front. So do we have any insights on that as of
now?
Sanjeev Srivastava : So I think right now, we are yet to publish that, but we will come back to you with
this number.
Mod erator: We'll take our next question from the line of Akshat from Niveshaay.
Akshat: So my question is why has the cost -income ratio inclined upward s again this
quarter?
Rajesh Sharma: The cost -income ratio has gone up primarily because of 3 reasons : that some of
the hiring has happened. And plus, we have taken some marketing initiatives,
including Capri car loans, where we have taken this partnership with the Gujarat
Titans for the IPL and some other initiatives. Plus technology spending is also
impacting. As I said, we have spent close to INR1 ,120mn on the technology side
this year. So combined fact is that our cost -income ratio has gone up. But I clearly
see that after first half, we will see technology spend going down significant ly
because a lot of initiatives will come to completion and only the enhancement for
which will need a smaller amount of expenses to be incurred. So a combination of
this, I think, we'll see a significant drop down after first half.
Akshat: Okay, okay. The next question from my side is that what would be our contribution
from MSME over next year?
Rajesh Sharma: MSME contribution, so if you see, the MSME will continue to grow at the pace of
about 15%, and gold loan will increase in the pace of about 30% to 35%. Home
loan will also increase over 30%. So this is how the pace will go fo r the coming
years.
Akshat: Okay. Sir, one more thing I want to ask is about the demand around rural
automobile loan sector.
Rajesh Sharma: We ha ve a new car loan distribution business. And if you look at the new car
market

, it is growing with the pace of economy, it is growing at about 10%, 12%
every year. We have set up the distribution across about 750 locations pan -India,

with either help of our DST network or with the DSA network. So our ca r loan
business per se will increase about 20%.
Moderator: We'll take our next question from the line of Professor Ajit Kaushal from GD
Goenka University.

Ajit Kaushal: And first of all, I would like to congratulate the entire team for successfully taking
the company ahead. My question -- a part of my question has already been taken
by one of the participants here. My question is related to gold loan, its valuation
and auditing. So I heard the CFO explaining about the evaluation of the gold loan.
My questio n is that once the valuation is done, so after that, what is the system of
assessment and auditing at a higher stage?
Rajesh Sharma: I will ask my colleague Sanjeev to explain.
Sanjeev Srivastava: Yes. A very important question, a good question to at least answer when so many
regulatory aspects are going on. Basically, each of our branch is equipped by 5
people , where 3 of them know and understand how to value gold. They have
competence in valuation. And if you look at our process, each gold (jewellery) is
valued by 2 of the valuers. So there's a maker -checker control in the system built-
in.
And both of them have to put their approval authority into the system through their
user ID. So that takes care of that -- if there is any confusion or there is a lap se which
can be taken care of. Now coming to the audit piece of it, we have a trained audit
staff of 100 people, who are responsible for auditing every gold (jewellery) , which
we have underwritten on a regular basis.
In addition to that, we have also deplo yed some AI, ML trigger s on the system . We
have built some 35 -odd triggers, which give me early warning signal s on this
valuation. In addition to that, what we have also created is called a cross audit or a
price audit.
So cross audit happens in the way t hat, suppose there is a rotation of auditors, then
there is something -- particular branch is audited by X employee, then my team
from the west will suddenly go to north and do the audit. So these kind of controls
we have built in. Otherwise, we can proudl y say that we have -- actually 100% of
my packets of gold ha ve been audited by my internal team.
Ajit Kaushal: Okay. That's great. Sir, I am fully satisfied with your answer and we have total trust
in your managerial system. But we'd like to talk something further about the
technology, which you are employing for the purpose of valuing and assessing the
gold, which has been submitted for the gold loan, if there is something?
Rajesh Sharma: For assessing the gold loan, there cannot be any technology as such because you
have to physically touch the gold, use all the various methods of either putting the

chemical or cutting it or using some machine to do that. So it has to be done
manually. Assessing the gold cannot be done with any kind of technology.
Moderato r: We have a question from the line of Gaurav Sharma from HSBC.
Gaurav Sharma: Just one question on NIM outlook. You mentioned that the cost of fund like almost
peaked out and other income and gold business will also improve or increased so
can you please give a NIM guidance for FY25 ?
Rajesh Sharma: Guidance on?
Gaurav Sharma: Net interest margin, Sir?
Rajesh Sharma: As you know, more the leverage will happen, the net interest margin will continue
to go down. So I think that may not be a right indicator always. The indicator is
always spread. Currently, our spread is in the range of about 6.4%.
As I said, since our go ld loan proportion is increasing in the ove

rall AUM, our
spread will improve from 6.4% to -- it should improve to -- in the range of about
6.8%, 6.9%. And that is where our margins will further improve. So assuming that
we are able to achieve a significant hike in the gold loan business, it will continue
to improve. Now improve ment of 300bps or 400 bps, that will depend on the --
how much gold loan we are able to close by March.
Moderator: We'll take a follow -up question from the line of Aman from Dolat Capi tal.
Aman: Yes, Sir, just a data keeping question. I wanted to know the BT number regarding
gold loan and affordable housing, if you can share for this quarter and previous

quarter and for the year?
Rajesh Sharma: And that number may not be readily availab le. You can separately contact us and get it after a week.
Moderator: As there are no further questions, I would now like to hand the conference over to management for closing comments. Over to you, Sir.
Rajesh Sharma: Thank you. Thank you for sparing time and showing the interest to know more about us. As we continue to grow our secured lending business, which is -- and we are all in the sector s which are very, very high growth, keeping in India's econom ic growth and the way that o ur economy has picked up the momentum across ru ral,

semi -urban area, we'll continue to grow our book in MSME, home loan , gold loan , and construction finance side.
And our fee income from the car loan and the insurance income will also significantly contri bute. Co -lending is another space where it will give us a good amount of fee income because we do not put any capital, but just originate , under write , and collect. So that model will continue to grow. Collectively, we see 2024 -25 will be a year which will define us the way we process our entire end -to-end loan processing.
Being property involved or the security involved, where legal valuation technicals are done, I think this is the piece we have cracked, which will put us in a very unique position, and th is will result in lower TAT and better productivity, resulting in ultimately the lower cost -to-income ratio.
So with this, I will say, this year, we'll see a good high growth, along with the lower cost -to-income ratio compared to the last year, and we sho uld see some good numbers coming in.
Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
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Call: Aug 2024

August 12, 2024

The Secretary
BSE Limited
Pheeroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 531595 The Secretary
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No - 'C' Block, G Block
Bandra -Kurla Complex, Bandra (East)
Mumbai – 400 051
Scrip Code: CGCL

Sub: Intimation p ursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, regarding Q1 FY2 5 Earnings Call - Transcript

Dear Sir /Madam,

Further to our letter dated July 31 , 2024 , intimating schedule of the Earnings Conference Call on August 6 , 2024, to discuss the Company's Q 1 FY25 Earnings, we are attaching herewith the transcript of the said Conference Call.

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,
for Capri Global Capital Limited

Yashesh Bhatt
Company Secretary & Compliance Officer
Membership No.: ACS 20491

Encl.: As above

"Capri Global Capital Limited

Q1 FY25 Earnings Conference Call
August 06, 202 4

MANAGEMENT

MR. RAJESH SHARMA – MANAGING DIRECTOR
MR. PARTHA CHAKRABORTI , CFO
MR. SANJEEV SRIVASTAVA , CRO
MR. HARDIK DOSHI – CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend
■ 10 Lakhs = ■ 1Mn

■ 1 Crore = ■ 10Mn
■ 100 Crores = ■ 1Bn
■ 1 Lakh Crore = ■ 1Tn

NOTE:
1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.
2) Factual correction/s are superscripted at relevant places in the transcript and are explained in footnote/s.
3) Wherever needed, emphasis is added in brackets (in italics) for better clarity.
4) For uniformity with reporting format, values referred to in crores in the audio transcript have been converted to billions (bn) or millions (mn) in this text transcript.

Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited Q1 FY25 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Hardik Doshi from Capri Global Capital Limited. Thank you, and over to you, Mr. Doshi.
Hardik Doshi : Good afternoon, everyone. This is Hardik Doshi. I shall read out a brief disclaimer for today's call. The discussion on today's call regarding Capri Global Capital Limited earnings performance will be based on judgments derived from the declared results an d information regarding business opportunity available to the company at this time. The company's performance is subject to risks, uncertainties and assumptions that could cause actual results to differ materially in future.
Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results. The full disclaimer is available on Slide 42 of Q1 FY25 investor presentation. Participants are requested to note the same. I now request our Managing Director, Mr. Rajesh Sharma, to present the opening remarks. Over to you, sir.
Rajesh Sharma: Yes. Thank you. Good afternoon, friends. I hope you all are doing very well. We declared our unaudited consolidated results for Q1 FY25 on Saturday, 3rd August 2024. I hope you had a chance to go through the investor deck.
As you all know, Capri Global Capital Limited continues to have a strategic focus on serving the large and fast -growing addressable market, maintaining a retail franchise with the granular book and high -quality fee income. We have distinguished ourselves through our robust presence in the lending sector, focusing on secure MSME lending, housing loans, gold loans, construction finance and indirect lending.
We have also ventured into micro LAP, focusing on smaller ticket secured loans to self - employed customers. We are dedicated to using a digital f irst technology -driven strategy to provide last -mile financing to the unbanked population. To achieve this, we have made substantial investment, which I will discuss subsequently.

I'm pleased to report that all our technological initiatives have successfully gone live in the first quarter of FY25. This positions CGCL to reap significant long -term benefits. I shall now move the commentary on business and earnings performance.
As regard s to business, please refer Slide 4, 5 and 6. We maintained a strong growth momentum in Q1 FY25 with our AUM reaching to INR174,579 million , with an increase of 56% year -on-year. This growth was primarily driven by a 40% year -on-year increase in home loan and a 238% year -on-year growth in our gold loans.
Our disbursement was INR56,197 million during the quarter, reflected 109% year -on-year growth. We remain focused on retail lending with retail AUM constituting over 80% of our portfolio. We are well positioned to drive growth and are on track to achieve our target of INR300,000 million AUM by FY27.
Our co -lending AUM continued to surge during Q1 FY25, increasing to 16.4% of AUM compared to 11.7% in Q4 FY24 and 6.2% in Q1 FY24. We have further strengthened our bank partnerships, significantly increasing the acceptance ratio of loans with our partner banks compared to a year ago. With new technology in place, we expect this momentum

of co -lending to continue to grow.
We continue to build a granular a

nd well -diversified portfolio for MSME and housing
finance with the average ticket size of about INR19 lakhs. Due to seasonality effect and transition of a new loan origination system and loan management system during the first 2 months of the year, the MSME and housing finance saw temporary stabilization. However, we are confident that our growth momentum will be back from Q2 onwards and will continue in coming quarters.
Our gold loan AUM increased by 55% quarter -on-quarter to cross INR54,001 million , supported by our extensive gold loan branch network of 750 branches spread across 9 states and union territories and co -lending partnership with 4 banks. These branches ha ve started to scale up and have reached the productivity of INR70 million AUM per branch. Share of construction finance and indirect lending disbursal remained steady during the quarter driven by the existing pension pipeline.
The combined AUM share for both construction finance and indirect lending stayed at 20%. Further, we are committed to our cautious risk management strategy keeping the mix below 20%. Our focus will remain on residential projects within the affordable housi ng sector while maintaining a granular book in indirect lending.

Now coming to the earnings, let me first start with our core earnings. Our yields were at 16.3%, an increase of 70 basis points and our spreads reached to 7%, increase of 60 basis points quarter -on-quarter. Driven by our diversification into high -margin segments , the increase in marginal cost of funds w as more than offset by the improvement in yield for advances. The net interest income or NII during Q1 FY25 came in at INR3,013 million , an increase of 18% quarter -on-quarter and 27% year -on-year.
Our non -interest income comprises of 3 components: car loan distribution fee, co -lending income and other non-interest income. Our non -interest income increased by 35% year -on-year, supported by strong fee income from co -lending, which increased by 126% year -on-year and 17% quarter -on-quarter.
With the momentum of our AUM remaining robust, our distribution franchise for car loan origination is now spread across pan -India. We anticipate this strong foundation will sustain the impressive growth trajectory of non -interest income. This strategic par tnership and widespread distribution network positio ns us well to capitalize on emerging opportunities and further enhance our fee income stream.
On the insurance distribution front, we have already tied up with about 11 insurance companies and started accruing fee income. We are looking to generate more than INR20 crores in net fee income from insurance distribution in FY25. Following our branch expansion, we are now shifting our focus to improving the efficiency and productivity, the effect of this already started to reflect in our cost -to-income ratio, which has improved to 64.6% in Q1 FY25, down from 70.5% in Q4 FY24, marking an impro vement of 5. 9% in this quarter.
Additionally, we are implementing advanced analytics to streamline our operation and enhance decision -making processes, which we believe will drive further gains in efficiency. We expect further benefits will accrue as the operating leverage will kick in. As a result, our pre -provisioning operating profit increased significantly to INR1,452 million , up by 33% quarter -on-quarter.
Our credit cost increased in Q1 FY25 due to one -off slippages in our construction finance book, resulting in a technical write -off of INR 280 million . However, based on our experience, we are confident of re covering the entire amount. Our GNPA ratio and NNPA ratio remain ed broadly flat at 2% and 1 .1%, respectively. Our Stage 3 PCR ratio stood at 43%. As part of our resource diversification strategy, the company has initiated market borrowings in Q

1. We successfully raised INR 5,000 million issuance for commercial
paper, getting A1 Plus rating by CRISIL. This demonstrates our strong credit worthiness and enhance s our financial flexibility to support future growth initiatives.

Our Board has also approved fund raise of INR 20,000 million by way of equity, debt or

convertible securities through rights issu e, preferential allotment or QIP . This fund raise
will support our growth momentum and will further strengthen our balance sheet. Our gold
loan business has now become profitable at operating level, and we reported a consolidated
net profit of INR 757 million , which increased about 19% year -on-year. The gains from
higher NII and flat opex was partially offset by higher credit costs. Our efforts to diversify
our business income in past few years are now beginning to yield significant results as seen
in Q1 FY25 performance.
Now coming to technology and ESG , technology has been a critical focus area for us, and
we implemented several key initiatives in FY24. Our entire end -to-end loan life cycle is
now completely digitized and tech driven. We have made significant investment in
technology, including our in -hous e developed loan origi nation system called Loan Express
for MSME & home loan and Swarnim for gold loans.
Flex Cube, which is a loan management system developed by Oracle; Capri Loans as for
omnichannel customer engagement; Pragati sales app for digital on -boarding by our sales
team; CollectXpress , an efficient tool for collections and Capri Business Partner a pp for
our business partners. These platforms are currently stabilizing and have already started to
yield positive results.
These initiatives will lead to improvement in turnaround tim e, especially for our MSME
and affordable housing businesses by enabling seamless distribution that enhances sales
productivity. We will also optimize cost by reducing per file processing expenses, facilitate
risk-based pricing through AI -driven credit underwriting, scorecards and digital collate ral
valuation to enhance portfolio quality , sophisticated dashboards and live monitoring as
efficient collection tools.
We look forward to sharing quantitative outcome of our tech initiatives in a couple of
quarters. Capri has established a systematic ESG practice, internally has crafted policies as
per international standard and ESG guidelines. We are currently in the proc ess of obtaining
ratings from global agencies. Furthermore, we are conducting training for our internal team
and aligning our business processes with ESG requirements.
Going ahead, we shall immediately keep our stakeholders updated on the progress we make
on the ESG assessments. With that, I conclude my remarks. We shall now take questions.
Thank you.
Moderator: We have our first question from the line of Satyaprakash Pandey from Haitong.

Satyaprakash Pandey: I have 2 questions. First is on your insurance business. What was our net fee contribution
from insurance business during the quarter? And if you can explain a little more on the 11
tie-ups for insurance distribution we have done. This is the first questio n.
And the second is we've been discussing our target to achieve mid -teen ROE in the
midterm, driven by higher fee income and operating leverage. Can you provide a clear
timelines for when we might start seeing this improvement reflecting in our numbers?
Especially when do you anticipate reaching a sustainable 15% ROE? Because it's been
some time that you've been guiding for mid -teens ROE. Yes, these are my 2 questions.
Rajesh Sharma : So as far as the insurance contribution is concerned, in quarter 1, we have achieved about
INR 120 million insurance income and have tied-up with about 1

1 insurance companies .
There are different products for different kind of customer s, for medical and for health
insurance, for life, for accident cover . So we have variety of the product s.
Now coming to by when we will reach mid-teen ROE and how is ROE looking for this
year? So as compared to ROE, which was less than 8%, in 1QFY 25 we are likely to report
ROE, in the range of about 10.5% to 11% for FY25 . And we believe that next year, ROE
should improve further by another 2% to 2.5%. And from there, once we achieve a scale
of about INR 250,000 million plus, by then, I think we will be more or less in a steady state
in terms of our branch expansion also on the incr emental investment in the tec hnology and
data science capability, so we should be able to achieve about 15% ROE in FY27.
Moderator: We have our next question from the line of Satyam Vadera from Profitmart Securities.
Satyam Vadera: I have a couple of questions. Could you explain the impact on net interest margin during
the quarter in the gold loan business following the RBI regulations? Additionally, you
mentioned that the gold loan segment has turned profitable. Could you provide th e insights
on your expansion plans, given that you previously indicated the temporary pause be fore
resuming branch operations? And another question is car loan originat ion continue to be
down for past couple of quarters. What could be the re ason behind the decline?
Rajesh Sharma : Net interest income has improved in Q1FY25 as compared to Q4FY24 . If we talk about
our net interest income, it has come to INR 3,013 million . If we talk about the Q4 FY24, it

was INR 2,552 million . So there is a significant increase, about 18% in this.
And if we compare to the year -on-year basis, it has increased from INR 2,373 million to about INR 3,013 million . Interest income has been contributed largely from all the segments, but more from the gold loan side. If we talk about gold loan profitability, gold

loan has become profitable because we have crossed INR 50 million AUM in all the branches. And normally gold loans become breakeven above INR 45 million . So all the gold loan branches of 750, have started contributing.
And compared to last year we were incurring the operating losses in the gold loan business because AUM was at lower side, and that is the journey that every branch generally achieve profitability only after 12 to 15 months depending on when they achieve their AUM of INR 50 million or so. So gold loan this year will contribute significantly on the profitability side compared to the losses last year.
If we talk about the car loan. Car loan, we have shifted the business from the Capri Global Capital Limited to the newly formed subsidiary . The preceding quarter, because of the January, February, March is always high, and April, May, June is a little soft quarter always for all the financial services. That is why our net fee income from Car loan in Q1 FY2 5, was INR246 million , as against INR 271 million in Q4 FY24.
Satyam Vadera: And sir, for branch expansion, any plans further for gold loan segment?
Rajesh Sharma : So gold loan segment, we might add about 50 branches in the coming year. So that expansion will not be as aggressive as it was earlier because we already reached one threshold of 750 branches, so now large expanse will be gradual. So about 50 branches or so we will add in the current financial year.
Moderator: We have our n ext question from the line of Sohail Kanalil from ULJK Financial Services.
Sohail Kanalil: Congratulations on a good set of numbers. I would like to ask; how much of the book is floating rate currently?
Rajesh Sharma : Your question is, you are asking the composition of asset s on home loan side by floating and fixed rate of interest ?
Sohail Kanalil: Yes, mostly

because on gold loan interest rate would be fixed, right? So besides that, whichever segments that we are in, how much of that would be in floating, I mean?
Rajesh Sharma : So gold loan, it is a rate of interest we pre -decide based on the scheme taken by the customer. Construction finance, it is all 100% floating. And home loan and MSME, we offer both the option to the customer. Exact percentage, I think we will be able to tell you separately. You can send a mail to IR, and they'll share the exact data.

Sohail Kanalil: Got it. Got it. And 1 more question I would like to ask. So we have seen a huge rise in yield on advances. Any light you would like to throw on that, sir?
Rajesh Sharma : So yield on advances, if you see Q4 FY24 yield on advances was 15.6%, which has gone to about 16.3% on a portfolio basis. And th is is because contribution from the gold loan AUM in the overall portfolio is increasing. Gold loan yields are better than all the other products. So that is the reason where the improvement in the overall yield on advances by about 70 basis have happened.
Sohail Kanalil: Got it, sir. Got it. I would like to ask 1 last question. How do you see the loan book shaping up going ahead? Is there any particular segment you see a bit more exponential growth or higher growth than others? Or is there any other book that you would like to cut out or like to reduce a portion from your loan book?
Rajesh Sharma : So I think on the overall loan book, our key growth drivers will remain th at retail products comprises of home loans, gold loan, MSME. And this year, we added the micro LAP, the smaller loan of about less than INR 0.5 million against collateral in rural areas. So these are the products which will give the contribution towards the growth. And there has been no single product, which will contribute disproportionately higher than others.
So I think , our MSME is about 28%, 30% is gold loan and then 23% is housing. So they will remain by and large in this proportion.
Moderator: We have our next question from the line of Jai Daxini from IIFL Securities.
Jai Daxini: Yes, I want to ask 2 questions. First would be, what will be your cost of borrowing or market borrowings that you borrowed in this quarter? And the difference of debt versus your borrowings from banks? And what will be your borrowings mix post 1, 2 years?

Rajesh Sharma : So, the recent capital market borrowing are in the range of about 9%. And overall cost of borrowing is in the range of about 9. 3% - 9.6%. And borrowing mix, I think still, the majority of borrowing will continue to happen from the mix of bank and some borrowing we will do as refinancing from the larger institutions. So NHB Refinance, SIDBI, NABARD and all these kind of refinance institutions.
Jai Daxini: Okay. And what is the breakup of bank borrowings for MCLR linked and EBLR linked?
Rajesh Sharma : So, all the bank borrowings are MCLR linked

Jai Daxini: Got it. And there is a significant decline in disbursement in MSME and HL loans. So , what were the factors causing decline in disbursement growth ?
Rajesh Sharma : Since we have gone live with new technology platform for origination called, loan origination system. And because of that, it took some time to stabilize. The first quarter also saw training our on -ground team to get familiarized with the system. So I think that system, by and large, is stabilized now in the month of July. So this month, this quarter onwards, we will see the growth coming back. And by the October onward s, we'll see full - fledged benefit of the new technology also start coming in.
And so we will see the change happening because of technology, which was getting adopted on the ground, first quarter

was a little softer.
Moderator: We have our next question from the line of Aryan Oswal from Finterest Capital.
Aryan Oswal: So my first question is regarding the cost of funds. Do you expect it to increase even further in the coming quarter? And when do you see the trend reversing? And also what are we doing so that our cost of funds doesn't cross a certain limit?
Rajesh Sharma : So I think cost of funds in this year should remain by and large in this range. But I believe that cost of funds should not increase. If at all it increases, it will not be more than 10 to 20 basis points , which we should be able to pass on to all the new disbursals , which are happening now. So it should not have an impact on our expense.
Aryan Oswal: Okay. And sir, a lot of bigger names from the NBFC space have turned their focus on granular retail loans. So can you shed some light on the increasing competition in this space? And how are we different from the competition?
Rajesh Sharma : So I think this space is quite competitive, not from now, even last 2, 3 years. The only way is that, we keep focusing on giving a better turnaround time to our customer. And the only way to help this is technology . Our decision -making should happen based on the data science capabilities on various things. So I think automated processes and data science - driven decision -making, these are the 2 aspects which we are confident that we'll have an edge over most of the competi tion and be able to ha ve a faster processing, better decisioning and better outcome in terms of asset quality and all.
Moderator: The next question is from the line of Dipesh Sancheti from Manya Finance.

Dipesh Sancheti: Yes. We have crossed the breakeven mark in our gold loan business. Are you trying to expand in the Southern and Eastern parts of the country? Or are we planning to deepen our presence in the existing markets?
Rajesh Sharma : Yes. In gold loan, our expansion will continue to be in the North and West. We do not intend to go in South because we believe that South is already hugely penetrated and already the competition is in much larger areas. North and West still have a lot of scope.
And besides that, our entire current network of br anches of home loan and MSME are in the Northern belt. So e ven from the cost , branding and credit perspective, that is going to be helpful to us.
Dipesh Sancheti: Are we facing a lot of competition from the PSUs also? Because in between, the government has mandated the PSUs to go aggressive on gold loan?
Rajesh Sharma : Competition in retail segment is always there. I still believe that we have to focus on our service delivery and our origination and our customized product. Competition will remain but within that competition, we have to focus on our offerings and continue to grow.
Dipesh Sancheti: Okay. What is the impact of import duty on gold? With the cut on import duty, the prices have decline d. What is the impact on our gold loan business due to this? And do you expect the prices to decline further or start increasing as we enter the festive season?
Rajesh Sharma : So gold loan reduction on the import duty have resulted in the gold loan prices going softer. And so on the existing portfolio, our LTV has gone up, so we have to see that our LTV

come within the acceptable range. And for that, we will reach out to our customers and
inform them about this so that they can provide additional margin .
But having said that, how the gold loan prices will behave , we are not focusing on that.
This is an impact because of the custom duty reduction. And that is in control because it is
not more than 5%. But going forward, the gold prices will behave based on various other
factors, which we are not able to comment on.
Dipesh Sancheti: So how much more margin requirement is required

with every 1% decrease in gold prices?
Rajesh Sharma : If the gold prices decrease by 1% , and our LTV is 75 %, our LTV will increase by approx.
1%. And to that extent , either the LTV should remain within the acceptable range, and we
have to collect from the customer. And given these are the customers in the range of
average ticket size of about INR 90,000 , so time to recovery is low.

Dipesh Sancheti: Okay. Just a last question from my side now. With the new fundraising, which we have
done, what would be the impact on our book value?
Rajesh Sharma : It's p re-mature to say because it depends on what quantum and what shape and when we
would raise. And it is just enabling provision, we are yet to take shareholder approval and
also discuss various options. And then we decide which option, which instrument and wh en
will we be finally doing.
Dipesh Sancheti: Okay. So just a follow -up on that. So in case if you're going for preferential warrants or
maybe preferential equity. We, as retail investors, can also participate? And whom do we
have to contact if that is the case?
Rajesh Sharma : As I said, we have not yet decided what instrument and what time we raise funds . So, when
it happens, that will be, in any case, will be disclosed to the stock exchanges in time-to-
time through various announcement. But at this moment, we are not yet clear, and no
further progress has been done till date. We will decide after the shareholder's approval.
Dipesh Sancheti: I'm sure. But if there is a participation from proprietary houses like us, then what is the
point of contact of the company?
Rajesh Sharma : Whenever we crystallize this, everybody will be informed via stock exchange
announcement and various other ways.
Dipesh Sancheti: Okay, sir. I'll contact you regarding this again.
Moderator: The next question is from the line of Ajit Kaushal from Royal Global University.
Ajit Kaushal: Yes. I am late joining to this particular conference. Can you let me know, my question is
regarding the asset impairments and maximum impairments you are looking...
Rajesh Sharma : Yes, this actually, includes 2 part s: one is the ECL, which is a provisioning expected credit
loss and the other one is write -off. So there is a round INR 280 million of write -off and rest
is the provisions mainly .
Ajit Kaushal: Okay. Yes. Another part of my question is again, related to the asset impairment. So most
of the write -off on non -performing assets, it is coming from MSME or gold loan or
housing? From which sector...

Rajesh Sharma : So it is more from the Construction Finance . It's a technical write -off.
Ajit Kaushal: What is the meaning of technical write -off?
Rajesh Sharma : Technical write -off means recovery will continue. It's not like that it's a completely write -
off. So technically, we have taken the impact for now but our efforts to recover will
continue.
Ajit Kaushal: Okay. Okay. So may I ask what you are expecting, to what percent you will be able to
recover, if you can have any kind of estimate regarding that?
Rajesh Sharma : Almost 80%, 90% we'll be able to recover.
Ajit Kaushal: Okay. Out of this INR 280 million ?
Rajesh Sharma : Yes.
Ajit Kaushal: Yes. What about the rest of the INR 180 million ? I think, if I'm right, I saw it is INR 464
million around the assets impairment.
Rajesh Sharma : Yes, that is provision s on the assets.
Ajit Kaushal: But the rest of the INR 180 million is provisions?
Rajesh Sharma : More or less, yes.
Rajesh Sharma : Yes, rest of the INR 180 million is provision s. As a part of normal course of business, when
the loan book grows , AUM grows , as an NBFC business, they will have to continue to

make provisions also against that.

So that's a normal course of the business. So that INR
180 million is a ECL provision and INR 280 million is one time technical write -off.
And it's a technical write -off. So technically, what happens is we write it off and then we
initiate the recovery process. And based on our experience from the past, we should be able
to recover 80% to 90%.

Ajit Kaushal: Yes. So last year also I saw that it was showing around INR 240 million of write -off in the 1QFY24 . Again, you have written off in the 1QFY25 . So whether it is being done strategically as far as provisioning of this technical assets impairment is concerned?
Rajesh Sharma : So in that INR 130 million was the write -off and the rest was the provision in ordinary course of business.
Moderator: The next question is from the line of Marazbaan Dastur from Emkay Global.
Marazbaan Dastur: Yes. Sir, I just have a couple of questions. So could you help us understand this new micro LAP segment. Like is it a part of the existing MSME business vertical? Or is it different in some way? Aside from the ticket size range given that the MSME segment also has a ticke t size of around 1 million to 1.5 million?
Rajesh Sharma : So it is a completely different segment, different team, different branches. So it is a different vertical. MSME, currently, we have average ticket size of INR 1.9 million . However, micro LAP will have average ticket size of INR 0.5 million , all the loans will be below INR 0.8 million . And these are the loans at the yield in the range of about 22% as against the MSME yield in the range of 15.5%.
So this is to serve our customer segment in the rural areas and branches are also getting opened accordingly. We intend to open about 70 branches in next 3 quarters. And already 27 branches have gone live, and we will start seeing some portfolio, but initial few months are the phase where we will build up these branches. Actually, we will see full benefit from these branches will start coming in next year .
Marazbaan Dastur: Okay. Okay. And secondly, on your guidance of INR 300,000 million AUM over the next 3 years, could you help us understand better your plans in terms of scaling the business and what verticals would you see higher growth?
Rajesh Sharma : So Higher growth will, of course come from MSME, gold loan and housing and construction finance because micro LAP is a shorter tenure loan for a lower amount. And last year, we closed at INR156,530 million and in this quarter we have already reached INR 174,579 million . So we would be able to achieve INR 200,000 – INR 210,000 million in FY25, I think we are well within our target to reach INR 300,000 million by FY27.
Moderator: As there are no further questions, I w ould now like to hand the conference over to the management for closing comments. Over to you, sir.

Hardik Doshi : Thank you, everyone, for your time today in attending the 1QFY 25 Capri Global Financial results. We look forward to conti nuing to engage with each one of you and speak again during Q2FY25 results .
Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

November 6 , 2024

The Secretary
BSE Limited
Pheeroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 531595 The Secretary
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No - 'C' Block, G Block
Bandra -Kurla Complex, Bandra (East)
Mumbai – 400 051
Scrip Code: CGCL

Sub: Intimation p ursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, regarding Q1 FY2 5 Earnings Call - Transcript

Dear Sir /Madam,

Further to our letter dated October 21 , 2024, intimating schedule of the Earnings Conference Call on October 30, 2024, to discuss the Company's Q 2 FY25 Earnings, we are attaching herewith the transcript of the said Conference Call.

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,
for Capri Global Capital Limited

Yashesh Bhatt
Company Secretary & Compliance Officer
Membership No.: ACS 20491

Encl.: As above

"Capri Global Capital Limited

Q2 FY25 Earnings Conference Call
October 30, 202 4

MANAGEMENT

MR. RAJESH SHARMA – MANAGING DIRECTOR
MR. PARTHA CHAKRABORTI , CFO
MR. SANJEEV SRIVASTAVA , CRO
MR. HARDIK DOSHI – CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend
■ 10 Lakhs = ■ 1Mn
■ 1 Crore = ■ 10Mn
■ 100 Crores = ■ 1Bn
■ 1 Lakh Crore = ■ 1Tn

NOTE:
1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.
2) Factual correction/s are superscripted at relevant places in the transcript and are explained in footnote/s.
3) Wherever needed, emphasis is added in brackets (in italics) for better clarity.

Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited Q2 FY '25 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Hardik Doshi from Capri Global Capital Limited. Thank you, and over to you, sir.
Hardik Doshi: Good afternoon, everyone, and welcome to Q2 FY '25 Earnings Call for Capri Global Capital. This is Hardik Doshi, Head Corporate Finance & Investor Relations. I shall read out a brief disclaimer for today's call. The discussion on today's call regarding Capri Global Capital Limited's earnings performance will be based on judgments derived from the declared results and information regarding business opportunity available to the company at this time. The company's pe rformance is subject to risks, uncertainties and assumptions that could cause actual results to differ materially in the future. Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results. The full disclaimer is avai lable on Slide 42 of Q2 FY '25 earnings presentation. Participants are requested to note the same.
With us today on the call, we have Mr. Rajesh Sharma, Managing Director of the company; Mr. Partha Chakraborti, CFO; Mr. Sanjeev Srivastava, CRO; Ms. Divya Sutar, Head Business Strategy.
With that, I now request our Managing Director, Mr. Rajesh Sharma, to present the opening remarks. Over to you, sir.
Rajesh Sharma: Thank you. Good afternoon, everyone. I hope you all are doing very well. First of all, let me wish you all a very Happy Diwali. We declared our unaudited consolidated financial results for Q2 FY '25 yesterday , and I hope you had a chance to go through the earnings presentation, which is uploaded on our website.
As you all know, Capri Global Capital Limited continues to serve under -penetrated, under -banked customer s in high -growth segments with substantial untapped market potential, while maintaining a strategic focus on building retail, granular and secure d lending book. We have diversified ourselves through the robust presence in MSME loans, housing loans, gold loans and construction finance. We continue to further diversify ourselves by identifying newer opportunities and expanding our product offerings.
In the last quarter, under our MSME loan segment, we have launched Micro LAP, a small ticket secured loan product for self -employed customer s. And in this quarter, we launched rooftop solar loan s, part of green financing in partnership with Credit Fair, a leading renewable energy fintech, with ticket size ranging from about INR50,000 to INR25 lakh.
In addition to interest income, we are also focusing on increasing share of high -quality, recurring fee income through insurance distribution and also car loan origination. We believe that our digital -first approach and superior technology processes, will be the key differentiator enabling us to serve our customers more effectively than our peers. We also

implemented several AI -driven initiatives in this quarter, which I will mention

subsequently. We believe this will benefit us meaningfully going forward.
I shall now move to the commentary on business and earnings performance. With regard s to business, please refer Slide 3, 4, 5 and 6. We maintained a strong growth momentum in Q2 FY '25 with our AUM reaching INR19,27 2

crores, an increase of about 56% year -on-
year and 10% quarter -on-quarter. This growth was primarily driven by a strong growth of 225% year -on-year gold loan and 33% year -on-year housing loans. Our disbursement touched INR5,465 crores during the quarter, reflecting 55% year -on-year growth. We remain focused on retail lending, with retail AUM constituting over 80% of our portfoli o. We are well positioned to drive growth and are confident of crossing our target of INR30,000 crores AUM by FY '27. Our core lending AUM continued to surge during Q2 FY '25, increasing to 18.3% of AUM compared to 16.3% in Q1 FY '25 and 11.6% in Q4 FY '24. We have further strengthened our bank partnerships, significantly increasing the accept ance ratio of loans with our partner bank compared to a year ago. We expect to continue this momentum in co -lending as an efficient tool for high ROE accretion and liability management.
We continue to build a granular and well -diversified portfolio for MSME in housing loans with average ticket size of around INR2 million. Our MSME AUM reached INR4,824 crores. In our housing loan segment, AUM reached about INR4,271 crores, up by 33% year-on-year. MSME and housing together continues to constitute 50% of our overall AUM. With our strategic initiative and focus on underserved market, we are confident that our MSME and housing loan portfolio will continue to delive r robust and sustainable grow th in the coming quarters.
Our gold loan AUM increased by 225% year -on-year to cross INR6,500 crores, supported by our extensive gold loan branch network of 758 branches across 9 states and UT, along with co -lending partnership with four banks. These branches have started to scale up in achieving a productivity level of INR8.7 crore AUM per branch. We are confident that our expanding reach and partnerships will continue to fuel sustainable growth and further strengthen our position in the gold loan segment.
Our construction finance AUM increased by 63% year -on-year to cross INR3,346 crores driven by uptick in real estate sector with a strong pipeline of new projects. Our disbursement in construction finance stood at INR924 crores, up 51% subsequently. In construction finance, our focus will remain on residential project within the affordable housing sector while maintaining a granular book in indirect lending.
As w ith regards to earning s, let me now provide an update on core earnings. Our yields and spread remain ed steady this quarter at 16.2% and 7%, respectively. Net interest income for Q2 FY '25 reached INR305 crores, marking a 22% year -on-year increase driven by robust growth in our loan book. Our non -interest income comprised of 3 components: car loan distribution fee, co -lending income and other non -interest income. Our non -interest income was INR103 crores in Q2 FY '25, up by 29% year -on-year, supported by co -lending fee income of INR41 crores and net car loan origination fee of INR18 crores.
We have scaled our car loan origination network within a very short period of time to become a meaningful player in this segment with pan -India presence across 788 locations in 31 states and UT. We worked with 12 partner bank and financial institutions for car loan originations. Our car loan origination in Q2 FY '25 was INR2,563 crores, up by 8% year -

on-year. On the insurance distribution front, we have tied up with 18 insurance companies and started accruing fee income. We are looking to generate around INR40 crores in net fee income from insurance distribution in FY '25. We anticipate this strong foundation will sustain the impressive growth trajectory of our loan interest income.
Following our branch expansion, we are now shifting our focus on improving the efficiency and productivity, the effect of which has already started to reflect in our

cost to income
ratio, which has improved to 64.3% in Q2 FY '25, down from 70.5% in Q4 FY ' 24, an improvement of about 6.2%. We expect further benefits to accrue once operating leverage will kick in. As a result, our pre -provision operating profit increased significantly to INR146 crores, up by 34% year -on-year.
With regards to asset quality, our credit cost normalized in the quarter and was at INR17.5 crores, an improvement of 24% year -on-year, and 62% quarter -on-quarter as there was a one-off technical write -off in construction finance book in Q1 FY '25. Gross Stage 3 ratio

improved to 1.6% in Q2 FY '25 from 2% as of Q1 FY '25. Net Stage 3 ratio improved to 1% from 1.2% in Q1 FY '25. PCR on Stage 3 loans stood at 40.1% in Q2 FY '25. We would like also to share that we have sold about INR71 crores of GNPA to asset reconstruction company at 90% of its value.

With regard s to capital adequacy and liquidity position, as part of our resource diversification strategy, we have taken Board resolution to raise up to INR1,000 crores via NCD issuance. We continue to maintain a strong liquidity position and have got new credit line of INR3,750 crores for a CGCL entity and INR700 crores for CGHFL entity. Our capital adequacy ratio for CGCL stood at 23.7% and for CGHFL stood at 31.9%.

With regards to profitability, we reported a consolidated net profit of INR97 crores, which increased by 49% year -on-year and 28% quarter -on-quarter. Our efforts over past 2, 3 years to diversify our business and income streams are now beginning to yield results. As seen in our Q2 FY '25 performance, we reported an annualized RoAA of 2.3% and an annualized RoAE of 9.8% in Q2 FY '25, up by 0.4% and 2% quarter -on-quarter, respectively. We expect this to improve further going forward with the improvemen t in cost efficiency, employee productivity and operating leverage.

In regard to technology, our technology initiative, including the in -house LOF, Flexcube, LMS, Pragati Sales app for customer onboarding, Collect Xpress app for managing collection, Capri Grahak app for customer engagement, which went live in Q1 FY '25 hav e now stabilized and now are being extensively used by our sales and collection staff for managing the customer loan journey end -to-end digitally, thus improving their efficiency and productivity. We are also going live with our data science -driven BRE scorecard -based underwriting, which will help us improve our log -in to sanction ratio, better customer profiling and offer risk -based pricing to our customers.

Our sophisticated collection dashboard for real -time monitoring, combined with the use of advanced AI/ML models for identifying early delinquency are expected to further improve our collection efficiency and asset quality. During the quarter, we also launc hed several artificial intelligence -driven initiatives such as AI -driven Data Genie, which equips key decision -makers with real -time actionable insight, enhancing agility and precision. Capriglobal.ai with its AI -Dost chatbot provides instant multilingual support to our customers, ensuring seamless engagement 24/7.

Our HireRight AI, which optimized RM -level hiring by ensuring unbiased efficient recruitment . Our AI-driven call centre with in -house voice to text conversion system adopted for Indian languages helps in cost optimizing call center operations and increase efficiency over telecalling staff. Lastly, our focus on real -time system will drive significant improvement in TAT , enabling us to meet our customers' expectation faster through hassle -free and timely disbursements.

Now I come to ESG. On the ESG front, Capri Global has established a robust ESG framework, aligning our policies with international standards and ESG guidelines. We applied for the Dow Jones Sustainability Indices

rating, with results expected soon.

Additionally, we published our business impact report, Echoes of Progress, highlighting our achievement in financial inclusion and sustainable growth. Our second sustainability report for FY '24 highlighting Capri Global's integrated approach to ESG centered on financial inclusion, operational efficiency and governance. To support our commitment, we are actively training internal teams in aligning business process and ESG requirements.

With that, I conclude my remarks. We shall now take questions.

Moderator: The first question is from the line of Taran Gupta from Elara Capital.

Taran Gupta: My first question is, the company has set a target of reaching an AUM of INR30,000 crores by FY '27. So can you please share insight into the primary growth drivers for this target? And which segments are anticipated to contribute the most to th is ambitious target ?

Rajesh Sharma: Thank you, Taran. As I said, our current AUM after Q2 result is about INR19,272 crores. And with the growth coming in from our new segment, which we added that is Micro LAP ; MSME will start again growing, adding a few more branches in the coming financial year. And our gold loan, also, we are adding more branches. Besides that, we also launched this rooftop solar product. So, we'll continue to grow through our branch expansion in our existing products as well as the new product s will continue to grow. So, from INR19,272 crores to reaching in almost 10 quarters, I think we will be able to achieve. We are already on this path.

Taran Gupta: Okay. Very helpful. And second question is, sir, Capri's mostly focused on evolving into a

technology -led NBFC. So, could you elaborate on any recent digital initiatives or technology upgrade aimed at enhancing customer experience or boosting operational efficiency? Additionally, how is technology being leveraged to facilitate deeper penetration into rural area or unde rserved market?
Rajesh Sharma: So, we have divided our entire journey of technology in 5 segments - onboarding a customer, credit evaluation, then collateral evaluation, collection and customer engagement ; so this completes the journey from onboarding until customer servicing. Now while our LOS is in -house developed, where for sales mobility, we have built a Pragati Mobile app.
For underwriting purposes, we have built our in -house scorecard and various processes. We are digital , which is helping the team to do the work with a better precision in a lesser number of hours. So, we are saving the time and our TAT is much better. And the third element is our evaluation of collateral, where the collateral property, whatever is being mortgaged in housing finance and MSME is being evaluated through our in -house technical app, where a lot of other features are there whe re they can see thei r transaction data, they can see the delinquency data of the nearby surrounding area where we intend to land.

Then it comes to the collection because we believe the collection is a major focus of our company. So, we have divided collection into three parts. One is the collection through chatbot calling; number two, from the tele caller unit; and three, collection agent on the field. So, with combination of the three, with the precise data analytics, real -time tracking and proper incentive schemes, I think we are able to do it better. We are driving the efficiency among them. And fifth is the customer engagement. So, customer engagement, we have telecaller unit besides we have given a customer app. So, a lot of features can be activated and serviced through the customer app.
We also have WhatsApp chatbot where all the quer ies can be sorted out. And besides that, as I said, our AI initiative of capriglobal.ai, where a customer can ask anything and their query can be addre

ssed. So, there are a lot of initiatives happening internally to improve the process efficiency and externally on the customer service side. And you will see quarter -on-quarter, the difference is coming in not only cost -to-income ratio, but our other features in terms of efficiency in the collection and also ou r efficiency in the productivity.
Moderator: The next question is from the line of Aman from Dolat Capital.
Aman: With a target of building INR1,000 crores loan book in rooftop solar financing, can you elaborate on your partnership with Credit Fair? And how will this facilitate faster loan approvals and disbursal in the solar finance space? And second question, with the anticipated rise in credit costs across the NBFC sector, how are you managing these increased provisions given that we have a normalized credit cost during the quarter, particularly in your MSME and affordable housing portfolios?
Rajesh Sharma: So, your first question is on the rooftop solar, so we have tied up with fintech, but we are also in the process of tying up with various business correspondent and dealers, network and other. So, since we launched the project recently, now we'll be scaling up. This year -end, we will be doing about INR50 crores. But we'll continue to grow our network and through that network, next year should be a full year of operation where significant book should be built. And here, the model we intend to follow is, we buil d the book, down sell it much lower yield by generating a profit because a lot of banks have this product in demand to build the portfolio.
And if you're seeing, the central government have a very high focus on this product. So, we feel that the policy push is there. We want to take the advantage of that, not only in terms of pricing of getting the lower cost funding through sell -down of the portfolio or otherwise.
So, we see that by next year, we should have a significant portfolio in this. And in near term, we should be able to achieve the INR1,000 crore book, the first target is INR1,000 crores book. But by the March, we will be able to give you the clear guidance by when it will be achieved.
I can say, we are building the technology, we are building the network of BC and building our internal team. We have already launched the product. Current run rate is about INR4 crores to INR5 crores a month, which is getting increased month after month.
Your second question was, how do we address our delinquency in the MSME and the home loan? So, I think MSME segment, last 1 year, we have not grown. So that effect was visible in the delinquency. Now we are coming back growing those branches, and plus our

restructured pool is now reduced from earlier INR200-plus crores to about INR103 crores.

And out of that, some pool, we have transferred to ARC. So, I think combination of this will be that growth will be back. And housing finance, if you talk about delinquency, they are more or less stable. And in the price segment we operate, we believe that, that kind of GNPA and NNPA will continue to be stable.

Moderator: The next question is from the line of Aryan Oswal from Finterest Capital.

Aryan Oswal: Sir, my question was on the side of that, could you please share the net fee income generated from our insurance business this quarter? And also, how much of fee income can we expect from insurance over the next couple of years?

Rajesh Sharma: So, –in the first half, we generated about INR25 crores. And the whole year, we should be crossing about INR40 crores of fee income alone from the insurance segment. Next year, hopefully, it should further go up. So that guidance, we should be able to give you by the last quarter when we come back with the result. But current year, we should cross about INR40 crores in the insurance income.

Aryan Oswal: Oka

y. And sir, what are the new partnerships we have secured for insurance distribution and the expected impact on future growth?

Rajesh Sharma: So, we have now almost about 18 partners in the insurance. And I think these are good enough . It is not the more and more partnership is going to help us. But it is about the kind of product you get to cover all kind of customers. Gold loan customer might require a policy, and we should be able to provide only INR4,000 to INR5,000. Whereas car loan customer can still take a life insurance policy, which they might pay a premium of INR50,000 plus. So, depending on the customer profile, we give the product. And I think we have wide coverage of the product along with these partners.

Aryan Oswal: Okay. And sir, one last question from my side. Sir, we have spoken about our goal of achieving mid -teen ROE, primarily through enhanced fee income and improved operational efficiency. So, could you provide more clarity on the time line for when these efforts will transfer into visible improvements? And specifically, when do we expect us to consistently reach the 15% ROE mark as it's been a target for some time now?

Rajesh Sharma: So, if you have seen that now this year, our initiative on the technology side and the branch expansion, we already achieved breakeven, especially the gold loan vertical, all 750 branches have turned profitable. I think quarter -on-quarter, you will clearly se e uptick in our ROE. This year, we should be in the close vicinity of about 11%. And I think by March '27, we should achieve our mid -teen ROE target.

Moderator: The next question is from the line of Satyaprakash Pandey from Haitong.

Satyaprakash Pandey: I have two questions. First is, how has the acceptance rate from partner banks in co -lending evolved over the past few quarters? And what growth do you expect in this segment next year, given that we continue to see strong growth here? Also, can you elabor ate on the risk sharing mechanism and how you balance expanding credit reaching with maintaining asset quality.

The second question is, you've started expanding into Micro LAP with plans with some new branches. How has this initiative progress in Q2? What has been the early response from rural customer? And what challenges are you facing in scaling this segment?

Rajesh Sharma: So, all the partner bank, you are asking what is the arrangement we have. So, we have arrangement where 20% we fund, 80% bank fund. And the cost of those lines in housing loans are sub -9.0 and gold loan is anything between 9.5 to 9.75 and MSME in the range of 9.5. In regards Micro LAP, we already have gone live with the 70 branches.

And those branches, we have an experienced team from a good background of a similar product. We have a strong risk framework in place. So, we should be able to achieve the full scale , next year will be full year of operation. We currently have already received a book of about INR30 crores. And by March, we should be able to cross about INR60 crores. Next year is something which we are likely to cross about INR300 crores.

Moderator: The next question is from the line of Jay Mistry from Equirus Securities Private Limited.

Jay Mistry: I have two questions. First question was that since now that our gold loans is profitable and you have been gradually expanding the branches, too, so I just wanted to understand like are the new branches meeting the expected performance level?

Rajesh Sharma: So I would say the new branches, we will not know only in 3 months. New branches ideally should achieve the AUM of about INR4 crore in 15 months. And if you are able to achieve 15 months INR4 crores, then I will say they've achieved the breakeven. So all the old branches, I think our most of the branches already are over 15 months, and all the branches h

ave already been profitable. There are few branches, some of the branches are 3 months old, some of the branches are 4 months old. So we believe that by the end of the 15 months from the date of their opening, they should breakeven or profitable.

Jay Mistry: And my second question was that since we have implemented the new loan originations and management systems, so how has the transition impacted the loan disbursements and turnaround times in second quarter? Are the teams fully adapted to the new systems?

Rajesh Sharma: Yes. So first quarter, we launched this new LOS in the month of April, and it has taken almost 3 months to stabilize. Q2 is completely stabilized . They are not much impacted by the LOS , it is business as usual. So there is no impact of the new LOS. It has gone smooth and functioning fully.

Moderator: The next question is from the line of Shalin Kapadia from IIFL Securities.

Shalin N. Kapadia I have two questions. So with recent conditions in the auto sector and a dip in car loan volumes over the past couple of quarters, do you see the car loan business shaping better in second half? Or do you believe we can surpass last year's performance desp ite the current challenges?

Rajesh Sharma: So what is happening that some of the competition of CarDekho and others, they are, I think, giving more commission than they get. This is what the market we are experiencing. So there is a pressure of the competition on the commission side, in sharing the commission with the DSAs and connectors. So that is where our cost has gone up, but we are going to add the used car finance also with the same team without additional new manpower and with the help of the addition al product. This year, we will have profitability slightly lower than the last year because of various transition from old CGCL to the new company. But next year, I think our profit will be all -time high and even our volume will be high. So this year, it will take some stabilization in the new entity along with the launch of the new product, where we'll see some operational cost offsetting the profit of this vertical.

Shalin N. Kapadia Okay, sir. That's helpful. And second question is on gold loans. So with Capri's recent strong momentum in the gold loan segment, given that we have almost tripled our AUM in the last year or so, are there any plans to accelerate this growth by expanding i nto new regions or opening more branches? And also, how do you see your growth in gold loan business over the next 2, 3 quarters?

Rajesh Sharma: So we'll see that. Now the expansion will be moderate. We'll be adding about 50 -70 branches this year. And the expansion will continue to be in the next year, but it will be in moderation. However, already, we have achieved our branch AUM of about INR8 crores plus.

And I think those branches will continue to grow along with these new branches, which will take some time. So we clearly see that we should be crossing INR12 crores of AUM by end of next year for a branch except the new branches. So growth will continue to happen despite competition, and we see the data, monetization is still in the range of 5%. And most of the market is still with the pawn brokers and local jewelers and local money lenders. So there's a huge growth possible for everybody in this segment.

Moderator: The next question is from the line of Jay from Manya Financial.

Jay: What is the outlook of maintaining net interest margins? What are the strategies you are doing to optimize the margins?

Rajesh Sharma: The strategy for optimizing the margin will be our biggest differentiator will be technology and data science capabilities, which we are significantly investing in. Our Gurgaon tech center, we have almost about 125 engineers and 25 data scientists across Gurgaon and Bangalore. I think t

hese are two aspect s where we see that our processes will be better , our TAT will be faster. And our efficiencies of decision -making will improve the overall cost -to-income ratio.

Further NIM margin will be improving. Currently, NIM margin, you see the decrease because the leverage is going up. If you look at the spread, that is being maintained at 7%.

So if we leverage more, while the NIM will go lower side, but spread, so far, we are
maintaining improving, I think, overall, ROE, it will have a positive impact despite NIM
going down.
Jay: Okay. With the current regulatory framework, which is going on in the NBFC space, how
does Capri Global ensure compliance while continuing to grow? And are there any recent
regulatory changes which has impacted the business operations?
Rajesh Sharma: So I think all these regulatory changes, which are coming, they are there to make the
company very robust when we were scaling up. It might give you some short -term pain,
but long term, it is helping us to meet the compliance and strengthen the risk manage ment.
In regards to our compliance is concerned, that we have strengthened our compliance team,
keeping in mind the RBI attention on the enhanced compliance focus. We have added a
few more resources in the compliance team. We hired senior pe ople, and we have engaged
big 4 consulting firm to make automated compliance tool, which will track which are the
compliances done, which are not done on time. Besides the technology compliances, also
we have given outside firm for telling us to make them better and perfect. So there's a sharp
focus.

I will share with you that in our Board of Director and the Chairman always want us to
follow the compliance first and business later policy. So with the focus of the Board and
our focus on engaging best of the consultant to make it better, we feel that compliance we
will be able to meet the RBI norm. And plus, we are driving a culture also inside in every
department , to comply everything as per the rules of whatever regulatory, be it RBI, be it
SEBI guideline, be it listing guidelines of BSE or NSE.
Jay: Okay. And none of the regulatory current regulatory changes or the recent regulatory
changes have impacted your business, right?
Rajesh Sharma: No, no. There's no regulatory changes that impacted our business. In fact, regulatory
changes, they bring to team more, formally recording anything and formally conveying to
the team how they should do the business. So it is all about following the proper processes.
So there is no impact on the business, some compliance, the number of people you have to
increase and slight cost goes up, but such a large volume I don't think it is very significant .
Jay: Okay. And about the micro finance business, do you see any pressure on your micro finance
business?
Rajesh Sharma: We are not into micro finance business.
Jay: Not at all?
Rajesh Sharma: No. We don't have any unsecured lending as such.
Moderator: The next question is from the line of Rohit Shinde from Market Memories Wealth Advisors
Private Limited.
Rohit Shinde: I have two questions. So my first question is that we have seen strong growth in co -lending,
especially in the gold loan business. While our focus was initially on MSME and housing,
most co -lending in the past year has been in gold loans. So is this shift driven more by
demand? Or does the fee structure and margins make it more advantageous?
Rajesh Sharma: Okay. And what is the second question?
Rohit Shinde: Second question is, sir, non -interest income as a percentage of total income continues to
decline for past couple of quarters despite our push in co -lending insurance and car loans.
So how do you view the overall mix of non -interest income? And what do you see as the
main drivers for growth in this area?
Rajesh S

harma: So let me answer your second question first, which talks about non -interest income in going
down. If you see the Slide #15, our non -interest income, which is comprised of the car loan
distribution, insurance and co -lending, in Q2, it has come to INR25.3%.
Hardik Doshi: The share of non -interest income as a percentage of net income is 25%.
Rajesh Sharma: So it is 25%. So I think it is more or less stable. It has not gone down itself. If you talk
about absolute income, so there's a slight dip in the car loan income. But if you take the
overall income, from INR108 crores, it has come to INR103 crores. So I think the first and
two quarters in the car loan is always slightly lower. If you see , compared to last year , this

year it has gone up significantly. Q2 FY '24, our fee income was INR80 crores against the Q2 FY '25 where fee income is about INR103 crores. Is that clear now?

Rohit Shinde: Yes, sir. And the first question, sir?

Rajesh Sharma: Your first question was, why the co -lending has gone up in the gold loan? So I will say that gold loan, we have scaled up, number of branches are much higher. And there was a co -lending product where we can cater to those customers also, which can be cater ed at a slightly lower margin.

But since co -lending lines are available, which are highly ROE accretive, you use those lines there. And there's a separate co -lending lines for the gold specifically by our lending partners, so we utilize them. And that is the reason you will see the co -lending in the gold loan have been higher percentage as compared to MSME and home loan.

And in regard to growth, there is no shift in our strategy. If you see our home loan portfolio is also growing at a pace of about 35% -40% year -on-year. Gold loan, because the base was lower and number of branches have been high, so that is showing you very high growth. But if you see from current quarter onwards, the base is already in the range of INR6,000 crores. The growth will get normalized unless we open more number of branches significantly.

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to the management for the closing comments. Thank you, and over to you.

Rajesh Sharma: Thank you so much for sparing time and coming on the call to understand more about us. And we would like to assure you that we'll continue to grow our secured retail lending portfolio on the back of a strong branch network across Micro LAP, MSME, gold loan and home loans. And with the effective co -lending line in place where about 20% plus portfolio will remain under the co -lending arrangement, which will continue to give lower allocation of the equity capital and high ROE.

I think our technology initiative will also drive the cost efficiency. The combined effects of this, you will see that quarter -on-quarter, we will see that our operating costs coming down in some percentage and our ROE continue to improve, and we will be o n the guided path. Thank you so much.

Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

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Theaboveisforyourinformationanddisseminationtoallthestakeholders.
Thankingyou,
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Capri Global Capital Limited

Q3 FY '25 Earnings Conference Call
January 27, 202 5

MANAGEMENT
MR. RAJESH SHARMA – MANAGING DIRECTOR
MR. PARTHA CHAKRABORTI , CFO
MR. SANJEEV SRIVASTAVA , CRO
MS, DIVYA , DIRECTOR BUSINESS STRATEGY
MR. HARDIK DOSHI – CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend
■ 10 Lakhs = ■ 1Mn
■ 1 Crore = ■ 10Mn
■ 100 Crores = ■ 1Bn
■ 1 Lakh Crore = ■ 1Tn

NOTE:
1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.
2) Factual correction/s are superscripted at relevant places in the transcript and are explained in footnote/s.
3) Wherever needed, emphasis is added in brackets (in italics) for better clarity.

Moderator: Ladies and gentlemen, good day, and welcome to the Capri Global Capital Limited Q3 FY '25 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hardik Doshi from Capri Global Capital Limited.

Hardik Doshi: Hello everyone and welcome to Q3'25 Earnings Call for Capri Global Capital Limited. This is Hardik Doshi , Head, Corporate Finance and Investor Relations. As a brief disclaimer, the discussion on today's call regarding Capri Global Capital Limited's earning performance will be based on judgments derived from the declared results and information regarding business opportunities available to company at this time.

The company's performance is subject to risks, uncertainties and assumptions that could cause results to differ materially in future. Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results. The full disclaimer is available on the Slide 42 of the earnings presentation. Participants are requested to take note of the same.

Let me now introduce the participants on the call. With us today on the call, we have Mr. Rajesh Sharma, Managing Director of the company; Mr. Partha Chakraborti, Chief Financial Officer; Mr. Sanjeev Srivastava, Chief Risk Officer; Ms. Divya, Director - Business Strategy .

I now request our Managing Director, Mr. Rajesh Sharma, to present the opening remarks. Thank you, and over to you, sir.

Rajesh Sharma: Good morning, everyone, and I hope you all are doing very well. We declared our unaudited financial results for 3Q FY '25 on 23rd Jan 2025. And I hope you had a chance to go through the earnings presentation , which is available on our website.

As you all know, we continue to serve underpenetrated and unbanked customers in high -growth segments with substantial untapped market potential while maintaining a strategic focus on building a retail franchise with secured loan book. We are a diversified NBFC with presence in MSME loans, housing loans, gold loan, construction finance. We continue to further diversify ourselves by expanding our product offering.

In the last quarter, under our MSME loan segment, we launched Micro LAP , a small ticket secured loan product for self -employed customer, and launched Rooftop Solar loans. In addition to growing our interest income, we are also focusing on increasing share of fee income through insurance distribution and car loan originations. We continue to invest in technology as we

believe that our digital -first approach and superior technological processes will be the key differentiator, enabling us to serve our customers better and faster than our peers.

I shall now move to the commentary on business and earnings performance. Please refer Slide 3, 4, 5 and 6. We maintained a strong growth momentum in 3Q FY '25, with our AUM reaching INR20,663 crores, an increase of 54.6% year -on-year. This growth was primarily driven by a growth of 196% year -on-year in gold loans and 31% in housing loans. In addition, our Micro LAP segment has already touched AUM of INR157 crores in 2 quarters. Our disbursement touched INR5,839 crores during the quarter, reflecting a 52% year -on-year growth.

Our retail AUM constitute over 80% of our portfolio. Our co -lending AUM continued to surge during 3Q FY '25 and stood at INR3,681 crores, com

prising 17.8% of AUM, compared to 8.9%
in Q3 FY '24. We have further strengthened our relationship with nine bank partners, increased co-lending lines and the acceptance ratio of the loans compared to a year ago. We expect to continue this momentum in co -lending as an efficient tool for high ROE accretion and liability management.

We continue to build a well -diversified portfolio for our MSME and housing loan, with average ticket size of INR20 lakhs. Our MSME AUM including Micro LAP loans reached INR4,968 crores, up by 4% year -on-year. And housing loan segment AUM reached INR4,586 crores, up by 31% year -on-year. MSME and housing finance together continue to constitute 46% of our overall AUM. With our plans to open new branches for these segments and focus on underserved market, we are confident that our MSME and housing loan portfolios will deliver robust and sustainable growth in the coming quarters.

Our gold loan AUM increased by 196% year -on-year to cross INR7,092 crores supported by our extensive gold loan branch network of 776 branches across nine states and union territories. These branches are scaling up and have achieved a productivity level of INR9.1 crores AUM per branch, with over 65% branches having reached the vintage of more than INR5 crore s AUM per branch. We are confident that our expanding reach and co -lending partnership s will continue to fuel sustainable growth and further strengthen our position in the Gold Loan segment.

Our Construction Finance AUM increased by 65% year -on-year to cross INR3,742 crores, driven by strong demand in real estate sector and pipeline of new affordable housing projects. Our disbursements in Construction Finance for 3Q FY '25 stood at INR822 crores, up 51% year -on-year. We continue to maintain a granular book in our construction finance segment, with over 287 projects and average portfolio ticket size of INR13 crores. In construction finance, our focus will remain on residential projects within the affordable housing sector and smaller projects.

Now i n regards to earning performance , let me now provide an update on our core earnings. Our yields and spreads expanded further in the quarter to 16.7% and 7.3%, respectively, primarily

on account of increase in yields for housing finance to 12.9% and Gold Loan to 20.6%. Our net interest income for third quarter FY '25 reached INR347 crores, marking a 41% year -on-year increase and, for 9 months FY '25, reached at the INR953 crores, marking a 30% year -on-year increase driven by margin expansion and robust growth in our loan book.

We continue to focus on non -interest income, with its share in total income at 25.1% in 9 months FY '25. Our non -interest income comprises of 3 components: car loan distribution fees, co -lending income and insurance income. Our non -interest income was INR319 crores in 9 months FY '25, up by 20% year -on-year, supported by co -lending fee income of INR112 crores, net car loan origination fee of INR72 crores and net fee income from insurance of INR39 crores.

We have scaled our car loan origination network within a very short period and now a meaningful player in this segment, with Pan-India presence of 811 locations in 31 states and union territories and 12 partner banks and financial institutions. Our car loan origination in third quarter FY '25 was INR2,972 crores, up by 16% quarter -on-quarter and 5% year -on-year.

On the insurance distribution front, we have tied up with 18 insurance companies and expected to generate more than INR60 crores of net fee income for FY '25. We anticipate this strong foundation will sustain the impressive growth trajectory of our non -interest income. As a result, our total income for third quarter FY '25 was up by 30% year -on-year and, 9 months FY '25, up by 28% year-on-year.

Our branch network e

xpanded to 1,066 branches in third quarter FY '25, and employee base increased to 11,022, up by 13% year -on-year. We opened 70 new branches exclusively for our Micro LAP segment. Following our significant investment in branch expansion over the past 3 years, we are now focusing on bringing more efficiency and productivity, effect of which has already started to reflect in our cost -income ratio, which improved to 58.3% in third quarter FY '25, down from 64.3% in second quarter FY '25 and down from the peak of 70.5% in fourth quarter FY '24. We expect further reduction as we see benefits of operating leverage accrue in coming quarters.

As a result, our pre -provisioning operating profit increased significantly to INR189 for third quarter FY '25 and INR480 crores for 9 months FY '25, up by 46% year -on-year and 39% year -on-year, respectively.

As regards asset quality, our credit cost for third quarter FY '25 was at INR18 crore, a modest increase of 4.8% quarter -on-quarter, whereas for 9 -month FY '25, it declined by 6.5% year -on-year and was INR82 crores, which translates to 0.7% of loan book. Gross Stage 3 ratio stood at 1.7%, and Net Stage 3 ratio stood at 1% in third quarter FY '25, an improvement of 40 basis year-on-year in both. We continue to maintain a healthy PCR on Stage 3 loans of 39.4% in third quarter FY '25.

As regards capital adequacy and liquidity position, we continue to maintain a strong liquidity

position of more than INR2,000 crores through cash and cash equivalent and undrawn credit lines across CGCL and CGHFL. During third quarter FY '25, we got new credit lines of INR1,025 crores sanctioned for CGCL and CGHFL. Our capital adequacy ratio for both CGCL and CGHFL remains strong and stood at 22.9% and 29.3%, respectively.
As regards profitability, our efforts over past two three years to diversify our business and income stream is now yielding results as seen in third quarter FY '25 performance. Our consolidated net profit saw strong increase and stood at INR128 crores for third quarter FY '25, up by 88% year -on-year and 32% quarter -on-quarter, whereas our profit for 9 months FY '25 stood at INR301 crores, up by 53% year -on-year. We reported an annualized return on average asset of 2.8% and annualized return on average equity of 12.6% on third quarter FY '25, up by 0.5% and 2.8% q uarter -on-quarter, respectively. We expect this to continue to improve going forward.
As regards technology, our technology initiatives, including our in -house -developed LOS, Flex Cube LMS , Pragati Sales app for customer onboarding, CollectXpress app for managing collections and Capri Grahak app for customer engagement are now extensively used by our sales and collection staff for managing the customer loan journey and end -to-end digitally and is helping them further improve their efficiency and p roductivity.
We continue to refine our data science -based business rule engine and underwriting scorecard, which will help us with better customer risk profiling and selection and offer risk -based pricing, thus improving our log in-to-sanction ratio. This, in combination with our detailed collection dashboard for real -time monitoring and AI/ML models for identifying early delinquencies will help us monitor our collection efficiency and asset quality.
Lastly, our focus on real -time system and driving improvement in TAT, enabling us to meet our customer expectation faster through hassle -free and timely disbursement digitally. As regards ESG, Capri Global has established a robust ESG framework, aligning our policies with international standards and ESG guidelines.
During the quarter, we also secured S&P Global Corporate Social Sustainability Assessment Score of 49, exceeding the industry average of 30. On the financial inclusion parameter, we secured a s

core of 75, ranking us in the 99 percentile of the industry. Additionally, we published our business impact report, Echoes of P rogress, highlighting our achievement in financial inclusion and sustainable growth.
With that, I conclude my opening remarks. We shall now take questions.
Moderator: Thank you. Ladies and gentlemen we will now begin the question -and-answer session. T he first question comes from the line of Satyaprakash Pandey from Haitong Securities.

Satyaprakash Pandey: Yes. So my question is the MSME AUM presented includes small business loan and Micro LAP . Could you provide a detailed breakdown of the same? Additionally, why has the MSME loan book not grown at the same pace as other segment? What measures are being planned to enhance its growth? Yes, this is my question.
Rajesh Sharma: So as regards to our MSME, which comprises of MSME secured by collateral, small business loan and also Micro LAP . So Micro LAP is only INR157 crores , small business loan is about INR42 crores, and MSME is about INR4,769 crores. This segment will start showing better growth in next year because we'll be adding more branches here. And our Micro LAP , which is now 70 branches, will also start adding the numbers.
So, a combination of both addition of the branches and more focus on Micro LAP now going forward in terms of the growth. And the growth will be back in MSME segment also. We will start showing the growth next year onwards.
Moderator: The next question comes from the line of Kushagra Goel from CLSA.
Kushagra Goel: Yes. So congrats on a good set of numbers. So I have 2 questions. One is just around your Gold Loan portfolio. So I'm seeing that the LTV is quite high around 71%, 72%. So I just wanted your thoughts regarding this. Is that a concern area? And what happens in case Gold Loan prices drop, right? So if you could just give some color regarding that ?
Rajesh Sharma: So, gold loan portfolio, if you see, the maximum permissible LTV is around 75%, and the competition also have LTV in the range to 71% to 75% only. Gold b eing very liquid, I think these are very healthy levels of the LTV levels. And even with the auctions and the NP A cases, we are able to recover fully. So these are very safe LTV levels, and across industry, everybody operates in this range.
Kushagra Goel: Okay. Sure. And my second question is regarding your borrowings. So can you just tell us what is the mix of fixed and floating rate borrowings? Also, if you could share your expectations as

to how cost of funds will move in the next 3, 4 quarters and if there are any plans to diversify our borrowing? That's all.
Rajesh Sharma: All the borrowings, except less than 5%, are on the floating basis. Similarly, we are able to pass on any floating rate increase also to our customers. So our borrowings are by and large, in floating basis.
Kushagra Goel: Okay. And do you expect them to have topped out in this quarter? Or how do you see that moving?

Rajesh Sharma: We expect now interest rate cycle should remain here and not go up. In the best, it might remain here for some time before it starts falling down again, but we don't expect the interest rate to go up.
Moderator: The next question comes from the line of Akshat Maniyar from Anand Rathi.
Akshat Maniyar : So my first question was on the lines of co -lending AUM. So , what are your expectations going forward, especially it seeing very good growth momentum? And what are the current structure arrangements of the co -lending that you have with the banks?
Rajesh Sharma: So, we have co -lending partnership with all our three products, MSME, affordable housing and the gold loan. And we are working with almost nine banks where diffe

rent products are partnered with them. Currently, about 18% AUM is under co -lending, and we should be able to maintain at that level. So , co-lending will be in the range of about 18 %-20% kind of going forward as well.
And banks are quite comfortable. So I think these limits will keep getting. We will see whether we can increase a slight bit. But even though these are very healthy level, if we can maintain it, conserve our capital and our ROE is very, very high in the co -lending .
Akshat Maniyar : Okay, sir. And my second question will be on the Micro LAP segment that you just entered. So what are your key takeaways from this segment? And how do you plan to use it to basically broaden it into the rural areas?
Rajesh Sharma: So there are two aspects of it. One, we launched 70 branches to start the Micro LAP because we were always doing MSME. The next level of expansion , our existing MSME branches, which are in the range of about 150 -plus. Within that, we'll identify which are the branches we can start the lending this Micro LAP also. So those branches, we just need to put the team, and we'll save the cost there. So next April onwards, we are going to make a plan to start Micro LAP those branches besides other expansion in the Micro LAP .
The advantage here is , the yield is good. And within our ecosystem of overall supervisory -level technology in place, on cost basis, cost -income ratio will be much better. Costs will be lower when we combine it with our existing MSME branches.
So overall, it will fit into our scheme of things of the collateral lending to those customers who are not serviced by the bank. So , we believe that for the next 4 to 5 years, this will give us a good growth and also it is a high-yield product along with the security.
Akshat Maniyar : And sir, lastly, if you could provide some insight on the competitive intensity and the macro environment that we are seeing a slowdown in the sector.

Rajesh Sharma: So if we see competition -wise, I think retail lending business will always have a competition. There was competition yesterday and there will be competition going f orward also . But this will drive on operational efficiency, coupled with the back ing by technology and data science capabilities. And that is where we are investing.
Only way to create the difference is how we are able to achieve a better turnaround time, how we are able to predict the better asset quality, how do we automate a lot of processes so we reduce the dependence on manpower. And also , the requirement of the people has gone down and productivity is higher.
So with all these measures, I think within the competition also, we should be able to do well. If you see our trend, our growth is coming, and now quarter -after-quarter, if our cost -income ratio goes down, you will see significant uptick in the ROE as well.
Moderator: The next question comes from the line of Sohail from ULJK Group Financial Services.

Sohail: I wanted to ask a question about what's happening at the ground level with the loan collection officers, like perhaps you could give some light on the attrition rate over there.]
Rajesh Sharma: So, your question is related to the attrition in the team member of the collection team. So , our collection team is quite stable in the sense on the ground because we had a good collection efficiency, good technology and also the incentive plan. So , it is less than 20%.
Sohail: 20%. I see, I see. And I had another question regarding the construction finance book. So lately, we have seen a huge growth in this segment. But previously, we had faced a lot of defaults in this segment. And any particular steps you are taking to see this from happening again?
Rajesh Sharma: First of all, our construction finance is also done in a retail way. Our average ti

cket size is INR13
crores on a portfolio basis. And if you see, our INR3,700 crores portfolio is spread across 275 - plus projects . It is not that we are giving INR200 crores, INR300 crores sanction. Most of the sanctions are less than INR25 crore. So these are smaller projects.
Plus, in any case, real estate sector is doing well. The demand of housing is doing well. So we are seeing that sales are happening, and this segment is offering a low operating cost, a good profitability model. Now it's more than 12 years, we are doing it . And even including the few write -offs, our yield is high, even though we account those losses.
And hardly, we have seen any delinquency. And collectively in last 10, 12 years, we haven't seen the NPA s more than INR250 crores when we would have lend more than INR12,000 crores. So it is a very strong, stable team that we have and a very deep ground understanding which we have.

Moderator: The next question comes from the line of Shalin Kapadia from IIFL.
Shalin Kapadia: So I only have one question. So we have heard from some of the competitors that they have started offering gold loans as EMI -based product with monthly EMIs. So is this something that you have also heard from regulators and is mandatory to offer ? And also, if it is so, then how does it impact your growth or asset quality?
Rajesh Sharma: So gold loan always have various schemes, including monthly repayments. So that is not something new. Neither there is any direction from regulator . Regulator never say what should be a product. Regulator always say, your compliance requirement are A, B, C, D, you can do it. How you design your product, they don't guide us, but there's no instruction or circular on that as such.
Moderator: The next question comes from the line of Rohit Shinde from Market Memories Wealth Advisors Private Limited.
Rohit Shinde: So sir, my first question is with a target of INR30,000 crores AUM by FY '27, what strategic initiatives are being prioritized to achieve this milestone? Can you share your guidance for asset quality and profitability as well? And which segment or geographies do you expect to drive growth in the near term?
Rajesh Sharma: So we are not focusing on growth without being mindful about the asset quality. Asset quality, we intend to keep net NPA not more than 1%, and that's the philosophy we will continue to do.
As regards the growth from where it will come , the growth will continue to come from our existing segment of gold loan, MSME, micro LAP , construction finance affordable housing .
Now for the further growth, we'll add a few more branches. And with that, I think to reach from INR20,000 crores to INR30,000 crores , it should not take us a longer time. You can guess that from the kind of growth we are seeing , it should be achievable before . More than that, market offer s that opportunity. There's a huge gap still there, and there's a big addressable target market which exists in these segments.
Rohit Shinde: Yes. Sir, the second question is, as you transition towards becoming a technology -driven NBFC, can you share some recent advancements or digital initiatives aimed at improving customer experience and streamlining operations? How is technology being utilize d to expand our reach into rural and underserved markets, sir?
Rajesh Sharma: So I wanted to say that we are indeed a technology -led NBFC. While we operate in the segment, which are in an informal segment, but our all processes are digitized and automated. So even in the gold loan, I just want to take two minutes. When the customer walk s in, in our branch, he has to just bring the gold ornaments, and no paper is required. He is onboarded with his Aadhaar OTP or face recognition.

His PAN is verified. And once he offer s the ornament, we weigh the ornament and check the purity . Ask the customer to download our app and customer is given their colored photograph through the app of its ornament along with the weight and the most important terms and condit ions including rate upfront, et cetera.
Once he say s he's agree ing with whatever scheme he wanted to choose , we send him the OTP - based agreement, which is signed through OTP. And then amount is disbursed in his bank account or the payment wallet . So there's zero paperwork involved even in the INR30,000 loan taken by a person who doesn't know how to sign. So that way, we have gone very deep with technology .
And because of this automation across affordable housing , MSME and everything, our growth is doing better. We are doing better than the competition plus our data analytics team is able to now predict the customer behavior not only for the repayment, but also what kind of customer target and which category we should service.
So definitely, technology is the way forward. This is not a one -time. This is for ongoing basis. We have set up a tech center, which is in Gurgaon. We have 125 -plus engineers and 25 data scientists. Our data scientists are across Bangalore, Pune, Mumbai and Delhi.
So, we are building that up, and it's going to be a regular feature. This is not one -time. So we keep enhancing our offering for our team and our customers. And going forward, our turnaround time, which has come down in all the segments, will continue to be better , outperform the competition as well as it will improve the productivity, thereby bringing our cost -to-income ratio much lower. It is a sign of better productivity.
Rohit Shinde: And sir, in your goal to develop a INR1,000 crore s loan book in Rooftop Solar financing, could you elaborate on your collaboration with Credit Fair, which we did previously, sir? And how will this partnership enhance the speed of loan approvals and disbursements within the solar financing sector?
Rajesh Sharma: So INR1,000 crores AUM is not the target for 1 year. INR1,000 crore s target will be in the period of next 4 years or so, and it will be governed by the government subsidy scheme. So, so far, government subsidy scheme will remain , there will be a strong demand for this product. Having government focus on the renewable energy where the subsidy is up to 75%, I think there's a great demand here. We have now launched the pilot product. And now we will scale this in the coming year. And we will see how fast this grows. This is a part of MSME in any case.
Rohit Shinde: And sir, finally, a small question is regarding your advertising and marketing expenses. So what was the budget you had for this fiscal year? And how much is it remaining? And is there any --

going ahead for the next few months or next year, any basically color you can throw on the advertis ing and marketing expenses?
Rajesh Sharma: So we have a budget of about INR15 crores for marketing, which comprises of radio, which comprises of hoarding , which comprises of newspaper, which comprises of the media. So combination of this INR15 crores is our budget. And till 9 months, we have already spent about close to INR10 crores.
Moderator: The next question comes from the line of Dr. Pradeep Kaushal from Royal Global University.
Pradeep Kaushal : Yes. So , in the beginning of the presentation, you told that you are going to fo cus less on the opening the branches. Rather, you will focus more on the business. So can you elaborate this particular point you made in the beginning?
Rajesh Sharma: So now we have 1,066 branches. Our branch expansion will happen across MSME, affordable housing , gold loan and micro LAP . And when you want to grow, the growth wil

l come, from
the growth of existing branches and also entering the newer market. For next year plan, we will plan by March. And then from June onwards, we'll start adding the branches. So far, we have not firmed up how many exact branches we'll be opening. But definitely, about 100 to 150 branches we intend to open. But that plan is yet to be firmed up in exact numbers.
Pradeep Kaushal : So what I suppose, sir, from the voice spoken by you just now that you are going to open maybe 100 to 200 branches per year in the coming years?
Rajesh Sharma: So next year, yes. Next year, we are going to open anything between 100 to, 200, but we make our budget in the month of February and till mid-March we finalize , when we keep our meeting

with all the business heads internally and go to the Board for that. So that exercise is still pending
to arrive at the exact number. But yes, every year, if you see the past track record, we have kept
adding branches year after year.
Pradeep Kaushal : Okay. That sounds great. And I want to know what is the reason behind such a kind of a strategy?
And how it is going to impact the profitability in the future?
Rajesh Sharma: So branches, when we open, we have to grow them , then we have to add more branches in terms
of newer markets. And the branches, depending on product to product, initially, they take some
time to break even. Some MSME branches take 3 to 6 months, and gold loan take about 12 to
15 months. And after that, they start contributing, and start adding to the profit.
Moderator: As there are no further questions, I now hand the conference over to the management for their
closing comments.

Rajesh Sharma: So as we look ahead, we see significant market potential across all our business segments,
MSME, micro LAP , housing , gold loan, construction finance and see us continue to deliver
industry -outperforming growth while expanding our spreads. We will keep investing in artificial
intelligence and data science capabilities and empower our sales staff with the latest digital app,
which will help them serve our customers faster and with better cost efficiency.
Given all our book is secured and granular, we feel quite comfortable of keeping our credit costs
and asset quality under control. On the liability front, we continue to deepen our lender
relationship and feel comfortabl e of securing additional credit lines with a better pricing. We
remain confident of achieving our earlier guidance of INR30,000 crores AUM by FY '27 and
delivering mid -teen ROE by then.
Thank you, and we look forward to seeing you all again in fourth quarter FY '25 results call.
Thank you.
Moderator: Thank you. On behalf of Capri Global Capital Limited, that concludes this conference. Thank
you for joining us, and you may now disconnect your lines.

Call: May 2025

May13,2025
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DearSir/Madam,
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Further,pleasenotethatthisintimationisalsoavailableonthewebsiteoftheCompany.
Theaboveisforyourinformationanddisseminationtoallthestakeholders.
Thankingyou,
Yoursfaithfully,
forCapriGlobalCapitalLimited
YasheshBhatt
CompanySecretary&ComplianceOfficer
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Capri Global Capital Limited

Q4 FY25 Earnings Conference Call
May 07 , 202 5

MANAGEMENT
MR. RAJESH SHARMA – MANAGING DIRECTOR
MR. PARTHA CHAKRABORTI , CFO
MR. SANJEEV SRIVASTAVA , CRO
MS, DIVYA , DIRECTOR BUSINESS STRATEGY
MR. HARDIK DOSHI – CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend
■ 10 Lakhs = ■ 1Mn
■ 1 Crore = ■ 10Mn
■ 100 Crores = ■ 1Bn
■ 1 Lakh Crore = ■ 1Tn

NOTE:
1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.
2) Factual correction/s are superscripted at relevant places in the transcript and are explained in footnote/s.

Moderator: Ladies and gentlemen, good day and welcome to the Capri Global Capital Limited Q4 FY '25 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Hardik Doshi from Capri Global Capital Limited. Thank you and over to you, sir.
Hardik Doshi: Hi. Good afternoon, everyone and welcome to Q4 FY'24 -25 earnings call for Capri Global Capital Limited. This is Hardik Doshi, Head Corporate Finance and Investor Relations. Let me read out the disclaimer for today's call. Today's call regarding Capri Global Capital Limited earning performance will be based on judgments derived from the declared results and information regarding business opportunities available to the company at this time.
The company's performance is subject to risks, uncertainties and assumptions that could cause results to differ materially in future. Given these uncertainties and other factors, partic ipants in today's call may observe due caution while interpreting the results. The full disclaimer is available on Slide 41 of the earnings presentation. Participants are requested to take note of the same. With us today on the call, we have Mr. Rajesh Sharma, Managing Director and Promoter of the company, Mr. Partha Chakr aborti, Chief Financial Officer, Mr. Sanjeev Srivastava, C hief Risk O fficer and Ms. Divya Sutar , Directo r, Business Strategy.
Let me now request our Managing Director, Mr. Rajesh Sharma, to present the opening remarks. Over to you, sir.
Rajesh Sharma: Good afternoon, everyone and I hope you all are doing very well. We announced our audited financial results for the fourth quarter and full year ended March 31, 2025 on May 5 th. I trust you have had an opportunity to review the earnings presentation which is available on our website. I am pleased to report that Capri Capital Global Capital has closed FY '25 on a strong note, delivering our best financial performance, backed by robust growth across our core segments, while maintaining disciplined risk and cost management.
Our strategic focus on underpenetrated customer segments backed by a digital approach and operational excellence, continues to yield tangible results. We have expanded meaningfully across all our core businesses, MSME, affordable housing, gold loan and construction finance. With over 1,111 branches and a growing base of more than 7 lakh customer relationships , our reach into Tier 2 to Tier 4 markets have never been so strong.

Alongside our lending business, we have also seen strong progress in non -interest income streams, which together contributed more than 27% over net income for FY '25, led by insurance distribution and car loan origination. These asset light income streams enhance our capital efficiency and provide high ROE upside while enabling deeper customer engagement.
Technology continues to be our core enabler. From loan origination to collection, our i n-house developed end -to-end digital journey including application for sales mobility called Pragati app, for customer s app called Capri Loan app, collection app called CollectXpress and LoanXpress , our LOS, for valuing a property o ur technical app and in delivering faster turnaround times and deeper customer insights.
In the gold loan segment, we have operationalized rapid sub -30-minute disbursal with fully digitized customer journeys and AI powered security infrastructure. Our u

se of advanced data
science including AI and machine learning based underwriting scorecard, risk based pricing and real time collection dashboard is driving sharper portfolio performance and enhancing operational productivity.
I shall now move to the commentary on business earning performance. We closed FY '25 with a strong momentum delivering a consolidated AU M of the INR 22,857 cr ores, marking a robust 46% year -on-year growth. This performance reflects the success of our diversified strategy across secured retail lending segment. The gold loan business continued to scale at an accelerated pace supported by a strong branch network and seamless digital exper ience growing over 130% year -on-year.
Our housing vertical also maintained its upward trajectory driven by healthy demand in affor dable housing across Tier 2. Tier 3 cities, posting over 24% growth during the year. Our total disbursement for Q4 FY '25 stood at INR 8,389 crores, growing by 41% year -on-year basis. Notably, our portfolio remains largely retail and fully secured. With over 100% of the

book backed by collateral underscoring our disciplined approach to risk while maintaining our commitment to financial inclusion through responsible credit.

Our co -lending platform continues to demonstrate strong momentum and strategic relevance. As o f FY '25, our co -lending AUM stood at INR 4,079 crore s, accounting for approximately 18% of our total AUM compared to 12% a year ago. We have meaningfully enhanced the acceptance ratios throughout across co -lending programs by streamlining our onboarding and credit assessment workflows. Co-lending remains an efficient tool for high ROE generation, capital conservation and liability diversificat ion.

We continue to build a well -diversified and secured retail portfolio with MSME and housing finance together comprising 46% of our total AUM. As of March 2025, MSME stood at INR

5,278 crores while Housing Finance AUM reached to INR 5,202 crores, growing 24% year - on-year.

MSME growth is being supported by the scaling of Micro LAP across 84 branches. Both segments maintain an average disbursal ticket size in the range of about INR22 lakh, ensuring granularity and asset quality. With a continued focus on underserved markets backed by tech enabled credit underwriting and branch expansion, we expect sustainable growth ahead in these segments.

Our gold loan AUM grew sharply to INR8,042 crores in FY '25, reflecting a robust 130% year-on-year increase, driven by strong customer demand and rapid branch level scale up. With a network of 803 speciali zed branches across 10 states, we achieved a n average AUM per branch of INR 10 crores where over 95% of our branches are surpassing INR5 crores of AUM.

The business continues to benefit from a fully digital loan journey, AI powered security system and high customer retention with repeat customer s accounting for over 50% of the portfolio. As we deepen our geographic footprint and scale through co -lending tariffs, we expect gold loan to remain a high growth and high yield contributor to our secured lending portfolio.

Our construction finance AUM grew to INR4,133 cr ores, marking a strong 58% year -on-year increase supported by sustained demand in the residential real estate market and a healthy pipeline of our affordable housing projects. We maintain a granular and well diversified book comprising of 282 liv e projects with an average sanctioned ticket size of around INR27 crore s. The business continues to focus on mid -size residential development in metro and Tier 1 cities, offering construction linked funding solutions through a robust diligence in escrow - based repayment and monitoring mechanism.

Let me now provide an update on our core earnings. Our yields and spreads expanded further in the quarter to 17.3% and 7.8

% respectively; primarily on account expansion in yields for housing loan and gold loan. Our net interest income for Q4 FY '25 reached to INR 381 crore s, marking a 49% year -on-year in crease as FY '25 reached at INR 1,332 crore s, marking a 35% per year -on-increase driven by margin expansion and robust growth in our loan book.

Our non -interest income continued to scale meaningfully in FY '25, Contributing nearly 27% of our net income, this growth was led by three strategically important verticals, car loan origination , co-lending and insurance. Our car loan o rigination business generated INR96 crores in net fee, backed by disbursement of INR10,700 crores.

With it again across 8 13 locations in 31 states and union territories, and partnership with 12 banks and NBFCs, we have established ourselves as a key sourcing partner in the space, offering speed, reach and consistent volume. The i nsurance, tied up with 18 leading insur ers in life, health, and general category and closed the year with a net fee income of INR73 crores. Our focus on digitally -enabled embedded insurance journey and cross -sell initiative especially in Tier 2 and Tier 3 markets will drive this income stream going forward. Meanwhile, co-lending income stood at INR165 crores, supported by rising disbursal volume and partner banks. Together, these three driven verticals are creating scalable capital efficient growth level levers and enhanced operating leverage and deepened customer relationships across the platform.

Our distribution network remains a key enabler of scale and reach with our branch count expanding to 1,111 and employee base crossing 11,4 10 by the end of FY '25. Having made

such significa nt upfront investment in physical infrastructure over the past 3 years, our current priority is to drive higher productivity per branch and ext ract benefit of economies of scale. This shift is already yielding results, as are cost-to-income ratio improving meaningfully from a peak of 70.5% in Q4 FY '24 to 54.8% in Q4 FY '25.
We expect this trend to continue as our branch network matures, tech adoption deepens and operating skill improve across core lending verticals. As a result, our pre -provisioning operating profit increased significantly by 132% year -on-year to INR254 crores for Q4 FY '25 and by 61% to INR 734 crores for FY '25.
Our asset quality continues to hold steady, supported by the secured nature of our portfolio and measured approach to risk . During the fourth quarter, credit cost remained well -contained at INR 18 crores with full year number at INR101 crores in line with our expectation. We saw a steady improvement in delinquency with Gross Stage 3 assets at 1.5% en ding in Q4 FY'25 versus 1.9% year -on-year and Net Stage 3 assets at 0.9% e nding Q4 FY'25 versus 1.1% year -on-year.
We have maintained the provision coverage ratio of 41.7% on Stage 3 loans reflecting our prudent stand. These outcomes are a result of consistent efforts in strengthening our collection system using sharper risk filters at origination and ensurin g closer monitoring as we scale . We continue to maintai n a strong liquidity position f or more than INR1,827 crores through cash and cash equivalent and undrawn credit lines across CGCL and CGHFL.
During FY '25, we got new credit lines of INR7,625 crores sanctioned for CGCL and CGHFL. Our capital adequacy ratio for both CGCL and CGHFL remains strong and stood at 22.8% and 26.9%, respectively. Our continued focus on scaling high -margin businesses and focus on cost

efficiency is now reflecting in our bottom line. In Q4 FY'25, our cons olidated net profit rose to INR178 crores, an increase of 11 5% year -on-year and 39% quarter -on-quarter. For the full year, profit s

tood at INR479 crores, up 71% from the previous year.
These gains also translated into improved return ratio with ROE and ROA for the quarter is 16.9% and 3 .6% and of 11.8% and 2. 7% for FY25. In addition to enhancing our in -house development application , we are making investments in implementing generative AI for better underwriting assessment, fraud detection and cost efficiency. We continue to strengthen our collection process using data analytics for channel strategy based on customers partial payment behavior, monitor real -time collection, optimize route maps for fees agents and use AI-based live tracking for higher productivity. This has resulted in robust average collection efficiency of around 99%.
Lastly, we continue to focus on driving improvement in turnaround time, enabling us to meet our customers expectation faster through hassle -free and timely disbursement s. ESG continue to be a core enabler of our long -term strategy embedded across operations, governance and stakeholder engagement. This year, we were recognized with an S&P Global Corporate Sustainability Assessment score of 49, well above the industry average of 30 and ranked 99 percentiles globally on financial inclusion with a score of 75, a reflection of our deep commitment to underserved markets.
On the environmental front, we have adopted responsible practices, invested in low -carbon digital infrastructure and aligned operations with the UN Sustainable Development goals. Socially, we continue to foster the inclusive safe workplace through training, wellness and diversity programs.
On the governance front, we have put in place robust oversight framework guided by a well -balanced Board and external expertise, ensuring that our decisions remain transparent, accountable and in the long -term interest of all stakeholders.
With that, I conclude my opening remarks. We shall now take the questions.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Sohail Kanalil from ULJK Financial Services Limited.
Sohail Kanalil: The first question I have is about our gold loan book growth. We have grown at a very high rate, and we reached INR8,000 crores AUM in the last few years from 2022. So how would you say the journey has been how have we been able to go towards this rate?

Rajesh Sharma: So, you have seen that we have added the capacity and capability to both. Capability by putting our collection processes automation driven by data science tools and invested on our

training and imparting on how to use these tools to our 525 -plus people in the collection.
Investing on the technology side, we have set up a tech center of 150 people on the technology of 25 data scientists. And on capacity -wise, we have expanded branch network and added more product s.

So, growth is coming because of all these reasons. And I think our branches, which if you look at 4 years ago, it was just 120, which is now 1,111 Branch. So, because of those expansions and upfront investment done, they have started yielding the results.

Sohail Kanalil: Got it. And also, business per branch, we are at around INR9 crores per branch right now. That itself is much higher than the competition? So any comments on that?

Rajesh Sharma: You mean the competition is having or we are having higher?

Sohail Kanalil: We are having higher?

Rajesh Sharma: So, o ur per branch gold loan AUM is almost now in March is in the range of about INR10 crores. And I think it is because of that right selection of the branches and right way of servicing the customer so he is coming to us for repeat business by building the digital journey. And also our customer service, which is quite transparent where without using pen and paper the entire disbursal happens. I think because of that,

we are able to build this AUM and I think, there's a lot of potential still exists ahead on ground to continue to remain on this growth path.

Moderator: The next question is from the line of Shalin Kapadia from IIFL Capital. Mr. Shalin, I would request you to unmute your line and speak, please. Due to no response from the current participant, we will move on to the next participant.

The next question is from the line of Jay Mistry from Equirus Securities.

Jay Mistry: Congratulations on a great set of numbers, sir. So, I had 2 questions. The first question was on the yields of the gold loan, which are now at approximately 22% level. So, like with competition increasing and there's some regulatory scrutiny also hovering, so how does CGCL retain, would be retaining such yields in the current environment? And like to maintain these yields, would we be any way compromising on LTV or asset quality front in the future? That was the first question.

And on the second question, we are seeing that our construction finance vertical has seen a quite uptick in the last couple of quarters. So, like what would be the key drivers for this acceleration? Like are we adding new developers? Or is it because of pent up demand or something? So those are my 2 questions, sir.

Rajesh Sharma: So, regarding the yield of gold loan, I think the more the retail portfolio we build, the yield can be around that level. Of course, it depends on the overall market as well as the demand and interest rate scenario. But in the near future, we don't see any sharp decline in our ROI of the gold loan offering.

And whether these are or will it impact our future growth if you look at some of the competition, they are in the similar range. It will depend on company -to-company what strategy they drive and how they want to do it, but it has no direct impact or bearing on the asset quality or LTV. LTV is about 71%, which is within the overall ceiling of 75%.

And in regards to asset quality, you see that our gold loan portfolio average maturity is not more than 6 months. So, every loan is getting closed within that period of time and those impacts are coming - there's no asset quality issues. So, we have seen that the asset quality has remain ed very stable. So, there are no surprises on that part.

Coming back to construction finance, the book is about INR4,100 crores. And in couple of last quarter, we have seen that there was a lot of good demand in terms of realization and the sale of those projects, and we have seen good traction. But overall construction finance will always remain at a conservative level, not more than 20%.

By following that, while the growth has been good, so is the collection, so is the asset quality. And that gives the confidence that overall, if the economy continues to grow, this construction finance will also continue to grow by maintaining a healthy book.

Moderator: The next question is from the line of Mayank Mistry, from JM Financial.

Mayank Mistry: I had two questions. First, is that our geographical presence seems more focused on North? So is this because the company competitive intensity is high in South or our focus is only on North. Or should we see the company expanding wings in the South going forward?

And my second question is that in the gold loan book, how much would be our consumption level and how much would be income generation? Because as per the latest guidelines I think there would be some more difficulties in the consumption -led gold loans. So, would you throw some light on the sir?

Rajesh Sharma: Yes. Mayank, so in regards to our expansion strategy so far, we have been very active in the North and West. But recently, we have entered in the South by opening Micro L

AP branches.
And this year, we'll be entering in the South by adding more housing finance , MSME , and gold loan branches.
So, in the second half, you will see that these segments will have branch network in Southern states like Andhra, Telangana, Tamil Nadu, Karnataka. So, we'll grow in that segment and that geography as well. Now coming to bifurcation of the gold loan between the self -employed non-professionals or for the purpose of consumption or for the purpose of business.
So, while exact data I may not be able to give you right now. But by and large, these people who borrow money, they are running some kind of a business. Now at the moment , we aren't tracking whether he is using the money for business purpose or consumption purpose. Of course, now the new guidelines have come but essentially all these loans are taken by some micro entrepreneur. And how many percent is going to business that is not yet trackable.
Now once the guidelines which are draft once finally get s notified, we will adopt in our underwriting standard as well as the customer onboarding process, noting that for what purpose he is borrowing the money. And that time probably you'll get the precise number.
Mayank Mistry: Okay. And one more question is on the car loan origination. I would like to know how the risk is in this business? I mean the CGCL take the whole risk book and while the fund is being disbursed by the bank, or how does this business work exactly?
Rajesh Sharma: So, this is a pure fee vertical where we just originate the lead and share. There's no capital involved, there's no risk involved. So, there's nothing but purely the fee income. The loan disbursement is decided by the bank, their underwriting rule. Our job is to just generate the lead and share with them. If they sanction or they reject it is up to them. But every case which is sanctioned and disbursed, we get our fees on that origination. It is pure DSA arrangement.
Moderator: The next question is from the line of Satyaprakash Pandey from Haitong Securities.
Satyaprakash Pandey: I have two questions. First is your spreads improved quarter -on-quarter due to higher yields, but cost of funding is highly rising, approximately 9.5%. What is your view on the spread sustainability if systemic liquidity tightens further or if credit rating don't improve materially?
Hardik Doshi: Cost of funds I think this year we've seen that the Reserve Bank of India has started releasing the liquidity. And rates have gradually, repo rate have come down. We clearly see there is no scenario of interest rate going up based on these indicator s. And we believe that rates will soften on our incremental borrowing. And with regards to the rating upgrade . Now that the

annual results have come out , we will approach the rating agency and they will see where it fits into.
So interest rate going up, there is no scenario. In case we get rating upgraded, of course then there will be risk weightage change. And of course, incremental borrowing on immediate basis will get our cost of funds to come down on existing borrowing. Whenever the interest loan reset happens, that is the time when the interest rate is reset for the lower side and upgrade of the rating have happened.
Satyaprakash Pandey: Okay. My second question, can you break down the internal movement of account between Stage 1, 2 and 3 for the past 3 quarters. There are all geographies I have seeing higher migration risk and how are you adjusting underwriting filters accordingly?
Rajesh Sharma: So I will ask my colleague, Rajneesh, to take this question up.
Rajneesh Singhvi: So Stage 1 and 2, gross is around, the numbers are in millions so it is 1,84,9 17.
Hardik Doshi : So, if you refer to the Slide 26 of earnings presentation …
Rajneesh Singhvi: So, should I call out numbers?
Saty

aprakash Pandey: No, it is okay, Il take it from there.
Hardik Doshi : So, if you refer to the Slide 26 of the earnings presentation, there is a detailed breakdown of Stage 1, 2 and 3, along with the ECL provision for each of the stages for the last 5 quarters, including PCR.
Moderator: The next question is from the line of Shalin Kapadia from IIFL Capital.
Shalin Kapadia: I have two questions, please. So, with increasing digitization, how are you addressing the emerging risks such as algorithmic bias in the credit scoring model or cybersecurity threats in loan disbursal and repayment ecosystems?

And secondly, sir, in a scenario where RBI further tightens the norms on LTV or co -lending exposure, what contingency frameworks are in place to preserve margins, liquidity and disbursal momentum without raising the risk thresholds?

Rajesh Sharma: I'll take the second question first regarding the co -lending, recent ly RBI has come out with a draft guideline. It talks about how the LTV should be calculated. And what are the other measures in terms of whether the end use of the loan aspect is to be done. So, if you talk about

LTV -related norms on the gold loan, I think that is going to benefit the overall sector, everybody where LTV will become little conservative for the bullet repayment loan.

As regard to other aspects, I think that is only improving the compliance that is not going to reduce the demand or the cost part of it. Of course, initially, once the new guidelines come on the technology side , with our banking partner the alignment between the two organizations about the technology platform of API rather has to be done.

But that is not going to change the earnings and the rate of interest and how the customer is serviced. That is more on the compliance and the customer given the churn statement and the common yield and all that. And with regards to increased digitization and cybersecurity threat, I think we already have engaged our consulting partner which include KPMG and BCG on the technology side, and we are using a few vendors to meet those requirements on a continuous basis.

Recently, we have appointed internally, E&Y from an assignment to strengthen the overall system. So that is ongoing. Now technology is not going to be a one -time affair. It is on a continuous basis getting changed, getting upgraded and keep on going.

So, I think if you see that we are spending close to about INR90 crores to INR100 crores a year on our technology, data science and other things on this aspect. So, we are heavily invested on this. And that becomes a part of it, no need to especially focus that something has to be done. It is an ongoing affair about upgrading based on the recent trend s, guidelines and regulations.

Moderator: The next question is from the line of Shripal Doshi from Equirus Securities.

Shripal Doshi: I had this question on LTV. I don't know if you already answered. So, within gold there are couple of trends that are emerging. Firstly, the ticket size that we are targeting is inching upward. Secondly also the LTV, now typically with this new regulation coming in.

Where in regulator is asking to have 75% LTV is been monitored throughout the loan tenure. And yet LTV is increasing in the quarter so, just wanted to understand the implication of this LTV norms by the regulator. And also, our strategy on ticket size within gold going ahead?

Rajesh Sharma: So our ticket size in gold is going to be more or less so granular that it will be in the range of INR1 lakh only. And it is not going to change dramatically. Second thing is that about LTV norm, the RBI is saying bullet repayment cases, these are the draft guidelines, you must calculate the interest which is going to accrue as a part of LTV, thereby it means that your loan amount will be on the lower

side. So, LTV will get effectively reduced to that extent.

So overall, it is a positive , while the gold has not depreciated in a drastic manner whenever in the future it happens it create extra safety buffer LTV for these kinds of loan -to-value loans . It is being applied to overall everyone. So entire gold loan lending sector will adjust to these regulations and it is not going to have a long -term impact maybe initially you have to adjust it.

But since these loans are always getting reset in 4 to 6 months and loans are getting foreclosed because tenure is not longer, it is not going to have a longer impact. Had these loans been 10, 12 years due to adjust, it creates a case of recovering that kind of amount to bring that LTV down. But being these are shorter period of loan; it doesn't pose a risk. So, I believe the entire sector will adjust to these norms.

Shripal Doshi: Correct. So just one follow -up here, with respect to so what percent of our gold book would be bullet repayment book?

Rajesh Sharma: So, I do not have exact number as of now. In case you require, we can take it out and do it separately. But we run the scheme where the interest is also offered monthly by choice or by options or by design.

And some of the cases are on a bullet repayment basis, but that bifurcation is not available because we are not segregated that way. It will require specifics; we can carve it out and give it to you.

Shripal Doshi: So just from the, like more from the trend perspective rather than from number perspective here, so the question is that at system level, would you say that majority of the loans that the NBFCs are doing would be more or less bullet repayment as an option?
And one more clarification that I needed here. So, when you say bullet repayment, is it like anybody paying, interest component at, let's say, even if you did a 12 -month annual product, and if the customer makes interest repayment to me, let's say, at the sixth -year end, sixth month end, even that will be classified as a bullet repayment only, right?
Rajesh Sharma: So to give precisely your answer, there are various options and schemes customer has to choose. And if the loan has been given on the monthly repayment basis and he doesn't pay any pay of the bullet, that will not classify the bullet repayment scheme.
Bullet repayment scheme on the day one, we decide that they will not pay any interest, then pay at the end of the repayment and interest together. So somebody is paying quarterly interest or monthly interest will not qualify in the bullet repayment nomenclatures.

Now, there are various lenders also follow the process, and their customer has option to switch. That initially they take the bullet but they end up paying monthly or quarterly as and when. So, they are allowed to switch from one scheme to other by paying nominal charges of INR500 or something like that depending on what are the design of that scheme is. So, to pinpoint who is doing what and what is everybody's percentage is difficult to say at the moment.
But I think when common regulation comes, this is not something affect one player or other and everybody will adjust it. Ultimately, gold loan market, if you see, growth is coming from informal segment to formal segment.
Gold loan segment you are talking about, if you look at new players are coming, old players are continuing to grow 20%, 25% and new players are also growing. Thereby, it means there is a clear -cut market opportunity gap at this. It is not that four new players have come in and the old player market share has gone down or absolute AUM has gone down.
Then some of the largest players are growing at the pace of 18% -20% year after year.
Shripal Doshi: But, sir,

our tenure is not so solid. Right? Like, at system level also, like, I mean but I'll take that question separately. But just one question here was that so now incrementally, we have to classify a loan from day zero itself that it will be bullet repayment or it will be monthly repayment, and then accordingly decide the LTV.
However, that switching option which industry currently had, like, typically, at the time of disbursement, we give him a monthly repayment option, and then the customer moves to a bullet repayment . And then the interest rate changes typically. At the time of disbursement, i f it is 11% per annum, it gets shifted to 20% if, you know, he's going from the bullet repayment as an option.
So now you believe now the incremental policy limit and on day zero, you have to, decide monthly on bullet repayment and he's going f or monthly and then trying to switch to bullet equivalent, he cannot do that. Is it so?
Rajesh Sharma: He can do that provided he adjust to the new norm of LTV as and when they are declared.
Okay. So, suppose, put your question straight, suppose you have INR1 Lakh of loan, it is given at the 14% percent rate of interest for six months and 7% is there interest, LTV will get adjusted, registered at 75%, INR75,000 of loan. You are supposed to give only IN R68,000 of loan to him . So only that much adjustment has to be done.

Shreepal Doshi: Right. Got it. So that much principle repayment the customer will have to do. Got it. This is very helpful. Thank you for answering my questions, and we can. Thank you.
Moderator: Thank you. The next question is from the line of Bhavin Pande from Athena Investments. Please go ahead.
Bhavin Pande: Thank you for the opportunity. So, if we look at Slide 17, a non -interest income has moved up significantly sequentially almost 2x of last quarter. So, what are the components that have contributed to this kind of a bump up? And also, what was the share of the insurance distribution business in this?
Rajesh Sharma: Hardik, you take that question.
Hardik Doshi: Yes. So, in the fourth quarter, you see the bump up in the other non -interest income. There is a component of insurance income also in that. I will give you the exact number how much it is.

So, around INR34 crores out of those INR102 crores that you see, is coming from the
insurance. And as you know that we started doing insurance distribution from fourth quarter of
last financial year. And since then, the insurance income has been kind of on a strong upward
trajectory. For the full year, we have a net fee from the insurance of around INR73 crores.
Bhavin Pande: Okay. And are there the sources that also continue to be apart from insurance, would you
expand on those?
Hardik Doshi: Yes. So, in total, our non -interest income is comprising of three components. One is car loan -
net Car Loan Origination fee. That was around INR 24 crores for the fourth quarter FY 25. The
other component is co -lending income, which was around INR55 crores. And the co -lending
income is proportionate to the growth rate. So, higher the disbursement, higher the loan book
growth , and also, the percentage of AUM that is under the co -lending. So, if you see from
third quarter FY '25 to fourth quarter FY '25, a percentage of co -lending AUM has remained
flat. So, this increase that you see from INR29 crores to INR55 crores is largely coming from
the higher disbursal and the growth in the loan book.
And the third component within the non -interest income is the insurance fee income, which as
I mentioned is INR34 crores for the fourth quarter FY '25 and INR73 crores for the full year.
And apart from that, there are other components like treasury income, which is more like an
investment income.
Bhavin Pande: Okay. That was really helpful. And sir, when we look at Micro LAP an

d Solar Rooftop kind of
businesses, how have they performed specifically in this quarter? Also, we have seen some
sort of subdued performance in the MSME portfolio as compared to other segments. So, what

would be the strategy around these two segments and overall MSME book from a strategic
vantage point going forward?
Rajesh Sharma: So, our focus was on the MSME that we have grown, and micro -LAPs have been added. Since
we were more focusing on the gold loan and we wanted to contain our growth within 50%
range, as per the direction of our Board . So, we have diverted all our credit line towards the
high yield product, which is the gold loan. However, this year, we are going to add more
branches in micro LAP and MSME.
And this year, we intend to grow that segment again the normal growth about 15% to 20%
kind of a growth in the MSME segment. And that segment will yield a good amount of profit
because we understand that segment very well, we have been doing that segment since the last
almost thirteen years. So, this year, you will see a lot of branch additions happening in that and
growth will be back.
Bhavin Pande: Okay. That was really helpful, and good luck. Thank you.
Moderator: The next question is from the line of Varun Kumar, who is an Individual Investor. Please go
ahead.
Varun Kumar: Hi. Congratulations for the good numbers. I just wanted to ask what will be the outlook for FY
'26 regarding growth?
Rajesh Sharma: So, you wanted to know overall outlook or is it only gold?
Varun Kumar: Growth outlook.
Rajesh Sharma: Okay. So, growth outlook - we will continue to grow our book in all segments. And I think
what we are aiming , earlier also . In the next few years, we are going to be growth in the range
of 27% to 30% kind of range and we intend to reach INR50,000 crores of AUM book by FY
'28. And we have already invested in technology and collection . And now we are building our
branch network and since our tech center is already built, so its more about keeping the pace
ahead of others. So, I think INR50,000 crores reaching by FY '28 should be feasible. We are
working on that.
Varun Kumar: Okay. Thank you.
Rajesh Sharma: About our ROE, wh ile we will remain in the growth phase, but 1.5% to 2% ROE we intend to
generate from pure free income play. And about overall ROE, we should be in the range of
about 16% despite these new branches opex will get absorbed. So, on a steady state, our ROE

could have been higher. But yes, since you wanted to grow, couple of 200 basis kind of impact
of that will come. But we'll maintain the steady state ROE in the range of 16% in next few
years.
Moderator: The next question is from the line of Arup, who is an Individual Investor. Please go ahead.

Arup: What kind of leverage ratio are you comfortable with? And do you have any QIP plan in mind for the next one year?
Hardik Doshi: Yes, sure. So, I think in terms of the leverage, currently, we are around 3.5x, on a debt -to-equity basis. We will not go above, 4x kind of a level , and that is something that we have maintained historically also.
In terms of the fundraising plan, we have taken the board resolution, as all of you guys would know, for the INR2,000 crores. And the timing of the fundraising would be based on the market conditions. So, we continue to evaluate that, but I think the exact timing would depend on the market conditions and how things play out from here onwards.
Arup: Okay. Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.
Rajesh Sharma: Yes. Thank you. As we move into FY '26, we believe our core strategy focused on secure, granular le

nding, positions us well to capture sustained demand across MSME affordable housing, micro -LAP, gold loan and construction finance . Each of these segments offer large, underpenetrated opportunities in our distribution footprint, combined with the disciplined underwriting and deep product expertise, gives us a clear advantage.
We will continue to invest in technology and analytics, not only to improve turnaround times and risk assessment, but also to drive better productivity and customer experience across the board. With a fully secured book, improving operating metrics and healthy asset quality, we feel confident in managing credit cost even as we scale.
On the liability side, we are seeing strong engagement from lenders and remain well positioned to secure diversified and cost -effective funding as we grow. As the Indian economy continues to grow strongly and the market for retail lending continue s to expand further, we are confident of capturing the huge opportunity available to us to grow strongly at 27% to 30% CAGR and deliver sustainable ROE of 16% plus by FY '28. Thank you once again for your continued support, and we look forward to continuing to engage in the quarters ahead.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

August11,2025
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DearSir/Madam,
IntermsofRegulations30and46readwithclause15ofParaAofPartAofScheduleIIoftheSEBIListing RegulationsandfurthertoourletterdatedJuly24,2025andAugust03,2025andotherapplicable provisionsoftheSEBI(ListingObligationsandDisclosureRequirements)Regulations,2015(“SEBIListing Regulations”),pleasefindenclosedherewiththetranscriptofEarningsConferenceCallforthefirstquarter endedJune30,2025,heldonTuesday,August05,2025,whichconcludedat12:58p.m.(IST).
Further,pleasenotethatthisintimationisalsoavailableonthewebsiteoftheCompany.
Theaboveisforyourinformationanddisseminationtoallthestakeholders.
Thankingyou,
Yoursfaithfully,
forCapriGlobalCapitalLimited
YasheshBhatt
CompanySecretary&ComplianceOfficer
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Capri Global Capital Limited

Q1 FY26 Earnings Conference Call
August 05, 2025

MANAGEMENT
MR. RAJESH SHARMA – MANAGING DIRECTOR
MR. KISHORE LODHA , CFO
MR. SANJEEV SRIVASTAVA , CRO
MS, DIVYA , DIRECTOR BUSINESS STRATEGY
MR. HARDIK DOSHI – HEAD, CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend
■ 10 Lakhs = ■ 1Mn
■ 1 Crore = ■ 10Mn
■ 100 Crores = ■ 1Bn
■ 1 Lakh Crore = ■ 1Tn

Moderator: Ladies and gentlemen, good day and welcome to the Capri Global Capital Limited Q1 FY '26 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Hardik Doshi from Capri Global Capital Limited. Thank you, and over to you, sir.

Hardik Doshi: Good morning everyone and welcome to Q1 FY '26 Earnings Call for Capri Global Capital Limited. This is Hardik Doshi, Head, Corporate Finance and Investor Relations. As a brief disclaimer, the discussion on today's call regarding Capri Global Capital Limited's earnings performance will be based on judgments derived from the declared results and information regarding business opportunities available to the company at th is time.

The company's performance is subject to risks, uncertainties and assumptions that could cause results to differ materially in the future. Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results. A full disclaimer is available on Slide 63 of earnings presentation, which is also available on our website. Participants are requested to take note of the same.

With us today on the call, we have Mr. Rajesh Sharma, Managing Director of the company; Mr. Kishore Lodha, Chief Financial Officer; Mr. Sanjeev Srivastava, Chief Risk Officer and Ms. Divya Sutar, Director Business Strategy . I now request our Managing Director, Mr. Rajesh Sharma, to present the opening remarks. Over to you, sir.

Rajesh Sharma: Thank you. Good afternoon, everyone. I hope you are all doing well. We announced our unaudited financial results for the first quarter of the financial year 2026 earlier this month on 1st August. I trust you ha d the opportunity to review the earnings presentation, which is also available on our website.

Before I move on to the financial and operational highlights, there are a couple of things I would like to specifically highlight during the quarter. We successfully completed a Qualified Institution s Placement, raising INR2,000 crores in primary equity capital. This was a landmark event for the Capri Global marking our first QIP in over a decade.

The offering received a strong and broad -based response from both domestic as well as foreign institutional investors, which we view as a powerful endorsement of ou r financial performance, governance standards and long -term strategic road map. This capital infusion significantly

strengthened our balance sheet and enhances our ability to scale operations across core lending verticals, including MSME, affordable housing, gold loans and construction finance.

Importantly, it also provides us with the additional flexibility to invest in next -generation technologies, including generative AI and data science capabilities, which continue to play an instrumental role in sharpening our underwriting, risk management a nd customer engagement. Beyond business expansion, this fundraise opens up new avenues to further diversify our borrowing and deepen our liability franchise.

As we scale responsibly, we remain focused on improving credit access for underserved customer segment, driving greater operating efficiency and building a resilient, wel l-diversified secured portfolio. Coming to our business and earnings performance during the quarter.

Overall, I would say it is a good start to the year, a good quarter on volume, a

sset under
management, opex , profitability, ROA and ROE. We commenced FY '26 with healthy momentum across our lending businesses . As of June 30, 2025 , our consolidated AUM stood at INR24,754 crores, registering a year -on-year growth of about 42%.

This performance was led by robust retail AUM growth, driven by 69% year -on-year surge in gold loans and 32% Y -o-Y increase in housing loans. Co-lending AUM reached about INR4,681 crores, up by 64% year -on-year and contributing 18.9% of consolidated AUM versus 17.8% in Q4 FY '25, underscoring our deepening partnership with leading banks.

Disbursement for the quarter grew 51% year -on-year to INR8,458 crores, supported by expanding distribution reach improving customer on -boarding. Growth continues to be granular and well diversified with number of customers surpassing 5.5 lakhs, reinforcing the strength and scalability of our retail -led model.

MSME loan grew to reach INR5,477 crores, while our housing finance portfolio stood at

INR5,490 crores, translating to robust year -on-year growth of about 14% and 32%, respectively. The MSME business is gaining from our calibrated rollout of small ticket -sized secured business loan called Micro LAP, now present in over 94 locations, helping us reach emerging self -employed borrowers with lower ticket size requirement.

In housing finance, we continue to see resilient borrower demand across the affordable segment, where rising urbanization, income formalization, and housing upgrades are dr iving demand for secured credit. Further, Pradhan Mantri Awas Yojana subsidy scheme is also fuelling the growth.

Our gold loan business maintained strong momentum in quarter 1 FY '26 with AUM rising 69% year-on-year to INR9,105 crores. The portfolio is supported by 821 specialized branches with average AUM per branch at INR11.1 crores. As of June 25, 737 branches are operating above

the breakeven of INR5 crore s AUM per branch mark. The fully digitized loan journey, AI -enabled security system and high customer stickiness driven by repeat borrowers of 55% to power this growth.

With ongoing network expansion and the activation of co -lending partnership , gold loans remain a key growth driver of high -yield secured growth business model. Our construction finance portfolio grew 61% year -on-year to INR4,521 crores, now funding our 280 active residential projects with an average sanction ticket size of INR41 crores.

The book remains well diversified and granular, reflecting our focus on working with midsized developer in metro and Tier 1 cities. We continue to emphasize disciplined underwriting through rigorous due diligence and escrow -based cash flow management, ensu ring a risk -first approach. Demand in the affordable mid -income housing segment remains strong, providing a steady pipeline for a scalable and prudent growth.

Now I'm turning to earnings performance. Let me now provide an update on our core earnings. Our yields and spreads on net advances remained healthy in the quarter at 16.9% and 7.2%. Our net interest income for Q1 FY '26 reached at INR416 crores, marking a 38% year -on-year increase, driven by a robust growth in our loan book.

We continue to strengthen our non -interest income streams in Q1 FY '26, reinforcing our strategy of building a diversified and resilient earnings profile. Non-interest income grew 53% year-on-year to INR166 crores, contributing 28.5% of net total income for the quarter, driven by strong growth in core lending fee income and insurance distribution. Our car loan distribution business maintained its steady momentum with originations of INR2,651 crores in Q1 FY '26, up 19% year -on-year.

With a growing footprint and deep relationship across 12 partner banks and financial distribution. We have built a scalable and high -volume platform in this

segment. In insurance
distribution, we generated net fee income of INR28 crores in the quarter. With partnerships across 18 insurers and increasing penetration across our retail customer base, we expect this business to become a meaningful contributor to our overall fee income going forward.

Meanwhile, co -lending income stood at INR73 crores, supported by rising disbursal volume with partner banks. Our branch network expanded to 1,138 locations in Q1 FY '26 with a net addition of 27 branches while our employee base remained steady at 11,546 . Over the past few quarters, we have seen a clear shift in operational efficiency with our cost -to-income ratio improving meaningfully to 46% in Q1 FY '26 , from 55% in Q4 FY '25 and 65% in Q1 FY '25. During the quarter, we had onetime benefit of the INR15 crore s in the operating expenses due to the reversal of provisions o n account of change in the perquisite policy. Adjusted for that, our

cost-to-income ratio would have been 49%. The sharp improvement reflects the benefit of our maturing branch network, rising productivity due to various AI -enabled tools and increasing digital enablement.

Pre-provision operating profit surged 115% year -on-year to INR312 crores during the quarter, underscoring the impact of operating leverage and disciplined execution. As our network continues to mature and technology adoption deepens, we see further headwind to drive productivity gains and sustain this trend of improving operating efficiency.

We continued our strong profitability momentum in Q1 FY '26, delivering a robust profit after tax of INR175 crores, up 131% year -on-year. This sharp growth was driven by expanding margins, operating leverage benefits and consistent performance across all key business segments, despite the impact of recent equity fundraise, return ratios remain ed healthy with ROAE of 13% and RO AA of about 3.2% for the quarter.

As regard to our asset quality, our credit cost for the quarter increased to INR81 crores in Q1 FY '26 from INR18 crores in 4Q FY '25 or 1.6% of the gross loan book and our provision coverage ratio on Stage 3 loans remained at 41%, demonstrating our prudent provisioning and conservative approach to risk management.

Increase in credit cost was on account of higher ECL provision of INR55 crores, mainly driven by increase in Stage 1 provision of INR24 crores, increas e in Stage 2 assets in MSME and housing loan of INR71 crores, resulting in an incremental provision of INR22 crores; one account in construction finance with outstanding loan of INR16 crores slipping into NPA, on which provision of INR8 crores has been created. However, there was a write -back of INR7 crore s provision due to recoveries from the previous accounts; one -off provision on car loan receivables of INR11 crores

Our gross Stage 3 asset ratio were at 1.7%, marginally higher on a sequential basis, but improved by 48 basis year -on-year, while net Stage 3 ratio stood at 1%, down 19 basis year -on-year.

Collection efficiency remains strong, reinforcing the resilience of our portfolio. We are further enhancing our risk management framework by leveraging advanced analytics and data science , thanks to sharpened customer risk profiling and improving underwriting ensuring disciplined sustainable growth.

Following the successful completion of INR2,000 crores equity raised through QIP during the quarter, our balance sheet is significantly stronger, providing ample headroom to accelerate growth across businesses, while maintaining financial prudence. This capital infusion has resulted in a robust stand -alone capital adequacy ratio of 34% for CGCL, supported by a total

equity of INR6,438 crores while Capri Global Housing Limited

closed the quarter with a healthy
capital adequacy of 29%.

Liquidity remains comfortable with INR3,700 crores in cash and bank balances, investment in undrawn credit lines across CGCL, CGHFL, giving us the agility to navigate evolving market conditions and deploy capital strategically. Borrowing stood at INR15,979 crores with a debt -to-equity ratio of 2.5x. We continue to diversify our funding mix by tapping capital markets, increasing the share of NCDs and commercial paper.

During the quarter, we successfully raised INR150 crores of NCDs at competitive rates between 9% to 9.25%. Our Board has also approved a public NCD issuance up to INR1,000 crore s, which we plan to tap opportunistically. Additionally, the softening interest rate environment, driven by reduction in the repo rate and subsequent decline in MCLR is expected to further lower our cost of borrowing, supporting our profitability.

Our technology investments remain foundational to our ability to scale securely and efficiently. We invested INR26 crores this quarter in technology, data science and systems, reflecting our belief that technology is not a onetime capex, but a continuous engine of transformation. We are focusing on leveraging generative AI in further enhancing our processes for evaluating customer profiles, collateral in collections, cybersecurity and compliance -led upgrades remain core priorities as we expand our digital footprint.

I'm also pleased to share that Capri Global has received a strong ESG rating of 69 from NSE Sustainability Rating Analytics, placing us ahead of the most listed NBFCs on the NSE and reflecting our robust governance practices as well as our structured appro ach to environmental disclosures. While we see room to further strengthen the social pillar, this rating is a strong validation of our ESG journey and our commitment to responsible growth.

Complementing our ESG progress, we continue to strengthen our brand visibility through impactful campaign like Tarraki Ke Haath, which has significantly enhanced awareness and recall across our key markets. Backed by a 360 -degree media plan, expanding TV, print, digital and branch level activation, this campaign is helping us to build not just visibility, but also deeper emotional connect with the people we serve.

Now we would like to open the session for question and answer.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Gaurav Purohit from Systematix.

Gaurav Purohit: So I have a few questions. I'll start with growth. Growth has been fairly robust in the recent quarter. And given the current momentum that you're seeing, is there a possibility that we exceed the 30% guided growth range for the next 3 years?

Rajesh Sharma: Thank you. I think we are going to remain on course for the 30% growth, and that we believe that is quite healthy growth. We don't think we are going to exceed that this year.
Gaurav Purohit: And also, sir, on growth, what is giving you comfort on growing so aggressively? I understand that you are primarily into secured businesses. And what do you think can go wrong given the current environment because some of your peers have started reporting some stress in MSME segment. So , do you think that could later on result into some delinquencies or are you seeing that in your portfolio right now?
Rajesh Sharma: So, I think our confidence of 30% growth comes that we are -- as you rightly said, we are in a collateralized portfolio. So , we have ability to recover by various means, including disposing of the property, which is mortgaged to us. Out of about 35% portfolio is gold, which is the asset quality remains in complete control where we can auction the gold and recover our money.
As regards to the other segment, we agree th

at MSME, we have seen some slippage, more particularly from a state of Madhya Pradesh, where we are already turning down our disbursements and we are progressing cautiously on that. However, other segments of housing finance remain very stable, where we are not seeing much challenge in asset quality.
And now Pradhan Mantri Awas Yojana credit subsidy coming in the play, where the loan -to-value further goes down, giving us a higher security margin. I think we are going to see the good growth in that segment. So, while this quarter, some more delinquency have come because of various reasons, including that first quarter is always, we have seen the rise in the delinquency because of seasonality.
Also, Q4 we run a lot of campaigns and incentive programs. And one of the reasons is also that quarter is less than 90 days because of February is 28 -day month . So, some of the slippage of the 60 and 90 cases in the month of April because of those 2 days less in the last quarter. So , a combination of this. However, if you see the overall delinquency that is still our GNPA in the range of about 1.7%, net NPA is about 1%. It is very, very healthy, robust.
Gaurav Purohit: And sir, like the trend we've seen in the last year, do you see the slippages coming down significantly in the coming quarters?
Rajesh Sharma: I will say that slippages will not be as much as what we have seen. We will see that overall asset quality remain s in the range we have projected. So as a company, we have given the guidance that our gross NPA will never cross 2% . Net NPA will never cross 1.2% . I think we intend to maintain within that range, specifically to project about quarter will not be possible. It can always vary 10 basis points here and there. But overall range will remain the way I said.
Gaurav Purohit: Also , in one of your recent media interactions after the QIP, you had mentioned that there is a potential of credit rating upgrade. So , any progress over there? If you can share with us?

Rajesh Sharma: About what?
Gaurav Purohit: Credit rating. You had mentioned in one of your media interviews?
Rajesh Sharma: That exercise is on. Exercise is on. We should see the results by mid of September.
Gaurav Purohit: Okay. And then there is a possibility of a reduction in your costs from third quarter onwards?
Rajesh Sharma: Yes. I think because as far as the reduction of cost is concerned, I think for the next 12 months, we'll be having a higher issuance on NCD , commercial paper, and a lot of borrowings with MCLR is going to get reset. The MCLR reduction already announced by various banks. And we see the inflation has also come down.
So overall interest rate scenario should look like the interest rate is going to remain softened. That effect will be seen over a period of time, next 6 months, whenever the individual banks, MCLR gets reset, we'll get the advantage plus our incremental bo rrowing are going to be at a lower level by at least 30 to 40 basis points . So, we'll see quarter -on-quarter, our cost of funds will come down. And by the end of the year, I think our overall cost of the fund should at least come down by 40 to 50 basis points .
Gaurav Purohit: That was a sizable reduction. Just one specific question on your Micro LAP because you said that is helping you scale up your MSME. One of your peers has discontinued the disbursement in that business, specifically in the South India market. So, any comments on that? I understand it is a very recent venture, and the book is not yet seasoned , but any signs of stress that you're seeing there?
Rajesh Sharma: So, I think we are also growing that book very cautiously depending on the various feedback and observation that delinquency has risen in Micro LAP segment. However, we are creating a differentiation by using the technol

ogy and data science capability, where various risk triggers
are being built. And we have gone a little slow till our full stack of technology get s rolled out, which should happen by end of September.

So, we are cautiously trading there, and we are confident that given our experience in the collateralized lending, we'll be quite cautious the way we do the colla teral evaluation, legal title search, any case going bad, your ability to recover comes from the confidence, the right valuation and the right title. So , we are quite confident that we'll be doing better than the competition in that business, backed by our technology and data science capabilities.

Gaurav Purohit: And sir, one last relating question?

Moderator: Sorry to interrupt, sir. Please rejoin the queue.

Gaurav Purohit: Okay. I'll come back later.

Moderator: The next question is from the line of Sweta Padhi from SBI Securities.

Sweta Padhi: Congrats on a great set of numbers. So , in this quarter, we have seen a slight increase in the GNPA and the Construction Finance segment. Can you throw some light on that? And second question is on the cost -to-income ratio. The performance has been very good on the cost -to-income front. So where do we expect this cost to income to settle by FY '26 ?

Rajesh Sharma: I think our cost -to-income ratio on the increased scale of operation; it should come down. However, we are going to add another 200 branches this year. So , we expect this cost -to-income ratio should remain in the range of about 50% for the year. If we remove the impact of addition of the branches, the cost -to-income ratio in real terms will be in the range about 46% to 47%. But we assume that because of those branches, some impact will be there. But still, it will be much lower than the last year, and if we are able to maintain the cost -to-income ratio even in the range of 50%, we are on the track to deliver RO AA in the range about 3.5%.

Sweta Padhi: Yes, sir. And on the construction finance part, the slight increase in the GNPA?

Rajesh Sharma: So, there's one account which has slipped into the NPA. And on account of that, the value of that account was INR16 crores, INR8 crores provisions have been provided for. But already for that account, if you see the last quarter, the recovery has also happened on account of one of the NPA about INR7 crores. This is a constant phenomenon .

Further, there are a lot of developers who are coming forward to take over that account. So, this remains on a consistent basis that whenever NPA happens through the SARFAESI, other means we are able to attract other developer to take over the account and recover amount.

Moderator: Our next question is from the line of Chintan Shah from ICICI Securities.

Chintan Shah: Congratulations on great set of numbers. So just firstly, on basically the asset quality sir, as you mentioned the GNPA is likely to be below 2%, and NPA below 1.2%. So , like given that some lenders have already flagged some risk on the MSME portfolio, so what gives us the confidence ? And if you could just throw some light on the collections part as well? How are the collections panning out? Yes, that's the first question, please .

Rajesh Sharma: So yes, as regards the collection is concerned, I think we have about 520 people, very strong team, and we have very good analytics on the collection, the processes automation is in place, where we are able to track actively our collection agent performance and drive them. They are attractive incentive plan to push them higher.

Having said that, yes, we have seen some of the slippages happening in MSME. We are more cautious for our incremental underwriting and taking the right measures. Currently, our co

llection efficiency in the range of about 97% upward in the segment. So, we are quite confident that our focus will be to resolve the old NPA faster by doing a lot of settlement and other things.

And we see that while our MSME is 100% collateralized, not like many other where they are giving unsecured business loan, they are collateralized, where we have LTV cushion about 55% LTV ther e. So, with that cushion in place, even though whe n accounts slip into NPA, we are quite confident to auction those properties or recover back of that property by mutual negotiation and recover those amounts .

Focus during the next 9 months will be that old NPA pool, we are able to resolve faster by settling those accounts by selling those properties faster. And I think with that pace coming back our NPA overall will remain in range bound. As I said, our GNPA will not cross more than 2%. Our net NPA will not cross more than 1.2 %. Within that framework, we will work.

Chintan Shah: Sure. This is quite helpful. And also, sir, secondly, on the AUM growth. So we have guided for around 30% in AUM growth for FY '26. But on a steady -state basis, probably over the next 2, 3 years, could we assume a similar t rend here o r are we looking to moderate the growth post '26? On the growth front, how should we look at it?

Rajesh Sharma: So, I would like to say that if you observe that we are a well -diversified company in the secured segment, we have currently five products. So , we have ability to change the levers and increase one product, which is doing better and reduce the other product, which is doing not that well given the macro environment in some of the segments or some of the geography.

With that capability in place, I think we are quite confident to achieve the 30% growth for the next 3 years by targeting the AUM to be INR50,000 crores by FY 2028 and maintaining our ROAA at 3.5% upward. So, with those two metrics in place, we are quite confident to continue that path. And I think gold loan, we have done well, where the yield is very good.

Similarly, our retail construction finance segment is also doing quite well, given the housing demand on rise and a lot of traction we are seeing, RERA in place, security structures are good.

Again, the housing loan growth remains a very high -- a very good growth driver. So , with combination of this, I think we are well placed to achieve a 30% growth for the next 3 years.

Chintan Shah: Sure. And sir, just lastly, on the opex front . So I think our opex is relatively elevated, like around 6% odd, so do we see this moderating like if the ROA is set to improve from here on, so what could be the key driver, other interest income, opex or margins or credit cost? Some thoughts on that, p lease. That's the last question?

Rajesh Sharma: If you see our cost -to-income ratio, if you look at last quarter, Q1 FY '25, it was about 65%. Constantly, by our gold loan branches delivering higher margins, and overall our scale also going up with AUM going up , the cost -to-income ratio have this quarter come below 50%. And as I said earlier, if overall basis, we intend to maintain our cost -to-income ratio in the range about 50%.

Given that, we are going to add another 200 to 250 branches this year. Had not been that done, our cost -to-income ratio would have been the range of about 47%.

Chintan Shah: Sure, sir. This is very helpful. Yes. And that's it from my side, and all the best for the future quarters.

Moderator: Next question is from the line of Sagar Shah from Spark Capital.

Sagar Shah: First of all, congratulations, sir, for excellent set of numbers. I ha ve around three questions. My first question was related to credit cost. So this quarter, we saw the highest almost credit cost as compared to last few quarters, and you had given the clarificat

ion that was regarding the one account in construction finance and some stress in MSME.

So looking at the picture and will Q2 follow and will see kind of a mirror to Q1, so what kind of credit cost should we be building for the entire year sir, for FY '26 per se? That was my first question ?

Rajesh Sharma: Thank you. So I think overall basis, if you look at our credit cost has been in the range of about 60 basis. And we don't see that much elevation at the most credit cost will not go beyond 70 basis. It's too early to share because we have seen the seasonal ity that every year, Q1 is a little higher.

So this year will be slightly more , higher than the previous average. But Q2 to Q4, between that, we see the remarkable recovery in terms of our old NPA. And by that, we will be able to bring overall credit cost down. Even though on the conservative side, we said this year with the credit cost goes up by 10 basis. It will not cross more than 70 basis for an overall year basis.

Sagar Shah: My second question was related to our growth. Growth in this quarter was way above the industry average and one of the best quarters for you in terms of AUM growth. So even sequentially, the AUM has grown by almost more than 8%. So , I wanted to understand which geographies are you exactly targeting? Is there any geographies that you are -- particularly that you're targeting, that you're getting such robust growth during the period?

Rajesh Sharma: So I think we are going to add second half of the year, Southern India market, which will be Tamil Nadu, Andhra, Karnataka and Odisha also, we are going to add as far as the gold loan is concerned. So these states we are good, Andhra, Telangana, Tamil Nadu, Karnataka and Odisha.

These are the five states we are going to add gradually, and we'll roll out the branches in the last quarter of this year.

Sagar Shah: So basically, is it fair to assume that this growth has been from the non -Southern region, means

in the Western as well as the Northern region?
Rajesh Sharma: Yes.
Sagar Shah: My third question, last question was related to co -lending AUM. The co -lending AUM for this quarter was at around 19%. So going ahead for the entire year, what kind of percentage should assume for the co -lending AUM to be on books?
Rajesh Sharma: Co-lending AUM, we intend to project in the range of anything between 18% to 20% range. At this range, only we intend to maintain this.
Moderator: Our next questi on is from the line of Asutosh from Ashika Stock Broking.
Asutosh : Congratulations for a good set of numbers. So I'd like to understand fee income front. So currently, we are approx 30% of our net revenue is coming from the fee income side of it. So what is our strategy going forward on this front?
Rajesh Sharma: Our fee income is mainly coming from co -lending, from car loan, and from insurance distribution. And our fee income, we intend to maintain in the range of about 25% to 27% throughout the year. Quarter -on-quarter can be up and down by 2%. But overall yearly basis, our plan is to maintain it in that range.
Asutosh : And within these three segments which you have discussed, which is a major contributor? And right now, what are strategies....
Rajesh Sharma: Our major contributor is co -lending and also income from car loan and insurance.
Asutosh : Second question is on the cost of fund front. Like how much of our borrowing liability fixed versus floating? And how we see things moving forward from here on that front?
Rajesh Sharma: So I think next 12 months, we are going to keep a major reliance on raising the commercial paper and NCD to meet some of our requirement, and those will be at a low er cost. Our lending side, given the few regulatory changes, we might shift our -- some of the loan to the fixed basis because we see that inter

est rates are going to be remained softer going forward, so that would be our policy.

Asutosh : And like MCLR benefit and all those, how much of cost of fund benefit you are expecting in this whole year? I mean from the current rate, do you expect it to come by 30, 40 basis points for this whole year, something like that?
Rajesh Sharma: So, there are two elements to it. One is incremental borrowing. Incremental borrowing already started coming down by 20 to 25 basis, hoping that we will get some rating update. That will further go down by another 25 basis. Second point is that all the MCLR rates are getting reset on the due date of their 1 year and 6 month if the negotiation done during the time of drawing that loan.
So, in that manner, those banks, MCLR, rate reduction benefit will accrue. So , by every quarter, we'll see some benefits keep coming in. Overall basis, I think we should be able to get the benefit of the MCLR reduction by 30 to 40 basis, this is depending on bank to bank.
Asutosh : And sir, on this cost to income, IT expenditure is also one of the areas which we are focusing on. So , can you give something like what we are doing, what type of expense you continue to incur in that area?
Rajesh Sharma: Last quarter, we spent about INR26 crores on various initiatives of the technology, data science and now this year, we are actively enhancing our team on the data science and generative AI side, we already deployed a few tools on the AI transformation, which are going to drive the produc tivity and impact on reducing our cost to income.
So I think the spend on the IT is going to be a permanent feature. This is not going to be something that we'll achieve a s a milestone, it will come down. But this is a futuristic investment, which we will continue to do. We have currently about 200 people team in the technology infra and data science.
Asutosh : And last question on the g eographical expansion. So any changes in the opening of the new branches or something like that you want to highlight to investors on that front?
Rajesh Sharma: No, as I said, we are going to add 200 - 250 branches this year, a combination o f the gold, MSME, home loan, et cetera. And this pace will remain for next year. We are going to add about 700 to 800 branches in 3 years . And that is important because we need to plan 30% growth for the next year, you have to plan at least 6 - 9 months in advance.
Asutosh : These new branches will come in any new geography or our existing geography only?
Rajesh Sharma: So most of the new branches will come in the new geography. Some of the existing geographies where we see the potential, we will increase. The majority expansion will happen Southern India as I said earlier.

Moderator: Our next question is from the line of Ninad Jadhav from LKP Securities.
Ninad Jadhav: So my question is on yield side. So you have mentioned that the borrowing costs are expected to trend down by 40 to 50 basis points for this year. So how are we looking at yield front? Like are we going to pass on the be nefit to our customers as well a nd if you could quantify how much yield have declined by this year?
Rajesh Sharma: So, I think we have to say that overall, if the interest rate goes down for everybody, that at least cost benefit get passed on to the customer because of the intense competition in the retail segment. However, whatever cost benefit and risk spreads going down because of our negotiation and also the rating potential upgrade, that benefit will be able to accrue to our P&L.
Ninad Jadhav: So any specific basis points it could go down there ?
Rajesh Sharma: I think our current spread is in the range of about 7%. We intend to maintain that sprea

d 7%. It
can slightly be better because gold loan composition is slightly improving , it will add another 3% to 4% to current composition and which is a high -yield product and for which all the infrastructure cost and operational cost is already in place.
So that is going to improve our overall spread. In regards to the interest rate benefit, which comes to because of the potential rating upgrade, that additional benefit will happen. As far as the MCLR reduction is concerned, because of the competition, tha t benefit, as I said, will get passed on to the customers.
Ninad Jadhav: So my second question is on the recent announcement that we hav e made. So we have incorporated two new companies. One is financial services and other is wealth management company. So if you can tell us on how we are looking to scale these businesses and what kind of customers we are looking to target? And would the cost for setting up these businesses will affect our cost -to-income guidance for this year or for next year as well ?
Rajesh Sharma: There are two companies we have incorporated. One is going to carry out the investment banking activities only for the debt capital market. And another company is a securities company, which is going to engage in the sales and distribution of the debt placement at institutional level, online bond platform and exchange trading.
Both of these will not consume much capital, and they will be from the year 1 that will be accretive to the profit rather than taking any dent on the cost income side. On a full -scale operation, we expect that this will also enhance our fee income for that - by the end of the year, we will give the exact projection for the coming year.
This year, it is in the setup mode. However, whatever the cost, they will be able to make that kind of money. So that will be cost neutral and no impact on the cost income side.

Ninad Jadhav: Sir. And any probable customers we are looking to target, any set of customers?
Hardik Doshi : Sorry, can you come again on the question, a probable set of customers for which segment?
Ninad Jadhav: For these companies, which we have incorporated ?
Rajesh Sharma: These companies -- we have a team of about 10 people. We are going to add more people there.
The team is specialized in understanding the need of the bond market, see the price trend and we have a large treasury book. Within that, we use those funds to buy the bond and do the buying and selling of the bond, plus we hold them for a short term 15 to 30 days.
We help the corporates to come out with the issuance of the bond, merchant banker. So these are the fee -based activities we are going to do. These clients can be corporate, midsize or the larger size. And it is similar to various bond issuance bankers you would have observed that they are associated with such bond issuance.
Further, this team will also help us to reduce our cost of fund because of their access to the capital market and their connect and understanding of the bond market.
Moderator: Our next question is from the line of Darshil Jhaveri from Crown Capital.
Darshil Jhaveri : So first of all , congratulations for great set of numbers. Most of my questions have already been answered. One question related to your business model. So I mean we have fully secured and have higher lending book, but macroeconomic cycles, I mean can pressure demand collection and risk appetite. So how resilient our model across down cycles, especially in MSME and construction finance, I mean, where borrower cash flows can be volatile?
Rajesh Sharma: So construction finance , we are seeing that there are two , three important things have happened.
One that after RERA coming in, there is a designated construction account, is a receivable account of the customer where all the money comes in. And w

e see it is a very, very strong
monitoring tool as well as the security structure. So having seen the good demand in the

construction finance side, we don't see any such challenges.
And even out of the 280 account s, every year, one or two accounts, which slips into NPA for one or other reason, our team have shown the capability to find another developer, take over that account in the SARFAESI and recover the entire amount. So we are quite confident that even the risk -adjusted return with the low opex and secured nature backed by the strong cash flow of the sale of those apartments, we don't see any problem there.
So we are quite confident. And this business we are doing since last almost 12 years. We have built a very niche, very good monitoring tools, and we don't see any surprises coming in that segment at all.

Darshil Jhaveri : And one last question. I mean, post this fundraise of INR2,000 crores, how soon can we expect return ratios to normalize?
Rajesh Sharma: So I will say this year, we are confident to deliver RO AE in the range of about 13.5% to 14%. And RO AA will not be less than 3.5%. Next year onwards, our strong fee income and coupled with our cost -income ratio further coming down because now operating leverage with scale will kick-in. So then our ROAA will improve to about 4% and RO AE should be in the range of about 16% to 17%.
Darshil Jhaveri : So RO AE 13% to 14% this year and 15% to 16% in FY '27?
Rajesh Sharma: No, FY '27, RO AA will be about 4%. RO AE will be in the range about 16% to 17%.
Darshil Jhaveri : 16% to 17%.
Moderator: Our next question is from the line of Saumil Jain from Lucky.
Saumil Jain : Congratulations on a good set of numbers. On the 30% AUM growth guidance, can you talk a little bit about what the mix will look like between the segments? Do you expect momentum in gold to continue and softness in MSME to continue?
Rajesh Sharma: So we see that gold will continue to grow as we are adding more branches in that segment because we are seeing the strong traction and demand. And now our distribution team is all in place. So gold should be in the range of about 37% to 40% kind . MSME will remain in the range of about 20% - 22%. Housing will remain in about 20 %-22%. Construction finance will remain in the range of about 17 %-18%.
Saumil Jain : Gold, you mentioned 37% to 40%?
Rajesh Sharma: Yes.
Saumil Jain : And secondly, on the branch addition guidance for this year, I think you mentioned 200 branches, right?
Rajesh Sharma: Yes, 200 to 250 branches will add this year.
Saumil Jain : And this will be -- any mix on gold or non -gold?
Rajesh Sharma: So I think gold will be in the range of about 100 branches and rest will be between housing and MSME.
Saumil Jain : And finally, on the 16%, 17% ROE sort of expectation for next year, what is the credit cost that you've built in?

Rajesh Sharma: So credit cost on a long term, we have built in about 70 basis . If you look at last few years credit costs barring the COVID year, the credit cost has remained more or less in this range.
Saumil Jain : And Q1 opex , you mentioned will stabilize for the year because you're going to add more branches. Correct?
Rajesh Sharma: I think operating cost, keeping in mind our branch expansion, will be in the range of about 50% , cost-to-income ratio.
Moderator: Our next question is from the line of Lalit Kumar, an investor.
Lalit Kumar: Good afternoon. Congratulation for a good set of numbers and my question was …
Rajesh Sharma: Your voice is not audible.
Lalit Kumar: I am saying that my questions have already been answered.
Moderator: According to Lalit, sir, his question is already answered. We'll move to the next question. Th

e

next question is from the line of Gaurav Purohit from Systematix. It's a follow -up question.
Gaurav Purohit: I just have one question on the Micro LAP book, understanding it is a very new business. But in case there is a default in future, what is the legal recourse you have given that the ticket size is around 10 lakh and not eligible for SARFAESI?
Rajesh Sharma: So the eligible recourse, ideally, the major effort is by negotiation, we make borrower to agree to come forward and sell his property or find in ner ecosystem to give him the money so that we

need not to sell the property at much discounted rate. And another option is Section 138 to build the pressure and initiate the arbitration proceedings.

And within that, these tools are effective. The combination of bilateral negotiation or using these Section 138 filing to build the pressure as we move to the arbitration to get the order and then sell the property and realize our money.

Gaurav Purohit: And what would be the typical timeline for this in your best assessment?

Rajesh Sharma: So for bilateral negotiation, you can yield the result a case -to-case basis less than a year. But cases which are not solved by bilateral negotiations, if you go for arbitration, then it takes a period of effective realization of money, anything between 2 to 2.5 years.

Gaurav Purohit: Very clear. And last question I have on the competition intensity. So gold loan sector is seeing phenomenal growth. Everyone is focusing on either growth or affordable housing, so what is the kind of intensity you are seeing here, given that we have a stee p target of 30%. So I j ust wanted to know your take on that?

Rajesh Sharma: So I think , in all our segments which are collateralized, if you talk about competition, it is a very intense competitive. Your right to win has to be how you use your technology automation and ability to turn around the sanction faster and do a better customer service in terms of how you handle them, how seamless your journey is, how less the paperwork you seek without compro mising on the asset quality.

So I think amid the intensity, it is the turnaround time. It is the approach you take it, simplified approach to carry out the whole process, makes a difference. The lending doesn't have a quality other than the service.

Gaurav Purohit: Fair enough, sir. Thank you so much for patiently answering all the questions.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Rajesh Sharma: Yes. So I think I would like to say t hat our Q1 have set a solid tone for FY '26. The addition of INR2,000 crores capital raise give s us the financial strength to accelerate the growth across lending and new verticals. Backed by a secured book, healthy asset quality and solid technology infrastructure, we remain on track to grow 30% annually and deliver sustainable RO AE of between 16% to 1 8% and ROAA in the medium term to 4% and even g oing up to 4.5% .

There will be constant endeavour to bring our cost of fund down and you will see by the end of the year, the significant reduction in the cost of fund, where we will be quite conscious of bringing our operating cost in control by using technology and various other intervention of artific ial intelligence.

As regard to asset quality, there are enhanced effort on the collection side and monetizing the NPAs, disposing of those repurchased assets to bring the overall net NPA in the check. So overall basis, we are on a quite good growth trajectory, and we are all thankful for the support shareholders and other stakeholders are offering to us. Thank you.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us

and you may now disconnect your lines.

Call: Nov 2025

November6,2025
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ScripCode:CGCL
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concludedat1:00p.m.(IST).
Further,pleasenotethatthisintimationisalsoavailableonthewebsiteoftheCompany.
Theaboveisforyourinformationanddisseminationtoallthestakeholders.
Thankingyou,
Yoursfaithfully,
forCapriGlobalCapitalLimited
YasheshBhatt
CompanySecretary&ComplianceOfficer
MembershipNo.:ACS20491
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Capri Global Capital Limited

Q2FY26 Earnings Conference Call
October 31, 202 5

MANAGEMENT
MR. RAJESH SHARMA – MANAGING DIRECTOR
MR. MONU RATRA , CEO
MR. KISHORE LODHA , CFO
MR. SANJEEV SRIVASTAVA , CRO
MS, DIVYA , DIRECTOR BUSINESS STRATEGY
MR. AJAY MANGLUNIA , EXECUTIVE DIRECTOR FIXED INCOME MARKETS
MR. HARDIK DOSHI – HEAD, CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend
■ 10 Lakhs = ■ 1Mn
■ 1 Crore = ■ 10Mn
■ 100 Crores = ■ 1Bn
■ 1 Lakh Crore = ■ 1Tn

Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited Q2 FY '26 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hardik Doshi from Capri Global Capital Limited. Thank you, and over to you, sir.

Hardik Doshi : Good afternoon, everyone, and welcome to Q2 FY '26 Earnings Call for Capri Global Capital Limited. This is Hardik Doshi, Head, Corporate Finance and Investor Relations. Before we begin, as a brief disclaimer, the discussion on today's call regarding Capri Global Capital Limited's earnings performance can be based on judgments derived from the declared results and information on business opportunities available to the comp any at this time.

The company's performance is subject to risks, uncertainties, and assumptions that could cause results to differ materially in the future. Given these uncertainties and other factors, participants on today's call may observe caution while interpreting the results. The full disclaimer is available on Slide 63 of the earnings presentation. Participants are requested to kindly take note of the same.

Let me now introduce the management team on today's call. With us today on the call, we have Mr. Rajesh Sharma, Managing Director and Promoter of the company; Mr. Monu Ratra, Chief Executive Officer; Mr. Kishore Lodha, Chief Financial Officer; Mr. Sanjeev Srivastava, Chief Risk Officer; Ms. Divya Sutar, Director Business Strategy; Mr. Ajay Manglunia, Executive Director, Fixed Income Markets.

I would now request our Managing Director, Mr. Rajesh Sharma, to present his opening remarks on the results. Over to you, sir.

Rajesh Sharma: Good afternoon, everyone. I hope you all are doing well and had a joyful Diwali celebrations. We announced our unaudited financial results for the second quarter of FY 2026 on 29th October. I trust you have had the opportunity to go through our earnings pr esentation, which is also available on our website.

Before I move on to the financial and operational highlights, I would like to touch upon the key developments during the quarter. We strengthened our leadership team by the appointment of Mr. Monu Ratra as CEO of the company. Mr. Ratra brings over 2 decade s of experience in the

financial services and mortgage finance and having held leadership roles across leading banking and financial institutions.

We successfully completed our maiden public issuance of secured rated listed redeemable non - convertible debentures for INR400 crores. The issue received an overwhelming response, being oversubscribed across all investor categories, institutional, non -institutional, high net worth individuals, and retail investors.

The strong subscription reflects the trust and confidence investors place in our business model, governance standard, and long -term growth outlook. This successful issuance not only broadens our investor base, but also enhances our access to debt capital m arket, paving the way for larger issuance and further diversification of our borrowing profile in the future.

Coming to our business and earnings performance during the quarter. If we talk about business performance, we beg an FY '26 with a strong momentum across all our lending businesses and sustained that trajectory through the second quarter. As of September 30, 2025, our consolidated AUM stood at INR27,040 crores, reflecting a robus

t 40% year -on-year growth and 9% quarter - on-quarter growth. This performance was underpinned by broad -based expansion across segments.

Gold loan grew an impressive 58% year -on-year, while housing loans rose 37% year -on-year. Our co -lending AUM also surged 61% year -on-year to INR5,677 crores, now accounting for almost 21% of total AUM, up from 18.9% in Q1 FY '26, highlighting our strategic focus on capital -efficient growth.

Disbursements for the quarter rose 64% year -on-year to INR8,952 crores, supported by a widening distribution network and growing customer base. Our growth remains granular,

diversified, and retail linked. With our customer base now exceeding 5.9 lakhs, we are reaffirming the scalability and resilience o f the business model.
In our gold loan business, we achieved a significant milestone this quarter with the gold loan AUM crossing INR10,000 crores, and over 10 lakh customer s service d since inception. Gold loan AUM grew by 58% year -on-year to INR10,406 crores, reinforcing our strong position in this high -yield secured lending segment.
During the quarter, we added 21 new gold loan branches, further expanding our presence in Madhya Pradesh, Gujarat, Uttar Pradesh, and marking our new entry into Bihar. Branch productivity continued to strengthen during this quarter. Average AUM per branch increased to INR12.4 crores, supported by improved employee productivity with AUM per employee rising from INR1.4 crores in Q2 FY '25 to INR2.1 crores in Q2 FY '26. As of September 2025, 762

branches are operating above the breakeven threshold of INR5 crore AUM per branch, underscoring enhanced operating leverage across the network.
With a fully digitized loan journey offering TAT of less than 30 minutes, AI -enabled security systems, and stronger customer stickiness, evidenced by 55% plus repeat borrowers, the gold loan business remains a key growth engine, driving profitable and scal able expansion for the company.
Our MSME AUM grew to INR5,602 crores, up by 18% year -on-year. During the quarter, we further expanded our MSME presence in Uttar Pradesh and the addition of 13 new branches. We are also broadening our reach through MSME Prime, a focused offering designed to cater to low -risk self -employed customers in urban markets of Maharashtra NCR.
Within MSME, our Micro LAP business continues to gain strong traction with AUM rising to INR543 crores. This vertical enable us to serve emerging self -employed borrowers with smaller ticket size requirements. The Micro LAP business is now present across 137 locations, following 43 net branch additions during the quarter, expanding our footprint i n Andhra Pradesh, Telangana, and marking our entry into Tamil Nadu and Karnataka. Our immediate focus is on enhancing sales productivity and operational efficiency across these new branches before undertaking further expansion. We see significant long -term potential in MSME segment. And with the recent network additions, we expect growth momentum to accelerate in the coming quarters.
Housing AUM stood at INR5,972 crores, building a year -on-year growth of 37%. We continue to see resilient demand across the affordable housing segment, where rising income levels and lower interest rate regime are driving demand for housing loans.
We also announced our foray into Southern India Housing Finance with the opening of 4 new branches in Telangana to deepen our presence in this high -quality affordable housing market. This expansion marks an important milestone, positioning Capri as a national player in the housing finance space. This strategic expansi on will further enhance portfolio granularity, strengthen asset quality, and support healthy yield expansion over time.
Our construction finance AUM grew 48% year -on-year to INR4,969 crores, now funding over 286 active residenti

al projects with an average sanction ticket of size of INR51 crores and
outstanding portfolio ticket size of INR17 crores, reflecting a very granular ticket size in construction finance too. The book remains well diversified by geography and granularity, reflecting our focus on working with midsize and small developers in metro and Tier 1 cities.
We continue to emph asize disciplined underwriting throu gh rigorous due diligence and escrow - based cash flow management, ensuring a risk -first approach.

Our total branch network expanded to 1,224 locations in Q2 FY '26 with a net addition of 86 branches during this quarter, while our employee base increased marginally to 12,197, up by 6% quarter -on-quarter.
During the quarter, we also entered several new geographies, further strengthening our ambitions of building a pan -India footprint. This expansion not only enhances our customer reach and brand visibility across newer territory, but also lays the foundatio n for the next phase of growth as we continue to deepen presence in existing high potential states and selectively enter underpenetrated regions.

Let me now provide an update on core earnings. Our yield and spreads on net advances remained healthy in the quarter at 16.5% and 6.9%, respectively, reflecting a 50 basis point improvement year-on-year. The increase in yields was broad -based, driven by ex pansion across all key retail products, that is MSME, gold loans, and affordable housing loans.

Our net interest income for Q2 FY '26 stood at INR480 crores, representing a strong 57% increase year -on-year and 15% quarter -on-quarter. This robust performance was supported by continued loan book expansion, improved pricing, and enhanced margin efficiency. We continue to strengthen our non -interest inc ome streams in Q2 FY '26, reinforcing our strategy of building a diversified and resilient earnings profile.

Non-interest income grew 97% year -on-year and 22% quarter -on-quarter to INR203 crores, contributing 29.8% of our net total income for the quarter. This strong increase was largely driven by growth in commission on insurance distribution and co -lending fee income.

In our insurance distribution business, we generated a net fee income of INR28 crores during the quarter. We further broadened our product offering with the inclusion of products such as Capri Jewel product, a jewelry insurance product and group personal accident cover for customer groups. With the launch of our digital distribution platform, Capri Care, we aim to enhance insurance penetration across our growing retail customer base.

Over time, we expect insurance to evolve into a meaningful contributor to our overall fee income. Meanwhile, our co -lending income stood at INR81 crores, reflecting continued strength in the segment, driven by higher disbursal volumes and deeper engagements with partner banks.

Our car loan distribution business maintained its steady momentum with originations of INR2,830 crores in Q2 FY '26, up 14% year -on-year. With a growing footprint and deep relationship across 13 partner banks and financial institutions, we have built a scalable platform with the pan -India network in this segment with the potential to monetize f urther through distribution of other products.

On the expense front, our operating expense increased 29% year -on-year and 25% quarter -on-quarter. The year -on-year increase was primarily driven by increase in our employee base, while the sequential rise reflected salary increments, bonus, and incentive payout during the quarter, and the impact of one -off benefit of INR15 crores in the previous quarter.

Adjusting for this, the quarter -on-quarter increase would have been around 18%. Our continued focus on operationa

l efficiency is clearly visible, with our cost -to-income ratio improving significantly to 49% in Q2 FY '26 compared with 64% in Q2 FY '25. This sharp improvement underscores the benefit of a maturing branch network, rising productivity, and strong operating leverage across our business.

As a result of margin expansion, improvement in operating efficiency and strong traction in fee income, our pre -provision operating profit surged to 137% year -on-year to INR345 crores during the quarter. Further, we continued our strong profitability momentum in Q2 FY '26, delivering a robust PAT of INR236 crores, up 143% year -on-year. Our return ratio considerably improved during the quarter with ROAE of 14.4% and Return On Average Assets at 4% for the quarter. This sharp growth was driven by consistent pe rformance across all key business segments.

As regards to asset quality, our impairment cost for the quarter stood at INR31 crores in Q2 FY '26, down from INR81 crores in Q1 FY '26 or 0.6% of the gross loan book and our provision coverage ratio on Stage 3 loans improved to 43%, demonstrating our prudent provisioning and conservative approach to risk management.

Stage 2 assets remained flat quarter -on-quarter and Stage 2 ECL provision increased by INR8 crores quarter -on-quarter. Stage 3 asset declined INR61 crores quarter -on-quarter. Stage 3 ECL provision declined by INR19 crores quarter -on-quarter. This was on account of INR79 crores of MSME portfolio sale to ARC. Gross Stage 3 asset at 1.3% was down sequentially by 39 basis, while net Stage 3 stood at 0.7%, down 26 basis sequentially.

As regards to capital and liquidity position, following equity capital infusion of INR2,000 crores in Q1 FY '26, our balance sheet is now significantly stronger, providing ample headroom to support accelerated growth across business segments. Our standalone capital adequacy ratio of CGCL is about 32.9% and 26.1% for Capri Global Housing Fin ance Limited. Our leverage ratio remains quite comfortable at 2.5x. Liquidity remains comfortable with over INR3,200 crores in cash and bank balances, investment and undrawn credit line across CGCL and CGHFL.

Our borrowing increased by 31% year -on-year and incremental borrowing sanction limits year - to-date this fiscal was around INR3,500 crores. We continue to diversify our funding mix by raising funds through other instruments such as NCD and commercial paper.

As I mentioned earlier, we raised INR400 crores through NCD at a coupon rate up to 9.7% and tenure of up to 4 years. With the softening of interest rate environment and decline in MCLR, we expect further benefit to accrue in our cost of borrowing in next couple of quarters.
As regards to technology, our technology investment remains central to our ability to scale securely, efficiently, and profitably. During the quarter, we invested INR29 crores in technology, deploying several artificial intelligence -driven initiatives aimed at strengthening asset quality and enhancing recovery.
For instance, our newly launched digital auction platform is enabling higher realization by attracting a broader pool of bidders for repurchase properties. We are also leveraging artificial intelligence to refine customer and collateral evaluation processe s. Our AI -based bureau analytics tools empower teams with data -driven insights, enabling smarter and faster credit decisions.
On the data analytics front, we are transitioning to real -time analytics capability, which will allow proactive portfolio monitoring and sharper business decisions across functions. In parallel, our Capri Communication Portal, a state -of-the-art omnichanne l platform now ensures seamless, consistent, and faster communication with both customers and employees across multiple touch points.
Cybersecurity and compliance -led upgrades remains core pri

orities as we expand our digital footprint. I'm pleased to share that systems reliability has significantly improved with outages now virtually eliminated and our infrastructure is fully equipped to perform at scale.
Coming to ESG. On the ESG front, we achieved a significant improvement in Sustainalytics ESG risk rating from 31.1 to 24, moving us from the high risk to the medium risk category. This 7-point improvement reflects our continued progress in strengthening ES G management system, governance framework, and data -driven reporting practices across the organization. We also published our annual business impact report and sustainability report highlighting our progress initiatives across ESG and broader sustainabilit y goals.
To summarize, we delivered consistent and all -round performance in the current quarter, achieving our highest ever quarterly profit. With a strong capital base, a scalable branch network, a diversified portfolio, already having invested heavily in the tech nology, we are well placed to deliver 25% to 30% in annualized AUM growth and sustainable return on average equity of 16% to 18% plus return on average assets of 4% to 4.5% by FY '28.
We shall now take the questions. Thank you.

Moderator: The first question comes from the line of Aman A. Baheti from InCred.
Aman A. Bbaheti: My first question comes in context of our branches. So our net addition for this quarter was 86 branches, which was quite sharp compared to the earlier quarters, and most of these are non - gold branches. So how should we look at the overall branch expansion strategy? Is the focus now shifting back towards MSME and housing verticals?
Rajesh Sharma: So this quarter, we added 86 branches. MSME added about 13, Micro LAP we added about 43, which is a newly introduced product 1 to 1.5 year ago. Gold loan, we added 21 branches. So focus is back to MSME, you can say that. But at the same time, in gold loan also, we are going to add more branches.
By the end of the March 2026, we should h ave gold loan branches in the range of about 995. So there will be more branches that we'll be opening in the South. And Micro LAP, we will be adding more branches in the last quarter. So the expansion will continue to remain.
Last quarter, we expected to add another 50 -plus branches and this expansion will continue. More branches we'll open in the gold, and some expansion in the Micro LAP too., so we’ll keep on adding branches.
Aman A. Bbaheti: Second question was about co -lending. So now our co -lending forms about 20% - 21% of the total AUM. So how are the unit economics working out in terms of the spread and the fee income? And do you see a meaningful improvement in ROE in this space?
Rajesh Sharma: Regardless the spread, co-lending remains the same. It is just a tool to use your treasury in a manner that you need not to provide any capital and credit line. The exposure by the bank sits in the books of the bank o n the individual borrower rather than the NBFC, nor those limits count

in our borrowing.
At the same time, we get the entire spread. So there's a lower capital requirement. So while we get the spread on the entire 100%, capital is required only for 20%. So it is a very capital - efficient model without compromising any margins or the spread.
And going forward, I think our co -lending still will remain in the range of about 20%. Last quarter, there's a change in the co -lending guidelines. And that will not impact as such, because all the banks will shift from CLM 1 to the one common CLM new guid eline. And we expect that all the banks will align, and we'll be able to maintain this. In longer term, we intend to keep this co -lending in the range of about 20%, plus/minus 2%, 3% here and there.

Aman A. Bbaheti: Sir, one last question. So you have started issuing NCDs and the share of market borrowings are going up. So over the next year or couple of years, what's your target mix between NCDs and bank loans? And what will be the blended cost of funds?
Rajesh Sharma: So cost of fund s currently is about 9.6. We expect that reduction in MCLR rate plus diversification and some mix of commercial paper in short -term borrowing should bring our cost of fund down by another 30 to 40 basis points gradually in next 2 to 3 quarters.
And as regards to the mix is concerned, now the more borrowing will happen from the alternative sources. So that mix will go up. It can be public issuance of the bond. It could be borrowing from the various other sources like ECB, foreign currency loans as well as the borrowing from the mutual fund. So we believe that next year, which is by end of FY '27, you will see significant jump in share of finances from nonbank sources.
Moderator: Our next question comes from the line of Karan Kamdar from Choice Institutional Equities.
Karan Kamdar: Hello. Hope I'm audible? Congrats on a good set of numbers. Sir, the MSME provision has decreased. How do we see the stress in this segment going forward? Do we see that the stress has declined and is been on a declining trend? Or do we see something else happening here?
Rajesh Sharma: I'll ask Kishore to answer this, who is the CFO.
Kishore Lodha: Yes. So I'll take this. So if you look at the quarter -on-quarter, then MSME NPA numbers have reduced from 4.3% to 3.1% on gross. And subsequently, the net NPA has also gone down.
However, there is no significant change in the external environment as far as overall MSME book is concerned. This reduction is largely on account of the ARC sale, which we have done.
So what we have done as a strategy, wherever we have lent, where the property value is below INR20 lakhs, where we do not get the benefits of SARFAESI , we have transferred those to an ARC, which is of the value, sir has earlier explained that it is INR79 crores.
So that at ARC level SARFAESI is available for anything , any exposure above INR1 lakh, so that we can invoke SARFAESI and expedite our collection effort. So if we take that out, then we are almost flattish quarter -on-quarter as far as overall NPA in MSME book as well as credit cost.
Karan Kamdar: And sir, so consequently, anything on the construction finance? Any movement there, do you expect on credit quality?

Rajesh Sharma: If you look at our Construction finance book over the period of years, it has remained very stable. And as you understand that our construction finance book is also in a very retail way of doing very smaller ticket size, outstanding which is INR17 crores, sanctioned which is INR51 crores.
So that reflects that risk is very granular. Markets are doing well. Housing market is very, very strong. So we don't see any risk emanating from that. Besides our underwriting standard is as such that we do only residential project, money is disbursed li nked to the construction only after RERA approval in place. So considering all these parameters, we don't expect any slippage or surprises in that segment.
Karan Kamdar: One last question, if I can squeeze in, about gold loans. So now that gold price has rocketed, like everyone knows, what kind of top -up loans are we seeing? What is the consumer behavior regarding this?
Rajesh Sharma: So top -up loan or repeat loan, they are the one and the same thing in the gold loan, because same customer keep repeating coming again and again, be it a top -up loan or be it is even after repayment with 100%, again he comes back or he comes back for the i ncreased value of the top - up loan, 55% customers are repeat customers.

And top -up loans keep happening, is

a regular feature. So I think with the increase in the gold
loan, that helps growing book better. And even though if you look at our loan -to-value, despite
top-up, it still remains very, very conservative at the level of about less than 65%.
Moderator: Our next question comes from the line of Sagar Shah from Spark PWM.
Sagar Shah: And first of all , congratulations to the entire team of Capri for delivering such numbers. Sir, I
had some few questions. So my first question was related to the previous participant's question ,
actually, as we are growing very fast actually in gold as well as housing and now our focus, as
you said, that we'll be shifting towards MSME. So what kind of mix are we targeting for next
year between these 3 segments out of your total loan portfolio, sir?
Rajesh Sharma: So I think our gold will remain in the range of about 40%, plus/minus 2%, 3% here and there.
And the rest of the segment of affordable housing, MSME, and construction finance will remain
in the range of 20% to 22%.
Sagar Shah: So are we going to see any change in the yield on advances or the NIMs due to this change in
mix, sir, by next year?

Rajesh Sharma: So our current portfolio yield is in the range of 16.5%, and there could be a slightly improvement
of 25 basis or so on account of gold loans and on account of Micro LAP. However, we are also
improving our yield in affordable housing. So overall, you can expect that about 25 basis
improvement in the yield of the advances will be there. Besides that, we also expect our cost of
funds to go lower. So that also bring some benefit, which can be in the range of anything between
30 basis to 40 basis .
Sagar Shah: My next question was related to the gold loan AUM. We saw almost 58% growth actually in
that segment. So I wanted to know how much was the tonnage growth actually that we have as
collateral in our total AUM out of that?
Rajesh Sharma: So the growth under tonnage is about 16.4 tonnes , which is an increment of about 18% Y -o-Y
and 3% quarter -on-quarter.
Sagar Shah: Okay. So 18%?
Kishore Lodha: Our tonnage is around 16.4 tonnes as of second quarter FY '26, which implies an 18% growth
Y-o-Y.
Sagar Shah: My next question was related to MSME. The MSME AUM growth is around 16%, but our live
accounts under the MSME actually are up by 35%. So basically, what I wanted to know that are
we incrementally, on the MSME side, are we increasing our average ticket size ? Are we looking
to tap actually higher turnover MSME clients? Is the change in mix is there? Is it there in
MSME?
Rajesh Sharma: Can you repeat the question, please?
Sagar Shah: Yes. So MSME AUM growth is around 16%, but the number of live accounts which we
envisage, they are actually down Y -o-Y but they are growing Q -o-Q, but a very marginal
number. So what I wanted to know is that, are we incrementally, are we increasing our ticket
size? Are we looking for higher ticket clients in MSME?
Rajesh Sharma: So while you're taking the growth, you are taking the growth of MSME, including Micro LAP.
While you are taking the number of custome rs, you are taking only of MSME, s o that is why
this disconnect is happening. On the contrary, Micro LAP ticket size is lower , the average ticket
size is about INR5 lakhs. So overall Micro LAP is a subsegment of the MSME. And also, the
total number of customers including Micro Lap is 45, 505. It is not 31, 100.
Sagar Shah: Sir, I was referring to the Slide #9 of yours, which states the live accounts to 31,100 for MSME
business. So I was referring to that slide.

Rajesh Sharma: You would have to see MSME AUM and then MSME customer and Micro LAP and Micro LAP
customer. But one hand, you are seeing the AuM number of MSME in

cluding Micro Lap . On
other hand, you are seeing only customer of MSME without Micro LAP. So I think that is
causing a disconnect. Total number of MSME customers, including Micro LAP are 45, 505, and
the growth within that is happening at about 16%.
Sagar Shah: Okay.

Rajesh Sharma: It is not 31, 100 but 45,505 customer.
Sagar Shah: So my next question was related to housing yield. The housing yields actually even though we saw almost 100 bps of repo rate cuts, so still our housing yields haven't decreased. So is it safe to assume that you will be passing on some sort of benefits to our housing customers in the next 2 quarters, sir?
Rajesh Sharma: I think passing on the benefit is taken care of the open market competition. It is a ticket size granularity and a conscious decision, how do you play between salaried, non -salaried, self - employed and then we focus on the yield.
Our focus is that our yield, which is currently 13.3 %, we are targeting the yield has to improve to 13.7 %. And for that, we are going a smaller ticket size, smaller locations, Tier 3, Tier 4, and focusing on improving the yield of the overall housing finance business.
Sagar Shah: So the housing yields won't decrease even in H2 FY '26, that you're saying basically?
Rajesh Sharma: Incremental yield have already started coming in the range of 13.5 %. Our target is to take it to about 13.7 %.
Sagar Shah: My last question, sir, was related to our …
Moderator: I'm so sorry, sir, to interrupt you. Mr. Shah, sorry to interrupt you. Please come back in the queue for the next question.
Sagar Shah: Sure, sure.
Moderator: Our next question comes from the line of Varun Dubey from Share India Securities.
Varun Dubey: Congratulations on your strong set of numbers. Sir, just wanted to understand what's driving the overall net interest margin for the company, because the net interest margins have gone up by around 60 bps on a quarter -on-quarter basis. Your cost of borrowi ng is down by 10 bps and spread is up by around 20 bps. So what's actually driving the overall net interest margin? And

with the 30 bps to 40 bps decline in cost of funds that you are expecting in the next 2 to 3 quarters, where will they stabilize?
Rajesh Sharma: I think the improvement in net interest margin is also supported by the capital infusion. So that has helped, and in addition, margins have expanded slightly due to a higher mix of gold loans and micro LAP.
Varun Dubey: Sir, but this 30 bps to 40 bps that you're expecting cost of funds to go down. So where will your margin stabilize going ahead, expecting a 30 bps to 40 bps decline in cost of fund? And also when you say 30 bps to 40 bps decline in cost of funds, are you f actoring the further rate cuts by RBI?
Rajesh Sharma: No, we don't expect the further rate cuts. What we are saying is because a lot of our interest rate loans are now happening at the lower rate, plus old loans are getting reset and those rates are happening on an annual basis. So whenever the annual reset date comes, they get aligned with the new MCL R and MCLR has already gone down between 15 to 30 basis.
Plus new loans are happening at a slightly better pricing on account of capital infusion and better risk profile. So because of the 2 things, our cost of fund will come down. It will happen in a gradual manner in next 2 to 3 quarters, you will see that get ting reflected in our cost of funds.
Varun Dubey: Sir, just one clarification I wanted. You said in the starting that you would be ending with 995 gold loan branches by end of FY '26. Is it 995 or 895, because currently you have 842 branches?
Rajesh Sharma: 995.
Varun Dubey: So it's going to be addition of 150 more branches for next 2 quarters in gold loan?
Rajesh Sharma: Yes. South, we are entering. There could be some rollover in April

, but we already have planned
that. And I think the intention is to close March by 995 branches gold alone.
Varun Dubey: But then what would be the total branch addition? If 150 branches addition would be in gold loan alone, so what would be the total branch addition for next 2 quarters?
Rajesh Sharma: So we'll add about mix of Micro LAP, housing, and gold loan. It will be in the range of about 200 branches in the next 2 quarters.
Moderator: Our next question comes from the line of Priyanshu Jain from GrowthX Infinity.
Priyanshu Jain : First of all, congratulations on a good set of numbers. The whole Capri team is like doing a phenomenal job over there. I have a few questions, my most of the questions have been answered

already. So I just want to know like what will be your credit cost going forward, because like

it's been in a range less than 1% as of today, so like?
Rajesh Sharma: So while credit costs have been lower than 1%, but on a safer side, while we have to project, we will say it will be in the range of about 80 bps to 90 bps.
Priyanshu Jain : Sorry, can you repeat?
Rajesh Sharma: While our credit costs have consistently remained below 80 to 90 basis points, we prefer to stay conservative in our projections. So, for our planning purposes, we have assumed credit costs in the range of 80 to 90 basis points.
Priyanshu Jain : And like ly target for the upcoming year for ROA and ROE, like can we expect around?
Rajesh Sharma: So our ROA, we are targeting anything between 4.25% to 4.5% and ROE in the range of about 16%.
Priyanshu Jain : And sir, like my last question will be on the gold yield. So like as a customer, I just want to know like, who are those people who are paying like this 20% yield on gold loan? So how the process take place? Can you just throw some light on it?
Rajesh Sharma: Yes. So it's a very good question. So we have to understand what amount? Who is borrowing? And what purpose? So somebody is borrowing a INR1 lakh, let's say, for the sake of convenience, you assume 20%. So somebody is borrowing INR1 lakh for 20% for 6 months would mean that he has to end up paying INR10,000 of interest cost.
Now he is using that money, for example, somebody is buying when the -- giving advance to farmer, buying some crop, getting at 20%, 30% discount or somebody putting the agriculture product in the cold storage, when you know the prices are lower at the time of crop and selling it later, earning a margin 30%, 40%. So these are the businesses, they look at, my cost will be INR10,000 for this loan, whereas in 6 month, he would generate INR40,000, INR50,000, INR60,000 of margin.
For example, recently concluded Diwali, there are a lot of people on a seasonal business, they will buy firecracker in bulk, set up 2 to 3 stall in the town. And on a INR1 lakh inventory, they will make INR70,000, INR80,000. So by paying just INR10,000 interest even for 6 months.
Most of the people borrow for 3 months to 4 months. So they do not calculate the rate of interest.
It is the availability of money without going through a complex credit sanction requirement, within 30 minutes, that makes them avail this loan .

So their business essentially runs on return on effort, rather than return on equity. So it is the absolute interest in such a low amount is very practical for them rather than just looking at the rate of interest.
Moderator: Our next question comes from the line of Aditya Sen from RoboCapital.
Aditya Sen : Sir, my first question is about the spread. As of now the spread is of 6.9% in this quarter. And can you please let us know how will it shape going forward?
Rajesh Sharma: Can you speak a little loudly? We are not able to hear clearly.
Aditya Sen : Clear n

ow?
Rajesh Sharma: Please carry on.
Aditya Sen : The spread as of now is 6.9%. Going forward, can you please let us know how will it shape?
Rajesh Sharma: So spread should become slightly better by reduction in cost of fund and operational efficiency, we expect the spread quarter -on-quarter should improve ultimately. We expect this spread should be in the range of about 7.2% or so.
Aditya Sen : 7.2%. All right. That was my question. Rest have been answered.
Moderator: Our next question comes from the line of Vikrant Pankaj Shah from Choice Institutional Equities.
Vikrant Pankaj Shah : Hello. Firstly, congratulations on good set of numbers. So where do you see the AUM number and PAT at the end of FY '26 and FY '27?
Rajesh Sharma: So AUM at the end of FY '26 should be in the range of about INR32,000 crores. Profit should be in the range of about INR850 crores. At the end of FY '27, AUM should be in the range of about INR42,000 crores and profit should be in the range of about INR1,200 crores.
Vikrant Pankaj Shah : And my second question is, as the company increases its focus on the MSME segment, so do you have any plan to further expand AUM mix for the segment in the future?
Rajesh Sharma: Next year plan is frozen. We will continue to remain in the segment we operate in. And as I said earlier, the overall mix will be 40% in gold loans and rest MSME, affordable housing, and construction finance will be in the range of 2 0%. There could be variance between 2% to 3% here and there in any of the segments.

Moderator: Our next question comes from the line of Aakash Jha from AJ Wealth.
Aakash Jha : So just one question. I think in the last quarter, you had guided for 70 bps of credit cost. And now we have increased it to 80 bps, 90 bps, I think. So is this purely out of conservatism? Or are we seeing something on the ground that led to this revision?
Rajesh Sharma: No, no. I think when we have to give guidance, we should be a little bit more conservative. So we project that credit cost to be 90 basis. While historically, it has always been in the range of about 70 basis. But you always account for slightly increased credit cost when our Micro LAP portfolio is growing in proportion. So bei ng on a conservative side, when we project, we have say about 90 basis.
Moderator: Our next question comes from the line of Devansh Chandan from FinDock .
Devansh Chandan : My question is regarding the cost -to-income ratio. In this quarter, it increased from 46.9% to around 49% Q -o-Q. And as we know that we are going to add branches going ahead. So will there be any effect on cost -to-income ratio?
Rajesh Sharma: So first of all, the first quarter there is a INR15 crore one -off item. Last investor call also, we have disclosed that. And because of that, the cost -to-income was lower. Actually, if we adjust that amount of INR15 crores, it would have been in the range of 49%. So cost -to-income ratio more or less have remained the same. And as you know that despite putting up 86 branches, the cost-to-income ratio have been fairly in the same range.
Looking at the expansion, it can be 1%, 2% here and there. But by and large, coming year, cost -to-income ratio will remain in the same way. We expect it to be maybe in the range of 47% to 50%. In the 2 years' time, we expect it to come down by another 4% t o 5%.
Moderator: Our next question comes from the line of Vansh Solanki from RSPN Ventures.
Vansh Solanki : Yes. So my question is that as we have a very new book of Micro LAP and gold loan, so our credit cost is in a limit in 70 bps you have told, it is very natural. But if I see next 2 to 3 years, is there a chance that this will go to 1% or more even when our book gets old and Micro LAP also will increase. So there is a chance that our credit cost will also increase, right?
R

ajesh Sharma: So I do not think that our credit cost will go up more than 1% ever. And if you talk about the gold loan, there is no higher credit cost. Credit cost is coming only from the mortgage business. Micro LAP, the way we are building it with the help of data ana lytics and technology, we expect it to do better than many other players in the segment. And so far, our all metrics of collection

efficiency and others are giving that indication to us that Micro LAP will also behave in a very predictable fashion to us.
Vansh Solanki : And the second question is that you just guided for financial '27, is it AUM INR42,000 crores, that's real ly possible , 30% Y -o-Y growth you have mentioned, right? So will this be achievable because now the growth is also slowing down? When I see the last year, we have a growth in March '25 of 46% Y -o-Y.
As of September '25 we are standing at 40% growth. So annually the growth percentage is coming down, and our book is getting larger in size. So will the 30% be achievable in FY'27 or FY'28 or so?
Rajesh Sharma: Yes, we will be able to do that. We'll be able to do that, because we are doing branch expansion. And with that, it should be achievable.
Vansh Solanki : And the last question from my side, sir, you have mentioned 55% is repeat customers in your cycle. So what is the trend in the past, like there was 70%, 80% and that has reduced to 55%, which is increasing in the number of repeating customers? Can you just give the past history?
Rajesh Sharma: So I was talking about gold loan. Gold loan, there was earlier 50%. Now it has gone to 55%. Same customers keep coming back. So at least the business 55% customers are repeating, and that is very healthy. I would say the gold loan customers keep borrowing , again, repaying. This is the way gold loan operates. And this is a good number to have, that our customers who will come experience us. keep coming back to us.
Moderator: Our next question comes from the line of Mani shankar Mandal from Alembic .
Manishankar Mandal : Hello. Most of the questions that I had has been already answered. So you can pass on to the next participant.
Moderator: Our next question comes from the line of Shasank Shah, an individual investor. Since there is no response from Mr. Shah, we'll move forward to the next participant. Our next participant, the call from the line of Devansh Chandan from FinDock .
Devansh Chandan : I have one follow -up question. Do you have any guidance regarding the PAT number in next 3

years to 4 years?
Rajesh Sharma: PAT number?
Devansh Chandan : Yes.

Rajesh Sharma: So we said, this year INR850 crores, next year INR1,200 crores.
Devansh Chandan : And by FY '28, what number you are looking at?
Rajesh Sharma: PAT number for FY28 , we are not projecting yet.
Moderator: Our next question comes from the line of Gaurav Purohit from Systematix Group.
Gaurav Purohit : Congratulations on a great set of numbers. Just one question from my side, sir. You just mentioned that you are planning to grow the AUM to INR 32,000 crores this year and INR 42,000 crores next year. So are you essentially upping the growth guidance from a 30% CAGR to a 35% CAGR?
Rajesh Sharma: Yes, because the first half has gone very well, we are already up 40%. So basis these numbers, we have revised our guidance from earlier one to INR 32,000 crores.
Moderator: Our next question comes from the line of Vansh Solanki from RSPN Ventures.
Vansh Solanki : You just mentioning FY27 - INR1,200 crores of PAT on AUM of INR 42,000 crores. It's giving me approx. 2.8% ROA. So like we have just guided that it will be a 4.25% or 4.5% in financial '26. And we are guiding indirectly for FY 27 of 2.8%, like very big mismatch a

s I see?
Rajesh Sharma: So I think you have to look at the number of return on average asset rather than return on average AUM, because you have included the co -lending data also in that. So if you look at the ROA, that you have , there is a 20% co -lending. So if you adjust those data, the ROA will be in the range of 4% plus.
Vansh Solanki : So even I just assume there is the 20% book will be the co -lending and 80% of the AUM will be on -book AUM, then also it is coming around 3.5% only, like very far from 4.5% what we have guided for '26.
Rajesh Sharma: Can you explain about how you're calculating?
Vansh Solanki : So like you just told that INR 42,000 crores AUM, then the 80% of that is INR 33,000 crores approx., will be my on -book AUM. And INR 1,200 crores from INR32,000 crores will be only 3.5%. That's why , is there any mismatch what I am calculating or what?
Rajesh Sharma: You have to do opening and closing balances average also. You cannot take only closing.
Hardik Doshi : See, I think the guidance, which we just gave 4%, that is a return on average asset. So when you calculate, given the numerator is the P&L number, the beginning total asset is somewhere in the

range of around INR 25,000 crores. So then if you do an average, you will get to a number of around 4%.
Rajesh Sharma: So I want to explain, if you would like this. So closing of FY26 and opening of FY27 year will be INR 32,000 crores, assume 20% in co -lending. So it will reduce INR 6,400 crores from that. So it will become about INR 25,600 crores. Then you have to take closing of FY27 .
Vansh Solanki : Yes, yes.
Rajesh Sharma: Average both of them. And then if you calculate ROA 4%, it's about INR1,200 crores.
Vansh Solanki : So the same we can , we will be able to maintain for '27 and '28 also like, that I want a bigger picture in '28, will it be possible for 4% in long term also?
Rajesh Sharma: Yes, we are going to do business in a manner that we are able to deliver 4% RO A minimum.
Moderator: Ladies and gentlemen, due to time constraint, that was the last question for today. I now hand the conference over to the management for the closing comments. Thank you, and over to you, sir.
Rajesh Sharma: So to conclude, Q2 marked another quarter of a strong broad -based performance driven by geographical expansion, improving margins, enhanced cost efficiencies, and ongoing technology -led transformation. We remain well positioned to achieve 30% plus annual g rowth, while delivering sustainable ROE of 16% to 18%, ROA of 4% to 4.5% over a period of time. Thank you for your continued trust, and we look forward to building on this momentum in the quarters ahead. Thank you.
Moderator: Thank you, sir. On behalf of Capri Global Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

February6,2026
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ScripCode:CGCL
Sub:TranscriptoftheearningsconferencecallforthethirdquarterandninemonthsendedDecember31, 2025–Regulation30and46oftheSecuritiesandExchangeBoardofIndia(ListingObligationsand DisclosureRequirements)Regulations,2015(“SEBIListingRegulations”)
DearSir/Madam,
IntermsofRegulations30and46readwithclause15ofParaAofPartAofScheduleIIIoftheSEBIListing RegulationsandfurthertoourletterdatedJanuary20,2026,January29,2026andFebruary2,2026and otherapplicableprovisionsoftheSEBI(ListingObligationsandDisclosureRequirements)Regulations,2015 (“SEBIListingRegulations”),pleasefindenclosedherewiththetranscriptofEarningsConferenceCallfor thequarterandninemonthsendedDecember31,2025,heldonMonday,February2,2026,which concludedat1:02p.m.(IST).
ThesaidintimationswasreceivedbytheCompanyonFebruary06,2026at04.09p.m.(IST).
Further,pleasenotethatthisintimationisalsoavailableonthewebsiteoftheCompanyat www.capriloans.in.
Theaboveisforyourinformationanddisseminationtoallthestakeholders.
Thankingyou,
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Capri Global Capital Limited
Q3FY26 Earnings Conference Call
February 02, 2026

MANAGEMENT
MR. RAJESH SHARMA – MANAGING DIRECTOR
MS, DIVYA, DIRECTOR BUSINESS STRATEGY
MR. KISHORE LODHA, CFO
MR. SANJEEV SRIVASTAVA , CRO
MR. HARDIK DOSHI – HEAD, CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend
■ 10 Lakhs = ■ 1Mn
■ 1 Crore = ■ 10Mn
■ 100 Crores = ■ 1Bn
■ 1 Lakh Crore = ■ 1Tn

Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited Q3 FY '26 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Hardik Doshi from Capri Global Capital Limited. Thank you, and over to you, sir.
Hardik Doshi: Thank you. Good afternoon, everyone, and warm welcome to Q3 FY '26 Earnings Call for Capri Global Capital Limited. This is Hardik Doshi, Head, Corporate Finance & Investor Relations. Before we begin, as a brief disclaimer, the discussion on today's call regarding Capri Global Capital Limited's earnings performance is based on judgments derived from the declared results and information on business opportunities available to the company at this time.
The company's performance is subject to risks, uncertainties and assumptions that could cause results to differ materially in the future. In that context, participants on today's call are advised to consider the same while interpreting the results. The full disclaimer is available on Slide 63 of the earnings presentation. Participants are requested to kindly take note of the same. Format of today's call would be opening remarks by the management team, followed by Q&A.
Let me now introduce the management team from Capri Global Capital present on the call today. With us today, we have Mr. Rajesh Sharma, Managing Director and Promoter; Ms. Divya Sutar, Executive Director, Strategy; Mr. Kishore Lodha, Chief Financial Officer; and Mr. Sanjeev Srivastava, Chief Risk Officer. I would now request our Managing Director, Mr. Rajesh Sharma, to present his opening remarks on the results. Over to you, sir.
Rajesh Sharma: Yes. Thank you. Good afternoon, everyone. I hope you all are doing well and had a good New Year break. We announced our unaudited financial results for the third quarter of FY 2026 on 29th January. I trust you have had the opportunity to go through our earnings presentation, which is also available on our website.
Before I move on to the financial and operational highlights, I would like to touch upon the broader operating environment during the quarter. India's economy continues to demonstrate resilience amid a mixed and uncertain global backdrop. Domestic demand remains steady, financial conditions and government schemes are supportive and budgetary push for infrastructure spending, indigenous manufacturing and service sector will drive the consumption and credit growth.

India is expected to be among the fastest-growing major economies in FY '26, underpinned by a stable inflation trajectory and strong structural fundamentals. At the same time, the macro environment continues to be affected by external headwinds, including geopolitical issues, global market volatility and currency movements, underscoring the need for disciplined execution and prudent risk management for financial institutions.
Against this backdrop, I'm pleased to say that Capri Global delivered a strong quarterly performance in Q3 FY '26, continuing its growth momentum and maintaining asset quality, while delivering highest ever quarterly profit of INR255 crores, a 99% increase year-on-year. This performance reflects our strong execution capability and resilient business model even during the uncertain macro conditions.
Now coming to our detailed business and earnings performance during the quarter. The strong momentum we saw in the first ha

lf of FY '26 continued through the third quarter
across all our lending businesses. As of December 31, 2025, our consolidated AUM stood at INR30,406 crores, reflecting a robust 47% year-on-year growth and 12% quarter-on-quarter growth.

This performance was underpinned by broad-based expansion across segments. Gold Loan grew an impressive 80% year-on-year, while housing loan rose 40% year-on-year. Our co-lending AUM surged 93% year-on-year to INR7,138 crores, now accounting for almost 23.5% of total AUM, up from 21% in Q2 FY '26, highlighting our strategic focus on capital-efficient growth. Disbursements for the quarter rose 87% year-on-year to INR10,879 crores, supported by a widening distribution network and growing customer base.

Our growth remains granular, diversified and retail-led with our customer base now exceeding 6.3 lakhs, reaffirming the scalability and resilience of our business model. For our Gold Loan business, we delivered a strong and well-balanced performance in line with our strategic objective of growth driven by branch expansion while maintaining focus on effective risk management.

We successfully met our branch expansion target with the net addition of 68 new branches across South India. While last quarter, we focused on deepening our presence in existing geographies, this quarter, we marked our entry in high potential new geographies of Orissa, Andhra Pradesh, Telangana and Karnataka to support the next phase of growth.

Gold Loan AUM saw robust growth, increasing from INR10,170 crores at the end of September to INR12,799 crores by December, a sequential increase of 26%, led by healthy customer demand and improving branch productivity. In the context of rising gold prices, we maintained conservative loan-to-value ratios while ensuring strong collection practices across the portfolio. Asset quality remained a key focus.

Our Gold Loan gross NPA stood at 0.39% as of December, underscoring our focus on risk management and portfolio quality even amid rapid growth. Overall, Q3 marked an all-round performance for the Gold Loan business, combining scale alongside strong credit discipline and operational execution with branch productivity increasing to INR14.1 crores AUM per branch.

Our MSME AUM grew to INR5,886 crores, up by 19% year-on-year, supported by steady execution and network expansion. In the MSME business, all 16 branches in Uttar Pradesh, we opened in Q2 FY '26 are now fully operational. And by December end, these branches have achieved monthly disbursement run rate of INR9.5 crores, and we expect this to cross INR20 crores per month by March.

During the quarter, we also commenced MSME operation in prime urban markets such as Mumbai, Pune and Delhi which will help diversify and strengthen our overall customer risk profile. Within MSME, our Micro LAP business continues to gain strong traction with AUM rising to INR650 crores. This vertical enables us to serve emerging self-employed borrowers with a smaller ticket size requirement. In Micro LAP, we added 14 branches during Q3, taking the total branch network to 151 branches as of December end.

Our immediate focus now in this segment will be on improving sales productivity and operating efficiency across the expanded network before undertaking the next phase of branch expansion. Housing AUM stood at INR6,490 crores, delivering a year-on-year growth of 40%. We continue to see resilient demand across the affordable housing segment where rising income level and lower interest rate regime are driving demand for housing loans.

With net addition of 18 branches, we further expanded our presence in high potential South India market by entering the state of Andhra Pradesh and Karnataka. This strategic expansion is step towards becoming a national player in housing finance, increasing portfolio granularity and support y

ield expansion over time.

Our construction finance AUM saw steady growth of 37% year-on-year to INR5,109 crores, now funding over 279 active residential projects with an average ticket size of INR37 crores sanction-wise and outstanding portfolio ticket size of INR18 crores. The book remains granular and well diversified by geography, reflecting our focus on working with midsized and small developer in metro and Tier 1 cities.

We continue to emphasize disciplined underwriting through rigorous due diligence and escrow-based cash flow management, ensuring a risk-first approach. Our total branch network expanded to 1,331 locations in Q3 FY '26 with a new addition of 107 branches during the quarter, while our employee base increased to 13,066, up by 7% quarter-on-quarter.

Our entry in new geographies is a step towards our ambition of building a pan-India footprint, enhance customer reach and increase brand visibility, laying the foundation for the next phase of growth. Let me now provide an update on our core earnings. Our yields and spread on net advances remained healthy in the quarter at the 16.4% and 7%, respectively, driven by continued loan book expansion, decline in cost of funds and enhanced margin.

Our net interest income for Q3 FY '26 stood at INR510 crores, representing a strong 48% increase year-on-year. We continue to strengthen our noninterest income stream in Q3 FY '26, reinforcing our strategy of building a diversified and resilient earnings profile. Non-interest income grew 124% year-on-year and 18% quarter-on-quarter to INR240 crores, contributing 32% of our net total income for the quarter.

This strong increase was largely driven by growth in commission of insurance distribution and co-lending fee income. In our insurance distribution business, we generated fee income of INR34 crores during the quarter. Q3 marked an important strategic milestone with the deployment of the upgraded Capri Care insurance ecosystem. During the quarter, we unveiled a refreshed brand identity and fully digital end-to-end platform that enables instant real-time policy issuance, significantly easing insurance adoption across our retail customer base.

More importantly, we have expanded our product portfolio beyond traditional financial indemnity product to a holistic wellness-led offering. By embedding preventive health care solutions such as annual health screening and cashless consultation into the ecosystem, Capri Care is evolving from a claims-product offering into a proactive health and protection partner for our customers. This digital-first and integrated approach is expected to drive higher insurance penetration, improve customer engagement and meaningfully enhance fee income contribution over time.

Our co-lending income stood at INR116 crores, driven by higher disbursal volumes and deeper engagement with partner banks. This capital-efficient model continues to enhance ROE, diversify funding sources and scale fee-led income without incremental balance sheet strain. Our car loan distribution business maintained its steady momentum with origination of INR3,290 crores in Q3 FY '26, up 15% year-on-year.

With a growing footprint and deep relationship across 14 partner banks and financial institutions, we have built a scalable platform with pan-India network in this segment with potential to monetize further for distribution of other products. On the expenses front, our operating expenses increased 15% quarter-on-quarter. This was mainly driven by increase in the employee cost on account of net addition of 869 employees quarter-on-quarter and increase in employee incentive linked with higher disbursement.

Our continued focus on operating efficiency is visible with the cost-to-income ratio improvi

ng 51.6% in Q3 FY '26 compared with 58.2% in Q3 FY '25. This sharp improvement underscored the benefit of a maturing branch network, rising productivity and a strong operating leverage across our businesses.

As a result of margin expansion, improvement in operating efficiency and a strong traction in fee income, our pre-provision operating profit surged 92% year-on-year to INR363 crores for the quarter. Further, we continued our strong profitability momentum in Q3 FY '26, delivering a robust PAT of INR255 crores, up 99% year-on-year. Our return ratio considerably improved during the quarter with ROE of 15% and ROA of 4% for the quarter.

Coming to our asset quality, our impairment cost for the quarter stood at INR23 crores in Q3 FY '26, down from INR31 crores in Q2 FY '26 or 0.4% of the gross loan book and our provision coverage ratio on Stage 3 loans improved to 43.6%, demonstrating our prudent provisioning and conservative approach to risk management. Our Stage 2 assets increased by INR95 crores quarter-on-quarter and were 4% of gross loans.

However, our Stage 3 ratios improved quarter-on-quarter for Gold Loan, Housing Loan and Construction Finance and remained flat for MSME loan. At consolidated level, our Stage 3 assets remained flat at INR275 crores quarter-on-quarter, resulting in our gross Stage 3 ratio at 1.2%, down sequentially by 10 basis, while net Stage 3 ratio stood at 0.7%, down 7 bps sequentially.

Let me talk about liability side. Our borrowing increased by 38% year-on-year and incremental borrowing sanction limit year-to-date this fiscal was around INR6,860 crores. We added 11 new lender relationships year-to-date, taking the active relationship now to 30-plus. We also continue to diversify our borrowing mix by raising funds through other instruments such as NCDs and commercial paper. During the quarter, we raised INR635 crores from NCDs and commercial paper.

As a result of MCLR reduction and our effective effort on repricing existing liabilities, we are happy to share that we saw quarter-on-quarter reduction of 24 basis in our cost of funds.

Following equity capital infusion of INR2,000 crores in Q1 FY '26, our balance sheet is now significantly stronger with a low leverage ratio of 2.8x, providing ample headroom to support accelerated growth across business segments.

Our stand-alone capital adequacy ratio of CGCL is at 30.3% and 24.8% for Capri Global Housing Finance Limited. Our liquidity remains comfortable with INR4,274 crores in cash and bank balances, investments and undrawn credit lines across CGCL and CGHFL. Our technology investments continue to deliver tangible outcomes and to understand the sustainability of these numbers, we need to look at the engine powering them. 4 years ago,

we began rebuilding Capri as a platform-centric NBFC, and that decision is now generating exponential operating leverage. Our performance is not just the outcome of incremental manpower, it is also the product of scaling our systems. Our in-house technology stack delivers higher disbursement, sharper credit selection and shorter cycle times, all without a proportional rise in cost.

Our disbursements are up 87% year-on-year. However, manpower has increased by just 19% year-on-year, driven largely by the addition of 265 new branches year-on-year rather than rise in core operating load. This is the compounding effect of AI native operating model, one where productivity, speed and the risk discipline accelerate together and where growth is driven by architecture, not headcount.

We have built an AI-first lending platform from the ground up and embedded at the core of our credit architecture made around the critical element of clean, governed continuously in this data. The customer journey runs on a fully native, seamless flow from digital onboarding through our mobility app called S

PARK into a centralized loan origination
system called Orion that orchestrates complex workflows end-to-end.

This foundation delivers insight, speed and risk precision that legacy vendor-led ecosystem cannot match. This distinction is most visible in our proprietary intelligence model, for credit and for collections. Credit model acts as a vigilant guard, moving us from static scoreboard to dynamic risk compliance, while collections model drive time-driven escalation aligned to delinquency aging.

Our agentic communication stack across voice, WhatsApp, SMS and GenAI bots now manages customer engagement end-to-end. It sends nuggets automatically, analyze call transcripts, detects early risk signals and triggers the right action instantly, creating a real-time high accuracy feedback loop across the collections funnel.

On ground, our field collection executive operates on a specialized geotech mobility app called Pegasus, ensuring fast-moving wide coverage execution by optimizing routes and tracking widgets in real time. This structurally lowers the cost of collections and improve cure rates without expanding our feet on the street workforce.

Underpinning this capability is a robust hybrid multi-cloud strategy and unified data foundations that feeds our real-time executive dashboards ensuring that decisions regarding funnel visibility and asset quality are backed by live data. We have modernized the entire application development life cycle by embedding artificial intelligence at every stage, driving an 83% year-on-year improvement in employee to PR code productivity. With AI-driven automated reviews and agentic testing framework, we have brought our error rate down to below 5%, supported by 4x increase in code coverage year-on-year. As

a result, we are delivering new features faster with higher reliability and with leaner teams, giving us a sustained execution advantage. This velocity translates directly into business outcomes and customer experience.

Consequently, products like Gold Loan have a turnaround time of less than 30 minutes and our preapproved top-up loans are disbursed in 60 seconds. We are monetizing trust and leveraging the India Stack to acquire and verify customers at very low cost. Importantly, we have ensured that speed does not come at the expense of governance and is aligned with regulatory guidelines.

The technology foundation is in place. The systems are mature and are built to compound earnings at scale. On the ESG front, I am pleased to share that our ESG practices have been recognized by leading global independent rating agency, including S&P Global and Morningstar Sustainalytics.

Capri Global has achieved an S&P ESG score of 71, the highest among all NBFC peers and has been assessed as Low ESG Risk by Morningstar Sustainalytics. These ratings place us firmly among the leaders in ESG practices within the NBFC sector and reflect our adherence to globally benchmark standards.

Importantly, these assessments are based entirely on publicly available independently verified data, underscoring the strength, transparency and resilience of our governance and operating model. We shall now be happy to take your questions.

Moderator: The first question is from the line of Aman Baheti from InCred Capital.

Aman Bbaheti: So my first question is, with our ongoing investments in distribution, how should we think of the benchmarks like AUM per branch, per employee that signal our transition from build out to operating leverage in Gold and Micro LAP businesses?

Rajesh Sharma: Yes. Thank you. So as far as the AUM per branch is concerned, Gold Loan as we have narrated in our call also that it has already crossed INR14.1 crores per branch AUM. And we expect this Gold Loan AUM continued to grow in line with our -- there are many branches which are still less than INR10 cror

es, while the AUM is 14, where some of the branches are about 25, some of the branches are below 10.

So, there exists a good scope that these branches will continue to deliver a 30% plus growth. Plus, we intend to add more branches. So currently, if you talk about 910 branches, there are about 20% branches are more than INR20 crores per branch. Between INR5 crores to INR 20 crores per branch, almost there are about 67% branches. And there are some newly opened branches we opened in the last 2 quarters, less than INR5 crores. So those branches will continue to grow, plus we also intend to add the new branches.

So, the existing branches will also continue to grow with the addition of the opening of the new branches. So, per branch AUM, we can expect we are at INR 14.1 crs and these existing branches will continue to grow for 30%, and then there will be addition of the new branches.

If we talk about Micro LAP, which we are opening about 151 branches currently, the AUM is about INR650 crores, which is average about roughly -- about close to INR5 crore plus. These branches will deliver AUM about, say, INR10 crores by the next year. And we intend to achieve INR3,000 crores of AUM in about another 2.5 years from now. So that is the trajectory we are following.

Aman Bbaheti: So, second question is in line with our portfolio mix. So, as we are seeing a shift from traditional lending towards Gold loans and Co-lending. So -- but our NIMs have remained largely unchanged. I mean, so what's our outlook there on Gold Loan yields?

Rajesh Sharma: Gold Loan yields are currently in the range of about 17.8%. And overall -- if we talk about the overall yield of the company, it is about 16.4% at the portfolio level. With the increase slightly in the Gold Loan portfolio, the overall yield and spread will improve plus Micro LAP segment is also increasing, where the yield is also -- is going to be supportive. We expect the Gold Loan to remain in the range of about 18%.

Likely, there will be improvement about 20–25 basis going forward by various retail loan -- Gold Loan focus, we are bringing it now increasing the branches. So there, we should see some improvement in our yield plus certain other measures we are taking. So overall, Gold yield is likely to be 18% and our overall yield of the company, which is 16.4% should improve slightly. It should improve by 20 to 25 basis in next year.

Moderator: The next question is from the line of Sohail Kanalil from ULJK Financial Services.

Sohail Kanalil: Very good -- congratulations for the good performance in this quarter. I had a couple of questions to ask. So basically, we have seen Co-lending has been scaling faster from 20% to 22.5% in Q3. And how do we -- how do you see this shape up going ahead? Do we -- is this going to keep increasing further on?

Rajesh Sharma: I think Co-lending will remain largely in the current range of between 22% to 23%. We do not intend to grow it further from this level. And we are able to maintain, this is a very good level to have it. It's very, very highly ROE accretive. And there is a focus of regulators as well as the banks to partner in the Co-lending so that it is a collaboration between the low-cost fund and the low-cost collection efficiency of NBFC and low-cost fund of the banks. But we intend to maintain this level.

Sohail Kanalil: Got it, sir. And one more question I had regarding -- so how these gold loan prices have -- I mean, the gold prices itself has gone up significantly in the last few quarters. And right now it has peaked. So, if we see further downside in gold prices, what kind of scenarios have you embedded for your loss and provisioning have you done for that?

Rajesh Sharma: Yes. So, I think it's a very good question i

n the recent times of the volatility of the gold loan. But as a company, we follow the very conservative practice in terms of the way we decide the LTV. In the rising trend of the gold, we reduced our LTV. So during the January, whatever we disbursed, our loan disbursement was happening at the LTV about 64% against the 75% permitted. And the portfolio level, our LTV is 60% overall. So it means we have a portfolio level 40% margin in the current trend.

So second thing is that the moment we also have a system that early warning triggers we are able to send to the customers through SMS and WhatsApp messages in case anybody's LTV breaches. And at individual level where the loan amount is anything between INR 50,000 to INR 2 lakh, if the gold prices have fallen and the margin call trigger, we send the message.

And we manage the dynamic collateral monitoring where we monitor the portfolio and individual loan account system-wise and take the prompt corrective action. Borrowers are required to restore the margin within 14 days of intimation, limiting prolonged exposure during period of price correction. And then we retain the right through our agreement to initiate auction of gold, including prior to loan maturity if collateral coverage becomes inadequate or borrower risk increases materially.

So there are various safeguards inbuilt. If you talk about currently, as I said, in the January month, our all disbursements where we are taking the -- we have disbursed the loan where the AUM was only 64%. So 36% of the margin we have maintained during the time when the gold was going up one way. Between December and January, we were maintaining our fresh disbursement LTV not 75%, but between 65% to 70%.

So there also, we have taken a conservative approach. Also the gold loan lending happening on the 30-day -- last 30 days average price. Accordingly, rate per gram is decided. So basis all these frameworks, we are at quite comfortable position where the LTV just 60% at a portfolio level.

Sohail Kanalil: I think the book has been very well managed.

Moderator: The next question is from the line of Varun Dubey from Share India Securities.

Varun Dubey: First of all, sir, congratulations on your superb set of numbers. I mean the company has shown really good growth. If you can just throw some light on what was the reason for

decline in the overall net interest margin to 9.1%. And also the company has said that the overall spread would reach to 7.2% going forward. So I mean, does the company stay with the same guidance for spreads we have said?

Rajesh Sharma: I think what is the relevant indicator to track is the spread and the spread has not come down. The spread has improved from 6.9% to 7%. So there's an improvement in the spread and our margin. As regards net interest margin is concerned, the more you leverage, net interest will fall. So I think right indicative spreads where we are showing an improvement of 10 basis from 6.9% to 7%.

Varun Dubey: Okay, sir, but you have guided for 7.2%, I remember in the second quarter. So do you stay with the guidance of 7.2%? I mean will we see more 20 basis point improvement in spread in the fourth quarter?

Rajesh Sharma: Yes, there will be improvement in the fourth quarter in the spread further. On the back of our AUM of the Gold Loans rising, some support will come from the scale benefit and also from the cost of fund is going down. So already, we reduced about 24 basis cost of fund now in the last quarter, some of the loan will get further reset and the mix of borrowing of the short-term commercial paper and other measures, our overall spread will continue to improve. And I think we've given a guidance of 7.2%, which we hope to deliver that.

Varun Dubey: Okay, one last question I just wanted to understand on your Gold Loan branches because I remember you're saying

995 branches was a target for FY '26. I mean what would be the
addition for Gold Loan branches in FY '27? I think so there was a separate RBI approval
that the company needed for additional branches. So what's the update on that, sir?
Rajesh Sharma: So I think the branches which we will add in the last quarter of the Gold Loan, we'll let
them stabilize and achieve at least 6 months' time. We'll approach the RBI at appropriate
time and RBI give their approval and decision within 45 days. So in the second half of FY
'27, we'll announce the expansion of our Gold Loan branches based on what time we
approach and subject to our approval and program. And accordingly, we'll announce at the
right time how many branches we'll be adding in the second half.
Varun Dubey: Once again congratulations on the superb set of numbers.
Moderator: The next question is from the line of Ishank Gupta from Choice Institutional Equities.
Ishank Gupta: So my first question was for Gold Loan segment that we have already observed a sharp
decline in yields. So what was the primary reason? Was it because of higher competition?
Or -- and I couldn't hear properly, so could you reiterate what is the expansion we are seeing
in the yields of Gold Loan?

Rajesh Sharma: As far as expansion is concerned, by current quarter, we will be ending up 999 branches of
the Gold Loan. And last quarter, you have seen we have added about 68 branches in gold
alone. As far as the yield is concerned, the decline in the yield in Q3 FY '26 compared to
Q2 FY '26 is directly linked to our strategy of expanding the retail loan book with a
particular focus on the smaller ticket size loan in rural markets.
This shift has been effective in driving customer acquisition and enhancing market reach,
but it naturally result in lower average ticket size and a slight compression of the yield.
Furthermore, the rural market has seen improved cash flow availability due to the
harvesting cycle, allowing customers to make timely repayment, access rebate schemes and
remain within the lowest ROI brackets. However, next quarter, we expect the yield to
improve by 20 basis or so.
Ishank Gupta: And any further expansion in '27 and '28?
Rajesh Sharma: '27, '28, we will go to our regulator for the approval. And second half, we'll announce our
phase of expansion in the Gold Loan branches. First half, we will try to make our existing
branches which opened in last 3, 4 months to make them grow and achieve the breakeven.
And thereafter, we'll go for the next expansion round.
Ishank Gupta: And sir, what about the expansion in other branches other than Gold Loan? What do you
pencil in for FY '27 and '28 other than Gold Loan?
Rajesh Sharma: So in the MSME, Micro LAP and Home Loan, we are continuously adding. So next year,
we can assume that between 100 and 125 branches across Micro LAP, MSME and Home
Loan, we will add.
Ishank Gupta: Understood. So sir, taking further on the point of MSME sector, the government has
continued its stance of supporting the MSME sector. So based on that, can we assume our
exposure towards MSME should also improve? So what would be the AUM mix within
next 1 to 2 years?
Rajesh Sharma: So you have seen this quarter also, overall, we have shown the 19% growth in the MSME
segment. So if you talk about the composition of AUM, currently, Gold is about 42%, and
which will improve to about 45%–46%. As regards MSME and Construction Finance and
Housing is concerned, they will largely remain in the range of about 18% to 20% each one.
Ishank Gupta: Understood. Understood. And sir, we have already reached our exposure to 40%. So we
are currently penciling 45% is our exposure towards Gold Loan. So currently, the gold
prices have already witnessed high volatility in January. So do you see a good growth based
on it if the prices do fall further or has volatile

in Feb and March?

Rajesh Sharma: So even though some price correction, which we've already seen happening, but on ground,
there is still the larger market of the gold loan is still exist in the informal segment with the
small money lender and the small jewellery shop who also do the lending activity. That
market is continuing to shift to the organized sector because of the fair practice and the
better interest rate. I believe that still a lot of market, which is going to shift from the

informal to formal. And we'll see decent growth in the Gold Loan segment in the coming years.
Moderator: The next question is from the line of Prit Nagersheth from Wealth Finvisor.
Prit Nagersheth: Sir, my question is that given that the borrowings announced in the budget is going to be more and this will increase the -- this will result in higher yields for government finances.
Do you see an increase on cost of funds for the company because of that for FY '27?
Rajesh Sharma: So I put it this way that across the level if the cost goes up, then by all the lenders, that is actually get passed on to the borrower. But any cost reduction happens because of a better credit rating or otherwise, that benefit accrue to us. So in case the cost goes up, we'll be able to pass on because that will happen for every lender.
And that cost will -- of course, will get passed on to customers. So that will not change our spread. However, any cost reduction which we achieve because of our mix of borrowing by using the short-term instrument like commercial paper or short-term NCD or by improvement in credit rating, these 2 factors, that benefit will directly accrue to the P&L.
Prit Nagersheth: So what happens in the case where banks who are competing with gold loans in companies like Capri Global, for them, their cost of funds do not increase as much as they will be for an NBFC, so because of heightened competition, could this result in the yields on gold loans coming down?
Rajesh Sharma: So in any case, banks are lending at less than 10%. And the gold loan NBFC are lending anything between 15% to 18% rate. So already that difference is there. So -- but the customer segment of the bank and NBFC will be entirely different. Second thing, focus of the gold loan NBFC is purely only on the gold loan customer where the banks do many other products also.
So attention to the customer, customer serving to the small borrower borrowing INR30,000, INR40,000, INR50,000 for a 6-month loan where banks margin may not be even INR500. The service and attention of the NBFC is going to be the key differentiating area. It is not that the banks are not lending today at low rate. So that 25 basis here is not, even the today difference is more than 500 basis points.

But still all the gold loan NBFCs are continuing to grow. So I think that is not the factor of rate of interest, what rate banks are lending, what rate we are lending they are entirely 2 different segment of customers.
Prit Nagersheth: Got you. The other question I had was regarding the gold LTV. So you explained right now regarding the prior participant. The question I wanted to ask was that till what price of gold are we comfortable, after which if it falls, we would have to start -- as you explained, you would have to start calling customers and managing that. So what kind of price fall would you still be okay with?
Rajesh Sharma: So you have to understand it is like this, that a customer whom we have given a INR1 lakh, say INR1 lakh against the gold of INR1 lakh, we have given a INR75,000 of loan. That is a regulatory limit. But our portfolio currently sitting at INR60,000. It means that our portfolio is already at INR60,000. Assuming that somebody we have given the loan in the mont

h of January when the gold loan prices have gone up 10%, again then followed more than 10%.
That time, we were having margin on loan-to-value around 25%, but now we are following a loan-to-value of only 65%. So 35% margin we were taking. Even though gold loan prices fall 10%, still that -- till then, it will remain within 75% range. The moment LTV breaches, where the LTV exceeds 75% because of the reduction of the gold loan value, suppose some customers, LTV has begun 78% or 79% on a particular day, 4% breach in a INR75,000 loan, which means that INR3,000 we have to recover from him.
From the system, auto message will be sent to the customer that your LTV has been breached by this in this amount within 14 days if you don't restore the margin, we have the right to auction the gold plus it will also invite the penal charges and this and that. Customer is being called by the branch and SMS is already sent to him and recovery is done. So customer -- so it is not that in 1 day, 25% correction will happen and we are out of the money.
Correction will happen gradually and there is a automatic system-based alert and calls are triggered, and recovery is made from the customer. Individual customer, we have to INR3,000, INR4,000, INR5,000 only to make up that margin. In the worst scenario, we will end up in selling the gold and realizing our money.
Our ticket size being so granular and the risk is so diversified, this does not pose a real risk in terms of recovery, gold being so liquid and gold is the only asset class where customer

part with the possession, it remains in our custody. So there is no process of taking the posession, something like that in property. Here, gold is in our possession, we can sell and realize dues. So there's no real risk against as such.

Prit Nagersheth: Got you. Got you. The other question I wanted to understand is that what kind of growth momentum do you foresee for quarter 4 and also for the next financial year, if you can give some guidelines?

Rajesh Sharma: So I think we have said that this year, we will continue to deliver a growth AUM to be in the range of about INR33,000 crores to INR34,000 crores, and we are on that track. Already, we achieved INR30,400 crores this 9 months period. And we will continue to grow. Next year, we have revised our guidance to deliver anything between about INR43,000 crores to INR44,000 crores. Earlier, we said that we'll achieve INR50,000 crores AUM by FY '28. Now that guidance we revised to reach to INR55,000 crores by FY '28.

Prit Nagersheth: So alongside this growth, do you have any targets for your ROAs and ROEs. What you would think...

Rajesh Sharma: I think we are -- we have already delivered in this quarter, 4% ROA, and we continue to maintain that. Our aim will be to deliver ROE in the range of about 16% plus and ROA anything between 4% to 4.25%.

Moderator: The next question is from the line of Mr. Bansal from NBG Investments.

Bansal: My question is on this Gold Loan ratio, while answering the earlier participant questions, you said that you have a margin of around 35% to 40%. But I see your presentation where you said that your loan-to-value ratio is around 72%, which means that you have the margin of around 28% to 30%. So can you help me understand what is these 2 things?

Rajesh Sharma: So what I think you have seen the Slide number 8 is referring the incremental disbursal. So incremental disbursements all 3 months, if you have seen Q3 FY '26 showing is 72%. Now 72%, thereby, it would mean that on the day when we disburse, suppose we disburse in the month of November and gold prices have gone up, thereby it would mean that my LTV will keep coming down. So in the current trend where the gold was going up, our LTV started falling. We are able to clarify you?

Bansal: Yes, yes, yes. Understood. Understood.

Moderator: The next question is from the line of Vikrant Pankaj Shah from Choice Institutional Equities.

Vikrant Pankaj Shah: Could you share your perspective on the medium-term capital trajectory as growth continues, as capital adequacy converges towards target levels, how should investors think about trade-off between growth leverage and potential capital return?

Rajesh Sharma: We have adequate capital, as I explained, currently, it's about in the range of about 30%. We have adequate capital to support our growth for next 2 years. So till FY '28, the AUM, whatever we intend to reach of INR55,000 crores. Within that, as I said, 23% is off-balance sheet item, which is the co-lending. For that, there is no capital allocation required. So keeping that in mind, we are -- we currently only have about 2.8x leverage. We are quite comfortable to achieve our target AUM for FY '28 with the current capital.

Moderator: The next question is from the line of Vikramaditya Gajbar from Ventura Securities.

Vikramaditya Gajbar: My question is, given higher competition in secured MSME and LAP, are new loans coming at similar economics as before? If pricing is getting tighter, how are you compensating through underwriting discipline or risk controls?

Rajesh Sharma: So I think the biggest lever we are focusing, as you said, we are using technology platform across the way we onboard the customer, the way we process our loan, the way we do underwriting and later, how do we do collection of the loan. The entire focus is how do we improve our productivity by continuously improving. And these technological led initiative platform and AI -- agentic AI tools are making a sea change.

If we can say that our -- while number of branches have gone up significantly, AUM have been doubled, our manpower have -- headcount have increased only by a marginal 19% of that. So our focus is going to become how we become operationally very, very efficient by using all these tech and data science tools. So our focus is going to remain that same amount of disbursement we do with the less number of people with the less operating cost and our

model has become very, very robust.
And that is driving our ROA and ROE. If you see quarter-on-quarter, the improvement have been seen despite we continue to remain in growth phase, while we continue to add on the branches, the new capital has been added and still we are able to deliver the ROA of 4% and ROE about 15% as a result of the focus on productivity, efficiency using the technology and data science tools.
Moderator: The next question is from the line of Sagar Shah from Spark Capital.
Sagar Shah: Congratulations, sir, for such excellent set of numbers. Majority of my questions are answered actually. I just had one question. We had -- we have been affirmed by CRISIL, the rating of A1+. And our cost -- average cost of borrowings, stands at 9.5%. And the lowering of cost of borrowings is one of the major things for us behind our ROA accretion. So you guided around a few quarters before that our cost of borrowings is expected to come down once the rating gets upgraded. So any -- something like talks with the rating companies so that it's a big driver for us regarding our return ratio, sir?

Rajesh Sharma: So I would like to say that cost of funds have already been reduced by 24 basis on the back of a strong performance. The internal rating model, which banks follow, this is that they have reduced the rate of interest in risk spread. Further, we are diversifying the borrowing by mixing the short-term loans, which are available. It is shorter tenure, but at lower cost like commercial paper and short-term NCD. So 24 basis is already achieved. And we expect on the back of good performance, credit rating should happen

.
Now not that credit rating agency tell that in advance, it will happen. But we believe it is a focus on continuous effort and better performance will yield to the rating upgrade. Whenever it happens, that they decide and they let everyone know in the public domain also. But without that also, by mix of borrowing and other measures, we see that continuously we will bring our cost of funds further down.
Whenever the credit rating happens, maybe after annual result or when, everybody will let you know. But there's a sharp focus on reducing the cost of fund by another 24–25 basis so that whatever 50 basis we expected that we bring it down in the next 3 to 6 months' time.
Sagar Shah: Okay. So basically, due to the RBI rate cuts and follow-through from the banking system, you are estimating around 25 to 50 bps, another one. But if the rating gets upgraded to more AA+ or anything like that, then what is the minimum expectation that the company has of lowering the cost of borrowings because that will be in line with the top A NBFCs, that is right, and that will be a big trigger for companies like Capri Global sir?
Rajesh Sharma: As we said, 24 basis is already achieved. Another 24, 25 basis, we intend to achieve in the next 3 to 6 months without accounting any rating upgrade. Whenever the rating upgrade happens, it is a gradual process that a lot of other avenues open up. And then banks also take the measure. And then another, it takes 6 to 9 months to actually effect to come in the P&L because the rating reset of the existing borrowing happened at the reset date. New borrowing immediately start happening at the lower rate.
So it is a process which happened by -- in a gradual manner, not that the moment rating upgrade happen, the entire borrowing cost comes down. But, yes, in 6 to 9 months, the effect can be seen. So again, 24 basis is already achieved, another 20 to 25 basis we'll achieve another between 3 to 6 months' time. And whenever the rating upgrade happens, that will happen, the cost advantage will accrue between 6 to 9 months from there on.
Sagar Shah: Again, congratulations for excellent set of numbers.
Moderator: The next question is from the line of Ninad Jadhav from LKP Securities.
Ninad Jadhav: Sir, my question is on Micro LAP. So you mentioned you are targeting a portfolio of INR3,000 crores in next 2 to 3 years. So if you could share some color on customer

demographics like what is the yield you're targeting and the average ticket size of the portfolio? And also what are the driving factors you are seeing that you would be able to achieve this target in next 2 or 3 years?
Rajesh Sharma: Micro LAP average ticket size is about INR5 lakhs. It is collateralized by security. The yield is in the range of about 23% to 24%. And currently, AUM is about INR650 crores from the 151 branches. In next 3 years' time from now, we intend to have a loan book of about INR3,000 crores.

Ninad Jadhav: Any ground situation you're seeing, how is the customer behavior or how is the repayment ability? So the factors that would help in achieving your...
Rajesh Sharma: Currently, our collection efficiency in the range of a micro level is 99%, which is very, very good. And we -- not like other Micro LAP, we are using here technology and other tools to see that we are able to -- at the time of sourcing the customer, bad customers are rejected there itself. So GNPA at Micro LAP, GNPA at the end of third quarter is about 0.9%, which is very, very good.
Our P&L account for -- even the NPA -- GNPA happen in this range because we are making the yield about 23%, 24%, even 2%, 2.5% is reasonable. But since it's a new portfolio, and we are continuing to focus on our technological tool, I think the way we are sourcing customer, way we are underwriting the customer, we are going to create the new benchm

ark in the industry in the Micro LAP.
Moderator: The next question is from the line of Mokshang Sanghvi from BSC Advisors.
Mokshanki Sanghvi: So, I guess, majority of my questions have been answered. My specific query was on the resignation of the CEO. So the person was appointed and resigned within a period of less than 4 months. And I just -- and there were some rumors in the market as well. I just -- if the management could provide a little more clarification than the sentence that was provided in the press release that he is pursuing the personal entrepreneurial journey, it would be a little more better for us?
Rajesh Sharma: Yes. Thank you. So yes, Mr. Monu who was based through and throughout from Delhi, he was earlier in IIFL. We hired him. And within a -- before actually he gets settled down, I think rather than coming to Bombay and shifting his base here, he thought and reconsidered his decision in terms of that at this juncture of his 52 age, he would like to pursue some entrepreneurial opportunity. And he changed his mind, and he has gone back to Delhi, and he's told us that he's going to start something entrepreneurial in fin-tech space.
Having said that, not that he has built some businesses and involved. He just recently came And within a short span of time, less than a quarter, he made up his mind. So neither he

brought any certain number of team members along with him. So there's an impact of team coming, team going.
And I don't think it has much impact. There's an adequate number of professionals in team in each vertical, be it MSME, be it Gold, Micro LAP, Housing Finance, Car Loan. There's a separate risk head, there's a group CRO. So all that is in place, and it is not going to have any adverse impact as such.
Mokshanki Sanghvi: Understood. My specific issue was on the front that if there's such a high-level KMP is entering the company and leaving in such a short span of time, it might have a signal that there are some type of underlying issues or something. But, I guess, your answer addresses my question.
Moderator: Ladies and gentlemen, due to time constraint, that was the last question. I would now like to hand the conference over to the management for closing comments.
Rajesh Sharma: Yes. Thank you. To conclude, we all know that we delivered a strong performance in Q3 FY '26 with a healthy AUM growth across our key lending segments, supported by a diversified and predominantly secured portfolio. Profitability improved during the quarter, driven by changing mix to high-yield products, improving margins, strong growth in fee income and operating leverage from our existing branch network, while asset quality remained resilient.
With a strong capital position and continued investment in technology and distribution, we are well positioned to scale efficiently and are confident of increasing our AUM target to INR55,000 crores by FY '28 and sustainable return on average equity of 16% to 18% and return on average asset in the range of about 4% to 4.25% by FY '28. Thank you.
Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

May 0 8, 2026

The Secretary
BSE Limited
Pheeroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 531595 The Secretary
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No - 'C' Block, G Block
Bandra -Kurla Complex, Bandra (East)
Mumbai – 400 051
Scrip Code: CGCL

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 2026 – Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”)

Dear Sir /Madam,

In terms of Regulations 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations and further to our letter dated April 24, 2026, April 30, 2026 and May 04, 2026 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”), please find enclosed herewith the transcript of Earnings Conference Call for the quarter and year ended March 31, 202 6, held on Monday, May 04, 2026 , which concluded at 04:58 P.M.(IST).

The said intimations was received by the Company on May 08, 2026 at 12:30 P.M. (IST).

Further, please note that t his intimation is also available on the website of the Company at www.capriloans.in .

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,
for Capri Global Capital Limited

Yashesh Bhatt
Company Secretary & Compliance Officer
Membership No.: ACS 20491

Encl.: As above

“Capri Global Capital Limited
Q4 FY '26 Earnings Conference Call
May 04, 202 6

MANAGEMENT
MR. RAJESH SHARMA – MANAGING DIRECTOR
MS, DIVYA , EXECUTIVE DIRECTOR BUSINESS STRATEGY
MR. KISHORE LODHA , CHIEF FINANCIAL OFFICER
MR. SANJEEV SRIVASTAVA , CHIEF RISK OFFICER
MR. HARDIK DOSHI – HEAD, CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend
■ 10 Lakhs = ■ 1Mn
■ 1 Crore = ■ 10Mn
■ 100 Crores = ■ 1Bn
■ 1 Lakh Crore = ■ 1Tn

Moderator: Ladies and gentlemen, good day, and welcome to the Capri Global Capital Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Hardik Doshi. Thank you, and over to you, sir.
Hardik Doshi: Good afternoon, everyone, and warm welcome to Q4 FY '26 Earnings Call for Capri Global Capital Limited. This is Hardik Doshi, Head, Corporate Finance and Investor Relations.
Before we begin, let me read out a brief disclaimer. The discussion on today's ca ll regarding Capri Global Capital Limited's earnings performance is based on judgments derived from the results declared and information on business opportunities available to the company at this time.
The company's performance is subject to risks, uncertainties and assumptions that could cause results to differ in future. In that context, participants on today's call are advised to consider the same while interpreting the results. The full disclaimer is available on Slide 63 of the earnings presentation, whi ch is available on our website. Participants are requested to kindly take a note of the same. Format of today's call would be opening remarks by the management team, followed by Q&A.
Let me now introduce the management team from Capri Global Capital present on the call. With us today, we have Mr. Rajesh Sharma, Managing Director and Promoter; Ms. Divya Sutar, Executive Director, Business Strategy; Mr. Kishore Lodha, Chief Financial Officer; and Mr. Sanjeev Srivastava, Chief Risk Officer.
I would now request our Managing Director, Mr. Rajesh Sharma, to present his opening remarks on the results. Over to you, sir.
Rajesh Sharma: Yes. Thank you, Hardik. Good afternoon , everyone. I hope you all are doing well. We announced our audited financial results for the fourth quarter of FY '26 on 30th April. I trust you have had the opportunity to go through our earnings presentation, which is also available on our website.
Before I move on to the financial and operational highlights, I would like to touch upon the broader operating environment and the key developments during the quarter. Recent geopolitical situation triggered demand upheavals due to supply chain disruption s and higher fuel and energy costs. However, India's economy continues to demonstrate resilience amid a mixed and uncertain global macroeconomic backdrop with domestic

high-frequency indicator for March not reflecting much adverse impact. Amidst this soft macro environment, I'm delighted to share a key development in the history of Capri Global.
The company has secured credit rating from 2 leading global rating agencies, long -term issuer default rating of BB - with a stable outlook by Fitch Ratings and Ba3 Corporate Family Ratings with a stable outlook by Moody's Ratings, marking a significant milestone in our growth journey and offering a strong validation of our business model, governance standards and risk management practices.
These ratings reflect company's diversified and 100% secured lending portfolio, with

strong asset quality, robust capitalization and focus on prudent lending and risk management processes. The stable outlook from both agencies underscore confidence in the company's ability to sustain its growth momentum while maintaining financial discipline.
With this backdrop, I am pleased to say that Capri Global has delivered strong quarterly performance in Q4 FY '2

6, continuing its growth momentum and maintaining asset quality while delivering highest ever quarterly profit of INR283 crores, a 59% increase year -on-year and full year profit of INR949 crores, almost double from the last year. Also, we delivered marked improvement in asset quality this quarter with gross NPA declining to 0.9%.
Now coming to our detailed business and earnings performance during the quarter. We continued our strong momentum across all lending businesses in fourth quarter FY '26. Our consolidated AUM stood at INR36,623 crores, reflecting a robust 60% year -on-year growth and 20% quarter -on-quarter growth.
Gold loans grew an impressive 111% year -on-year and MSME grew at healthy 23% year -on-year, while housing loans rose 43% year -on-year. Disbursements for the quarter rose 116% year -on-year to INR18,145 crores on account of growing customer base and widening distribution network. Our growth remains granular, diversified and retail led with our customer base now exceeding 6.9 lakhs.
For our gold loan business, we delivered a strong and well -balanced performance in line with our strategic objective of growth driven by branch expansion while maintaining focus on effective risk management. During the quarter, we further expanded our presence in high potential Southern and Eastern regions of India with the net addition of 89 new branches, mainly 36 in Telangana, 18 in Andhra Pradesh, 8 in Karnataka and 20 in Odisha to su pport the next phase of growth.

Gold loan AUM saw robust growth to INR16,965 crores, a sequential increase of 33% quarter -on-quarter, led by healthy customer demand and trust. Our aggregate branch productivity continues to see strong gains and has improved now from INR14 crores per branch in previous quarter to INR17 crores per branch. Our gold loan employee base increased only by 10% year -on-year, resulting in significant improvement in our employee productivity from INR1.6 crores AUM per employee earlier to INR3.1 crores now.
Considering the volatility in gold loan prices, we maintained conservative loan -to-value ratios on new disbursements while ensuring strong collection practices across the portfolio. Our efforts in controlling asset quality proved effective with gross NPA in gold loan standing amongst the best in the industry at 0.3%, underscoring our focus on risk management and portfolio quality. Overall, Q4 marked strong performance for the gold loan business, combining growth through geographical diversification alongsid e risk discipline and operational execution with 90% branches now operating above the breakeven threshold of INR5 crore s AUM per branch.
Our MSME AUM grew to INR6,465 crores, up 23% on year -on-year and disbursement stood at INR2,550 crores for FY '26, up 65% year -on-year, led by steady execution and network expansion. Within MSME, our micro -LAP business continues to gain traction with AUM rising to INR824 crores as at the end of Q4 FY '26. This vertical enable s us to serve emerging self -employed borrowers with smaller ticket size requirements. In this segment, our immediate priority is to leverage robust technological interventions to boost sales productivity and enhance operating efficiency across the expanded network before moving into the next phase of branch expansion.
Our housing AUM stood at INR7,447 crores, delivering a year -on-year growth of 43%. We continue to see resilient demand across the affordable housing segment s, where rising income levels and a stable interest rate regime are driving demand for housing loans. With foray into high potential South ern India market by entering states such as Andhra Pradesh in the previous quarter, we now have strengthened our presence i n South ern India with 25 branches. The strategic expansion is step towards geographical divers ificati

on, increasing portfolio granularity and support ing yield expansion over time. Further, our yields in housing finance segment have increased consistently ; a result of our efforts to pivot the mix towards self -employed customer segment, which now comprise s 74% of AUM.
Our construction finance AUM saw healthy growth of 38% year -on-year to INR5,708

crores, spread across 282 active projects with an average sanction ticket size of INR48 crores and outstanding portfolio ticket size of INR20 crores. The book remains granular and well diversified by geography, reflecting our focus on working with midsized develop ers in metro and Tier 1 cities. We continue to emphasize disciplined underwriting

through rigorous due diligence and escrow -based cash flow management, ensuring a risk containment approach.

Our total branch network expanded to 1,429 locations in Q4 FY '26 with a net addition of 98 branches during the quarter and 318 branches during the year. We continue to invest in expanding our network and geographical footprint in line with our goal of bec oming a large -scale pan -India retail lender.

Let me now provide an update on our core earnings. Our blended yields and spreads on net advances remained healthy in the quarter at 16.3% and 7.1%, respectively, driven by increasing share of high -yield products and decline in cost of funds. Our net inte rest income for Q4 FY '26 stood at INR596 crores, up 56% year -on-year and FY '26 stood at INR1,998 crores, up 50% year -on-year, driven by strong loan book expansion.

In line with our focus on building a diversified and resilient earnings profile, we continued to strengthen our non -interest income stream in Q4 FY '26, reinforcing our strategy of generating recurring quality fee income. Non -interest income grew 36% year -on-year to INR247 crores, contributing 29% of our net total income for the quarter. This strong increase was largely driven by growth in commission on insurance distribution and co - lending fee income.

In our insurance distribution business, we generated net fee income of INR65 crores during the quarter and INR153 crores for the full year. With the help of our upgraded fully digital end-to-end platform, Capri Care launch in Q3 (third quarter), we can now issue policy real time with speed and convenience, thus significantly easing insurance adoption across our retail customer base and sc ale our insurance distribution segment .

While our loan protection insurance has addressed life -related risk, we have embedded preventive health care and wellness solutions such as annual health screening and cashless consultation into the Capri Care ecosystem, evolving it from a claim -driven pro duct offering into a proactive health and protection partner for our customers.

Going forward, we will continue to strengthen our insurance offering for gold loans and MSME customers while expanding into cross -sell for retail health and motor insurance through digital channels. This digital -first integrated approach is expected to dr ive higher insurance penetration, improve customer engagement and meaningfully enhance fee income contribution over time.

Our co -lending AUM surged 91% year -on-year and 9% quarter -on-quarter to INR7,783 crores, now accounting for 21% of total AUM, reflecting our strategy of capital -efficient growth. As you may be aware, new co -lending guidelines have come into effect from 1st

Jan 2026 and as per that industry will start moving to new co -lending guidelines once existing contracts expire. Because of this, there could be a temporary slowdown in co - lending volume for a couple of quarters, but eventually, volume should come back. Going forward, we would also be exploring direct assignment ro

ute as there is a good demand for the same from partn er banks considering the PSL nature of our loan book as well as gold portfolio.

Our co -lending and DA income for the quarter stood at INR97 crores, up 76% year -on- year and down 16% quarter -on-quarter, driven by higher disbursal volume and deeper engagement with partner banks.

Our car loan distribution business maintained its steady momentum with origination of INR3,492 crores in Q4 FY '26, up 18% year -on-year and INR11,910 crores in FY '26, up 13% year -on-year. With a growing footprint and deep relationship across 14 partner banks and financial institutions, we have built a scalable platform with pan -India network in this segment with potential to monetize further for distribution of other products.

On the expenses front, our operating expenses increased 7% quarter -on-quarter. This was

mainly driven by net addition of 692 employees, up 5% quarter -on-quarter on a ccount of new branch additions.
Our continued focus on operati onal efficiency is visible with the cost -to-income ratio improving to 49.4% in Q4 FY '26 compared with 54.8% in Q4 FY '25. This sharp improvement signifies the benefit of investment in technology, a maturing branch network, rising productivity and improving op erating leverage across our businesses.
As a result of margin expansion, operating efficiency improvement and a strong traction in fee income, our pre -provision operating profit rose 68% year -on-year to INR427 crores for the quarter and a robust 97% year -on-year to INR1,446 crores for the full year.
Further, we continued our strong profitability momentum in Q4 FY '26, delivering a robust PAT of INR283 crores, up 59% year -on-year and INR949 crores for FY '26 up strong 98% year-on-year. Our return ratios considerably improved during FY '26 with return on average equity at 16.5% versus 11.8% for previous year and return on average assets at 3.5% for the year versus 2.7% for the previous year.
Now coming to our asset quality. We saw marked improvement in our asset quality across each of our business segments. Our gross Stage 2 assets decreased by INR100 crores, driven by a reduction of INR22 crores in MSME, INR18 crores in gold, INR53 crores in construction finance. The decline in construction finance is on account of strong collection

efforts and rollback of 3 accounts. Our gross Stage 2 ratio for the quarter improved to 2.8% from 4% in previous quarter.
Our gross Stage 3 asset decreased by INR11 crores quarter -on-quarter, mainly driven by decrease in housing loan delinquencies . Our gross Stage 3 ratio improved quarter -on-quarter for gold loan to 0.3%, for housing loan 1% and remained flat at 3% for MSME and 0.3% for construction finance. At consolidated level, our gross Stage 3 ratio improved further to 0.9%, down sequentially by 61 b ps , while net Stage 3 ratio stood at 0.5%, down 35 bps sequentially, which is amongst the top quartile in the industry.
Our impairment cost for the quarter stood at INR54 crores. This is largely attributed to Stage 1 provisions on account of increase in the loan book and management overlay of INR16 crores to account for evolving macroeconomic conditions as prudent practice . Historically, our credit cost has remained in the range of 0.6% to 0.7% of the average total assets. At consolidated level, our provision coverage ratio on Stage 3 assets remained steady at 41.2% and our segment -wise PCR also remained healthy and amongst the best in our peer group.
Let me now talk about our liability side. Our borrowings increased by 55% year -on-year and incremental borrowings sanction limits for the full year was around INR10,950 crores. We added 15 new lender relationships this year, taking the active relationship now to 35 plus.
We also continue to diversify our borrowing mix by ra

ising funds through other
instruments such as non -convertible de bentures and commercial papers. During the year, we raised INR2,187 crores from non -convertible debentures and commercial papers. In addition, we also closed last week our second public NCD issuance for INR489 crores with average tenure of 4 years. As a result of MCLR reduction and our active effort on repricing existing borrowings, our cost of borrowings declined further by 18 b ps quarter -on-quarter.
Our balance sheet remains robust with low leverage ratio of 3.3x, providing ample headroom to support growth across business segments. Our stand -alone capital adequacy ratio, C apri Global Capital (CGCL) is 25.8% and 27.7% for our housing finance subsidiary (CGHFL) . Our liquidity remains comfortable with over INR3,964 crores in cash and bank balances, investments and undrawn credit lines across CGCL and CGHFL.
On the technology front, this year, our focus was something fundamental for building fast that is to build right. 4 years ago, we made a deliberate structural choice to move away from being a traditional NBFC that operates on technology to becoming a plat form native AI-first financial institution. What we have built is not a static endpoint, it is a scalable

architecture that will continue to deepen operating leverage as we progressively embed AI

across the technology stack. Let me anchor this in the numbers first.
As you all are aware, our AUM grew 60% year -on-year. Disbursement grew by 83%, while headcount grew just by 19%. The delta between disbursement growth and headcount growth is not incidental. It reflects technology and AI replacing linear growth with intelligent scale. And this is clearly visible in our financial outcomes. As mentioned, our cost-to-income ratio for the year has compressed to 49% from 60% a year earlier and return on average assets expanded to 3.5% and return on average equity expanded to 16 .5%.
Capri today operates on real -time event -driven architecture where every customer interaction across sourcing, underwriting, servicing and collection is captured within our in-house lending ecosystem and instantly converted into decision -grade intelligence .
In Q4 alone, we processed over 115,000 customer interaction s through speech -to-text pipeline and executed more than 40,000 multilingual AI voice interactions, entirely autonomous and without human intervention. The real value, however, is not in the volume, it is in the conversion of interaction into intelligence.
These interactions feed into a continuous learning feedback -driven system that generated over 285,000 structured intelligence output during the quarter, each and every tag scored and rooted into our credit risk and collection engine in real time.
We have fundamentally graduated from process -based lending to data empowered decisioning. Our bureau rule engine processed over 61,000 applications in Q4 alone. Our automated bank statement analysis pipeline completed over 29,000 assessment s without human intervention. What this means in practice is that a growing share of our book is now witnessing reduced variability, compressed TATs and improved portfolio behavior, coupled with consistency.
During Q4 FY '26, our Capri loans customer app recorded over 31.5 lakh digital customer engagement s. In terms of output, the app facilitated transaction s of approximately INR784 crores during the quarter. For the full year FY '26, the app delivered over 85 lakhs customer engagement s with an aggregate transaction value exceeding INR1,700 crores.
On the collection s side, the system operates as a predictive closed -loop framework. We triggered approximately 145,000 automated nudges every month driven by AI -led action models. Our platform is built on an API -first micro services -driven architecture, which handle

d over 3 10 million actional API calls in a single month a cross our various applications.

Behind these external calls are billions of internal interactions that allow us to run the entire lending life cycle real time. At this scale, we are no longer operating applications. We are running a unified intelligence platform that empower fast, high -quality decisions at a scale.
Let me now come to what we believe is the most important strategic milestone in this transformation journey. While most institutions today are consumers of AI, they integrate third -party LLMs, layer workflows on top and position that as transformation. Cap ri has moved into a different category.
We have built and deployed our own specialized small language model, SSLM, that is domain trained model, purpose -built for financial services use cases in India and already operating in traction for collection communication across voice and messaging chann els. Because it runs within a controlled closed -loop environment, it delivers our critical properties simultaneously, that is low latency, high domain accuracy, zero external data leakage and near -zero hallucination risk.
Equally important, every output is auditable, explainable and aligned with regulatory expectations. This is not an incremental layer on top of existing system. It is a fundamental shift in how intelligence is created, controlled and deployed within the or ganization. I can now say that Capri technology and AI has become a moat and not merely a tool.
On the ESG front, I am pleased to share that our ESG practices have been recognized by leading global independent rating agencies, including S&P Global and Morningstar Sustainalytics .
Capri Global has achieved an S&P ESG score of 70, ranking 20th globally within its industry and seventh in the Asia Pacific region, the highest amongst our NBFC peers. We have also been recognized in the S&P Global Sustainability Yearbook as the highest scoring NBFC in its category, receiving the prestigious Industry Mover Award. Further, the company has established a sustainable financing framework independently validat ed by Sustainable Fitch through a second -party opinion and rated good and has been asses sed as low ESG risk by Morningstar Sustainalytics.

These ratings place us firmly among the leaders in ESG practices within the NBFC sector and reflect our adherence to globally benchmark standards. Importantly, these assessments are based on publicly available independently verified data, reinforcing the s trength, transparency and resilience of our operating model.
Before we open the floor for questions and answers, let me sum up. We delivered a strong performance in FY '26 with healthy AUM growth across our key lending segments, supported by a diversified and predominantly retail secured portfolio. Profitability

improved during the year, driven by changing mix tilting towards high-yield products, improving margin s, strong growth in fee -based income and operating leverage from our existing branch network, while asset quality remained resilient.
With a strong capital position and continued investment in technology and distribution, we are well positioned to scale efficiently and are confident of achieving our AUM target of INR55,000 crores and sustainable return on average equity of 16% to 18% and return on average assets to 4% to 4.5% by FY '28.
We shall now be happy to take questions.
Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Ishank Gupta from Choice Institutional Equities.
Ishank Gupta: Sir, my first question is regarding our AUM mix -- gold loan AUM mix has already reached 46%. As of last quarter, we were targeting around 45% gold loan mix. So what would be our target for the gold loan mix?
Rajesh Sharma: Yes. Thank you. So gold loan mix looks like the way we are operating and opening more branches. Gold loan mix can reach to about 50%.
Ishank Gupta: Got it.. And as of last quarter, you mentioned that you were going to -- go to RBI to seek permission to open new gold loan branches. But in RBI and February policy have done away with the requirement to take the permission. So what is the target for new branch addition, gold loan branch addition over the next 2 years?
Rajesh Sharma: So next 2 years, we would like to add about 700 to 800 branches, including gold loan. Majority will be the gold loan branches. And now as you rightly said, we don't require any permission. So that will make us plan in a manner that we will be able to open those branches in a very time -frame manner. This year, we should be able to add about 350 branches in gold loan alone, and all these branches should be operational within this financial year.
Ishank Gupta: Got it. Our yields on gold loan have again dropped sequentially by 90 bps. Last quarter, we were targeting 18% gold loan yield. So what would be the sustainable yield for the gold loan segment and overall blended yield?
Rajesh Sharma: So if you look at th e growth , it has happened largely because we followed a high co - lending in Gold Loan book. And in that, we have decided that to capture the market and also to open the new markets, we lowered the yield, but we are able to do down sell through the co -lending route.

So meeting those banks criteria and some of the customers whom we would not otherwise lend, we have decided to lend as part of the co -lending scheme. And overall, it is accretive to our overall profitability and contribution per branch. While the yield s have gone down, that is compensated by much higher volume growth.
Ishank Gupta: Sir, but the co -lending AUM in the gold loan segment has reduced sequentially from 39 - odd percent to 31%. So going forward for -- specifically for gold loan, what would be the target in terms of co -lending?
Rajesh Sharma: So I think as a company between the DA and co -lending, it will remain in the range of 20% which is the target.
Ishank Gupta: That is overall 20% to 25%?
Rajesh Sharma: Yes. 20%, not 25%. 20% of overall AUM will remain in the co -lending and DA across mix of all MSME, gold and housing loan products .
Ishank Gupta: Understood. And my last question was regarding the cost of funds. So last quarter, we said that we will be targeting a reduction of 20 to 25 basis over the next year. But in the quarter

itself, we have witnessed a reduction of 18 to 20 bps. So is there a possibility of further reduction? And if yes, how much over the course of next 2 years?
Rajesh Sharma: So overall basis, cost of funds have come down because we also changed the mix of borrowing s by including the debentures and commercial paper. And I think this year, looking at the interest rate hike that might happen post -election s and other things, I think we should be able to do about 10 to 20 b ps reduction . This year, we are not expecting much cost of borrowing go ing down. But even though we reduce 20 b ps, that will be very good from our perspective.
Ishank Gupta: So exit of around 9% to 9.1% for the year?
Rajesh Sharma: 9.1% is -- conservatively, you can consider 9%.
Ishank Gupta: And for '28, any further reduction?
Rajesh Sharma: '28, I think it will also as we expect at some point of time credit rating upgrade to happen. And that will be in addition to this rate reduction. If the credit rating happens in the next 6 to 9 months, which we expect to, in that case, the further cost of fund will go down by another 20 b ps .
Ishank Gupta: I would like to add in one last

question. So our sustainable credit cost could be 0.6% or 0.7% for the year because f or the quarter, it came at 0.8%?

Rajesh Sharma: So sustainable basis , our credit cost s will remain by and large, in the range of 0.7%. This quarter increase has happened because we have taken that management overlay as guided by the Board, and we are very conservative that way. So we've taken about INR16 crores additional management overlay du e to macroeconomic environment.
And barring that, if you look at our asset quality, it has been best in the quarter and the year. So -- and almost majority of the provisions have also come because of the new loan book. So , there is no slippage.
Moderator: The next question is from the line of Siddesh from PL Capital.
Siddesh : So sir, just wanted to understand on the car loan front. So what is the strategy to monetize? And what are the plans for starting other products in that entity?
Rajesh Sharma: So currently, car loan is a completely distribution business model . We are currently distributing the leads generated by our team with about 12 -plus institution s and partner banks. And in the times to come, we'll add more product s like used car s, credit card s, personal loan s and mortgages over the period of next 3 to 4 years.
This year, we'll be adding used car s. And the advantage will be the same supervisory team and team of 1, 800 people will be able to drive the same business. So , that cost allocation will happen on the higher revenue. And next year, we will be able to see that about INR20 crores of profit is able to delive r by the car loan entity alone.
And idea is and target is that over the next 4 to 5 years, this INR20 crores has to become one significant amount of INR60 crores, INR70 crores income, which will be coming purely from the fee income. So , in that direction, this year, we're adding another product from used car loan s distribution through our partner banks.
Siddesh : Understood. And how do you see AUM mix changing at the company level?
Rajesh Sharma: So as of now, AUM mix is about 46% gold. I think gold will become about close to 50% and rest of the 3 segments of MSME, housing finance, construction finance will range between 16% to 18% each.
Siddesh : Okay. And so -- lastly, can you help me with your AUM, ROA and ROE targets for FY '27 in terms of guidance?
Rajesh Sharma: So as I said in my opening remarks also, our guidance for the FY '27, our aim will be to achieve an ROA about 4% and ROE not less than 16%.
Moderator: The next question is from the line of Hardik Dara from Grow more Credit Advisor.

Hardik Dara : Am I audible? Just wanted to understand the strategy apart from gold loan on the other 3 verticals, MSME, HFC and construction finance, how aggressive are we planning to grow these other 3 verticals? And what can be the growth expectations? I agree that 16 % to 18% is the tentative mix, but just wanted to understand as to how aggressively will these 3 grow over the next 2 years?

Rajesh Sharma: So individually, I think the segment s will also grow ; MSME will grow in the range of about 20% to 25%, construction finance will also grow in the range of about 25% to 30% and housing will also grow at 25% to 30%. So overall, if you look at our business mix is designed in a manner to grow in tandem with the overall growth.
Gold has done wonderfully well because gold price increase also helped in the faster growth. So we assume that price remain ing stable, we should be able to grow all the segments together. Gold can still rise more because there are a lot of branch addition s underway . But all other segments will grow in the range of about 25% to 30%.
Moderator: The next question is from t

he line of Suhani Singh from Seja Capital .
Suhani Singh : I wanted to understand how do you see origination growth trending in the car loan segment?
Rajesh Sharma: So car loan, if you see, we have seen about 18% growth. We expect our car loan origin ation will continue to grow in the range of 12% to 15% year -on-year. And next year, our more focus will be improving the margins rather than the volume growth alone. FY '26, we originated about INR11,910 crores and which was up by 13% year -on-year.
Suhani Singh : Okay. Okay. Also, with pressure on fee margins despite higher growth volumes, where do you see margins stabilizing and profitability settling?
Rajesh Sharma: You are asking about the car loan or overall?
Suhani Singh : Sir, overall.
Rajesh Sharma: So overall, we clearly see there are 2 things. One is the operating scale is kicking in. So that efficiency is coming in ; where in the cost/income ratio is declining and our overall efficiency is improving because of the technology part as well.
And on similar lines , the gold loan branches, the old branches which are growing, which are already delivering high profit s with break -even point being achieved long back and with more growth in volume per bran ch, expect more profitability improve ment in the gold loan segment as well.

So current ly our AuM per branch is about INR17 crores, and we break -even at about INR5 crores. I think per branch AUM basis, we are among the top 3 players in the country. And that speaks for our profitability of the branch. So , I think gold loan business will start deliv ering higher profitability ahead .
This is the scenario for the gold per branch AUM in the coming year. And as far as the MSME and home loan s are concerned, home loan s have achieved a base of about INR7,500. So operating scale will kick in there a s well and margin s will significantly improve in the coming year. MSME has already stabilized and MSME margin will remain stable on the similar pattern what was in the current year.
Moderator: The next question is from the line of Prince Choudhary from PINC Wealth.
Prince Choudhary: Sir, can you share more light on what are the changes of RBI for the new guidelines of co -lending? And how this will impact our growth for a couple of quarters?
Rajesh Sharma: So per RBI guideline, the co -lending norms come with more clarity. Second, on the moratorium loan, they have advised that interest accrued should be included in the LTV.
And third, the income assessment of the customer s above loan of INR250,000 should be mandatory .
So, these are being implemented across our co -lending partners but technology integration will take some time. So , we expect the company to resume the full business v olume with the co -lending partners in the quarter of July to September.
By June, I think most of the players will go live. A couple of players have already gone live and the rest of the partners will go live by the next quarter. So , I think the full volume we'll be able to see from the September quarter.
Moderator: The next question is from the line of Saumya from Nirvana Capital.
Saumya: I just have a couple of questions. Starting with what is the strategic rationale behind entering capital markets? And how do you see this contributing to fee income?
Rajesh Sharma: Yes. So on the fixed income side, since we are NBFC , we always maintain a high liquidity in our treasury. And some of those treasury holdings remain in the negative carry most of the time because we put the money in the debt mutual fund, where negative carry is sometimes even 2% and 2.5% to 3%.
Against that, we have decided to start this vertical where some part of the book will be maintain ed as part of the treasury operations by buying the bond and down selling them

and also helping some of the issuer s to raise the bond from the bond market b y managing their public issues.
So, it will contribute to the fee income as well as also to reducing our negative carry in our treasury income. So , it is incidental to what we are doing today. And I think next year, you will see th e same once we get th is category -- license under a pplication .
And we have been told that by end of June, we can have that. We will see some income flows . But our income target , net fee income target is in the range of about INR40 crores to INR50 crores at gross level. At net level, it will be in the range of about INR20 crores to INR25 crores.
Saumya: Okay, sir. Got it. And secondly, what is the current scale of revenue contribution from fixed income and bond -related activity?
Rajesh Sharma: So, bond -related activity, the contribution is that highly likely it reduces the negative carry first. So , if we earmark about INR600 crores to INR800 crores book re tain, we expect to reduce almost 3% negative carry on this portfolio. So , it helps contributing indirectly about INR25 crores of income to the bottom line.
Moderator: The next question is from the line of Kushal, an Individual Investor .
Kushal : Since, we are expanding a lot of branches. Currently, we have 1,400 branches and those old branches are going to become efficient in next year. And our target is to open around 700 branches in next two years . What is the PAT guidance we are giving for FY '27?
Rajesh Sharma: So we have given the PAT guidance for next year or FY '27 at about INR1,300 crores.
Moderator: The next question is from the line of Ameya Khandekar from HDFC ERGO.
Ameya Khandekar: My question is if you can give like the LTVs on the book for the gold loans. So , we have the disbursal LTV, but if you can provide the LTVs on the gold loans which are on the book currently?
Rajesh Sharma: So, portfolio level LTV is about 66%. And on the new disbursement, LTV is about 70%.
Ameya Khandekar: Okay, understood. And on the overall AUM guidance, so I think previous quarter, you had said we would be doing around INR55,000 crores of AUM by FY '28. So is there any update on that number? Because I think what we have said as a target for FY '26, we have surpassed that. So , is there any upward guidance on the AUM front?

And also in the overall -- so you have mentioned individually MSME would grow between 20% to 25% and construction finance and housing would grow between 25% to 30%. So in this kind of a mix, how do you see the gold loans also growing because we are adding branches. So how do you see that also growing if you can give that number?
Rajesh Sharma: Yes. So overall growth, we are targeting conservatively 25%. And we are giving a guidance of INR46,000 crores by end of FY '27 and about INR57,000 crores by FY '28. So we revised FY '28 guidance by about INR2,000 crores. And as gold loan is concerned, you have rightly said that, , we are adding more branches.
So gold loan proportion in overall AUM will grow. Gold loan will grow in the range of about 25% to 30%. So overall growth may remain in 25% to 30% range, but conservatively, we are saying 25%. And gold within that segment will grow a little higher because we are adding more branches as well.
Moderator: The next question is from the line of Kashvi Dedhia from Centra Insights.
Kashvi Dedhia : Sir, since the cost of borrowings are declining, how much scope remains further for expansion in spreads?
Rajesh Sharma: So cost of borrowing s further decline d. I said earlier also that by the year -end, we are targeting about 20 basis points. And another 20 basis points can also be achieved further from the rating upgrade from the 12 months from the

time the rating upgrade happens. So
I think we expect some positive news on that over next 6 months . However, it depends on various other factors, and it doesn't remain in our complete control. But we hope that all the environment and macro environment remain positive. We can expect and aim for that.
Kashvi Dedhia : Okay. And do we see any impact of recent macro situations on MSME book?
Rajesh Sharma: So far, we have not seen any deterioration in our collection efficiency or asset quality. So we have not seen any sign s till now .
Kashvi Dedhia : Okay. And also the decline in capital adequacy appears mainly driven by subsidiary investments. So how do we think about this? Like how -- what will be the capital allocation going forward?

Rajesh Sharma: So going forward, we will increase the DA /co-lending that will conserve some part of capital. And at some point of time, if required, we will raise Tier 2 capital also to shore up the capital base. So in a nutshell, about 18 to 24 months, our aim is to effectively utilize all the DA and co -lending and also raise Tier 2 capital. So capital requirement is taken care off.

Moderator: The next question is from the line of Pehel Sharma from PG Capital.
Pehel Sharma: I just want you to put some light on the strategic intent, like what is the objective behind the proposed international bond issuance?
Rajesh Sharma: So international bond issuance is with the purpose to diversify our resources of borrowing s. And it will give us one more avenue to borrow the money, and it can be done every year. We being into lending business always require the debt capital and which is one of the major raw materials.
So I think it is just opening that avenue, and we have got the international rating s done. But we are a little cost conscious in terms of our cost of funds. And currently, because of the macroeconomic environment and West Asia crisis, the hedging cost has substantially gone up. So we are waiting that to settle down and hoping that happens in the next 2 to 3 to 4 months, whenever it happens, we intend to access the market depending upon the underlying situation.
Pehel Sharma: Great, great. In addition with that question, I have one more question that what are the key drivers like behind the improvement in GNPA and NNPA during the quarter?
Rajesh Sharma: So key driver to NPA improvement is, of course, collection efficiency because a lot of emphasis is put not only on the technology, but also on the ground by right hiring, right push, right training program, right AI -enabled videos on various fronts and at customer engagement levels . So that all put together has helped all verticals to improve collection efficiency. And hence, our GNPA, net NPA numbers are on the lower side .
Moderator: The next question is from the line of Kalmesh, an Individual Investor .
Kalmesh: So my question is currently, we are at 70% loan -to-value ratio. So what if the gold prices crash by 10% to 15%? And how would you manage that?
Rajesh Sharma: So I think you have very relevant question in terms of current volatility. So gold loan prices will not fall in one single day. So assuming that gold loan prices fall 4% and customer LTVs decrease to that extent, either we request the customer to pay additional money to bring back his loan -to-value within the norm of 75% or he has to give additional gold to pledge to bring the LTV back in the norm.
And failing which we give him a notice that within 14 days, if he don't take back those pledged goods, margin goods, we have right to auction the gold and recover money. So, whenever it happens our team on ground does collection calling and is able to recover the money. For example, if on INR l lakh , 2% gold rate falls, we need to recover INR 4000 and a jewellery worth INR 5500 and the mix of

those we are able to do so easily in most

of the cases . And in case the customer doesn’t fulfil this requirement , we have the right to auction the jewellery and recover the money. So we hope the gold will not fall 10%, 15% in single day.
Kalmesh: Yes, sir, yes. I just asked a hypothetical question, thank you, sir.
Moderator: The next question is from the line of Vignesh Iyer from Sequent Investment .
Vignesh Iyer : Just one question from my side. So , I wanted to understand what is the kind of growth that we can see on the insurance income side and fee income side as a whole in FY '27?
Rajesh Sharma: I think insurance distribution is purely in line with our AUM growth target. So insurance income should also grow in tandem at about 25% to 30%.
Vignesh Iyer : And overall, the fee income, I mean, on the noninterest income...
Rajesh Sharma: Car loan income will grow about 12% to 15%. Insurance income will grow in the line with our AUM growth of 25% to 30%. And co -lending income, I would say that it will remain more or less same as the last year because co -lending now at least for one quarter will be tad on the lower side. So there may not be any growth in the co -lending income, but that will be compensated by the DA. So more or less, it will remain the same.

Moderator: Ladies and gentlemen, we take this as a last question. I now hand the conference over to Mr. Rajesh Sharma for closing comments. Rajesh sir, please go ahead.
Rajesh Sharma: I thank you for participating in the earnings call today. Should you have any questions, you can reach out to us or to our IR Advis ors, and we shall be happy to answer your queries. I reiterate we are on track to achieve an AUM of INR55,000 crores by FY '28 with return on average equity of 16% to 18% and return on average assets of 4% to 4.5%. Thank you once again, and have a happy week ahead. Thank you.
Moderator: Thank you. On behalf of MUFG, that concludes this conference. Thank you for joining us. You may now disconnect your lines.